INTRODUCTION TO LAW AND GOVERNANCE

CPA

FOUNDATION LEVEL

STUDY TEXT

Revised: September 2021

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TOPIC 1

ELEMENTS OF THE LEGAL SYSTEM

NATURE PURPOSE AND CLASSIFICATION OF LAW

MEANING OF LAW

Law, simply put, refers to the set of rules which guide our conduct in the society and is enforceable by the state via public agencies.

Law in its general sense tends to be as a result of the necessary relations arising from the nature of things. In this sense all things have their laws. Humans, material world, superior beings and even animals all have their own laws. Simply put, the nature of these relationships tends to determine the nature of the laws.

But the intelligent world is far from being so well governed as the physical. This is because intelligent beings are of a finite nature, and consequently liable to error; and on the other, their nature requires them to be free agents. Hence they do not steadily conform to their primitive laws.

Law in general is human reason, inasmuch as it governs all the inhabitants of the earth: the political and civil laws of each nation ought to be only the particular cases in which human reason is applied.

According to the oxford dictionaries law can be defined as; The system of rules which a particular country or community recognizes as regulating the actions of its members and which it may enforce by the imposition of penalties

NATURE OF LAW

The different schools of thought that have arisen are all endeavors of jurisprudence: Natural law school Positivism, realism among others. It is these schools of thoughts that have steered debates in parliaments, courts of law and others.

- **Natural law** theory asserts that there are laws that are immanent in nature, to which enacted laws should correspond as closely as possible. This view is frequently summarized by the maxim: an unjust law is not a true law, in which 'unjust' is defined as contrary to natural law.
- **Legal positivism** is the view that the law is defined by the social rules or practices that identify certain norms as laws
- **Legal realism-** it holds that the law should be understood as being determined by the actual practices of courts, law offices, and police stations, rather than as the rules and

doctrines set forth in statutes or learned treatises. It had some affinities with the sociology of law.

- **Legal interpretivism-** is the view that law is not entirely based on social facts, but includes the morally best justification for the institutional facts and practices that we intuitively regard as legal.

Generally speaking law has the following characteristics

1. It is a set of rules.
2. It regulates the human conduct
3. It is created and maintained by the state.
4. It has certain amount of stability, fixity and uniformity.
5. It is backed by coercive authority.
6. Its violation leads to punishment.
7. It is the expression of the will of the people and is generally written down to give it definiteness.
8. It is related to the concept of 'sovereignty' which is the most important element of state.

PURPOSES OF LAW

1. It promotes peaceful coexistence/ maintenance of law and order/ prevents anarchy
2. It is a standard setting and control mechanism. Law sets standards of behaviour and conduct in various areas such as manufacturing, construction, trade e.g. The law also acts as a control mechanism of the same behaviour
3. It protects rights and enforces duties by providing remedies whenever these rights or duties are not honoured.
4. Facilitating and effectuating private choice. It enables persons to make choices and gives them legal effect. This is best exemplified by the law of contracts, marriage and succession.
5. It resolves social conflicts. Since conflicts are inevitable, the rule of law facilitates their resolution by recognizing the conflicts and providing the necessary resolution mechanism.
6. It controls and structures public power. Rules of law govern various organs of
7. Government and confer upon them the powers exercisable by them. The law creates a limited Government. This promotes good governance, accountability and transparency. It facilitates justice in the society.

CLASSIFICATION OF LAW

Law may be classified as:

1. Written and Unwritten.
2. Municipal (National) and International.
3. Public and Private.
4. Substantive and Procedural.
5. Criminal and Civil.

Written law

This is codified law. These are rules that have been reduced to writing i.e. are contained in a formal document e.g. the Constitution of Kenya, Acts of Parliament, Delegated Legislation, International treaties etc.

Unwritten law

These are rules of law that are not contained in any formal document.

The existence of such rules must be proved. E.g. African Customary law, Islamic law, Common law, Equity, Case law e.t.c

Written law prevails over unwritten law.

Municipal/ national law

This refers to rules of law that are applicable within a particular country or state. This is state law.

It regulates the relations between citizens inter se (amongst themselves) as well as between the citizens and the state.

It originates from parliament, customary and religious practices.

International law

This is a body of rules that generally regulates the relations between countries or states and other international persons e.g. United Nations.

It originates from international treaties or conventions, general principles and customary practices of states.

Public law

It consists of those fields or branches of law in which the state has a direct interest as the sovereign.

It is concerned with the Constitution and functions of the various organizations of government including local authorities, their relations with each other and the citizenry. Public law includes:

- Criminal Law
- Constitutional Law
- Administrative Law

Public Law asserts state sovereignty.

Private law

It consists of those branches of law in which the state has no direct interests as the state sovereign.

It is concerned with the legal relationships between persons in ordinary transaction e.g.

- Law of contract
- Law of property
- Law of succession
- Law of marriage
- Law of torts

Substantive law

It consists of the rules themselves as opposed to the procedure on how to apply them.

It defines the rights and duties of the parties and prescribes the remedies applicable.

Substantive law defines offences and prescribes the punishment, for example:

- The Law of torts
- The Law of succession
- The Law of contract
- The Law of marriage
- The Penal Code

Procedural law

This is adjectival law. It consists of the steps or guiding principles or rules of practice to be complied with in the administration of justice or in the application of substantive law. For example:

- The Civil Procedure Code
- The Criminal Procedure Code

Criminal law

This is the law of crimes. A **crime** is an act or mission committed or omitted in violation of public law e.g. murder, treason, theft, e.t.c. All crimes are created by parliament through statutes

A person who is alleged to have committed a crime is referred to as a **suspect.**

As a general rule, suspects are arrested by the state through the police at the instigation of the **complainant.** After the arrest, the suspect is charged in an independent and impartial court of law whereupon he becomes the **accused.**

Criminal cases are generally prosecuted by the state through the office of the Attorney General (AG) hence they are framed as R (the State) Vs Accused E.g. ***R v Kamenchu***

Under the Constitution, an accused person is presumed innocent until proven or pleads guilty.

If the accused pleads not guilty, it is the duty of the prosecution to prove its case against him by adducing evidence i.e. the burden of proof in criminal cases is borne by the prosecution.

The standard of proof is beyond any reasonable doubt i.e. the court must be convinced that the accused committed the offence as charged.

In the event of reasonable doubt, the accused is acquitted. If the prosecution proves its case i.e. discharges the burden of proof, then the accused is convicted and sentenced.

The sentence may take the form of:-

1. Imprisonment
2. Fine
3. Probation
4. Corporal punishment
5. Capital punishment
6. Community service
7. Conditional or unconditional discharge

Under the Constitution, a person cannot be held guilty of an act or omission which was not a criminal offence on the date of omission or commission.

Civil law

It is concerned with the rights and duties of persons i.e. individuals and corporations. Branches of civil law include:-

- Law of contract
- Law of torts

- Law of property
- Law of marriage
- Law of succession

When a person's civil or private rights are violated, he is said to have a cause of action. Examples of causes of action:

- Breach of contract
- Defamation
- Assault
- Negligence
- Trespass to goods e.t.c

Causes of action are created by parliament through statutes as well as the common law and equity.

The violation of a person's civil rights precipitates a civil case or action. The person whose rights are allegedly violated sues the alleged wrongdoer hence civil cases are framed as ***Plaintiff v Defendant.***

It is the duty of the plaintiff to prove his allegations against the defendant. This means that the burden of proof is borne by the plaintiff. The standard of proof in civil cases is on a balance of probabilities or on a preponderance of probabilities i.e. the court must be satisfied that it is more probable than improbable than the plaintiff's allegations are true.

If the plaintiff proves his allegations by evidence, he wins the case and is awarded judgment which may take the form of:-

1. Damages (monetary compensation)
2. Injunction
3. Specific performance
4. Account
5. Tracing
6. Winding up a company
7. Appointment of receiver

Differences between civil wrong and crime

	CIVIL WRONG	**CRIME**
Definition	offence against another individual	Offence against the state
Purpose	To deal with the disputes between individuals, organizations, or between the two, in which compensation is awarded to the victim.	To maintain the stability of the state and society by punishing offenders and deterring them and others from offending.
Standard of proof	Claimant must produce evidence beyond the balance of probabilities.	Beyond reasonable doubt
Parties involved	The plaintiff, the party that is suing The defendant , the one being sued	Prosecution which represent the state and the accused
Burden of proof	Claimant must give proof however, the burden may shift to the defendant in situations of *Res Ipsa Loquitur* (The fact speaks for itself).	"Innocent until proven guilty": The prosecution must prove defendant guilty.
Type of punishment	Compensation (usually financial) for injuries or damages, or an injunction in nuisance.	A guilty defendant is subject to Custodial (imprisonment) or Noncustodial punishment (fines or community service). In exceptional cases, the death penalty.

The rule of law

The concept of the Rule of Law is a framework developed by Dicey on the basis of the English Legal system. It is also described as the due process.

According to Dicey, rule of law comprises three distinct conceptions namely:

1. **Absolute supremacy or predominance of regular law:** this means that all acts of The State are governed by law. It means that a person can only be punished for disobedience of the law and nothing else.

2. **Equality before the law:** this means equal subjection of all persons before the law. It means that no person is exempted from obeying the law. All classes of persons are subjected to the same judicial process regardless of their age, sex, creed, gender or race.

3. **The law (Constitution) is a consequence and not the source of rights:** means that the law is a manifestation of the will of the people.

Factors undermining rule of law

- Excessive power of the Executive
- Non - independent Judiciary
- Corruption
- Selective prosecution
- Civil unrest
- Ignorance of the law

PROFESSIONAL ETHICS AND THE LAW

Principles that have to be followed by a professional accountant include:

a) Integrity

It refers to the character of the accountant. The accountant should be one who is of unquestionable morals, honest, trustworthy and forthright.

b) Professional Independence

This refers to the ability of the accountant to do his work without following any instructions from the client or any other person for any reason.

The independence ensures that the accountant will be truthful and will carry out his duties in accordance with the dictates of the profession as opposed to personal whims.

c) Confidentiality

This is the duty of secrecy. It is the duty not to divulge to third parties any information that has been received by the accountant in his capacity as such or to use such information in any way for any other purpose without the consent of the client or express authority of the law.

d) Professional Competence

Means that for a person to render professional services as an accountant he must have attained the professional ability to do so i.e. he must inter alia have the necessary qualifications after having gone through a prescribed course of study.

A person who has fulfilled the requirements of the Accountants Act5 in relation to qualifications is deemed to be professionally competent.

LAW AND MORALITY

Morality is the sense of judgment between right and wrong by reference to certain standards developed by society over time.

It defines standards of behavior widely accepted by a society and is binding on the conscience of the members of that society. An action that is considered to be opposed to morality will generally be frowned upon by that society. However, ***morality is not enforceable by courts of law.***

This is compared to rules of law, which are binding, enforceable and have sanctions in all cases. Wrongs in society are contraventions of law or morality or both. However, the law incorporates a significant proportion of morality. In such instances, where law and morality overlap, morality is enforced as a rule of law. Such morality becomes part of the law. E.g. Killing a person is immoral as well as a crime. So is theft.

However, certain wrongs in society contravene morality but not the law e.g. disrespects failure to provide for parents, failure to rescue a drowning person e.t.c.

What then is the relation of morality to law?

1. The existence of unjust laws (such as those enforcing slavery) proves that morality and law are not identical and do not coincide.
2. The existence of laws that serve to defend basic values such as laws against murder, rape, malicious defamation of character, fraud, bribery, etc. proves that the two can work together.
3. Laws govern conduct at least partly through fear of punishment. When morality, is internalized, when it has become habit-like or second nature, governs conduct without compulsion. The virtuous person does the appropriate thing because it is the fine or noble thing to do, not because not doing it will result in punishment.
4. As such, when enough people think that something is immoral they will work to have a law that will forbid it and punish those that do it. However if there is a law that says doing X is wrong and illegal and enough people no longer agree with that then those people will work to change that law.

BUSINESS ETHICS AND CORPORATE SOCIAL RESPONSIBILITY

In the recent years, nation have been surprised by a number of major corporate scandals triggering widespread public skepticism, shock among other behaviors towards the executives who run them. Such tend to range from inflating profits, obstruction of justice, manipulating the market, etc.
In most business set ups, it would appear, when a behavior has a direct identifiable price, it is much easier to motivate corporate behavior. However;

1. Should corporate managers consider moral choices or should their focus be based on profit and loss
2. In a world of ever increasing complexity and interdependency, how does one go about determining what conduct is or is not ethical

PROMINENT ETHICAL THEORIES

Let us look at four ethical theories in relation to the above questions. The theories are; rights theory, justice theory, utilitarianism, and profit maximization. The rights theory is also referred to as ***deontological ethical theory*** since it focused on the actions and process and not just consequences. The other three which focus on the consequences of an action are ***teleological ethical theories.***

Rights theory

This is based on the view that certain human rights are fundamental and should be observed. This therefore means that its primary focus is on individuals in society. There are two primary category of rights theory 1) Kantianism 2) The modern rights theory

Kantianism

Immanuel Kant was a strict deontologist. He viewed humans a moral actors free to make choices. According to this philosopher morality of a given action was determined by applying categorical imperative, that is, judge an action by applying it universally. For instance if you are to steal then the question is, are you will to let everyone steal freely? Since this threatens your future security then you may conclude that stealing is wrong.

Modern right theories

One major problem with Kantianism is that it imposes duties to be absolute. This implies that lying or killing for instance would be perceived to be unethical. Modern theorist believes that there may be circumstances when action like lying and killing could be morally acceptable for instance self defense. One popular theory believes that you should abide by a moral rule unless a more important rule conflicts with it, that is, our moral compulsion is not to compromise a person's right unless a greater right takes priority over it.

Due to this moral relativism, modern rights theorists have choices to make. They must determine what the fundamental rights are and how they are ranked in importance. Most courts tend to use this approach.

Justice theory

This is derived from John Rawls's book A Theory of Justice, which argued for just distribution of society's resources. This can be referred to as a fair allocation of society's benefits and burdens among all members of society.

Rawls argues that self-interested rational persons behind the veil of ignorance would choose two general principles of justice to structure society in the real world:

1. **Principle of equal liability-** each person has equal right to basic rights and liberties.
2. **Difference principle-** social inequities are only acceptable if they cannot be eliminated without making the worst-off class even worse off.

Under the justice theory, the decision makers' choices are to be guided by fairness and impartiality, however, the focus in on the outcome of the decision.

Consider a company that has two choices in terms of production, that is, produces locally or outsource, based on this theory the company can choose to outsource assuming the workers in the other country are badly off than the local workers.

Utilitarianism

This derived from the workings of Jeremy Bentham and John Stuart Mill. Under utilitarianism, an ethical decision is one that maximizes utility for society as a whole. Thus, in our individual decision we should always calculate their costs and benefits for every member of society. An action is ethical only if the benefits to society outweigh their costs. This means that at times decision makers have to sacrifice their own interest if doing so gives greater benefit to society.

Profit maximization

This is a teleological theory that is based on the laissez faire theory of capitalism championed by Adam Smith.

It proposes that managers should managers should maximize a business's long run profits within the limits of law. Unlike utilitarianism, in profit maximization the managers focus solely on those decisions result into more profits for the organization.

Critics view this to be entirely untrue since in the quest for more profit other issues such as employees' welfare could be ignored.

SOURCES OF LAW

The various sources of law of Kenya are identified by:

1. Judicature Act
2. Constitution
3. Hindu Marriage and Divorce Act
4. Hindu Succession Act
5. Kadhis Court Act.

Sources identified by the Judicature Act

1. The Constitution
2. Legislation (Act of Parliament) (Statutes)
3. Delegated legislation
4. Statutes of General Application
5. Common law
6. Equity
7. Case law or (judge–made law)
8. Africa Customary law

Sources identified by the Constitution and the Kadhis Court Act

Islamic law

Sources identified by the Hindu Marriage and Divorce Act1 and The Succession Act2

Hindu law

Sources of law of Kenya may be classified as:

1) Written and unwritten sources
2) Principal and subsidiary sources

THE CONSTITUTION

A Constitution is a public document, which regulates the relations between the state and its citizens as well as the relations between the organs of the state.

This is a body of the basis rules and principles by which a society has resolved to govern itself or regulate its affairs. It contains the agreed contents at the political system. A Constitution sets out the basic structure of government.

The Constitution of Kenya is a source of law from which all other laws derive their validity. Any law which conflicts or is inconsistent with the Constitution is void.
Article 2 (4) of the Constitution provides " any other law is inconsistent with the

Constitution, the Constitution shall prevail and the other law shall be to the extent of the inconsistency, he void".

Any law which is inconsistent can be passed if only the Constitution is first amended by the voles of not less than 65% of all the members of the National Assembly and supported by Presidential assent.

ISSUES ADDRESSED IN THE CONSTITUTION OF KENYA.

The Constitution of Kenya 2010 covers the following matters:

1. That the people of Kenya are the sovereign i.e. all powers are derived from the people
2. The supremacy of the Constitution.
3. The republic. That Kenya is an independent state with an organized government.
4. Bill of rights. It contains the fundamental rights and freedoms
5. Citizenship, i.e. how one acquires and losses citizenship.
6. Leadership and integrity under chapter six of the Constitution i.e. how morals play a central role in leadership.
7. Representation of the people.
8. Separation of powers i.e. how the three organs of the state operate under different heads. This includes; the Legislature, Executive, and the Judiciary.
9. Devolved governments. There is a central and county government.
10. Matters of public finance.
11. Amendment of the Constitution.

Supremacy of the Constitution

- Supremacy of the Constitution is provided for under Article 2.
- All other sources of law derive their validity from the Constitution and are therefore required to be consistent with all provisions of the constitution
- Any source of law if inconsistent with the Constitution is null and void to the extent of its inconsistency.
- Any act or omission in contravention of the Constitution is invalid.
- The Constitution is the supreme law of the Republic and binds all persons and all State organs at both levels of government.
- No person may claim or exercise State authority except as authorized under the Constitution.
- The validity or legality of the Constitution is not subject to challenge by or before any court or other state organ.
- The Constitution is also supreme since it outlines the governing structure of a country and defines the various organs of the government.

- It gives the functions of the various arms of the government and clearly indicates the separation of powers.
- The Constitution establishes highest office in the land i.e. office of the President and grants the occupant power as head of state and government.
- The Constitution provides the fundamental rules and freedoms of individuals and guarantees their protection.
- It provides procedure of its amendment within itself.

LEGISLATION / ACTS OF PARLIAMENT

Legislation is the process of law making through Parliament or any other body specially constituted for the purpose. Legislation can be direct or indirect. Direct legislation is the law making process by Parliament. Law made by Parliament is known as a statute or an Act of Parliament. Indirect legislation is where an individual makes law through powers derived from the statute or Act, known as an Enabling Act. This Is referred to as delegated legislation e.g. by-laws made by local authority. In Kenya, Parliament is the supreme law making body of the country as stipulated in the Constitution.
The law making process begins by Bills being passed by the National Assembly.

BILLS

A Bill is a draft of a proposed Act of Parliament. When a Bill has been passed by the National Assembly then it is presented to the President for his assent. Once the assent is given, it becomes law and is now called an Act of Parliament or statute.

Types of Bills

Bills may be classified total

a) Public Bills
b) Private Bills
c) Private Member's Bills

Public Bills: Public Bills deal with matters of public policy and their provisions affect the general public. These Bills are introduced by the Minister concerned.

Private Bills: Private Bills are those which are intended to affect or benefit some particular person, association or corporate body.

Private Member's Bill: Private Member's Bills is introduced by a private member of Parliament. Such a member must move a motion seeking leave of the House to introduce the Bill. The member is responsible of drafting his own bill.

The passing of a Bill into law

The Bill passes through the following stages to become law

i. First reading
ii. Second reading
iii. Committee stage
iv. Reporting stage
v. Third reading
vi. President's Assent

Before the first reading, the Bill is published in the Kenya Gazette for information purposes. All bills must be published in the Kenya Gazette to inform the public and parliamentarians of the intended law. As a general rule, a Bill must be published at least 14 days before introduction to the National Assembly. However, the National Assembly Is empowered to reduce the number of days.

First reading: Under this stage, the clerk reads out only the title of the bill. No debate or vote takes place here. After the first reading the date for the second reading is fixed. If the Bill is approved at this stage, then it is printed and circulated among the members of Parliament to enable them prepare for a debate of this Bill. This Is the Introductory stage of law making.

Second reading: This is the most important stage of the bill. At this stage the Minister or the member in charge of the Bill explains the main feature of the Bill. A debate takes place and the members of the house are allowed to participate in the debate.

Committee stage: It the bill is passed at the second reading, then it moves to the committee stage. Here the details of the various aspects contained in the bill are analysed and scrutinized by the committee of the whole house or a select committee which consists of some selected members of the house.

Report Stage: After scrutiny and analysis at committee stage, the report of the same is submitted to the house. If any amendments are made at the committee stage, the same are debated again, then the bill moves to the third reading if approved

Third reading: Here there are no much debates. A final vote is given after minimal debate, and if approved, the bill is said to have been passed

President's Assent: A bill passed by the National Assembly does not become law until the President gives his assent. The President may refuse to give his assent if in his opinion the bill does not serve the best interest of the people. A bill becomes a law as scan as it gets the President’s assent.

PRESIDENT'S REFUSAL TO ASSENT TO THE BILL.

1. Within fourteen days after receipt of a Bill, the President shall ***assent*** to the Bill; or ***refer the Bill back to Parliament*** for reconsideration by Parliament, noting any reservations that the President has concerning the Bill.

2. If the President refers a Bill back for reconsideration, Parliament may, following the appropriate procedures under this Part -***amend the Bill in light of the President's reservations*** or ***pass the Bill a second time without amendment***.

3. If Parliament amendeds the Bill fully accommodating the President's reservations, the appropriate Speaker shall re-submit it to the President for assent.

4. Parliament, after considering the President's reservations, may pass the Bill a second time, without amendment, or with amendments that do not fully accommodate the President's reservations, by a vote supported-- by ***two-thirds of members of the National Assembly***;
   and ***two-thirds of the delegations in the Senate***, if it is a Bill that requires the approval of the Senate.

5. If Parliament has passed a Bill under clause (4)-- the appropriate Speaker shall ***within seven days re-submit*** it to the President; and the President shall ***within seven days assent to the Bill***.

6. If the President does not assent to a Bill or refer it back within the period prescribed in clause (1), or assent to it under (5)(b), the Bill shall be taken to have been assented to on the expiry of that per

Statute law legislation is a principal source of law applicable throughout Kenya. It must be consistent with the Constitution. It is the most important source of law.

Advantages of Statutes Law

1. **Democratic:** Parliamentary law making is the most democratic legislative process. This is because parliaments the world over consist of representatives of the people they consult regularly. Statute Law, therefore, is a manifestation of the will of the people.
2. **Resolution of legal problems:** Statute Law enables society to resolve legal problems as and when they arise by enacting new statutes or effecting amendments to existing Law.
3. **Dynamic:** Statute Law enables society to keep pace with changes in other fields e.g. political, social or economic. Parliament enacts statutes to create the necessary policies and the regulatory framework.
4. **Durability:** Statute Law consists of general principles applicable at different times in different circumstances. It has capacity to accommodate changes without requiring amendments.

5. **Consistency/Uniformity:** Statute Law applies indiscriminately i.e. it regulates the conduct of all in the same manner and any exceptions affect all.
6. **Adequate publication:** Compared to other sources of Law, statute Law is the most widely published in that it must be published in the Kenya Gazette as a bill and as a Law. Additionally, it attracts media attention.
7. It is a superior source of law in that only the Constitution prevails over it.

Disadvantages of Statute Law

1. **Imposition of Law:** Statute Law may be imposed on the people by the dominant classes in society. In such a case, the Law does not reflect the wishes of the citizens nor does it cater for their interests.
2. **Wishes of M.Ps:** Statute Law may at times manifest the wishes and aspirations of M.Ps as opposed to those of the citizenry.
3. **Formalities:** Parliamentary Law making is tied to the Constitution and the National Assembly standing orders. The Law making process is slow and therefore unresponsive to urgent needs.
4. **Bulk and technical Bills:** Since parliament is not made up of experts in all fields, bulky and technical Bills rarely receive sufficient treatment in the national assembly, their full implications are not appreciated at the debating stage.

Functions of parliament

1. Controls government spending
2. Critical function
3. Legislative functions

How to make the law making process effective

1. M.Ps should consult constituents on a regular basis.
2. Subdivision of large constituencies.
3. Establishment of offices in constituencies for M.Ps
4. Enhance civic education
5. All Bills ought to be supported by not less than 65% of all MPs so as to become Law.
6. Bills should be widely published e.g. the Kenya Gazette should be made available to larger segments of the society. Bills must be published in newspapers

STATUTES OF GENERAL APPLICATION

Kenyan Law does not define the phrase “Statutes of General Application”. However, the phrase is used to describe certain Statutes enacted by the UK parliament to regulate the inhabitants of UK generally.

These Statutes are recognized as a source of Law of Kenya by Section 3 (1) (c) of the Judicature Act. However, there application is restricted in that they can only be relied upon:

1. In the absence of an Act of parliament of Kenya.

2. If consistent with the provisions of the Constitution.
3. If the Statute was applicable in England on or before the 12/8/1897
4. If the circumstances of Kenya and its inhabitants permit.

Examples include:

a. Infants Relief Act, 1874
b. Married Women Property Act 1882
c. Factors Act, 1889

Statutes of general application that have been repealed in the UK are still applicable in Kenya unless repealed by the Kenyan parliament.

DELEGATED LEGISLATION

Delegated legislation is also referred to as subsidiary (subordinate legislation). It is Law made by parliament indirectly.

Delegated legislation consists of rules, orders, regulations, notices, proclamations e.t.c. made by subordinate but competent bodies e.g.

1. Local Authorities
2. Professional bodies such as ICPA(K)
3. Statutory boards
4. Government ministers

These bodies make the laws in exercise of delegated legislative power conferred upon them by parliament through an Enabling or Parent Act.

Delegated legislation takes various forms e.g.

1. Local Authorities make by-laws applicable within their administrative area
2. Government ministries, professional bodies and others make rules, orders, regulations, notices e.t.c.

Characteristics of delegated legislation

1. All delegated legislation is made under the express authority of an Act of Parliament.
2. Unless otherwise provided, delegated legislation must be published in the Kenya Gazette before coming into force.
3. Unless otherwise provided, delegated legislation must be laid before parliament for approval and parliament is empowered to declare the delegated legislation null and void by a resolution to that effect whereupon it becomes inoperative to that effect

Why delegated legislation?

Delegated legislation is described as a "necessary evil" or a Constitutional impropriety". This is because it interferes with the doctrine of separation of powers which provides that the Lawmaking is a function of the legislature.

Parliament delegates Law-making powers to other persons and bodies for various reasons:

1. Parliament is not always in session
2. Parliament is not composed of experts in all fields
3. Inadequate parliamentary time
4. Parliamentary Law-making is slow and unresponsive to urgent needs. Additionally it lacks the requisite flexibility
5. Increase in social legislation

Advantages of delegated legislation

1. **Compensation of last parliamentary time**: Since members of parliament are not always in the National Assembly making Laws, the Law-making time lost is made good by the delegates to whom legislative power has been given hence no Lawmaking time is lost.
2. **Speed:** Law-making by government Ministers, Professional bodies and other organs is faster and therefore responsible to urgent needs.
3. **Flexibility:** The procedure of Law-making by delegates e.g. Government Ministers isnot tied to rigid provisions of the Constitution or other law. The Minister enjoys the requisite flexibility in the Law-making process. He is free to consult other persons.
4. **Technicality of subject matter:** Since parliament is not composed of experts in all fields that demand legislation, it is desirable if not inevitable to delegate Law-making powers to experts in the respective fields e.g. Government Ministries and local authorities.

Disadvantages of delegated legislation

1. **Less Democratic:** Compared to statute law, delegated legislation is less democratic in that it is not always made by representatives of the people affected by the law. E.g. rules drafted by technical staff in a government ministry.
2. **Difficult to control**: In the words of Professor William Wade in his book "Administrative Law" the greatest challenges posited by delegated legislation is not that it exists but that it's enormous growth has made it impossible for parliament to watch over it. Neither parliament nor courts of law can effectively control delegated legislation by reason of their inherent and operational weakness.

3. **Inadequate publicity:** Compared to statute law, delegated legislation attracts minimal publicity if any. This law is to a large extent unknown.
4. **Sub-delegation and abuse of power:** Delegates upon whom law making has been delegated by parliament often sub-delegate to other persons who make the law. Sub-delegation compounds the problem of control and many lead to abuse of power.
5. **Detailed and technical:** It is contended that in certain circumstances, delegated legislation made by experts is too technical and detailed for the ordinary person.

Unwritten sources of law

Unwritten sources of law apply subject to the written sources. Written sources prevail over unwritten sources in the event of any conflicts.
This is primarily because unwritten law is generally made by a supreme law-making body.
These sources include:

1. Common law
2. Equity
3. Case law
4. Islamic law
5. Hindu law
6. African Customary law.

COMMON LAW

It may be described as a branch of the law of England which was developed by the ancient common Law Courts from customs, usages and practice of the English people.

These courts relied on customs to decide cases before them thereby giving such customs the force of law. The court of Kings Bench, Court Exchequer and the court of common pleas are credited for having developed common law.

These courts standardized and universalized customs and applied them in dispute resolution.
At first, common law was a complete system of rules both criminal and civil.
The development of the common law is traceable to the Norman Conquest of the Iberian Peninsula. The Romans are credited for having laid the foundation for the development of the common law.

Characteristics of common law

1. Writ System.
2. Doctrine of stare decisis

1. The writ system

At common law, actions or cases were commenced by a writ. There were separate writs for separate complaints. Writs were obtained at the Royal office.

A Writ stated the nature of the compliant and commanded the police officer of the country in which the defendant resided to ensure that the he appeared in court on the mentioned date. Often, police officers demanded bribes to compel the defendant to appear in court and would not compel an influential defendant.

The writ system did not recognize all possible complains and many would be plaintiffs could not access the courts.

It also lengthened the judicial process.

2. Doctrine of stare decisis

Stare Decisis literally means "decision stands" or "stand by the decision." This is a system of administration of justice whereby previous decisions are applied in subsequent similar cases. At common Law, a judge having once decided a case in a particular manner had to decide all subsequent similar cases similarly.

This made the common Law system rigid. Common Law consists of decisions handed down by courts of law on the basis of customs and usages and may be described as the English Customary Law.

Problems/shortcomings of common law

1. **Writ System:** Cases at common Law were commenced by a writ issued by the Royal office. There were separate writs for different complaints. However:
   a) This system did not recognize all possible complaints and many would be plaintiffs had no access to the courts
   b) The writ system encouraged corruption
   c) It lengthened the course of justice

2. **Rigidity/inflexibility:** The common Law courts applied the doctrine of Stare Decisis.This practice rendered the legal system rigid and hence unresponsive to changes.

3. **Procedural technicalities:** The Common Law procedure of administration of justice was highly technical. Common Law courts paid undue attention to minor points of procedure and many cases were often lost on procedural matters.

4. **Delays:** The administration of justice at common Law was characterized by delays. Defendants often relied on standard defenses to delay the course of justice. These

defenses were referred to as **essoins** and included; Being out by floods, being unwell or being away on a crusade. If sickness was pleaded, the case could be adjourned for 1 year and 1 day.

5. **Non-recognition of trusts:** Common Law did not recognize the trust relationship. This is an equitable relationship whereby a party referred to as a trustee, expressly, impliedly or constructively holds property on behalf of another known as beneficiary. At common Law beneficiaries had no remedies against errant trustees and trustees had no enforceable rights against beneficiaries.

6. **Inadequate remedies:** Common Law courts had only one remedy to offer namely monetary compensation or damages. They could not compel performance or restrain the same.

7. **Inadequate protection of borrowers:** At common Law, a borrower who failed to honour his contractual obligations within the contractual period of repayment would lose not only his security but the total amount paid.

THE DOCTRINES OF EQUITY

Equity is a set of rules formulated and administered by the court of chancery before 1873 to supplement the rules of common law. This court dealt only those cases where common law either provided no remedy or provided a remedy which was not adequate. Equity therefore is a body of principles constituting what is fair and right.

Origins of equity

Citizens dissatisfied with the decision of the judges of common law often made petitions to the kings in council. The petitions were decided by the king himself or by his council. Due to much work, the king later delegated his function to his lord chancellor (advisor to the king) a clergyman to decide the appeals applying the rules of natural justice and morality.

The petitions to the Lord Chancellor were made on the following grounds:-

1. The common law courts provided no remedy for certain wrongs e.g. trusts were not recognized.
2. The remedies provided in certain situations were not satisfactory e.g. in case of breach of contract, the only remedy available was damages, and specific performances injunctions were not recognized.

3. The common law courts sometimes acted under pressure or influence or bribes of the other party.The remedies granted by equity courts become known as equitable remedies.

Principles of Equity

During the early development of equity the early chancellors acted at their own discretion, but eventually they did follow the decisions of early chancellors. But the 8th century, some firm rules of equity were established which guided later chancellor in deciding disputes. These rules are known as equitable maxims – which are propositions or statement of equitable rules.

The Maxims of Equity include:

1. He who seeks equity must do equity
2. He who comes to equity must come with clean hands
3. Equity is equality (Equality is equity)
4. Equity looks to the intent or substance rather than the form
5. Equity regards as done that which ought to be done
6. Equity imputes an intent to fulfil an obligation
7. Equity acts in personam
8. Equity will not assist a volunteer (Equity favours a purchaser for value without notice)
9. Equity will not suffer a wrong to be without a remedy (Where there is a wrong there is a remedy for it) Ibi jus ibi remedium
10. Equity does not act in vain
11. Delay defeats equity
12. Equity aids the vigilant and not the indolent (Vigilantibus non dorminentibus jurasubveniunt)

The distinction between legal and equitable remedies remains relevant to students of business law; however, because these remedies differ to seek the proper remedy for a wrong one must know that remedies are available.

1. He who seeks equity must do equity

This maxim means that a person who is seeking the aid of a court of equity must be prepared to follow the court‟s directions, to abide by whatever conditions that the court gives for the relief. And this is most commonly applied in injunctions. The court will normally impose certain conditions for granting the injunction.

2. He who comes to equity must come with clean hands

This scenario was summed up in the case of Jones v. Lenthal (1669) as “He who has committed inequity shall not have equity”. There is a limit to this rule.

In some cases the court has the discretion whether to apply this maxim. Limit to the extent that maxim can be applied The limit is this: It is not all unclean hands that will deny a plaintiff his remedy. The conduct must be relevant to the relief being sought.
In Loughran v. Loughran (1934), Justice Brandeis said equity does not demand that its suitors shall have lead blameless lives. We are not concerned with issues of morality. If the breach is a trifle, a small matter, a minor breach, then that in itself should not deny the plaintiff the remedy.
The first maxim deals with now/future, the second deals with conduct in the past.

3. Equity is equality (equality is equity)
In general, the maxim will be applied whenever property is to be distributed between rival claimants and there is no other basis for division.
For example, husband and wife who operate a joint bank account; each spouse may deposit or take out money. Upon divorce, the maxim applies. They share 50-50. The authority is that equity does not want to concern itself with the activities of a husband and wife - to go into the bedroom and make deep inquiries, hence equal division.
Another example relates to trusts. How do you divide the property? Say there are three beneficiaries. Then one of the beneficiaries passes away, i.e. one of the shares fails to vest. What should accrue to the surviving beneficiaries? Redistribute equally, applying the rule "Equity is equality".

4. Equity looks to the substance or intent rather than the form
This maxim makes a distinction between matters of substance and matters of form. Equity will give priority to substance (intention) as opposed to form, if there is a contradiction. This maxim is normally applied to trusts. There have been cases where the court has inferred a trust even where the word trust does not appear.

Another illustration is the remedy of rectification of contract, where equity looks to the intention, where intention matters.

This maxim lies at the root of the equitable doctrines governing mortgages, penalties and forfeitures. Equity regards the spirit and not the letter.

Courts of Equity make a distinction in all cases between that which is a matter of substance and that which is a matter of form; and if it finds that by insisting on the form, the substance will be defeated, it holds it to be inequitable to allow a person to insist on such form, and thereby defeat substance.
Thus if a party to a contract for the sale of land fails to complete on the day fixed for completion, at law he is in breach of his contract and will be liable for damages e.g. for delay.

Yet in equity it will usually suffice if he is ready to complete within a reasonable period thereafter, and thus the other party will not be able to avoid performance.

5. Equity regards as done that which ought to be done
This maxim has its most frequent application in the case of contracts. Equity treats a contract to do a thing as if the thing were already done, though only in favour of persons entitled to enforce the contract specifically and not in favour of volunteers.

Agreements for value are thus often treated as if they had been performed at the time when they ought to have been performed. For example a person who enters into possession of land under a specifically enforceable agreement for a lease is regarded in any court which has jurisdiction to enforce the agreement as if the lease had actually been granted to him.

In Walsh v. Lonsdale, the agreement for lease was as good as the agreement itself where a seven-year lease had been granted though no grant had been executed. An equitable lease is as good as a legal lease. Equity looked on the lease as legal the time it was informally created.

In Souza Figuerido v. Moorings Hotel it was held that an unregistered lease cannot create any interest, right or confer any estate which is valid against third parties. However, it operates as a contract inter-parties; it is valid between the parties and can be specifically enforced. The tenant in this case was therefore liable to pay rent in arrears.

6. Equity imputes an intent to fulfill an obligation
If a person is under an obligation to perform a particular act and he does some other act which is capable of being regarded as a fulfilment of this obligation, that other act will prima facie7 be regarded as fulfilment of the obligation.

7. **Equity acts in *personam***
This is a maxim which is descriptive of procedure in equity. It is the foundation of all equitable jurisdictions.

Courts of law enforced their judgments in Rem (against property of the person involved in the dispute), e.g. by writs but the originally equitable decrees were enforced by Chancery acting against the person of the defendant (i.e. by imprisonment) and not in Rem Later, equity invented the alternative method of sequestrating the defendant‟s property until he obeyed the decree.

These methods can still be used where necessary, but other and more convenient methods are often available today.

Although the maxim has lost much of its importance, it is responsible for the general rule that an English court has jurisdiction in equitable matters, even though the property in dispute may be situated abroad, if the defendant is present in this country. This was so held in *Penn v. Baltimore* where the Defendant was ordered to perform a contract relating to land in America.

However there must be some equitable right arising out of contract, trust or fraud.

8. Equity will not assist a volunteer
Equity favours a purchaser for value without notice. A volunteer is a person who has not paid consideration.

The exception to the application of this maxim is in Trust. In Jones v. Lock (1865) it was stated that the court is prevented from assisting a volunteer regardless of how undesirable the outcome might appear. Equity will therefore not grant specific performance for a gratuitous promise.

9. Equity will not suffer a wrong to be without a remedy
"Ibis jus ibi remedium": This means that if there is a wrong, there is a remedy for it. He who seeks solace in the arms of equity will not go away broken hearted.

No wrong should be allowed to go unredressed if it is capable of being redressed by equity.

However, not all moral wrongs can be redressed by equity.

The maxim must be taken as referring to rights which are suitable for judicial enforcement, but were not enforced at common law owing to some technical defect.

10. Equity does not act in vain
The court of equity is shy and does not want to be embarrassed by granting remedies that cannot be enforced or issuing orders that cannot be obeyed by the Plaintiff.

11. Delay defeats equity or equity aids the vigilant and not the indolent: (*vigilantabus, non dormientibus, jura subveniunt*)
A court of equity has always refused its aid to stale demands i.e. where a party has slept on his right and acquiesced for a great length of time.
Nothing can call forth this court into activity, but conscience, good faith, and reasonable diligence. Where these are wanting, the Court is passive and does nothing.

Delay which is sufficient to prevent a party from obtaining an equitable remedy is technically called "laches".

This maxim, however, has no application to cases to which the Statutes of Limitation8 apply either expressly or, perhaps, by analogy. There are thus three cases to consider-

a) Equitable claims to which the statute applies expressly;
b) Equitable claims to which the statute is applied by analogy; and

c) Equitable claims to which no statute applies and which are, therefore, covered by the ordinary rules of laches.

12. Equity follows the law

The Court of Chancery never claimed to override the courts of common law. "Where a rule, either of the common or the statute law, is direct, and governs the case with all its circumstances, or the particular point, a court of equity is as much bound by it as a court of law and can as little justify a departure from it.

It is only when there is some important circumstance disregarded by the common law rules that equity interferes. "Equity follows the law, but neither slavishly nor always." If Common law and Equity conflict Equity prevails.

Both Common law and Equity are recognized as sources of law of Kenya

(c) Of the Judicature Act.

However, only the substance of common Law and the doctrines of equity are recognized. Their application by Kenyan Courts is further qualified. A court of law can only rely on Common law or equity as a source of Law:

1. In the absence of an Act of parliament.
2. If it is consistent with written law including the Constitution.
3. If it was applicable in England on 12/08/1897.
4. If the circumstances of Kenya and its inhabitants permits.
5. Subject to such qualifications as those circumstances may render necessary.

AFRICAN CUSTOMARY LAW

African customary law may be described as the law based on the customs of the ethnic groups which constitute Kenya's indigenous or Africa population.

Section 3(2) of the judicature act provides as follows:

"The high court and all subordinate court shall be guided by African customary in civil cases in which one or more of the parties is subject to it, or affected by it, so far is applicable and is not repugnant to justice and morality or inconsistent with any written law, and shall decide all such cases according to substantial justice without undue regard to technicalities of procedure and without any delay."

For a custom to be relied upon as law, it must have certain characteristics:

1. **Reasonableness;** A good local custom must be reasonable i.e it must be consistent with the principle of justice. Whether or not a custom is reasonable is a question of facts to be determined by the courts.
2. **Conformity with statute law:** A local custom must be consistent with parliament made law. This is because parliament is the principle law-making body and has Constitutional power to disqualify the application of any rule of custom.
3. **Observation as of right:** A good local custom is that which a society has observed openly and as of right i.e. not by force or by stealth nor at will.
4. **Immemorial antiquity:** A custom must have been observed since time immemorial. Time immemorial means that no living person can attest as to when the custom did not exist.

The application of African customary is however limited as follows:

a) The courts are to be guided by African customary law.

This provision gives judge/magistrate discretion whether to allow a particular rule of customary law to operate or not. The judge is not bound to apply any rule of customary law and there refuse to apply it if, for example if is repugnant to justice.

In the case of *Wambui Otieno – Vs – Joash Ougo and Umira Kager Clan* the court of appeal stated that the provision that courts are to be guided by African by African customary law means that courts must have in mind African customary (unless it is repugnant to justice and morality or inconsistent with a written law)

b) The law is applicable only in civil cases

The district magistrate's court act 1967 sec 2 restricts cases to which African customary law may be applied to claims involving any of the following:

I) Land held under customary law
II) Marriage, divorce, maintenance or payment of dowry.
III) Seduction or pregnancy of an unmarried woman or girl
IV) Enticement of or adultery with, a married woman
V) Matters affecting status, particularly the status of women, widows and children, including guardianship, custody, adoption and legitimacy.
VI) Intestate succession and administration of intestate, so far as it is not governedby any written law.

c) One of the parties must be subject to it or affected by it.

If the plaintiff and the defendant belong to the some ethnic group they are said to be "subject" to the customs of the ethnic group which could then be applied to settle the dispute e.g. a dispute between luos cannot be settled under kikuyu customs.

d) The customary law will only be applied if it is not to repugnant to justice and morality.

In the case of Maria *Gisese Angoi – Vs – Marcella Nyomenda* Civil Appeal No. 1 of 1981 at Kisii the high court held that:

> "The kisii customary law which allows a widow has no children or who has only female children to enter into an arrangement with a girl's parents and take the girl to be her wife and then choose a man from amongst her late husband's clan who will be fathering children for her (i.e. the widow) was repugnant to justice because it denied the alleged wife the opportunity of freely choosing her partner."

e) The customary law will be applied only if it is not inconsistent with any written law.

This is because of the constitution of parliamentary supremacy and the fact that written laws are made by parliament either directly or indirectly. If any unwritten law e.g. African customary is in conflict with a clause in a written law, the unwritten law will cease the force of law from the moment the written law comes into effect.

ISLAMIC LAW

This is the law based on the holy Koran and the teaching of the prophet Mohammed. This law is applicable in Kenya under article 170, clause 5 of the constitution and then section 5 of the Kadhi's court act 1967 when it is necessary to determine question of Muslims law relating to Personal status, Divorce Marriage and Inheritance And the parties in the case profess the Muslim religion and submit to the jurisdiction of the kadhi's courts.

HINDU CUSTOMS

It is applicable under section 5 of Hindu marriage and divorce act, 1960. Section 2 of the act defines a custom as a rule which, having been continuously observed for a long time, has attained the force of law among a community group or family being a rule that is certain and not unreasonable, or opposed public policy, and in the case of a rule applicable only to a family, has not been discontinued by the family.

CASE LAW AND JUDICIAL PRECEDENT

In deciding cases or disputes, judges of lower courts follow the decision of higher court if a case involving similar facts and points of law comes before them.

The principle of *stare decisis* (Latin meaning to stand on decided cases) or judicial precedent is a legal rule that inquires a judge hearing a case to refer to earlier cases decided by his predecessors in order to find out if the material facts of any of those cases before him

and, in the event of such finding, to decide the case before him in the same way as the earlier case had been decided.

Thus principle was developed by the English courts as a mechanism for the administration of justice which will enable judges to make decisions in an objective or standard manner instead of subjectively and in a personalized manner. The material facts of a case and the decision made by the judge on the basis of those facts are known as ratio decidendi of the case.

The ratio decidendi of a decided case constitutes the legal rule or principle for the future case with similar material facts i.e. the decision is precedent to be followed when deciding such cases (We shall come to this aspect at a later stage – the Administration of the Law)

Precedents may be classified in various ways:

1. Binding and persuasive precedents
2. Original and declaratory precedents
3. Distinguishing precedents

Original precedents

This is a principle or proposition of law as formulated by the court. It is the law-creating precedent.

Declaratory Precedent

This is the application of an existing principle of law in a subsequent similar case.

Binding precedent

This is an earlier decision which binds the court before which it is relied upon. E.g. a precedent of the Court of Appeal used in the High Court.

Persuasive Precedent

This is an earlier decision relied upon in a subsequent case to persuade court to decide the case in the same manner e.g. a High Court decision used in a Court of Appeal, or a decision handed down by a court in another country.

Distinguishing precedent

This is a subsequent decision of a court which effectively distinguishes the earlier precedents.
It is a precedent in its own right.

However, in certain circumstances, a court may refrain from a binding precedent. In such circumstances, the earlier decision is ignored. This is done in the following circumstances:

1. **Distinguishing;** This is the art of showing that the earlier decision and the subsequent case relate to different material facts. This enables a judge to ignore the precedent.
2. **Change in circumstances**: A judge may refrain from an earlier decision of a brother judge if circumstances have changed so much so that its application would be ineffectual i.e. the decision no longer reflects the prevailing circumstances.
3. **Per incurium:** It literally means ignorance or forgetfulness. An earlier decision maybe departed from it if the judge demonstrates that it was arrived at in ignorance or forgetfulness of law, i.e the court did not consider all the law as it existed at the time.
4. **Over-rule by statures:** If a precedent has been over-ruled by an Act of Parliament. It ceases to have any legal effect as statute law prevails over case law.
5. The **earlier decision is inconsistent** with a fundamental principle of law
6. If the ratio decidendi of the previous decision is **too wide or obscure**.
7. If the ratio decidendi relied upon is one of the **many conflicting decisions** of a court of co-ordinate jurisdiction.
8. **Improper Conviction:** In Kagwe v R. (1950) it was held that a court could refrain from a binding precedent if its application was likely to perpetuate an incorrect, erroneous or improper conviction in a criminal case.

Advantages of case law (importance of stare decisis)

1. **Certainty and predictability;** Stare Decisis promotes certainty in law and renders a legal system predictable. In Dodhia's Case 1970, the Court of Appeal was emphatic that „a system of law requires a considerable degree of certainty.“
2. **Uniformity and consistency**: Case law enhances uniformity in the administration of justice as like cases are decided alike.
3. **Rich in detail:** stare decisisis rich in detail in that many decisions which are precedent shave been made by courts of law.
4. **Practical:** Principles or propositions of law are formulated by superior courts on the basis of prevailing circumstances hence the law manifests such circumstances.
5. **Convenience**: Case law is convenient in application in that judges in subsequent cases are not obliged to formulate the law but to apply the established principles.
6. **Flexibility:** It is contended that when judges in subsequent cases attempt to distinguish earlier decisions as to justify departing from them, this in itself renders the legal system flexible.

Disadvantages of case law

1. **Rigidity:** Strict application of stare decisis renders a legal system inflexible or rigid and this generally interferes with the development of law.
2. **Bulk and complexity:** Since stare decisisis based on judicial decisions and many decisions have been made, it tends to be bulky and there is no index as to which of these decisions are precedent. Extraction of the ratio decidendi is a complex task.
3. **Piece-meal**: Law-making by courts of law is neither systematic nor comprehensive in nature. It is incidental. Principles or propositions of law are made in bits and pieces.
4. **Artificiality in law (over-subtlety):** when judges in subsequent cases attempt to distinguish indistinguishable cases, they develop technical distractions or distinctions without a difference. This makes law artificial and renders the legal system uncertain.
5. **Backwardlooking:** Judges or courts are persuaded / urged to decide all cases before them in a manner similar to past decisions. It is contended that this practice interferes with the ability of a judge to determine cases uninfluenced by previous decisions.

GENERAL RULES OF INTERNATIONAL LAW AND RATIFIED TREATIES

Though not listed in the Judicature Act, international law is a source of Kenyan law. The government is party to a number of international legal instruments and Kenyans can use these as an additional tool for the advancement of their rights. However, it only becomes enforceable in Kenya after they have been incorporated into our domestic legal system by implementing legislation.

ADMINISTRATIVE LAW

MEANING OF ADMINISTRATIVE LAW

Administrative Law can be defined as the law relating to public administration. It is the law relating to the performance, management and execution of public affairs and duties. Administrative law is concerned with the way in which the Government carries out its functions.

Administration is the act or process of administering, which simply means it is the act of meting out, dispensing, managing, supervising and executing government functions

It is the law relating to control of governmental power. It can also be said to be the body of general principles, which govern the exercise of powers and duties by public authorities.

The primary purpose of administrative law, therefore, is to keep the powers of government within their legal bounds, so as to protect the citizen against their abuse.
Administrative law is also concerned with the administration and dispensation of delivery of public services. However it does not include policy making.

Administrative law is concerned with how the government carries out its tasks.
The government tasks include delivery of public services such as health, security, facilitating trade, arbitration of disputes, and collection of revenue.

Administrative law is the law relating to the executive branch of government. The law deals with a variety of things e.g.

i. The establishment of public authorities e.g. the city council, establishment of public bodies and organs.
ii. The nature of the tasks given to various public organs and public agencies.
iii. The legal relationship between the public bodies themselves and also between the public agencies and the public and between public agencies and the citizens.

Administrative Law is concerned with the means by which the powers and duties of the various public agencies, public bodies and public institutes can be controlled.

FUNCTIONS OF ADMINISTRATIVE LAW

Administrative functions can be divided into a number of broad categories namely

1. **Ministerial functions;** Examples of Ministerial Functions are those functions carried out or performed by Government Ministers in their implementation of governmental policies and programs. Examples include appointment of public officials by Ministers and the grant of ministerial approvals and consents.

2. **Administrative functions:** these are the functions carried out by public officials and public bodies in their management of various governmental bodies in their provision of services for example educational services and in their administration of various social services as in the case of social security services.

3. **Legislative functions:** These include the function of making or creating subsidiary legislation. The responsibility of legislative functions is on the respective Ministers". The duty of making by-laws is also the respective ministers.

4. **Judicial functions:** These primarily involve the functions of determining claims or disputes between individuals and other bodies. A good example of administrative body that performs judicial functions is the Industrial Court which functions as a court of law.

5. **Quasi Judicial functions:** These involve the exercise of powers which are fundamentally judicial but without the usual trappings of a court of law for example without strict requirement of rules of evidence or the observance of rules of evidence, without strict requirements of examination of witnesses and without other legal Technicalities. A good example being the Liquor Licensing Court, the Land Control Boards and the Motor Vehicle Licensing Authorities.

Functions/purposes of administrative law

1. It ensures proper dispensation of services.
2. It seeks to protect citizens from abuse of power.
3. To keep the powers of government i.e powers of various public bodies within their legal bounds, so as to protect citizens from their abuse. Abuse of power can arise either from malice, bad faith or even from the complexities of the law.
4. There are duties placed in public bodies (public institutions) such that another function of the law is to see that the duties are performed and that the public agencies can be compelled to perform their duties where there is laxity or where they refuse or otherwise fail to do so.

DOCTRINE OF SEPARATION OF POWERS

Doctrine of separation of powers is a legal framework developed by a French jurist named Montesquieu whose concern to contain the over-concentration of governmental powers in the hands of one person or a body.

This doctrine is a characteristic of Constitutionalism which is the theory of limited government.

According to Montesquieu the only way to create a system of checks and balances was to ensure that governmental powers were devolved.

He developed the so-called classical doctrine of separation of powers. He suggested that:

1. There should be different organs of government i.e. executive, legislature and judiciary.
2. These organs must exercise different functions. The legislature makes the law, the judiciary interprets it and the executive administers.
3. No person should be a member of more than one organ.

According to Montesquieu, such an arrangement would ensure that no single organ exercises unchecked power, however, this framework cannot operate in any country in its pure state, as government does not operate in water-tight compartments.

Montesquieu is credited for having suggested that these ought to be an independent judiciary.
Montesquieu's framework is generally effected in many Constitutions of the world.

Independence of the judiciary
The principle of independence of the judiciary is an integral part of the doctrine of separation of powers. It means that:

i. There should be a distinct organ of government whose function is to administer justice
ii. The organ must operate impartially and in an unbiased manner. It must be disinterested as possible in the proceedings.
iii. The organ must administer justice on the basis of facts and law without fear or favour and without eternal influence.

Independence of the judiciary may be actualized in various ways:

i. By providing security of tenure for judicial officers.
ii. Economic independence i.e adequate financial provisions to judicial officers.
iii. Immunity from court action for actions taking place in the course of judicial proceedings.
iv. Appointment of persons of unquestionable professional and moral integrity

Independence of the judiciary is critical in that:
i. It promotes the liberty of human beings by checking on the excesses of the state.
ii. It promotes the rule of law.

NATURAL JUSTICE

Definitions:

Natural: Natural is being in accordance with or determined by nature i.e. based on the inherent sense of right and wrong.
Just: Means morally upright, correct, proper, good, merited deserved etc.
Natural Justice is the administration, maintenance, provision or observance of what is just, right, proper, correct, morally upright, merited or deserved by virtue of the inherent nature of a person or based on the inherent sense of right and wrong.

The principles of natural justice are rules governing procedure and conduct of administrative bodies. They were developed by the courts in England and imported into Kenya as part of common law principles.

Principles of natural justice are implied i.e. they are not expressed in a statute; they are supposed to apply in every case unless a statute expressly states that they will not apply.

Principles of natural justice are applicable in the absence of statutory provisions authorizing their applicability or their observance. Unless the application of principles of natural justice is expressly or impliedly excluded by statutory provisions these principles are always to be implied. It is to be implied that parliament has authorised the applicability and observance of the principles of natural justice in every case.

To which bodies do the principles of natural justice apply?

In Kenya these principles apply so long as a public body has power to determine a question affecting a person's rights. The principles also apply to bodies in every case involving a question affecting a person's interest.

Wherever there is a right there is an interest but not vice versa. Interest may include other things. Interest may be pecuniary interest or something else and does not necessarily have to be a right.

In *Mirugi Kariuki v. The Attorney General*,the court of appeal held that the mere fact that the exercise of discretion by a decision making body affects the legal rights or interests of a person makes the principles of natural justice applicable.
These principles apply to administrative bodies that are judicial, quasi-judicial legislative or administrative.

THE PRINCIPLES/RULES OF NATURAL JUSTICE

Broadly the principles are two

1. ***Nemo Judex in causa sua*** – which means that procedures must be free from bias.
2. ***Audi Alteram Partem*** – which means that no person should be condemned unheard i.e. a person should not be denied an opportunity to be heard.

These two principles have been broken down into a number of principles or rules which are as follows:

1. Rule against bias
2. The right to be heard
3. Prior notice
4. Opportunity to be heard
5. Disclosure of information
6. Adjournment
7. Cross examination
8. Giving reasons
9. Legal representation

1. RULE AGAINST BIAS

In summary there can be bias when:

1. There is some direct interest in the matter to be adjudicated; e.g. pecuniary interest;
2. Where short of a direct interest there is a reasonable appearance or likelihood of bias;
3. Where there is actual bias.

In *R v. Hendon Rural District Council ex-parte Chorley*, the court quashed the decision of a Rural District Council allowing some residential property in Hendon to be converted into a garage and restaurant because one of the councillors who was present at the meeting which approved the application to convert the premises was an Estate Agent who was at the same time acting for the owners of the properties. The Court issued Certiorari to quash the decision of the council on the ground that the agent‟s interest in the business disqualified him from taking part in the council‟s consideration of the matter.

Concerning likelihood of bias, the case is *Metropolitan Properties Ltd v. Lannon* applies. The court quashed the decision of a rent assessment committee reducing rent of a certain flat because the chairman of the rent assessment committee lived with his father in those flats. In this case, the court said;
"… in considering whether there was a real likelihood of bias, the court does not look at the mind of the Chairman of the tribunal who sits in a judicial or quasi judicial capacity.

The Court looks at the impression which would be given to other people. Even if he was as impartial as he could be nevertheless, if right minded people would think that in the circumstances there was a real likelihood of bias on his part then he should not sit. And if he does sit, his decision cannot stand. Surmises or conjecture is not enough there must be circumstances from which a reasonable man would think it likely or probable that it would or did favour one side unfairly at the expense of the other".

2. RIGHT TO BE HEARD

This is simply that a concerned person must be given a right to be heard. If an administrative body fails to give a concerned person the right to be heard, whatever decision it makes will be invalidated upon review. The case that illustrates the point is the case of *David Onyango Oloo v.The Attorney General*, where the Commissioner of Prisons purported to deprive Onyango Oloohis sentence remission to which he was entitled under the Prisons Act without giving him an opportunity to be heard. Quashing the decision, Justice Nyarangi stated;

"… there is a presumption in the interpretation of statutes that the rules of natural justice will apply. In this case the rule in question was the one concerning the right to be heard."

3. PRIOR NOTICE

This rule requires that adequate prior notice be given to a person of any charge or allegation. It simply means that if an administrative body makes a charge it has to give a person against whom allegations have been made adequate notice before a decision is made. Prior notice must be served on the relevant party. The notice must contain sufficient detail to enable the person concerned to know the substance of any charge, allegation or action to be taken against him.

Again the case of *David Onyango Oloo* applies here. In that case the court also stated

"The commissioner of prisons at the very least ought to have done the following acts:

i. Inform the Appellant in writing in a language the Appellant understands the disciplinary offence he is alleged to have committed and the particulars of the offence;
ii. Afford the Appellant an opportunity to be heard in person and to fix reasonable time within which the appellant must submit his written answer."

4. OPPORTUNITY TO BE HEARD

There is no settled rule as to whether hearing should be oral or written but in all cases one must be afforded a chance to present his case whether oral or written.

5. DISCLOSURE OF INFORMATION

A concerned party must be given all information which the decision maker will rely on to make his judgment. This rule requires that all allegations and reports bearing on a person‟s case must be disclosed to that person. Failure to do so is fatal to a decision.

In *Ridge v. Baldwin* the House of Lords held that the Chief Constable of Brighton who held an office, from which by statutory regulations he could only be removed on grounds of neglect of duty or inability, could not validly be dismissed in the absence of the notification of the charge and an opportunity to be heard in his defence.

This is one of the key cases in Judicial Review and disclosure of information.

6. ADJOURNMENT

Natural Justice requires that a party be granted adjournment of a hearing of a case if the exigencies require (it does not matter how guilty a person is, if exigencies arise, they must be accorded an adjournment by the administrative body and if they are denied an adjournment and a decision is given, the court will quash such a decision)

Please note that wrongful refusal to adjourn amounts to a denial of a fair hearing and will result in the quashing of a decision. This was stated in the case of *Priddle v. Fisher & Sons*. A heating engineer was denied an adjournment in a case he was supposed to be represented by a trade union representative. The decision of the court arising out of the proceedings in the absence of the applicant was held to be unfair.

7. CROSS EXAMINATION

An opportunity to cross-examine can only be availed if there is an oral hearing i.e. the rule applies to cases where there is an oral hearing. Whenever there is an oral hearing and a party requests to cross-examine, the affected party must be granted an opportunity to crossexamine.
If an affected party requests to cross-examine but an opportunity is denied, the decision made can be voided on grounds of breach of principles of natural justice.
Please note that if a party does not ask for a chance to cross-examine, he is precluded from complaining.

8. GIVING REASONS

Progressively, courts are insisting on giving reasons for a decision as a component for natural justice. (If an administrative body denies you let's say a licence, they must give you the reasons why failure to which you can petition the High Court for a review). In the case of *Padfield v. The Minister for Agriculture Fisheries and Food (1968),*Lord Reid stated;

"I cannot agree that a decision cannot be questioned if no reasons are given".

It means that if no reasons are given a decision can be questioned.

9. LEGAL REPRESENTATION

This does not apply in every case but in suitable cases and suitable circumstances, the right to representation by a lawyer or some other person may be part of natural justice. For example in the Liquor Licensing Act, it allows for a person applying for a licence to be represented by an authorised agent in which case he becomes the legal representative before the court.

Where legal representation is necessary, authorised and is requested by a party the right to legal representation must be granted. If denied, a decision may be quashed on grounds of failure to observe the principles of natural justice.

Effect of breach of principles of natural justice

The effect of failure to comply with the rules of natural justice is that any decision or other administrative action taken is null and void and can be invalidated by the courts. Breach of principles of natural justice has been a good ground of judicial review.

Please note that breach of any one of the rules that we have discussed will give rise to judicial review.

Judicial review remedies

There are only three remedies that the courts can grant for judicial review

- Certiorari
- Prohibition
- Mandamus

Whether the courts will grant one of these rules depends on the circumstances.

1. CERTIORARI

The word Certiorari is a Latin word which simply means „to be informed". Historically it was a royal command or demand for information. The practice was that the sovereign who was the king or the queen upon receiving a petition from a subject complaining of some injustice done to him would state that he wishes to be certified of the matter and then he would order the matter to be brought up to him.

Ordering the matter to be brought up to him will include ordering that the records of the proceedings be brought up to the sovereign. The purpose of calling up the records was in order for the sovereign to quash any decision that has been made after acquainting himself of the matter in other words after being certified of the matter.

Currently, certiorari is an order to remove proceedings from an administrative body or an inferior court to the High Court in order to be investigated and if found wanting on any one of the grounds we studied including ultra vires, be quashed.

The order can issue against:

1. Administrative tribunals.
2. Inferior courts such as the industrial courts.
3. Local authorities.
4. Ministers of Government.
5. Miscellaneous public bodies exercising public functions.

In *Majid Cockar v. Director of Pensions*, a case between the former Chief Justice Cockar and the Director of Pensions, in computing the pension payable to the CJ the Pensions Department made a mistake in their calculations. The former Chief Justice went to court and upon application for Judicial Review. The court issued the order of Certiorari to quash the decision awarding the former CJ the amount of money as pension.

For Certiorari to be issued, indeed for any one of the 3 orders to be issued, a person must be having Locus Standi which is crucial as you must have the capacity to sue.

A person has capacity to sue by having a sufficient interest in the matter. If you don‟t have sufficient interest in the matter, the court will not grant you any of the orders.

2. PROHIBITION

The order of Prohibition is one issued by the High Court which prohibits a body (administrative bodies) from continuing proceedings. It will also prohibit a body from continuing to carry out decisions wrongly or wrongfully made.

This order may be issued against:

1. A judicial body acting in an administrative capacity i.e. Industrial Court.
2. An administrative body performing administrative duties or against the government officials.
3. It can be issued to stop a public body from continuing proceedings that are ultra vires.
4. It can also be issued to stop an administrative body from continuing to do something in excess of jurisdiction.
5. It can also be used to stop an administration body from abusing their powers.

In *R v. Electricity Commissioners Ex parte Electricity Joint Committee (1924*) Lord Denning stated as follows;

“It is available to prohibit administrative authorities from exceeding their powers or misusing them.”

Lord Atkin in the same case stated that

"If proceedings establish that the body complained of exceeded its jurisdiction, by entertaining matters which would result in its final decision being subject to being brought up and quashed on certiorari, I think that Prohibition will lie to restrain it from exceeding its jurisdiction."

This illustrates the point that prohibition will lie to restrain an administrative body from doing something wrongly or misusing its power, abuse of power etc.

When one applies for the order of Certiorari, one is seeking to quash a decision that has already been made. At the time of application for judicial review, the order you seek the court to quash must be presented to the court by making a photocopy of the order and attaching it to the Application.

With Prohibition, you do not have to attach the copy of the order.

3. MANDAMUS

The order of Mandamus is derived from the Latin word "Mandare" meaning "to command". It is a court order issued to compel the performance of a public duty where a public body or official has unlawfully refused, declined or otherwise failed to undertake the duty.

Mandamus issues where there is a duty imposed by statute or common law.The duty must Be a public duty. Mandamus will not issue in respect of a duty that is of a private nature even if
The body in question is a public body.

For example where two construction companies agree to undertake some work who agree to resolve any dispute between them by arbitration through the industrial court, the industrial court will be performing a private function and thus the order of Mandamus cannot issue.
For Mandamus to issue, the Applicant must have made a request for the performance of a public duty which has been refused, declined or ignored.
This means that if a public administrative body refused to do something, you must approach it and request it to perform the function or the courts will not hear you. Unreasonable delay on the part of the public body will be treated as refusal.

The duty must be a specific duty. You cannot apply for the order of *Mandamus* for a duty that is general, it must be specific.

Mandamus is used to enforce performance of specific duties and not the exercise of merepowers.

In *Daniel Nyongesa & Others v. Egerton University College (1989*), Nyongesa's exam results were held by the university and when he went to court, the court issued an order of *mandamus* for the court to release the results. Nyongesa had requested the University for

his results and they had refused so he applied for an order of mandamus to the court and he was granted.
There was a specific duty for the university to release the results.

JUDICIAL CONTROL OF THE EXECUTIVE

Judicial Review is the process through which an aggrieved person can find redress in a Court of Law. Judicial Review forms part of administrative law because it is the most appropriate way that a party aggrieved by an administrative body can find redress.

Judicial Review refers to the examination of the actions or inactions of public bodies by the High Court.
Judicial Review is an examination of the manner in which a decision was made or an act done or not done. This definition is found in Chief Constable of North Water Police V. Evans

The purposes of Judicial Review from that definition are as follows:

1. To prevent excessive exercise of powers by administrative bodies and officials;
2. To ensure that an individual is given fair treatment by Administrative authorities;
3. To keep Administrative excesses in check and also to provide a remedy to those aggrieved as a result of excessive exercise of power by administrative bodies.

The primary legal basis of Judicial Review is the Law Reform Act.1 From the wording of Section8 of the Law Reform Act, one can only apply for Judicial Review in the High Court and not the Magistrates Courts.

Grounds of judicial review
By looking at the grounds of judicial review, we will be studying the circumstances in which an aggrieved person may petition the High Court for Judicial Review.

Courts of Law will intervene in public administration in one or more of the following circumstances i.e. courts of law will review actions of administrative bodies in one or more of the following circumstances:

1. When a body acts ***ultra vires;***
2. Unreasonableness;
3. When there is ***jurisdictional error;***
4. When there is an error of law;
5. When there is an ***error of fact;***
6. When there is an ***abuse of power;***
7. When ***irrelevant considerations governed the making of a decision;***

8. When there is ***bias;***
9. When there is unfair hearing;
10. When there is ***procedural flaw;***
11. When there is ***irrationality***
12. When a public official or body ***acts in bad faith;***
13. When there is ***breach of the principles of natural justice.***

There are some overlaps in these grounds e.g. what amounts to procedural flaw may at the same time amount to ultra vires. In actual practice any one of the grounds will entitle an aggrieved party to apply for judicial review and in actual practice circumstances occasioning judicial review will involve one or more of those grounds.

One does not have to have all the 13 circumstances to apply for judicial review. Any one of the grounds will suffice and the list is not exhaustive.

1. DOCTRINE OF ULTRA VIRES

The doctrine of ultra vires is a legal doctrine. In the English Legal System judicial control of administrative agencies is based on the doctrine of ultra vires. This is the doctrine on the basis of which the courts will interfere or intervene in matters of public administration. Ordinarily courts would not interfere.

What is ultra vires
It simply means "beyond the powers" so that if ultra vires is the basis in which courts will interfere or intervene on matters of public administration then the point is that courts will intervene on matters of public administration if the administrative bodies have acted beyond the powers that have been conferred on them.

The essence of this doctrine is that administrative bodies must act within the powers granted them by statutes. They must also act within the requirements of common law.

Administrative bodies must act only within the powers that they have been given by the statutes. They must also recognise the limits imposed on them by the statutes. The exercise of powers by administrative bodies often affects the rights of citizens and for this reason it is necessary that these powers be exercised only with accordance with the statute granting the power so that people do not suffer. Limits are placed by statutes to ensure that powers conferred to administrative bodies do not end up causing suffering to citizens.

For these reasons any act of a public administrative body that is outside the limit of law has no legal validity because it is Ultra Vires.

The term Ultra vires can cover a wide range of actions undertaken in excess of the law or in excess of the powers granted.

For example an administrative body acts ultra vires if that body does an act which it has no authority to do. The second example is where an administrative body in the process of exercising the powers, it abuses those powers, which amounts to acting ultra vires. There are also cases where bodies act ultra vires because in the cause of exercising those powers that are authorised, they have failed to follow prescribed procedure.

Types of ultra vires

i. Substantive Ultra Vires.
ii. Procedural Ultra Vires.

i. substantive ultra vires

Substantive ultra vires is acting in excess of powers with regard to matters of substance. This would include for example an administrative body acting beyond what is authorized to do.

Substantive ultra vires includes the following cases:

1. Exercising power in excess of statutory limits;
2. Acting in excess of jurisdiction;
3. Breach of the principles of natural justice; in this case failure to give notice of hearing to a concerned party. For example would amount to breach of principles of natural justice and that falls under substantive ultra vires

ii. Procedural ultra vires

These are cases where administrative bodies fail to follow prescribed procedure. They also include cases where an error occurs in following the procedure.

Whereas we do have procedure prescribed in statutes, there are also matters of procedure that are not in the statutes but they are applicable under common law and this is where we find the procedural requirements that fall under the principles of natural justice.

A person has to be given notice of a hearing of their case; this is one of principles of natural justice. This is in order that the person affected must be made aware of what is going on and be given an opportunity to raise any objection that they might have. They must also have the chance to defend themselves.

Courts are mandated to use or to apply **ultra vires** doctrine to invalidate actions of public bodies. If a body has done something that amounts to procedural **ultra vires,** the court will be prepared to apply the doctrine of **ultra vires** to invalidate that action.

The effect of finding that an act or a decision is **ultra vires** is that it is invalidated. It means that the court will declare that act or decision null and void. Consider the case of *White* and *Collins v. Minister of Health.*

This case concerns the exercise of power of compulsory purchase of land. In this case a housing authority was granted power under the Housing Act of 1936 to acquire land compulsorily for housing „provided that land did not form part of any park, garden or pleasure
ground.“ The Housing Authority went ahead and acquired land or purported to acquire land that was a park. After they acquired this land, they sought and obtained confirmation of their acquisition from the Minister of Health (the one responsible for giving confirmation of such services). The parties brought a suit seeking to have the purchase order invalidated on the grounds that the order to purchase this land was Ultra Vires because the land was a park and there was a statutory restriction on the purchase of any land that was a park. The court quashed the order for purchase as well as the purchase declaring it null and void

2. UNREASONABLENESS

One of the things the court considers, in determining unreasonableness is whether a public body has considered or taken into account any matter that it ought not to take into account.

Another thing that the court will consider is whether a public body has disregarded any matter that it ought to take into account.

In *R v. Ealing London Borough Council Ex parte Times Newspapers Ltd*, the council was held to be unreasonable in refusing to provide certain Newspapers to their libraries because the council did not agree with the Newspapers Proprietors on political grounds. The court held that the council was unreasonable in refusing to provide their libraries with certain Newspapers.

3. JURISDICTIONAL ERROR

Jurisdiction means the scope or area in which a body is allowed to act. It includes territoriallimits.

Where there is an error it means:

1. That an administrative agency has acted without jurisdiction i.e. they have acted over matters which they have no authority to act.
2. They have acted within jurisdiction but have gone beyond or exceeded their limits.

This can happen:

- When a body erroneously exercises power or authority over a matter that is outside of its territorial limits.□
- Where a body legislates over a matter that falls outside of the matters it is authorised to legistate over.
- Where an administrative body declines to exercise jurisdiction to hear and decide a case or to legislate over a matter over which it has jurisdiction to hear or decide or legislate over. (the Administrative body has the authority to do something but it declines to do it.)

- It may also arise when a body fails to administer a function or to carry out a duty that it has the statutory authority to administer or to carry out.

In case any one of these things occurs and a person is aggrieved, the aggrieved person can apply to the High Court for Judicial Review on the ground that a public body has committed jurisdictional error.

4. ERROR OF LAW

An error of law is a condition or an act of ignorance, negligence or imprudent deviation or departure from the law.

Ignorant departure would include a situation where an administration official is ignorant of the law. If the Minister of Local Government for example has no idea that he cannot sack an elected mayor, this is an act of ignorance.

Negligence would be where an administrative body fails to do what the law provides and in that case they have failed to look up the law to see what it provides.
This can result from a number of things:

1. Failure to ascertain what the law says about a particular matter;
2. misconstruction of the law;
3. Misinterpretation of the law;
4. Blatant disregard of the law;
5. Misunderstanding of the law; or
6. Misdirection on the law (this involves a situation where an administrative body seeks direction on the law) i.e. if the head of civil service seeks direction from the AG or from the Chief Justice or Minister for Justice and Constitutional Affairs and they give incorrect directions on the same, this is misdirection.

5. ERROR OF LAW ON THE FACE OF THE RECORD

In all the above cases, it is usually said that there is an error of law on the face of the record. An error of the law on face of the record is an error which may be ascertained by an examination of the record of proceedings without recourse to any evidence. Just by looking at the record of proceedings, one can tell that the law was not followed.

The result of error of law is that the decision made and all the acts done in error of law are invalidated upon judicial review because they are illegal.

In *R v. Northumberland Compensation Appeals Tribunal ex parte Shaw* a former employee of an administrative body claimed compensation on termination of his employment. Under the applicable regulations the tribunal was required to assess compensation payable by aggregating two periods of employment i.e. the law was saying that in computing compensation one would have to aggregate two periods of employment. In its decision the tribunal stated that of the two periods of employment, they would take into account only the

second period. Upon application for judicial review this decision was quashed because of the error of law that had been committed. The court found that this amounted to an error on the face of the record and the decision was quashed. The court issued an order of certiorari which involves the production of proceedings of the tribunal to the High Court so they can be quashed.

6. ERROR OF FACT

It is important to note that facts are integral to the making of a decision. The validity of a decision depends on the proper appreciation and interpretation of facts.
An error of fact occurs where there has been an act or a condition of ignorance, negligence or imprudent deviation from facts. This may occur from a number of facts:

1. Where facts have not been properly appreciated;
2. Where facts have not been properly interpreted;
3. Where there is an incorrect finding of facts;
4. Where irrational conclusions are made from facts;
5. Where a decision is made without giving due regard to the factual circumstances of the case at hand.

The effect of error of facts is that it renders a decision null and void.

7. ABUSE OF POWER

Abuse of power includes cases where the power and authority given public bodies have:

1. been put to a wrong or improper use;
2. been used so as to injure or to damage;
3. been misused;
4. Been used corruptly.

If the court finds that an administrative body has abused its power or his power, any act done or decision made will be invalidated.

8. IMPROPER EXERCISE OF DISCRETION

An administrative body has the authority to exercise discretion whenever the limits of its statutory authority leave it to decide between two or more causes of action or inaction.

There will have to be a statutory authorisation to do something but the statutory provisions does not completely specify what one is authorised to do. The exercise of discretion is an important aid to the exercise of statutory powers.

Whenever circumstances give rise to the exercise of discretion:

1. Discretion must be exercised properly;
2. Discretion must be exercised reasonably;

3. Discretion must be exercised by the proper authority only and not by a delegate;
4. Discretion must be exercised without restraint;

Certain circumstances will give rise to improper exercise of discretion which includes:

1. Exercising discretion for improper motive;
2. Where power to exercise discretion is delegated to a person who is not charged with the responsibility in question;
3. Where discretion is exercised so as to serve self-interest.

Consider *Fernandes V. Kericho Liquor Licensing Court*. The case concerns the authority given to Kericho Liquor Licensing Court to grant licences. In this case they decided they were only going to give liquor licences to Africans. The Court ruled that they had exercised their discretion improperly by deciding to issue licences only to Africans.

9. IRRELEVANCY

Irrelevancy occurs in two situations:

1. Where a decision making body considers a matter which it ought not to consider in arriving at a decision; e.g. if on the basis of gender a licence is denied.
2. Where an administrative body disregards something which it ought to consider in making a decision.

10. BIAS

It is a predetermined tendency to favour one outcome, one outlook or one person against another. It involves acting partially i.e. acting favourably to one side. Whenever an allegation of bias is made, a reviewing court will investigate whether there is an appearance of partiality. A reviewing court will evaluate whether there is a tendency of one side to favour one person.

There are certain principles that will guide the court in determining the presence of bias.

(i) The Real Likelihood of Bias;

Circumstances in which the court will conclude that there was a real likelihood of bias include cases where the decision maker has an interest in the matter under consideration. Interest may be pecuniary, interest may also be adverse.

(ii) The Real Danger Test:

This is another of the tests that the court will apply in determining the presence or absence of bias. The consideration is whether there is a real danger that a public official or body participating in a decision will be influenced by a personal interest in the outcome of a case.

The question to ask is how significant the interest is and how closely or remotely related to the issue it is. In the real danger test the consideration is whether there is a real danger that

an official participating in a decision will be influenced by a pecuniary interest and how closes or remote it is to the matter decided.

(iii) Actual Bias:

There are cases where in the absence of the real likelihood of bias, pecuniary or other interests and the real danger of partiality, bias does actually occur and in this situation the test is whether there was actual bias.

In cases where there is a likelihood of bias, for example in cases where members of the decision making body have a pecuniary interest in the matter to be considered, they must disqualify themselves from taking part in making that decision.

If they do not, this will give rise to bias and the decision made can be invalidated upon review. Invalidation is by way of quashing the decision.

11. UNFAIR HEARING

Administrative bodies are bound to give a fair and proper hearing to those who come before them. Often the statutes will prescribe the procedure for hearing indicating how concerned parties are to be heard.

In such statutory provisions, the duty to grant a fair and proper hearing may be implied. In the absence of statutory provisions setting forth procedure for hearing, common law rules regarding fair and proper hearing will apply.

Where a public body makes a decision without due regard to prescribed procedure or without due regard to common law principles of fair hearing, an aggrieved party will be entitled to petition the court for review.

In *Neil v. North Antrim Magistrate's Court* it was suggested that even if a right decision is arrived at a party may still petition the court if some procedural flaw occurred occasioning damage. This means that if a party had a case and even if he argued that case as cogently as he could, failure to grant a fair hearing will bring the court to invalidate that decision no matter how bad the case was. A person must have a chance to be heard.

It is important to note that if a party petitions the court for judicial review on the ground that he was not granted a fair hearing and should the court find that this person was not given a fair hearing, the court will declare the decision null and void.

12. IRRATIONALITY

Irrationality is derived from the word irrational. This means that if a decision making body or an administrative body acts irrationally, whatever that body does or whatever decision it makes can be invalidated upon judicial review.

Irrationality means conduct beyond the range of responses reasonably open to an administrative body. In determining whether a particular act or decision is irrational, a reviewing court will consider whether a public body has done something which a reasonable body with the same function and confronted with the same circumstances could not do. This is an objective test.

13. BAD FAITH (*Mala Fides*)

If the court finds that a body made a decision in bad faith, it will be invalidated. It is rather hard to define bad faith but it covers a wide range of circumstances including malice, corruption, fraud, hatred and similar things. It also includes cases of vindictiveness.

THE COURT SYSTEMS

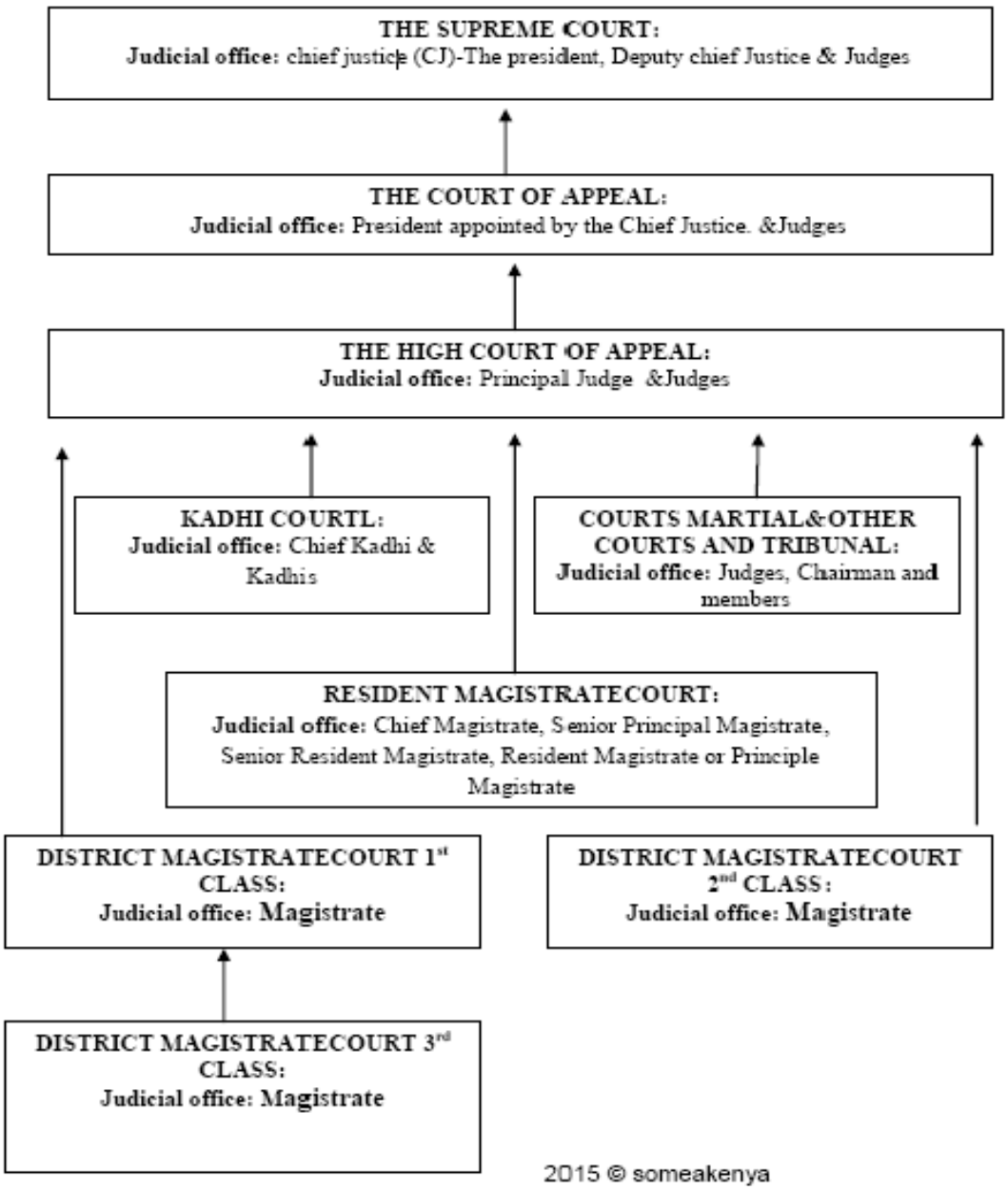
ESTABLISHMENT, STRUCTURE, COMPOSITION AND JURISDICTION OF COURTS

The Courts operate two levels: Superior Courts and Subordinate Courts. The important aspects in the Structure of Courts are:

i. The structure – The hierarchy or levels of Courts.
ii. Establishment – The composition or who presides in that Court.
iii. Jurisdiction – The powers of different Courts to hear and determine disputes.

Jurisdictions are either Geographical / territorial limits of their powers or Functional powers (to hear Original matter, Appellate matter or both matters or subject matter (whether it is civil or criminal justice) or Pecuniary (the range of monetary or financial value of subject matter).

The figure illustrates the structure and explains the hierarch of the Courts as it is today in Kenya.



The arrow on the figure shows the hierarchy of courts in Kenya. There are two levels of courts Superior Court (consist of Supreme Court, Court of Appeal and High Court) and Subordinate Courts (Resident Magistrate Court, Kadhi Courts, Court Martials, Tribunals, District Magistrate Courts Classes 1st, 2nd and 3rd.) The arrows show flow of appeal from one level to the next. The arrows represent flow of appeals in both civil and criminal appeals except criminal appeals from District Magistrate class III which go to Resident Magistrates courts. District Magistrate courts are situated in all the districts except of District Magistrate Class III which in some sparsely populated Districts especially North Eastern Part of Kenya where their powers have been delegated by the Chief Justice to the

District Officers through notices in the Kenya Gazette. This structure of the courts is based on the provisions of the Constitution, the Magistrates Court Act (Cap. 10), the Kadhis Court Act (Cap. 11) and the Armed Forces Act (Cap. 199) Laws of Kenya.

THE SUPREME COURT

The Supreme Court of Kenya is established under Article 163 of the Constitution of Kenya. It comprises of 7 (Seven) Judges: the Chief Justice, who is the president of the Court, the Deputy Chief Justice, who is the deputy to the Chief Justice and the vice-president of the court and five other judges.

The Supreme Court is properly constituted for purposes of its proceedings when it has a composition of five judges and has exclusive original jurisdiction to hear and determine disputes relating to the elections to the office of President arising under Article 140 and subject to clause (4) and (5) of Article 163 of the Constitution, appellate jurisdiction to hear and determine appeals from the Court of Appeal and any other court or tribunal as prescribed by national legislation.

Appeals from the Court of Appeal to the Supreme Court are as a matter of right in any case involving the interpretation or application of this Constitution and in any other case in which the Supreme Court, or the Court of Appeal, certifies that a matter of general public importance is involved, subject to clause (5).
The Supreme Court may review a certification by the Court of Appeal and either affirms, vary or overturn it.

The Supreme Court may give an advisory opinion at the request of the national government, any State organ, or any county government with respect to any matter concerning county government.

All courts, other than the Supreme Court, are bound by the decisions of the Supreme Court.

THE COURT OF APPEAL

Establishment: The Court of Appeal is established under

Article164 of the Constitution of Kenya 2010.

Composition: The Court of Appeal consists of a number of judges, being not fewer than 12 (twelve), as may be prescribed by an Act of Parliament and the Court is to be organized and administered in the manner prescribed by an Act of Parliament. The Court comprises of a President of the Court of Appeal who is elected by the judges of the Court of Appeal from among themselves. The Court of Appeal Judges retire at the age of 74 years.

Jurisdiction: The Court of Appeal is a superior court of record therefore it sets precedents. It has limited original jurisdiction. It was created to hear appeals from the High court.

The only moment the Court Appeal can have original jurisdiction is in punishment for contempt of court, and when stating execution of orders of the High Court. Procedure: The practice and procedure of the court of appeal are regulated by the rules of court made by the Rules Committee constituted under the Appellate Jurisdiction Act (Cap. 9). The Act provides that an uneven number of at least three judges shall sit for the determination of any matter by the court. The decision of the court shall be according to the opinion of a majority of the judges who sat for the purposes of determining that matter.

The court has powers to:

i. Determine a case finally.
ii. Order for a trial.
iii. Order for a re-trial.
iv. Frame issues for the determination of the High Court.
v. Receive additional evidence or order that it be taken by another court.

Objective of the Court

These are provided for in Section 3 of the Supreme Court Act, No. 7, of 2011

1. Assert the supremacy of the Constitution and the sovereignty of the people of Kenya;
2. Provide authoritative and impartial interpretation of the Constitution;
3. Develop rich jurisprudence that respects Kenya's history and traditions and facilitates its social, economic and political growth;
4. Enable important constitutional and other legal matters, especially matters on transition to the new Constitution be determined with due regard to the circumstances, history and cultures of the people; and
5. Improve access to justice.

THE HIGH COURT

Establishment: The High Court is established under Article 165 and it consists of a number of judges to be prescribed by an Act of Parliament. The Court is organized and administered in the manner prescribed by an Act of Parliament. The Court has a Principal Judge, who is elected by the judges of the High Court from among themselves.

Composition: Ordinarily, the High Court is duly constituted by one Judge sitting alone. However there are instances where two or more High Court Judges may be required to determine certain kinds of cases.

Appointment of Judges: Are appointed by the President in accordance with the advice of Judicial Service Commission. They are laid down special qualifications required of a person to be eligible for appointment as a Judge, namely:

He / she is or has been a Judge of a Court having unlimited jurisdiction in civil and criminal matters in some part of the Commonwealth or in the Republic of Ireland or a court having jurisdiction in appeals from such a Court or;

He /she is an Advocate of the High Court of not less than seven years standing or;

He /she holds and has held for a period of or periods amounting in aggregate to not less than seven years, one or other of the qualifications specified in Section 12 of the Advocates Act.

Jurisdiction:

i. The High Court has unlimited original jurisdiction in criminal and civil matters.
ii. The High Court has jurisdiction to determine the question whether a right or fundamental freedom in the Bill of Rights has been denied, violated, infringed or threatened.
iii. The High Court has jurisdiction to hear an appeal from a decision of a tribunal appointed under the Constitution or national legislation to consider the removal of a person from office, other than a tribunal appointed under Article 144.
iv. The High Court has jurisdiction to hear any question respecting the interpretation of this Constitution including the determination of: the question whether any law is inconsistent with or in contravention of the Constitution, the question whether anything said to be done under the authority of the Constitution or of any law is inconsistent with, or in contravention of the Constitution, any matter relating to constitutional powers of State organs in respect of county governments and any matter relating to the constitutional relationship between the levels of government, and a question relating to conflict of laws under Article 191;any other jurisdiction, original or appellate, conferred on it by legislation.
v. The High Court does not have jurisdiction in respect of matters reserved for the exclusive jurisdiction of the Supreme Court under this Constitution or falling within the jurisdiction of the courts contemplated in Article 162 (2).
vi. The High Court has supervisory jurisdiction over the subordinate courts and over any person, body or authority exercising a judicial or quasi-judicial function, but not over a superior court. Also being a Superior court of record means that the decisions of the High Court as precedents, are binding on the subordinate courts by the doctrine of stare decisis.
vii. Although High Court has unlimited original jurisdiction in civil and criminal cases in actual practice, it will hear those criminal cases which cannot be tried by the subordinate courts i.e. murder and treason whereas in civil cases, it has jurisdiction where the value of the subject matter, in dispute exceeds Kshs. 500,000.00. The High Court has power to pass any sentence authorized by law.

viii. In addition to the ordinary civil and criminal jurisdiction or the High Court, there are other matters, which can only be heard by the High Court. Thus, the High Court enjoys special powers and jurisdiction in the following matters as conferred to it by the constitution and other legislations some of which are given hereinafter:-

High Court Special Powers

1. Supervisory Jurisdiction

The Constitution confers specific, powers on the High Court to exercise supervisory jurisdiction in any civil and criminal proceedings before subordinate courts and may make such orders, issue such writs and give such directions as may consider appropriate for the purpose of ensuring that justice is duly administered by such courts. This includes the power of the High Court to transfer proceedings from one court to the other.

To invoke the supervisory jurisdiction of the High Court a person must have exhausted all other available remedies and right of appeal. In exercise of its supervisory powers under judicial review, the high court may issue any of the prerogative orders of:

- Mandamus – The literal meaning of mandamus is "we command". This is an Order issued by the High Court to any person or body commanding him or them to perform a public duty imposed by law or state. The order is available to compel administrative tribunals to do their duty e.g. to compel a licensing board to issue a license on application of him who has met the prescribed criteria.
- Certiorari – The term means to "be informed". This is an Order issued by the High Court directed at an inferior court body exercising judicial or quasi-judicial functions to have the records of the proceedings presented to the High Court for the purposes: To Secure an impartial trial, To review an excess of jurisdiction, To challenge an ultra vires act, To correct errors of law on the face of the record. To quash a judicial decision made against the rules of natural justice. An order of certiorari will be wherever anybody of persons having legal authority to determine questions affecting the rights and having a duty to act judicially, acts in excess of their legal authority. It therefore serves to quash what has been done irregularly.
- Prohibition – This is an order issued by the High Court to prevent an inferior court or tribunal from hearing or continuing to hear a case either In excess of its jurisdiction or in violation of the rules of natural justice.
- Writ of Habeas corpus – Harbeas corpos means „produce the body", dead or alive. This order is issued where the personal liberty of a person is curtailed by arrest and confinement without legal justification. By issuing this order, the High Court calls upon the person holding the body to answer by what authority are they continuing to withhold the individual and with the aims at securing release of such persons held apparently without legal justification.

2. Interpretation of the constitution

The Constitution provides that where any question as to the interpretation of the constitution arises in any proceedings in any subordinate court, and the court is of the opinion that the question involves a substantial question of law, the court may, and shall if any party to the proceedings so requests, refer the question to the High Court. The High Court shall be composed of an uneven number of judges, not being less than three when it determines the constitutional question referred to it. The decision of the High Court is binding on the Court that referred the question to the High Court and it must dispose of the case in accordance with the High Court's decision.

3. Admiralty Jurisdiction

Section 4 of the Judicature Act Chapter 8 (1967) provides that the High Court will act as a court of admiralty and will decide "matters arising on the high seas or in territorial waters or upon any lake or other navigable inland waters in Kenya". The law applicable to be exercised "the conformity with international law and the comity of nations".

4. Election jurisdiction

Under the National Assembly and Presidential Election Act, the High court has special powers to hear and determine disputes arising from the national electoral process. The High Court may make an order as it deems fit, including the nullification of the election results upon hearing of a petition presented to it by a voter or loser in the election.

For the High Court to nullify the election of a Member of Parliament, the petitioner must prove that an election offence has been committed. The composition of the High court is that one (1) Judge sits to determine dispute in parliamentary election while Three (3) Judges must sit if it is presidential election. Any appeal on the High Court decision on Presidential election goes to the Court of Appeal where at least five (5) Judges will sit to determine the appeal. Disputes in the election of councilors go to subordinate courts.

5. Succession/Probate Jurisdiction

The Probate Division of the High court has jurisdiction to hear any application and determine any dispute and pronounce such decree and issue such orders as my be expedient in inheritance matters e.g. the High Court may issue probate i.e. a person has been validly appointed by a will to administer the property of the deceased.

6. Matrimonial Cases

The court exercises jurisdiction in divorce matters. In exercise of its matrimonial jurisdiction, the High Court may issue orders for:

- Dissolution of marriage.

- Nullity of marriage.
- Separation and maintenance (alimony).
- Custody, adoption and guardianship of infants
- Spousal Property and financial adjustments etc

7. Other powers

- To protect and enforce Fundamental rights and Freedoms of individuals which are set out in Chapter Four of the Constitution also otherwise referred to as Bill of Rights.
- To hear and determine Bankruptcy proceedings.
- To supervise winding up of dissolved companies.

EMPLOYMENT AND LABOUR RELATIONS COURT

Establishment of the Court

The Employment and Labour Relations court is established in pursuant of Article 162 (2) (a) of the Constitution of Kenya 2010, for the purpose of settling employment and Industrial relations disputes and the furtherance, securing and maintenance of good employment and labor relations in Kenya.

The Employment and Labour Relations Court is a superior court of record with the status of the High Court that exercises jurisdiction throughout Kenya.
Jurisdiction

The court shall have exclusive original and appellate jurisdiction to hear and determine all disputes referred to it in accordance with Article 162 (2) of the Constitution and the Provisions of the Industrial Court Act or any other written Law which extends jurisdiction to the court relating to employment and Labor relations including:-

1. Disputes relating to or arising out of employment between an employer and an employee
2. Disputes between an employer and a trade union.
3. Disputes between an employer's organisation and a trade union's organization,
4. Disputes between trade unions,
5. Disputes between employer organisations,
6. Disputes between an employer's organisations,
7. Disputes between an employer's organisation and trade union,
8. Disputes between a trade union and a member thereof,
9. Disputes between an employer's organisation or a federation and a member thereof,
10. Disputes concerning the registration and election of trade union officials, and
11. Disputes relating to the registration and enforcement of collective agreements.

In exercise of its jurisdiction, the court shall have power to make any of the following orders:-

1. Interim preservation orders including injunctions in cases of urgency
2. A prohibitory order
3. An order for specific performance
4. A declaratory order
5. An award of compensation in any circumstances contemplated under the Industrial Court Act or any written Law.
6. An award of damages in any circumstances contemplated under the Industrial Court Act or any written Law.
7. An order for reinstatement of any employee within three years of dismissal, subject to such conditions as the court thinks fit to impose under circumstances contemplated under any written Law.
8. Any other appropriate relief as the court may deem fit to grant.

Appellate Jurisdiction

The court shall have appellate jurisdiction to hear and determine appeals from:-

1. Decisions of the Registrar of trade unions, and
2. Any other court, local tribunal or commission and prescribed under any Written Law.

Composition of the court

The court shall consist of;

1. The Principal Judge; and
2. Such number of Judges as the President may, acting on the recommendations of the Judicial Service Commission, appoint

- The Principal Judge shall be elected in accordance with the procedure prescribed in Article 165 (2) of the Constitution.
- The Principal Judge shall hold office for a term of not more than five years and shall be eligible for re-election for one further term of five years.
- The Principal Judge shall have supervisory powers over the Court and shall be answerable to the Chief Justice.
- In the absence of the Principal Judge or in the event of a vacancy in the office of the Principle Judge, the Judges of the Court may elect any other Judge to have and exercise and perform the powers and functions of the Principal Judge, and who shall be deemed to be the Principle Judge.

ENVIRONMENT AND LAND COURT

The Environment and Land Court as one of the Courts contemplated by article 162(2) is a Superior Court just like its counterpart, the Industrial Court. Both have the same status as the High Court.

The court is established under section 4 of the Environment and Land Court Act No. 19 of 2011. It has jurisdiction to hear any other dispute relating to environment and land.

The jurisdiction of the court is provided under section 13 of the Act. The Court has original and appellate jurisdiction to hear and determine all disputes in accordance with Article 162(2)(*b*) of the Constitution and with the provisions of Act or any other written law relating to environment and land.

The court has powers to deal with disputes relating to land administration and management. The court is also empowered to hear cases relating to public, private and community land and contracts, choses in action or other instruments granting any enforceable interests in land.

The court also exercises appellate jurisdiction over the decisions of subordinate courts or local tribunals in respect of matters falling within the jurisdiction of the Court.

The court further exercises supervisory jurisdiction over the subordinate courts, local tribunals, persons or authorities in accordance with Article 165(6) of the Constitution.

SUBORDINATE COURTS

The Subordinate courts are the courts established under Article 169 of the Constitution of Kenya 2010.

They are;

1. The Magistrates' Courts
2. The Kadhis' Courts
3. The Court Martial and
4. Any other court or local tribunal as may be established by an Act of Parliament.

MAGISTRATES' COURTS

Jurisdiction

1). Criminal Jurisdiction

As a court of first instance, the magistrates' court has jurisdiction and powers in proceedings of a criminal nature as are for the time being conferred on it by;

(a) The Criminal Procedure Code (Cap.75 of the Laws of Kenya) or

(b) Any other written Law.

2). Civil Jurisdiction

The magistrates' courts shall have and exercise jurisdiction and powers in proceedings of a civil nature in which the value of the subject matter in dispute does not exceed;

(a) Seven million shillings for a Chief Magistrate
(b) Five million shillings for a Senior Principal Magistrate
(c) Four million shillings for a Principal Magistrate
(d) Three million shillings for a Senior Resident Magistrate
(e) Two million shillings for a Resident Magistrate

Special courts have been established to hear and determine matters filed therein.
They include;

1. The Anti-corruption Court
2. The Children Court

The above courts are manned by magistrates gazetted for that purpose by the Honourable Chief Justice. Magistrates Courts also have jurisdiction to hear and determine traffic matters in the manner provided for under the Traffic Act, Cap.403 of the Laws of Kenya.

3). Appeals

Any person who is aggrieved by a decision of the magistrates' court, arising either from a criminal or civil trial can appeal to the High Court.

KADHIS' COURTS

Kadhis' Courts are established under Article 170 of the Constitution. Their jurisdiction is limited to the determination of questions of Muslim Law relating to personal status, marriage, divorce or inheritance in proceedings in which all the parties profess the Muslim Religion and submit to the jurisdiction of the Kadhis' courts.

COURTS MARTIAL

The Court Martial hears cases involving people serving in the Military. They are established under the Armed Forces Act.

Tribunals

Tribunals are bodies established by Acts of Parliament to exercise judicial or quasi-judicial functions. They supplement ordinary courts in the administration of justice. Tribunals, however, do not have penal jurisdiction.

Tribunals, like the courts, have to respect the Bill of Rights in their decisions and not be repugnant to justice and morality or be inconsistent with the Constitution or other laws of the land. Most tribunals are subject to the supervision of the High Court. All tribunals fall under the Judiciary.

JUDICIAL SERVICE COMMISSION

Establishment: It is established by Article 171 of the Constitution.

Composition/Membership
Under Article 171 (2) or the Act, the Judicial Service Commission shall consist of:

a) The Chief Justice, who shall be the chairperson of the Commission;
b) One Supreme Court judge elected by the judges of the Supreme Court;
c) One Court of Appeal judge elected by the judges of the Court of Appeal;
d) One High Court judge and one magistrate, one a woman and one a man, elected by the members of the association of judges and magistrates;
e) The Attorney-General;
f) No advocates, one a woman and one a man, each of whom has at least fifteen years experience, elected by the members of the statutory body responsible for the professional mutilation of advocates;
g) One person nominated by the Public Service Commission; and
h) One woman and one man to represent the public, not being lawyers, appointed by the President with the approval of the National Assembly.

The chief Registrar of the Judiciary shall be the Secretary to the Commission,
Members at the Commission, apart tram the Chief Justice and the Attorney-General, shall hold office, provided that they remain qualified; for a term of 6 years and shall be eligible to be nominated for one further term of five years.

POWERS OF THE COMMISSION

1. To act independently, must be under the control or directions of any person or authority.
2. To make rules to regulate its procedure
3. To delegate powers to its members (judges)
4. To act not withstanding a vacancy in its membership.
5. To confer powers and impose duties on public service with the president's consent.

FUNCTIONS OF THE JUDICIAL SERVICE COMMISSION

Under Article 72 of the Constitution, the Judicial Service Commission shall promote and facilitate the independence and accountability of the judiciary and the efficient, effective and transparent administration of justice and shall:

1. Recommend to the President persons far appointment as judges;
2. Review and make recommendations on the conditions of service of:-
    i. Judges and judicial officers, other than their remuneration; and
    ii. The staff of the Judiciary;

3. Appoint, receive complaints against, investigate and remove from office or otherwise discipline registrars, magistrates, other judicial officers and other staff of the Judiciary, in the manner prescribed by an Act of Parliament;
4. Prepare and implement programmes tar the continuing education and training of judges and judicial officers; and
5. Advise the national government on improving the efficiency of the administration of justice. In the performance of its functions, the Commission shall be guided by the following:-
    i. Competitiveness and transparent processes of appointment of judicial officers and other staff of the judiciary; and
    ii. The promotion of gender equality.

Generally, the JSC serves the following functions as well:

1. **Administration:** It is the principal administrative organ of the judiciary i.e. administers the judicial department
2. Advisory: It advises the President on the appointment of Judges of superior courts. Its vote is purely advisory.
3. Appointment: It engages-Magistrates, High Court Registrars, Kadhis and other judicial staff e.g. personnel, officers. clerks etc. –
4. Discipline: It disciplines Magistrates, Registrars, Kadhis and other staff of the department.

THE ATTORNEY GENERAL

Establishment: This office is established by Article 156 (1) of the constitution. It is an office in the public service.

Appointment: Under Article 156 (2), the Attorney-General shall be nominated by the President and, with the approval of the National Assembly, appointed by the President. Under Article 156 (3) the qualifications for appointment as Attorney-General are the same as for appointment to the office of Chief Justice, i.e.:

- At least 15 years experience as a superior court judge; or
- At least 15 years' experience as a distinguished academic, judicial officer, legal practitioner or such experience in other relevant fecal field

POWERS OF THE ATTORNEY GENERAL

Under Article 156, the Attorney General

a. Is the principal legal adviser to the Government;
b. Shall represent the national government in court or in any other legal proceedings to which the national government is a party, other than criminal proceedings; and
c. Shall perform any other functions conferred on the office by an Act of Parliament or by the President.
    - The Attorney-General shall have authority, with the leave of the court, to appear as a friend of the court (amicus curie) in any civil proceedings to which the Government is not a party.
    - He is an ex-officio member of the National Assembly.
    - He drafts all government bills.
    - He is the head of the bar i.e. most senior lawyer
    - He represents the state in all civil cases.
    - He services the legal needs of other government department
    - He is a member of the Judicial service Commission
    - He sits in the Cabinet
    - He is a member Of the Committee of the prerogative of mercy
    - The Attorney-General shall promote, protect and uphold The rule of law and defend the public interest.
    - The powers of the Attorney-General may be exercised in person or by subordinate officers acting in accordance with general or special instructions

ADVOCATES

Definition: Under section 2(1) of the interpretation and General Provisions Act Cap 2 and the Advocates Act 1989 an advocate is any person whose name has been duly entered as an advocate in the Roll of Advocates.
He has also been defined as a person who has been admitted as an advocate by :Ire Chief Justice. The law relating to Advocates is contained in the Advocates Act 1989

Qualifications for admission
To qualify for admission as an advocate, one must:

1. Be a citizen of Kenya
2. Hold a law degree from a recognized University
3. Satisfy the Council of Legal Education examination requirements.

Procedure for Admission

1. A formal petition must be made to The chief Justice through the high court register.
2. Copies of the petition must be sent to the Council of legal education and the Law society of Kenya
3. Notice of the petition must be given.

4. The petition must be published in the Kenya Gazette
5. The Chief Justice hears the petition in chambers.
6. The petitioner than takes the oath of office in open court
7. The admitted person then signs the roll of Advocates.

Duties of an Advocate

1. **Duty to the court:** As an officer of the court, an advocate is bound to assist in the administration of justice by urging the law as it is.
2. **Duly of client:** An advocate owes a legal duty of care to his clients. He must urge his client's case in the best manner possible.
3. **Duty to his profession:** As a member of a profession, an advocate is bound to maintain the highest possible standards of conduct, integrity by observing the law and other rules.
4. **Duty to society:** As a member of the society, he is bound to assisting its social, political and economic development.

THE LAW SOCIETY OF KENYA

Establishment: It is established by section 3 of the Law Society of Kenya Act, cap 18 as a body corporate by the name Law Society of Kenya. It has perpetual succession, can sue or be sued and has a common seal.

Composition/Membership

It consists of:

a) Practicing advocates
b) Non-practicing advocates
c) Special membership
d) Honorary membership

The affairs of the society are managed by a council elected by the members.

Objectives of the Law Society of Kenya

Under section 4 of the Law Society of Kenya Act, its objects include:

1. To maintain and improve the standards of conduct and learning of the legal profession.
2. To facilitate acquisition of legal knowledge by members and others.
3. To assist the government and the courts in all matters relating to legal and administration of the law.
4. To represent, protect and assist members of the legal profession in relation to conditions of practice of law
5. To assist and protect members of the public in all matters touching or incidental to law
6. To raise or borrow money for its purposes
7. To acquire land and other property

ALTERNATIVE DISPUTES RESOLUTION

Alternative dispute resolution (ADR) includes dispute resolution processes and techniques that act as a means for disagreeing parties to come to an agreement short of litigation. It is a collective term for the ways that parties can settle disputes, with the help of a third party.

GENERAL PRINCIPLES OF ADR

The following principles shall apply in Alternative Dispute Resolution (ADR) implemented for contested cases:

1. **Voluntary**
   The parties usually must agree to submit their dispute to mediation or early neutral evaluation. an alj, however, may require parties to attend facilitated workshops, settlement conferences, or meet with a neutral to explore the feasibility of mediation.
2. **Timeliness**
   ADR should shorten, not prolong, proceedings. but even if a negotiated settlement takes longer, the result may be more beneficial to all.
3. **Good faith**
   Those who engage in adr should do so in an attempt to reach agreement--not to delay or secure tactical advantage.
4. **Confidentiality**
   Most ADR processes require confidentiality so that the parties' fundamental interests can be explored.

Benefits and disadvantages

ADR has several advantages over litigation:

- Suitable for multi-party disputes
- Lower costs
- Likelihood and speed of settlements
- Flexibility of process
- Parties' control of process
- Parties' choice of forum
- Practical solutions
- Wider range of issues can be considered
- Shared future interests may be protected
- Confidentiality
- Risk management

However, ADR less suitable than litigation when there is:

- A need for precedent
- A need for court orders
- A need for interim orders
- A need for evidential rules
- A need for enforcement

- Power imbalance between parties
- Quasi-criminal allegations
- Complexity in the case

There are three main types of dispute resolution currently in use:

1. Arbitration
2. Mediation
3. Negotiation

Advantages of resolving commercial disputes

a) Resolving a commercial dispute provides an opportunity to:
b) Remedy an unwanted commercial situation
c) Present your side of the argument
d) Remedy an injustice
e) Learn lessons about the way your business is run
f) Appear strong, principled and magnanimous.

Disadvantages of resolving commercial disputes

There are few drawbacks to actually resolving disputes, but during the process some or all of the following problems might arise:

a) Financial expense
b) Increased stress and pressure
c) Senior executives' time being taken up by the dispute
d) Bad publicity

Options for resolving your dispute

ARBITRATION

This is an out of court method of settlement of civil disputes by arbitral tribunals which make arbitral awards as opposed to judgments.

The law relating to arbitration in Kenya is contained in the Arbitration Act2,. Under the Act, an arbitration agreement is an agreement between parties to refer to arbitration all or certain disputes arising between them.

Principles of Natural Justice in Relation to Arbitration proceedings are a fundamental requirement of justice in deciding a dispute between two or more parties.

Firstly, that the arbitrator or the tribunal must be and must be seen to be disinterested and unbiased. Secondly, every party must be given a fair opportunity to present his case and to answer the case of his opponent.

The first principle is embodied in Section 13 of the Arbitration Act which provides that when a person is approached for appointment as an arbitrator he must disclose any circumstances likely to give rise to justifiable doubts as to his impartiality or independence. That duty on the part of the arbitrator is a continuing duty right from the time that he is approached through to the time he accepts appointment, conducts the reference, and renders his award.

So under Section 13(2) the arbitrator is obliged through the arbitral proceedings to disclose without delay such circumstances.

The arbitrator must be on his guard with respect to connections with a party or connections in the subject matter of dispute or connections with the nature of the dispute. And the test that the arbitrator must always bear in mind is whether a reasonable person not being a party to the dispute would think that the connection was close enough to cause the arbitrator to be biased.
An arbitration agreement must be written, it may take the form of a detailed agreement or a clause in the agreement.
The Arbitration Act governs national and international disputes.

Methods of reference to arbitration

A dispute may be referred to arbitration by:

1. The parties to the agreement
2. An Act of Parliament
3. A court of law with consent of the parties to the dispute.

Arbitrators may be appointed by:

1. The parties to the dispute
2. A third party as agreed to by the parties
3. The High Court on application

Under section 12 (1) of the arbitration Act, the High Court may appoint an Arbitrator on application if:

a) The parties cannot agree as to who the single arbitrator shall be
b) In the case of two arbitrators, either party has failed to appoint an arbitrator within 30 days of receipt of the parties notice to do so.

c) The two arbitrators fail to appoint a 3rd arbitrator within 30 days of their appointment.

Powers of the arbitrator

1. To determine whether it has jurisdiction to hear the dispute.
2. To provide interim relief or remedies where necessary
3. To demand security from either party
4. To determine the admissibility of evidence
5. To administer oaths
6. To examine persons on oath.

Duties of the arbitrator

1. Once the arbitrator is pointed, he must enter upon his duties without undue delay. And if the terms of appointment dictate he must make an interim award, however, at the conclusion of the process he is bound to make a final award.
2. The decision of the arbitrator is known as an award. It must be written setting out the reasons for the decisions. It must be by majority and must be signed by all arbitrators.
   It must specify the date and the place at which it was made.

Recourse to the high court

Under section 35 (1) of the Arbitration Act, the High Court has jurisdiction to set aside an arbitral award an application by either of the parties.
The award will be set aside if the court is satisfied that:

1. One of the parties to the arbitration agreement had no capacity to enter into it.
2. The arbitration agreement was invalid in law.
3. The party was not offered sufficient notice for the appointment of a arbitral tribunal.
4. The arbitral tribunal was not constituted in accordance with the terms of the agreement.
5. The award relates to a dispute not contemplated by the agreement.
6. The award is contrary to public policy of Kenya.
7. The dispute is incapable of resolution by arbitration.

Once the award is set aside, the parties are free to file the dispute in a court of law. Arbitral proceedings may be terminated in the following ways:

1. The making of the final award
2. Withdrawal of the complaint
3. Mutual consent of the parties.

Advantages of arbitration

1. **Cheap:** It is relatively to see a dispute through arbitration hence a saving on cost on the part of the parties.
2. **Speed:** It is a faster method of dispute resolution in that the diaries of arbitrators are generally accommodative.
3. **Convenience:** Arbitral proceedings are conducted at the convenience of the parties in terms of venue, time, the law and language applicable.
4. **Informality:** Arbitral tribunals are generally free from technicalities which characterize ordinary courts.
5. **Expertise, knowledge and specialization:** Parties are free to refer their dispute to the most specialized arbitrator in that field.
6. **Privacy / confidentiality:** Arbitral proceedings are conducted in private free from public scrutiny. The parties enjoy the requisite confidentiality.
7. **Flexibility:** Arbitral tribunals are not bound by previous decisions. This affords them the necessary room to explore.
8. **It tunes down acrimony:** Arbitral proceedings are less acrimonious and parties generally leave the proceedings closer than they would have been in the case of a court of law.

Disadvantages of arbitration

1. Likelihood of miscarriage of justice: Arbitral proceedings may at times not guarantee justice, particularly if the question is complex and the arbitrator is not well versed in law.
2. Arbitral awards have no precedential value i.e. cannot be relied upon in other disputes.
3. Arbitral tribunals exercise unregulated discretion.

MEDIATION

Mediation is an informal and confidential way for people to resolve disputes with the help of a neutral mediator who is trained to help people discuss their differences. The mediator does not decide who is right or wrong or issue a decision. Instead, the mediator helps the parties work out their own solutions to problems.

Benefits of mediation

1. **Cost**

While a mediator may charge a fee comparable to that of an attorney, the mediation process generally takes much less time than moving a case through standard legal channels. While a case in the hands of a lawyer or a court may take months or years to resolve, mediation

usually achieves a resolution in a matter of hours. Taking less time means expending less money on hourly fees and costs.

2. **Confidentiality**

While court hearings are public, mediation remains strictly confidential. No one but the parties to the dispute and the mediator or mediators know what happened. Confidentiality in mediation has such importance that in most cases the legal system cannot force a mediator to testify in court as to the content or progress of mediation. Many mediators destroy their notes taken during a mediation once that mediation has finished. The only exceptions to such strict confidentiality usually involve child abuse or actual or threatened criminal acts.

3. **Control**

Mediation increases the control the parties have over the resolution. In a court case, the parties obtain a resolution, but control resides with the judge or jury. Often, a judge or jury cannot legally provide solutions that emerge in mediation. Thus, mediation is more likely to produce a result that is mutually agreeable for the parties.

4. **Compliance**

Because the result is attained by the parties working together and is mutually agreeable, compliance with the mediated agreement is usually high. This further reduces costs, because the parties do not have to employ an attorney to force compliance with the agreement. The mediated agreement is, however, fully enforceable in a court of law.

5. **Mutuality**

Parties to a mediation are typically ready to work mutually toward a resolution. In most circumstances the mere fact that parties are willing to mediate means that they are ready to "move" their position. The parties thus are more amenable to understanding the other party's side and work on underlying issues to the dispute. This has the added benefit of often preserving the relationship the parties had before the dispute.

6. **Support**

Mediators are trained in working with difficult situations. The mediator acts as a neutral facilitator and guides the parties through the process. The mediator helps the parties think "outside of the box" for possible solutions to the dispute, broadening the range of possible solutions

Qualities of the Mediation Process

Voluntary - You can leave at any time for any reason, or no reason.

Collaborative - As no participant in mediation can impose anything on anyone, everyone is motivated to work together to solve the issues and reach best agreements.

Controlled - Each participant has complete decision-making power and a veto over each and every provision of any mediated agreement. Nothing can be imposed on you.

Confidential - Mediation is generally confidential, as you desire and agree, be that by statute, contract, rules of evidence and/or privilege. Mediation discussions and all materials developed for a mediation are generally not admissible in any subsequent court or other contested proceeding, except for a finalized and signed mediated agreement. Your mediator is obligated to describe the extent of mediation confidentiality and exceptions to that confidentiality. The extent of confidentiality for any "caucus meetings" (meetings between the mediator and individual parties) should also be defined.

Informed - The mediation process offers a full opportunity to obtain and incorporate legal and other expert information and advice. Individual or mutually acceptable experts can be retained. Expert advice is never determinative in mediation. The participants always retain decision-making power. Mediators are bound to encourage parties to obtain legal counsel and to advise them to have any mediated agreement involving legal issues reviewed by independent legal counsel prior to signing. Whether legal advice is sought is, ultimately, a decision of each mediation participant.

Impartial, Neutral, Balanced and Safe - The mediator has an equal and balanced responsibility to assist each mediating party and cannot favor the interests of any one party over another, nor should the mediator favor a particular result in the mediation. Your mediator is ethically obligated to acknowledge any substantive bias on issues in discussion. The mediator's role is to ensure that parties reach agreements in a voluntarily and informed manner, and not as a result of coercion or intimidation.

Self-Responsible and Satisfying - Based upon having actively participated in voluntarily resolving issues, participant satisfaction and the likelihood of compliance are found to be elevated through mediation compared to court options.

NEGOTIATION

Negotiation has been defined as any form of direct or indirect communication whereby parties who have opposing interests discuss the form of any joint action which they might take to manage and ultimately resolve the dispute between them. Negotiations may be used to resolve an already-existing problem or to lay the groundwork for a future relationship between two or more parties.

Negotiation has also been characterized as the "preeminent mode of dispute resolution", which is hardly surprising given its presence in virtually all aspects of everyday life, whether at the individual, institutional, national or global levels. Each negotiation is unique, differing from one another in terms of subject matter, the number of participants and the process used.

Given the presence of negotiation in daily life, it is not surprising to find that negotiation can also be applied within the context of other dispute resolution processes, such as mediation and litigation settlement conferences.

Characteristics of a negotiation

Negotiation is:

i. **Voluntary:** No party is forced to participate in a negotiation. The parties are free to accept or reject the outcome of negotiations and can withdraw at any point during the process. Parties may participate directly in the negotiations or they may choose to be represented by someone else, such as a family member, friend, a lawyer or other professional.

ii. **Bilateral/Multilateral:** Negotiations can involve two, three or dozens of parties. They can range from two individuals seeking to agree on the sale of a house to negotiations involving diplomats from dozens of States (e.g., World Trade Organization (WTO)).

iii. **Non-adjudicative:** Negotiation involves only the parties. The outcome of a negotiation is reached by the parties together without recourse to a third-party neutral.

iv. **Informal:** There are no prescribed rules in negotiation. The parties are free to adopt whatever rules they choose, if any. Generally they will agree on issues such as the subject matter, timing and location of negotiations. Further matters such as confidentiality, the number of negotiating sessions the parties commit to, and which documents may be used, can also be addressed.

v. **Confidential:** The parties have the option of negotiating publicly or privately. In the government context, negotiations would be subject to the criteria governing disclosure as specified in the Access to Information Act and the Privacy Act (see confidentiality section). For general information on the privileged nature of communications between solicitor and client during the course of negotiations, please refer to the Department of Justice Civil Litigation Deskbook.

vi. **Flexible:** The scope of a negotiation depends on the choice of the parties. The parties can determine not only the topic or the topics that will be the subject of the negotiations, but also whether they will adopt a positional-based bargaining approach or an interest-based approach.

Advantages of negotiation

1. In procedural terms, negotiation is probably the most flexible form of dispute resolution as it involves only those parties with an interest in the matter and their representatives, if any. The parties are free to shape the negotiations in accordance with their own needs, for example, setting the agenda, selecting the forum (public or private) and identifying the participants. By ensuring that all those who have an interest in the dispute have been consulted regarding their willingness to participate and that adequate safeguards exist to prevent inequities in the bargaining process (i.e., an imbalance in power between the parties), the chances of reaching an agreement satisfactory to all are enhanced.
2. Like any method of dispute resolution, negotiation cannot guarantee that a party will be successful. However, many commentators feel that negotiations have a greater possibility of a successful outcome when the parties adopt an interest-based approach as opposed to a positional-based approach. By focusing on their mutual needs and interests and the use of mechanisms such as objective standards, there is a greater chance of reaching an agreement that meets the needs of the parties. This is sometimes referred to as a "win-win" approach.
3. Negotiation is a voluntary process. No one is required to participate in negotiations should they not wish to do so.
4. There is no need for recourse to a third-party neutral. This is important when none of the parties wants to involve outside parties in the process, e.g., the matter to be discussed or the dispute to be resolved may be highly sensitive in nature.
5. Unlike the outcomes of certain adjudicative processes, e.g., the courts, the outcome of a negotiation only binds those parties who were involved in the negotiation. The agreement must not, of course, be contrary to Canadian law (e.g., an agreement to commit a crime would be illegal and thus void for public policy reasons).
6. Assuming that the parties are negotiating in good faith, negotiation will provide the parties with the opportunity to design an agreement which reflects their interests.
7. Negotiations may preserve and in some cases even enhance the relationship between the parties once an agreement has been reached between them.
8. Opting for negotiation instead of litigation may be less expensive for the parties and may reduce delays.

Disadvantages of negotiation

1. A particular negotiation may have a successful outcome. However, parties may be of unequal power and the weaker party(ies) may be placed at a disadvantage. Where a party with an interest in the matter in dispute is excluded or inadequately represented in the negotiations, the agreement's value is diminished, thereby making it subject to future challenge. In the absence of safeguards in the negotiating process, the agreement could be viewed by a participant or others outside the process as being inequitable, even though the substance of the agreement may be beyond reproach.
2. A successful negotiation requires each party to have a clear understanding of its negotiating mandate. If uncertainty exists regarding the limits of a party's negotiating authority, the party will not be able to participate effectively in the bargaining process.
3. The absence of a neutral third party can result in parties being unable to reach agreement as they be may be incapable of defining the issues at stake, let alone making any progress towards a solution.
4. The absence of a neutral third party may encourage one party to attempt to take advantage of the other.
5. No party can be compelled to continue negotiating. Anyone who chooses to terminate negotiations may do so at any time in the process, notwithstanding the time, effort and money that may have been invested by the other party or parties.
6. Some issues or questions are simply not amenable to negotiation. There will be virtually no chance of an agreement where the parties are divided by opposing ideologies or beliefs which leave little or no room for mutual concessions and there is no willingness to make any such concessions.
7. The negotiation process cannot guarantee the good faith or trustworthiness of any of the parties.
8. Negotiation may be used as a stalling tactic to prevent another party from asserting its rights (e.g., through litigation or arbitration).

Objective of a Negotiation

Negotiations allow the parties to agree to an outcome which is mutually satisfactory. The actual terms of the agreement must be concluded by the parties and can be as broad or as specific as the parties desire. A negotiated settlement can be recorded in the form of an agreement. Once signed, has the force of a contract between the parties. If the settlement is negotiated in the context of a litigious dispute, then the parties may wish to register the settlement with the court in conformity with the applicable rules of practice.

Negotiating Styles

Generally speaking, although the labels may vary from one commentator to the next, negotiating styles can be divided into two categories:

1. **Competitive/Positional-Based Negotiation**

In the competitive model, the parties try to maximize their returns at the expense of one another, will use a variety of methods to do so and view the interests of the opposing party or parties as not being relevant, except insofar as they advance one's own goal of maximizing returns. Competitive bargaining has been criticized for its focus on specific positions rather than attempting to discern the true interests of the parties. Among the criticisms which have been levelled at the competitive model are its tendency to promote brinkmanship and to discourage the mutual trust which is necessary for joint gain.

2. **Cooperative/Interest-Based Negotiation**

Cooperative or problem-solving negotiation starts from the premise that the negotiations need not be seen as a ""zero-sum"" situation, i.e., the gains of one party in the negotiation are not necessarily at the expense of the other party. Common interests and values are stressed, as is the use of an objective approach, and the goal of the negotiations is a solution that is fair and mutually agreeable.

In recent years, the form of cooperative negotiating style known as principled bargaining has won widespread acceptance. The proponents of principled bargaining believe that bargaining over fixed positions can lead to situations where parties will either be stubborn ("hard bargaining") or accept unilateral losses (""soft bargaining"") in order to reach agreement Principled bargaining, which attempts to reconcile the interests underlying these positions, helps the parties to reach agreement and circumvent the problems of hard and soft bargaining. It is this form of negotiation which is seeing increasing use**.**

Other methods of resolving disputes include:

OMBUDSMAN

An ombudsman is a person who investigates complaints and attempts to assist the disputants to reach a decision. Usually this is an independent officer of the government or a public or quasi-public body. An ombudsman can be classified as an alternative dispute resolution mechanism.

Ombudsmanship is practiced in Sweden. In Kenya we have a Complaints Commission.

EARLY NEUTRAL EVALUATION (ENE)

This is where the parties to the dispute consult a 3rd party with regard to the dispute. The 3rd party then advises them on the likely outcome of the conflict should it be referred either to the
Courts or to other formal means of dispute resolution.
Most Advocates usually carry out ENE.

MINI TRIAL

This can either be judicial or private, and is similar to ENE above.

In a Judicial Mini Trial, the parties are already in Court and they go before a Judge. The synopses of their cases are presented and the judge advises on the likely outcome if the matter was to go to trial.

Private Mini Trials mostly occur in large organizations where the members (Senior Managers of the Enterprise) receive a summary of the dispute and essentially suggest ways of resolving them.

EXPERT DETERMINATION

This is where the parties to the dispute appoint a third party who makes a binding decision upon hearing the parties. He must be an expert and makes his decision based on such expertise. His decision is binding.

ADJUDICATION

This is where an adjudicator is appointed to settle disputes. He is appointed as a neutral third party entrusted to take initiative in ascertaining the facts and the law relating to the subject matter in question.

His decision is binding and should be made within a short time. He should also be suitably qualified to deal with the subject matter.

TRADITIONAL/ CUSTOMARY DISPUTE RESOLUTION

Each Community has its own e.g. *Njuri Nceke* of the Ameru, *Abagaka B'egesaku* of the Kisii,
Kiama of the Kikuyu and Luo Council of Elders for Luo
They are recognized by Kenyan Courts just as African Customary Law. The Bomas Draft Constitution recognized them.

TOPIC 2

LAW OF PERSONS

Introduction

A person is defined is defined as an entity or being which is recognized by law as having certain defined rights and obligations. Such an entity or being hs said to be a legal person. Legal persons are divided into two namely;

a) Artificial persons
b) Natural persons

An entity which` is recognized as a person is said to have a legal personality. i.e. it has attributes which are recognized by law as constituting a person. Examples include human beings (natural persons) and corporations (artificial persons) .These have legal personality to the extent that they each have their own rights and obligations recognized by law

NATURAL PERSONS

Discussed below are the provisions of the law of persons on various natural persons.

(a) Minors

A minor is also known as an infant. He is a person who is below the age of majority. A person who has attained the age of majority is a major or an adult. The Age of Majority Act (Cap 33) provides that a person shall be of full age and cease to be under any disability by reason of age on attaining the age of eighteen years.

The infants can sue and be sued in tort. The age of criminal responsibility is at the age of eight years. An infant is not eligible to vote until he has attained the age of eighteen years and whose name appears on the register of voters (Section 43(1). Constitution of Kenya). An infant can own personal property. As regards the immovable property, an infant's name can be entered in the register as the owner of registered land (Section 113(1) of the registered Land Act (Cap 300).
With exception of this right, an infant cannot own immovable property.

Minority is a disability in the sense that there are certain things which a minor cannot do or be made liable for e.g. a minor cannot get a driving license.

Special rules governing the minors in respect of contracts, property, succession, liability in torts and other areas of law, will be dealt with in their respective places in the chapters that follow.

Legitimation

A legitimate child is a child who is born within the wedlock (lawfully married) of the parents.

On the other hand, an illegitimate child is a child who is born outside wedlock.

Legitimation is the process by which an illegitimate child becomes legitimated. It is brought by the subsequent marriage of the parents of a child who was born illegitimate. Thus, if A and B, being unmarried, beget a child C, C is an illegitimate child; but if A and B subsequently get married, C is said to be legitimated and he thereby becomes a legitimate child.

The Legitimacy Act (Cap 145) provides that an illegitimate child can be legitimated by the subsequent marriage of his parents. Section 5 of this Act provides that an illegitimate person after becoming legitimate is entitled to take any interest:

a) In the state of an intestate dying after the date of legitimation, or
b) Under any dispution coming into operation after the date of legitimation; or
c) By descent under an entailed interest created after the date of legitimation

He is treated as legitimate person as he had been legitimate. There is only one limit to this right i.e, when property devolves on children and the question of seniority arises, a legitimated person is deemed to have been born on the date of his legitimation.

Under the Law of Succession (Cap 160), the term child also includes an illegitimate child. This in effect gives an illegitimate child the same claim on his father's estate as a legitimate child.

Under the customary law, an illegitimate child has the same rights as a legitimate child.

Adoption

Adoption is the process by which parental rights are transferred from the natural parents of a child to other persons authorized by law. An infant can be adopted so that the relationship between the child and the adopter is similar to that of the parent and child. The adoption is governed in Kenya by the Adoption Act (Cap 143)

An adoption order has the effect of vesting in the adopter all rights, duties, obligations and liabilities which were previously vested in the parent(s) or guardian(s) of the adopted child. And after adoption, the adopter becomes responsible for the custody, maintenance and education of the adopted child, and he has a right to consent or dissent to the marriage of the adopted child.

Indeed, the adopted child is much in the same position as a child born to the adopter in lawful wedlock even in matters of family settlements and inheritance. The infant who is adopted will have also the same rights to the adopter's property as if he were his real child.

A resident magistrate's Court has the jurisdiction to hear and issue adoption orders where all the consents required, have been given and where the adoption case is straight-forward. In other cases, the High Court makes Adoption Orders. Any person aggrieved by the making or refusal of an adoption order can appeal to the Court of Appeal.

Guardianship

An infant's interests are normally protected by his parents. Where an infant has no parent there is need for a guardian to play this role. An infant whose interests are looked after by a guardian is known as a ward. The law relating to the guardianship and custody of infants is contained in the Guardianship of Infants Act (Cap 144).

Section 3 of the Act provides that:

1. On the death of the father of an infant, the mother shall be the guardian of the infant, either alone or jointly with any guardian appointed by the father. When no guardian has been appointed, the court may appoint a guardian to act jointly with the mother.
2. On the death of the mother of an infant, the father shall be the guardian of the infant, either alone or jointly with ant guardian appointed by the mother. When no guardian has been appointed, the court may appoint a guardian to act jointly with the father.
3. Where an infant has no parent, no guardian of the person and no other person having parental rights with respect to it, the court, on the application of any person may appoint the applicant to be the guardian of the infant.

The court may remove guardians, if it is deemed to be in the welfare of the infants. The court has the supervisory powers of control over a guardian.

A guardian exercises control over an infant and is responsible for his education, maintenance and welfare. For example, before an infant between the ages of sixteen and eighteen years can marry, the consent of the guardian is required. A guardian has power over the estate and the person. The guardian must have regard to the welfare of his ward.

b) Mentally Disordered Persons

A mentally disordered person is also known as a person of unsound mind. Like a minor, he lacks capacity to do certain things. The insanity affects a person's legal capacity on many ways. The law recognizes that such persons may be exploited or taken advantage of and that some measure of protection is required.

The mental Treatment Act (Cap 248) provides some measure of protection, treatment, care of mentally disordered persons and the custody and the management of the property of such persons.

A mentally disordered person is subject to certain disabilities. These are as under:

a) He does not have the right to vote.
b) A marriage contracted by any person of unsound mind is not valid [Matrimonial Causes A ct Chapter 152, Section 14(1) (f)].

c) Insanity is a defense to a prosecution for any crime, although the accused must prove that he was insane at the time the crime was committed.
d) The contracts of mentally disordered persons are voidable atthe option of the mentally disordered persons.

The mental Treatment Act (Cap 248) requires that a person of unsound mind must be admitted to a mental hospital. Any such person may be received as a voluntary patient into a mental hospital if he has attained the age of sixteen years. Any person under that age can be received as a voluntary patient if a parent or guardian is so desirous. A magistrate can also make a reception order to admit a person of unsound mind into a mental hospital. This order is made if it is proved that the person is of unsound mind. It also requires the report of a medical practitioner. Under this Act, the court may also make orders for the management of the estate of any mentally disordered person and for the guardianship of such person by any near relative or by any other suitable person.

Provisions of the law of persons on Marriage

Marriage is said to be a contractual relationship. It is viewed as a contract between a man and his wife. It gives rise to certain rights and duties.

The Law of Kenya recognizes the following four systems of marriage:

(a) Statutory Marriage
(b) Customary marriage.
(c) Hindu marriage
(d) Islamic marriage

The parties to a statutory marriage must each have capacity to marry. This capacity is determined by their age, sex and marital status. Except in the case of a widower or a widow, marriage age is generally 21 years. A person below this age can only contract a marriage with the consent of his father, or the mother in case the father is dead or of unsound mind or absent from Kenya. As regards sex, the parties to the marriage must be male and female. The persons of same sex have no capacity to marry. Regarding marital status, each of the parties to the intended marriage must be single. A marriage is null and void if it is celebrated while the former husband or wife of either party is still alive and the previous marriage is still in force. It makes no difference that the previous marriage was celebrated under customary law. Finally, a marriage is null and void if the parties to it are within the prohibited degrees of consanguinity or affinity. This means that the close relatives, such as brothers and sisters have no capacity to marry each other. The persons of unsound mind, i.e. lunatics and idiots, have no capacity to marry.

Citizen or Nationality

Nationality or citizenship refers to a person's political allegiances to some state in return for which he is afforded protection by the state. Each independent state has right who are the nationals or citizen.

The law relating to citizenship and the nationality of Kenya is contained in the constitution of
Kenya and the Kenya citizenship Act (Cap. 170)

Provisions of the law of persons on Acquisition of Citizenship

Citizen of Kenya may be acquired in four different ways.
These are

1. By birth,
2. By descent,
3. By registration,
4. By nationalization

These are explained below

By Birth

Citizen by birth is determined by the fact of being born in Kenya and also by citizenship of a person's parents or grandparents. All persons born in Kenya who on 11 th December 1963 were either citizens of the United Kingdom or British protected persons automatically became Kenyan citizens on Independence Day (12 th December 1963) if either of their parents had been born in
Kenya. A person born in Kenya after 11 th December 1963 shall become citizens of Kenya.

1. **By descent**

A person born outside Kenya after 11 th Kenya after 11 th December 1963 becomes a citizen of Kenya on the day of his birth if on that day his father is a Kenya citizen. This citizenship is by descent only if at that time of his birth his father was Kenya citizens other than a citizen by descent born outside Kenya do not acquire the country's citizenship from him or his father. Thus paternity is given prominence in the determination of citizenship by descent.

2. **By registration**

Any woman who marries a citizen of Kenya may apply for registration and be granted citizenship. Similarly, a person of full age who is a citizen of a commonwealth country or a specified African country who has been ordinarily resident in Kenya for five years may be registered as a Kenya citizen upon making an application for this purpose.

3. **By naturalization**

Section 93 of the Kenya constitution Act provides that an alien may apply to be a citizen and he may be granted with a certificate of naturalization if:

a) He is of full age
b) He has resided in Kenya for one year before the application

c) He has resided in Kenya four a total of four years during the seven years before the one year in paragraph (b) 30
d) He is of good character;
e) He has an adequate knowledge of the Swahili language; and
f) He intends to remain a resident, if naturalized

Note: The grant of citizenship by naturalization is purely discretionary

Loss of Citizenship

There is two ways in which citizenship can be lost. These are explained under

1. **By Renunciation**

A citizen of Kenya who is also a citizen of some other country, is free to renounce his Kenya citizenship but he may do so only if he is of full age and capacity. For renunciation citizenship, he is required to make a declaration in prescribed manner. He ceases to be a citizen of Kenya upon registration of the declaration. A person who is a citizen of Kenya and also some other countries at the age of twenty one ceases to be a citizen of Kenya at the age of twenty three unless he has renounced the citizenship of that country.

2. **By deprivation**

The Kenyan citizenship also may be lost by deprivation. But the deprivation applies only to those citizens who acquire Kenya citizenship by registration or naturalization. A person may be deprived from citizenships in following cases:

a) Has shown himself to be disloyal towards or disaffected towards Kenya;
b) Has during the war in which the country was engaged, traded with or otherwise assisted the enemy.
c) Has, within five years of registration or nationalization been sentenced for more than twelve months imprisonment.
d) Has resided continuously abroad for seven years and has neither been in service of Kenya or an international organization which county is a member, nor registered annually at a Kenya consulate his intention to retain the citizenship or
e) Has obtained his registration or naturalization by fraud, false representation or concealment of a material fact.

Provisions of the law of persons on Domicile and Residence

A person's domicile is the place where he permanently resides with an intension to remain. Mere residence is not sufficient. *Animus manedi* i.e. an intention to permanently remain must be established.

In order to establish the domicile of a person, the following two elements are taken to consideration.

i. Actual residence

ii. '*Animus Manedi'* i.e. the intention to remain in that place or country

Where these two elements co-exist, a person is said to have a domicile in that country. For example, a Ugandan citizen may decided= to live permanently in Kenya.
In that case Ugandans acquires a domicile in Kenya.

The law relating to domicile in Kenya is contained in the "The laws of Domicile Act (cap. 37)."
There are three types of domicile: ***origin, choice and dependence***. These are explained as under:

i) Domicile of Origin

A person acquires his domicile of origin at birth. A legitimate child inherits its father's domicile
(S.3), an illegitimate child inherits its mother's (S.3) and under common law a founding (i.e. an abandoned child) has its domicile of origin continuous until he acquires a new one (S.4)

ii) Domicile of Choice

'A man acquires a new domicile by taking up his fixed habitation in a country which is not that of his domicile of origin.' (S.8) He is then said to have acquired a domicile of choice, where upon the domicile of origin is relinquished. He may however later resume his domicile of origin.
A domicile of choice continuous until the former domicile is resumed or until another domicile is acquired. It is important to note that the only person of full age and capacity may acquire the domicile of choice. For example a Kenyan may decide to live in Tanzania permanently. In this case, he acquires Tanzania domicile though he remains a Kenyan citizen.

iii) Domicile of Dependence

Domicile of dependence is also sometimes described as dependent domicile. A person is said to have this kind of domicile if his domicile necessarily changes with that of another person on whom he is dependant. A woman acquires the domicile of the husband on marriage. An infant acquires the domicile of the father.

Domicile and Residence

A place where a person lives, whether permanently or temporarily, is his residence. A person's residence determines his liability of taxation, i.e. he is subject to the place where he resides; it also determined his status in war time-a person who is resident in a country with Kenya is engaged in war is automatically an enemy.
Residence as such must be distinguished from domicile. A mere temporary stay is sufficient to constitute one a resident of a particular area but to be domiciled in a place one must intend to permanently remain there; residence is just one of the two elements required to prove domicile.

There are two reasons which make it important to draw a distinction between the two; first to determine the law applicable and secondly to determine whether the court has jurisdiction in a particular case. As already seen, a person's family relations and movable property are determined by the law of his domicile; they are not determined by the law of the place where he might be temporarily resident. Thus, if a domiciled Englishman takes up residence in Kenya dies in Kenya living movable property succession to the property will be governed by the government of England and not the law of Kenya. Regarding jurisdiction, courts usually have jurisdiction over persons who are resident within their territorial jurisdiction.

Domicile and Nationality

Domicile must be distinguished from nationality. While nationality is referable to as political system in the sense that a person owes his allegiance to the state that he is a national domicile on the other hand is referable to as a legal system: a person's family relations in these matters like marriage and divorce, legitimacy etc, and also his movable property are governed by the laws of his domicile. Secondly, it is possible for a person to have a no nationality at all e.g. where he is rendered stateless upon being deprived of his citizenship; but every person must have a domicile at any one time. Thirdly, it is possible for a person to have dual citizenship, i.e. to be a citizen of more than one country at the same time but no one can have more than one domicile at the same time.

Provisions of the law of persons on proceedings against the State

The government may commit a civil wrong, just like an ordinary individual. The law relating to proceedings against the state is governed by the Kenya Government proceedings act (Cap.40).

An aggrieved person has a right to sue the government for the act and defaults of its servants and agents. The government is liable for its own wrongful acts as well as those committed by its servants if the servant himself would have been liable in the first place.

Section 4(1) of this Act provides that the state may be sued in tort in the following cases:

a) In respect of the torts committed by it servants or agent.
b) In respect of any breach of those duties which a person owes to his servants or agents at common law by reason of being their employer; and
c) In respect of any breach of the duties attaching at common law of the ownership, occupation, possession and control of property:

ARTIFICIAL PERSONS

Artificial persons may be corporations or unincorporated associations.

a) Corporations

A corporation may be defined as an association of persons binded together for sole particular object, usually carry on business with a few of profit. If other words a corporation is an artificial person created with by law with capital divided into transferable shares and with limited or unlimited liability possessing a common seal and perpetual succession. The corporation has, therefore, ` legal personality of its own distinct from that of its members. The individual members have rights and liabilities of their own apart from those of the corporation. The corporate body is different in that it has perpetual succession, it never dies and has a common seal by which to authenticate its acts. The members may change, but the corporate body does not.

Types of Corporation

There are basically two types of corporation: corporation sole and corporation aggregate. The two differ both in the manner of their creation as well as their membership and also in their operation

i. Corporation sole

Corporation sole is one which consists of one human member at a time, such member being the holder of an office which is held in succession by one person at a time. Some corporations' sole are creatures of the common law, e.g. the office of a bishop. There cannot be more than one bishop in a `diocese at the same time and when a particular bishop dies as an individual, his office never dies and continues in existence with another bishop as a successor. Other corporation sole are created by constitution or any Act of Parliament e.g. the Office of the President or the Office of the Pubic Trustee.

ii. Corporation Aggregate

Most corporations are corporations aggregate. These consist of two or more members at the same tire. Basically, there are two types of corporation aggregate operating in Kenya. These are statutory corporations and registered companies.

Creation of Corporations

A corporation can be created in the following to ways:

(a) By act of parliament

The corporations can be created by the Act of Parliament in Kenya. The state corporations are% created by this method. The main examples of such corporations are: Kenya railways, Kenya airways, Kenya Meat Commission, Pyrethrum Board of Kenya, Coffee Board of Kenya e.g.

Such corporations owe their legal existence to a statue. A statue creating the corporation gives it a name, stipulates its composition, and prescribes its powers and duties. The powers of these corporations are limited to those which are expressly conferred by the acts. The

powers of statutory corporation can be extended or limited by statutes. These can be also dissolved by statutes. The statutory corporations are legal persons. They can sue and be sued. They can buy and sell property.

(b) By registration under companies act

The registered companies are created by registration under the companies act. These are also know as limited company comes into existence by complying with the provision of the companies act (cap 486) a limited company may either be private or public limited company. A private limited company can be registered by two or more persons but it is not allowed to call upon the public for funds in the form of shares or debentures. A public limited company can be registered by seven or more persons and it cano ffer its shares to the general public freely.

In Kenya, the limited companies are formed according to the companies act (Chapter 486).

UNINCORPORATED ASSOCIATIONS

An incorporated association is one which has no corporate status is one which has no corporate status i.e. it has no legal personality and cannot , therefore, own property or enter or enter into contracts or sue or be sued in its own name. Such associations include clubs, societies, trade unions, partnerships e.t.c. These associations consist of groups of individuals. The property owned by such associations is regarded as the joint property of all members although this property is held on the behalf of all members by trustees. Any contract entered into by a member on behalf of the association is regarded as the contract of that member. If a committee has committed a tort then the committee members are responsible.

a. Partnerships

Partnerships are incorporated associations. In Kenya all partnership are formed in accordance with partnership act (Cap 29). Section 3(1) of this act defines partnership as the relationship which subsists between in common with a view of profit. In a partnership business, two or more persons jointly run a business. The liability of the individual partner is unlimited unless the partnership agreement provides for any limitation. A partnership consists of not more than twenty persons except in certain cases e.g. practicing solicitors, professions accountant and members of the stock exchange where this figure may be exceeded. Normally, the number of partners in a partnership business varies from two to five. In the case of banking business, the number of partners is limited to ten.

The name of partnership must be registered first under the Registration of Business Names Act (Cap. 499). The formation of a partnership is not very complicated. The partners may sue and be sued in the name of their firm, but if they sue in the firm's name they can be compelled to disclose the name and address of every members ofthe firm. If sued in the firm's name they must enter an appearance in their own name individually but subsequently proceeding continues in the name of the firm.

b. Trade Unions

A trade union is the association of laborers. It has been defined by Prof. Web in the words, "A trade union is a continuous association of wage earners for the purpose of maintaining and improving the conditions of their employment.

Trade unions are also unincorporated associations. All the trade unions in Kenya are established according to the provisions of Trade Unions Act (Cap 233). This Act defines a trade union as "an association or combination, whether temporary or permanent, of more than six persons, the principal objects of which are under its constitution the regulation of the relations between employees and employers, or between employees and employees."

Although a trade union is an unincorporated association but it may sue and be sued and be prosecuted under its registered name. This gives the trade union a form of corporate personality.

It is done so as to facilitate any criminal and civil proceeding. Section 27 of the Act provides that:

1. A registered trade union may sue and be sued and be prosecuted under its registered name.
2. An unregistered trade union may sue and be sued and be prosecuted under the name by which it has been operating or its generally known.

Section 25 of the Act provides that every trade union shall be liable on any contract entered into by it or by an agent acting on its behalf.

This discussion proves that the trade unions have been given certain rights and privileges which are not given to other unincorporated associations. In spite of this fact, they are not separate legal entities of their own and cannot be treated as corporations.

TOPIC 3

LAW OF TORT

Introduction

Tort is a civil wrong which according to Sir F. Pollock defined as; an act which causes harm to a determinate person whether intentionally or not, not being a breach of a duty arising out of a person relationship or contract and which is either contrary to the law, or an omission of a specific legal duty, or violation of an absolute right.

1. Prof. P H Winfield, Tortious Liability arises from breach of a duty primarily fixed by law; this duty is towards persons generally and its breach is redressable by an action for unliquidated damages.
2. Sir John Salmond defined Tort as a civil wrong for which the remedy is common law action for unliquidated damages and which is not exclusively the breach of contract or the breach of trust or other merely equitable obligation.

From the definition we can conclude the following characteristics about tort

1. Tort is a private wrong, which infringes the legal right of an individual or specific group of individuals.
2. The person, who commits tort is called "tort-feasor" or "Wrong doer"
3. Tort litigation is compoundable i.e. the plaintiff can withdraw the suit filed by him.
4. Tort is a specie of civil wrong.
5. Tort is other than a breach of contract
6. The remedy in tort is unliquidated damages or other equitable relief to the injured.

Note; Liquidated damages should be distinguished from unliquidated damages.

Liquidated damages- this is a specified amount of compensation. The law is usually clear on what the liable party pays or the parties themselves have already agreed to the compensation

Unliquidated damages- this kind of compensation is unspecified and the court will rely on the nature of the case to determine it.

NATURE OF TORT

This liability arises once there is a breach of duty which is primarily fixed by the law. Generally the plaintiff has to prove that he suffered harm and there was violation of his legal rights. Some actions, however, are actionable per se, i.e, without proof of injury, e.g. trespass to land.

The liability and remedy of a party in torts will depend on the following general principles

1. **Damnum sine injuria (harm without legal injury)**

This basically means the ***causing of damage without the violation of a legal right***. Such a case is not a valid claim in the court of law. The fact that the man is injured by another man's act does not by itself constitute a cause of action; this may be even if the injury-causing act is intentional or deliberate. A violation of the legal right is required in order for a valid cause of legal action to exist.

In *mogul steamship company v.mc Gregory gow and company* , where a number of steamship companies conspired and drove another tea-carrier company out of business by offering lesser rates. Even though the plaintiff was financially injured, the House of Lords ruled that the other companies were entitled to indulge in such competitive practices and therefore there was no cause of action.

2. **injuria sine dumno**

This refers to a situation where one suffers a violation of his legal rights without actual injury or damage, e.g. trespass to land
In such instance the person is entitled to remedy.

In, *Ashbay Vs. White*, the defendant, a returning officer at a voting booth, wrongfully refused to register a duly tendered vote of the plaintiff, who was a qualified voter. The candidate for whom the vote was sought to be tendered was elected. So no loss was suffered by the plaintiff for rejection of his vote.
The Court held that violation of the plaintiff's right was an injury to him for which he must have a remedy without proof of actual damage.

Tortious liability can also be determined on the basis of the fault principles. In this case it is necessary to establish some fault on the part of the wrongdoer before he can be made liable. Fault principle is determined in three ways;

- **Intention**- where one does a wrongful act intending the consequences
- **Recklessness**- doing an act without regarding the consequences
- **Negligence**- this is doing something that a reasonable person would not do, or omitting an action that a reasonable person would do.

GENERAL DEFENSES IN TORTS

If one sues the other claiming that the other person has violated his rights and in so doing has committed a tort, then certain defenses are available to the defendant. The extent to which they apply against different torts, may, however, differ. Some of the defenses which can be used in torts are:

1. Volenti non Fit Injuria
2. Inevitable Accident
3. Act of God
4. Self-defence
5. Mistake.
6. Necessity
7. Statutory Authority

1. **Volenti Non Fit Injuria**

This refers to „voluntary taking of a risk'. It's when a person chooses to be in the situation that causes the injury. For example, suppose you are a spectator at a cricket match , the batsman hits a six, and the ball lands on your head, then you cannot claim for compensation either from the stadium authorities or the batsman because when you took a seat in the stadium, you accepted the risks while sitting in the stadium. Therefore if the defendant can prove that the plaintiff voluntarily put himself in that situation, he can escape liability.

The most important thing to remember is that the action must be voluntary i.e. with the informed consent of the relevant person.
There are two things which should be established in order to use this defense.

a) That the plaintiff knew or could have expected the risks involved in such a situation.
b) That the person agreed by a statement or conduct, to suffer the consequence of the risk without force or compulsion or threat.

Khimji v. Tanga Mombasa Transport Co. Ltd. (1962).
The plaintiffs were the personal representatives of a deceased who met his death while traveling
as a passenger in the defendant's bus. The bus reached a place where the road was flooded and it
was risky to cross. The driver was reluctant tocontinue the journey but some of the passengers,
including the deceased, insisted that the journey should be continued. The driver eventually yielded and continued with some of the passenger, including the deceased. The bus got drowned
together with all those aboard it. The deceased's dead body was found the following day.
Held: The plaintiffs' action against the defendants could not be maintained because the deceased knew the risk involved and assumed it voluntarily and so the defence of volenti non fit injuria rightly applied.

Apart from instances like those ofthe above case, the defence of 'volenti' has been pleaded in a
number of situations, including the followings:

1. A passenger injured by the act of a driver whom he knew to be under the influence of drink at the material time.
2. A spectator at a game, match or competition injured by the act of the players of participants.
3. A patient injured by the act of his surgeon, where the patient has consented to the operation.

The viability of the defence depends on the circumstances of each case; otherwise the consenting party does not, by his consent, necessarily give an open cheque to the other party to
act negligently, high-handedly or in any manner he pleases.

Haynes v. Harwood, (1935)
The defendant's servant left a van and horses unattended in a crowded street. A boy threw a stone at the horses and they bolted. This exposed a woman and some children nearby to some
grave danger. The plaintiff, a police constable, managed to stop both horses; but he did so at great personal risk and in fact sustained severeinjuries. In an action brought against him, the defendant pleaded volenti.
Held:

1. The doctrine of country assumption of risk did not apply because the plaintiff, in rescuing the persons in imminent danger, had acted under an emergency caused by the defendant's wrongful act.
2. It was immaterial that the persons to be saved were strangers, and the defendants were liable.

2. Inevitable accident

When an injury is caused to a person by an event that could not be foreseen and avoided despite reasonable care on the part of the defendant, the defense of inevitable accident can be used. For instance, by „inevitable' it is not meant that the accident was bound to happen, but rather, that the accident could not have been avoided despite reasonable care.
Stanley v. Powell, (1891)
The plaintiff was employed to carry cartridges for a shooting party. A member of the party fired at a pheasant but the bullet, after hitting a tree, rebounded into the plaintiff's eye. The plaintiff sued.
Held: the defendant was not liable as the plaintiff's injury resulted from an inevitable accident.

3. Act of God

This defense is similar to the defense of inevitable accident according to me. The only difference is that in the defense of Act of God the accident happens to occur because of unforeseen natural event. The requirements which are to be satisfied are

(a) The injury most be caused by the effect of natural forces
(b) The natural forces must be unforeseen, or the effects must be unavoidable.

So even if a natural event like a storm is taking place, if one can take precautions and avoid the damage, the defense cannot be used.

Nichols v. Marsland, (1876)
The defendant had a number of artificial lakes on his land. An unprecedented rain such as had never been witnessed in living memory caused the banks of the lakes toburst and the escaping water carried away four bridges belonging to the plaintiff's bridges were swept by act of God and the defendant was not liable.

4. Self defense

If one injures someone, or something that belongs to someone else, while defending self or own property, then one can be excused if the force used to protect self was reasonable. For instance, if someone punches you on stomach and you shoot him that would be an excessive use of force which is not necessary for defending yourself.
The following must be satisfied in order to claim this defense:

a) The defendant must be under threat or under attack
b) The defense must be for self-defense and not for revenge
c) The response must be proportional to the attack or threat.

The principle for this is that the law will not hold you responsible for an action that you performed in order to save or protect yourself. If, however, it was not necessary to use force for protection, the law will not protect, and you can't use this defense.
Cresswell v. Sirl, (1948)
A dog owned by plaintiff, C, attacked during the night some ewes lambs owned by S. The dog had just stopped worrying the sheep and started towards S, who shot it when it was 40 yards away. C sued for trespass to goods (dog). Held: S was justified in shooting the dog if

(i) it was actually attacking the sheep; or
(ii) if left the dog would renew the attack on them, and shooting was the only practicable and reasonable means of preventing revival. The onus on justifying the trespass lay on the defendant.

An occupier of property may also defend his property where his interest therein is wrongfully interfered with. Once again, reasonable force must be used in the defence of property. A trespasser, for instance, may be lawfully ejected using reasonable force. The

use of force which is not called for in the circumstances entails legal liability on the part of the person purporting to defend his property.

5. **Mistake**

Mistake is not usually a defense in tort law. It's not good enough to say that you didn't know you were doing something wrong. This defense can be used in case of malicious prosecution. In malicious prosecution it must be shown that the prosecution was acting with malice.

6. **Necessity**

In necessity, you have to show that the act you did was necessary in the circumstances. For instance, if one enters someone's private land in order to collect water from his well to put out a fire in his house, that the person was prompted by necessity and the defense could be used in tort claim and it could be used against trespass of property. The level of necessity should be very high. Basically the wrong done should be smaller in comparison to the importance of right done.

Cope v. Sharpe (1912)
The defendant committed certain acts of trespass on the plaintiff's land in order to prevent fire from spreading to his master's land. The firenever in fact caused the damage and would not have done so even if the defendant had not taken the precautions he took. But the danger of the fire spreading to the master's land was real and imminent.
Held: The defendant was not liable as the risk to his master's property was real and imminent and a reasonable person in his position would have done what the defendant did.
In view of the difficulty posed by the above defence, it is not advisable for a defendant to rely solely on it, especially where there are other defences. It is safer to plead it as an alternative to another defence.

7. **Act under Statutory Authority**

This defense is valid if the act done was under the authority of some statute. For example, if there is a railway line near your house and the noises of the train passing disturbs then you have no remedy because the construction and the use of the railway is authorized under a statute. However, this does not give the authorities the license to do what they want unnecessarily; they must act in a reasonable manner.

Voughan v. Taff Vale Railway Co. (1860)
A railway Company was authorized by statute to run a railway which traversed the plaintiff's
land. Sparks from the engine set fire to the plaintiffs woods.

Held: that the railway company was not liable. It had taken all know care to prevent emission of sparks. The running of locomotives was statutorily authorized.

CAPACITY TO SUE OR BE SUED IN TORT

The general rule is that any person may sue or be sued in tort. All persons are subject to the same laws. However, some special rules apply in certain circumstances which restrict, forbid or qualify the right to sue or be sued. It means certain persons cannot sue, while some other persons cannot be sued.

Capacity means the capacity of parties or persons to sue or to be sued in law of torts. The capacity of various persons in the law of torts is explained as under:

The Government

The Government Proceedings Act (Cap 40) makes the Government subject to liabilities in tort as if it were a private person mf full age and capacity. Section 4 (1) of this Act provides that the Government is liable.

a) in respect of torts committed by its servants or agents;
b) in respect of any breach of those dutie3 which a person owes to his servants or agents at common law by reason of being their employer; and
c) in respect of any breach of the duties attaching at common law to the ownership, occupation, possession or control of property.

The Government is also liable for statuary torts i.e. torts arising from breach of a duty imposed by statute. However, the Government is not liable for anything done by any person when discharging any responsibilities of a judicial process (Sec. 4 (5).The Government is not also liable for trots committed by public officers who are appointed and paid by local authorities, or members of public corporations like Kenya Railways, Maize and Produce Board of Kenya e.t.c.

Infants and Minors

At a general rule minority is no defense in tort. Infants can sue and `e sued in the same way as any other person. However, the age of an infant may be relevant in some torts where intentions, malice, or negligence of the wrongdoer are the main cause of the tort. In the case of negligence, the infant may not have reached the stage of mental development where it could be said that he should be found legally responsible for his negligent acts. A child may be also guilty of negligence if old enough to take precautions for his own safety.

Burnard v. Haggis, (1863)

A minor hired a horse for riding and was told by the owner not to jump over it. But he jumped the horse and injured it.

Held: The minor was liable for his tort which was of independent of the contract. Generally, a parent or guardian is not liable for the torts of his children unless he authorizes the tort. But a parent or guardian is liable for torts committed by children in negligence.

Bebee v. Sales, (1916)
A parent permitted his son aged 15 to remain in possession of a shotgun, with which the son had already caused harm and in respect on which complaints had been made.
Held: the father was liable for injury to another boy's eye

Husband and Wife
The position of husbands and wives in tort is covered by two English statutes. These are: the Married Women's Property Act 1882 and the Law Reform (Married Women and Tortfeasors) Act, 1835. The former Act is a statute of general application is Kenya. The latter statute applies in Kenya to the extent of paragraphs (b) and (c) of question 1.

A married woman is liable in tort and may sue or be sued in tort in the same way as though she were a female sole (i.e. a single of unmarried woman). A wife can sue her husband in tort for the protection of her own property.

The President
The Constitution of Kenya (Kenya 14) provides that the President of Kenya is not "liable to any proceedings whatsoever in any court."It means that no civil or criminal proceedings can be instituted against the President while he is in office.

Heads of State and Diplomats
The Heads of foreign states, diplomats of foreign missions and certain other persons connected to them are immune from the jurisdiction of the local courts. Their immunity is provided by the Vienna Convention of Diplomatic Relations, signed in 1961, the relevant articles of which are given the force of law in Kenya by "The Privileges and Immunities Act (cap. 179)".

The accredited diplomats and their staff families enjoy immunity from the criminal and (subject to specified exceptions) from the civil and administrative jurisdiction of the local courts. The immunity does not extend to Kenyans who are employed by diplomatic missions. Representatives of the United Nations Organization and its specialized agencies can also claim diplomatic immunity. Although the diplomats and their staff cannot be sued under the law of tort but it is always open to the Ministry of Foreign Affairs to declare a diplomat 'persona non grata', thereby requiring his removal from Kenya.

Corporations
The corporations can sue and be sued in their own names. They are liable to actions in tort.

A corporation is also liable for torts committed by its servants and agents. But if a servant of a corporation commits a tort which is *'ultra vires'* (beyond powers) then the corporation is not liable. Similarly, a corporation is not liable for some torts of personal nature e.g. personal defamation, battery e.t.c.

Trade Unions

The trade unions have capacity to sue in tort but actions against them in tort are limited. Section 23 of the Trade Unions Act (Cap. 233) provides that no action shall be brought against a trade union for torts committed by its members or officials in respect of any act done in contemplation or in furtherance of a trade dispute. For example, if a trade union calls a strike, it cannot be sued by an employer for the tort of inducing a breach of contract.

Persons of Unsound Mind

These are generally liable in tort unless intent is a necessary element and their condition is such that they could not have formed such intent.

Morriss v. Marsden, (1952)

Defendant took room at a Brighton hotel. While there he attacked the manager of the hotel (plaintiff). It was established that defendant was suffering from disease of the mind at the time of the attack; that he knew the nature and quality of his act, but he did not know that what he was doing was wrong. Held: That as defendant knew the nature and quality of his act he was liable in tort for the assault and battery. It was immaterial that he did not know that what he was doing was wrong.

Aliens or Non-Citizens

An alien is under no disability and can sue and be sued. However an enemy alien cannot sue, but if sued can defend himself.

Judicial officers

Judicial officers are protected from civil liability for any act done or ordered by them in the discharge of their judicial functions. Thus, where a judge or magistrate utters words which tend to reflect on a person's reputation, or orders a party's property to be attached in satisfaction of a judgment-debt, no action can respectively be brought against him for trespass. Besides judicial officers, officers of the court are also protected against civil liability for acts done in pursuance of a judicial order or warrant. This means that a court broker cannot be sued for attaching property under a warrant dully issued by court, as long as he acts within the powers conferred on him by the warrant. The protection to judicial officers and officer of court is afforded by the Judicature Act (cap.8) Section 6.

MALICE

In tort malice come out in two ways;
(a) The intentional doing of some wrongful act without proper excuse
(b) To act with some collateral or improper motive.

It is the second that is usually referred to and it is worth noting that in torts in that sense malice becomes irrelevant in tort, i.e. if a person has a right to do something then his motive in doing it is irrelevant.

Bradford Corporation v Pickles (1895)
The defendant extracted water in undefined channels with the result that the water supply to the plaintiffs‟ reservoir was reduced. The defendant‟s motive in doing this was to force the plaintiffs to buy his land at his price. The action failed, as the defendant had a right to extract the water. As he had such a right, his motive, even if malicious, was irrelevant.

There are two groups of exceptions to this basic principle:

1. Where malice is an essential ingredient of the tort, for example, in malicious prosecution, the plaintiff must prove not only that the defendant had no grounds for believing that the plaintiff was probably guilty, but also that the defendant was activated by malice. The reason for this requirement is that policy in this area favours law enforcement over individual rights. The result of the requirement is that there are few successful cases of malicious prosecution.

2. There are also torts where malice may be relevant to liability. For example, in nuisance malice may convert what would have been a reasonable act into an unreasonable one.

Christie v Davey (1893)
Plaintiff and defendant lived in adjoining houses. The plaintiff gave music lessons and this annoyed the defendant. In retaliation the defendant banged on the wall and shouted while the lessons were in progress. The plaintiff was held to be entitled to an injunction because of the defendant‟s malicious behaviour.

NEGLIGENCE

This is one of most important torts in law. In *Blyth v. Birmingham Waterworks Co. (1856)* it was defined as;

The omission to do something which a reasonable man, guided upon those consideration which ordinarily regulate the conduct of human affairs, would do, or doing something which a prudent and a reasonable man would not do.

Elements of negligence

1. Legal duty of care
2. Breach of the legal duty of care
3. Loss or damage to the plaintiff

These elements must be in place before the defendant can be liable

Duty of care

This is the duty to take reasonable care to avoid acts or omissions reasonable foreseeable as to likely cause injury to your neigbour, your neighbor being anyone likely to be affect by your actions or omission.

This started in a negligence case of Donoghue v Stevenson (1932) where the claimant (Mrs. Donoghue) went to a café with a friend. The friend bought her a drink of ginger beer and ice cream. The bottle of ginger beer had dark glass so that the content could not be seen. After drinking some of it, Mrs. Donoghue poured the rest out and then saw that it contained a dead (and decomposing) snail. This appalled Mrs. Donoghue and she became ill as a result of the sight and the ginger beer she had already drunk.

Mrs. Donoghue had no direct claim against the manufacturer or the shopkeeper based on contract because she did not buy the ginger beer. Mrs. Donoghue's friend could claim against the café in contract, but had not suffered any loss apart from the fact that she had bought defective goods; she could get her money back, but nothing for Mrs. Donoghue's illness. Therefore, Mrs. Donoghue claimed damages against the manufacturer,

Stevenson. Her claim was for the resulting shock and stomach upset, which she claimed was caused through drinking the ginger beer.

The court had to decide whether her claim against the manufacturer of the ginger beer could succeed. This led to Lord Atkin‟s famous statement:

"The rule that you are to love your neighbour becomes in law, you must not injure your neighbour; and the lawyer's question, „Who is my neighbour?" receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be: persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question."

The duty of care principle should fit the the three-part test in the case of *Caparo v Dickman (1990).*

1. It was reasonably foreseeable that a person in the claimant's position would be injured,
2. There was sufficient proximity (closeness) between the parties,
3. It is fair, just and reasonable to impose liability on the defendant.

All parts of the test must be satisfied if there is to be a duty of care owed by the defendant to the claimant. Each part must be explained and proved separately.

Breach of duty of care

This means falling below given standards of care. Standard of care means the standards through which the defendants conduct is measured. Breach of duty is measured objectively by the „reasonable man test". The reasonable man is the ordinary person performing the particular task: he is expected to perform it reasonably competently. Thus, when I am driving my car, I am expected to be a reasonably competent driver who can drive a car.

For a breach of duty to occur, the court will take four factors into account:

1. The degree of risk involved: the greater the risk, the more the defendant has to take care. (Bolton v Stone 1951).
2. The cost of precautions: the courts will see how high the risk is involved, and then take into account the expense of taking precautions to prevent that risk (Bolton v Stone and Latimer v AEC)
3. Potential seriousness of injures: so if there is a very high risk of serious injury, the more the defendant needs to be very careful (Paris v Stepney B.C. 1951).
4. The importance of the activity: in an emergency, sometimes it is not possible to reflect, think of a possible risk (Marshall v Osmand 1982).

Injury to the plaintiff

Having given proof of the above two the plaintiff still has to prove that he/she suffered some injury before the defendant can be liable for negligence.

There are a number of tests that are used when assessing the injury such as;

Causation – „But for Test"

Would the damage have happened had it not been for the breach of duty?

This can be seen *Barnett v Chelsea and Kensington Hospitals (1969)* where three night-watchmen went to Accident & Emergency complaining of sickness after drinking tea made by a fourth man. A nurse telephoned the doctor on duty, who did not come to examine the men but instead sent the men home and told them to go and see their own doctors in the morning. On returning home, one of the men died a few hours later from poisoning. His widow sued the hospital claiming that the doctor was negligent in not examining her husband. Evidence showed that by the time the husband had called in to the hospital it was already too late to save his life. This meant that his death was not a result of the doctor's breach of duty and so the claim failed.

Foreseeablility

The claimant has to show that the type of damage was reasonably foreseeable.
This is seen in the case of The *Wagon Mound (1961)* where fuel had negligently spilled onto water in a harbour. Two days later the oil caught fire because of wielding work being done on another ship. The fire spread to the claimants wharf and burnt it. The damage suffered was not reasonably foreseeable.

Thin Skull Rule (take your victim as you find him)

This rule means that the defendant must take his victim as he finds him. So, if the type damage is reasonably foreseeable, but it is much more serious because of something unusual about the claimant, such as a thin skull, then the defendant is liable. In this situation the damage is not too remote.

This is shown in the case of *Smith v Leech Brain and Co. (1962)* where because of a defendants negligence, a man was burnt on the lip by molten metal. The burn caused him to develop cancer and his widow claimed against the defendant and because the burn was a foreseeable injury, he was also liable for the man's death

The burden of proof in negligence

Generally the burden of proof in civil actions lies with the plaintiff. He has to prove that the defendant owe him a duty of care, that he breached it and this led into suffering. In certain cases however this isn't so such as in the doctrine of *Res ipsa loquitur.*

Res ipsa loquitur translate to let the facts speak for themselves. It is applicable in situations where something happens in a way it ought not to have. It is applicable in negligence if;

1. The thing that caused the injury was in control of the defendant or someone over whom the defendant exercises control
2. The event wouldn't have happened without negligence
3. There is no way of explaining how it happened.

DEFENCES TO NEGLIGENCE

1. Contributory negligence

This defense is available in circumstances in which the plaintiff is also to blame for the loss or injury. The defendant must adduce evidence to establish the plaintiff's contribution.

The defendant must prove:-

1. That the plaintiff exposed himself to danger.
2. That the plaintiff was at fault or negligent.
3. That the plaintiff's fault or negligence contributed to his suffering.

Effect of contribution

It reduces the amount of damages recoverable by the plaintiff by the extent of his contribution.

However, children of tender years are not guilty of contribution.

2. Voluntary assumption of risk (volenti non fit injuria)

This defense is available in circumstances where the plaintiff with full knowledge of the risk voluntarily agrees to undertake the same. The defendant must prove

- That the plaintiff had actual knowledge of nature and extent of the risk
- That the plaintiff agreed to incur the risk voluntarily

In *Dann v Hamilton* the plaintiff had taken a ride on a vehicle driven by a drunken person and his was aware of this fact and as a consequence an accident occurred. The defendant's plea of *volenti* failed since the plaintiff had not consented to incur the risk.

However in Tugwell v Bunnet where the defendant‟s vehicle expressly stated that passengers rode at their own risk and the driver at the material time was drunk to the plaintiff's knowledge but took a ride in the motor vehicle and was injured, the defendant's defense of *volenti* succeeded since the plaintiff appreciated the risk and agreed to incur the same.

3. Statutory authority

If the conduct complained of by the plaintiff is authorized by statute and the defendant has acted in accordance with the provision of the statute the defendant has a complete defense to the plaintiff's action.

However whether or not the defense is complete depends on the interpretation of the statute.

NUISANCE

This tort is committed whenever a person is wrongfully disturbed in the use and enjoyment of his land. Generally, it arises from the duties owed by neighbouring occupiers of land: no

one should use in property in a way which is likely to affect his neighbour's use of his own land. Thus, if A and B are neighbours, and A owns plot X while B owns plot Y, A may use plot X in any way he chooses but he must not in doing so affect B's of plot Y, or else he will be liable in nuisance.

Although the tort of nuisance is usually committed only where the plaintiff and defendant are owners or occupiers of land, in certain circumstances the tort may be committed in places like a highway or even a river. There are two types of nuisance: private nuisance and public nuisance.

Private Nuisance

A private nuisance is committed where a person's private rights in his land are wrongfully disturbed, whether physically or by allowing noxious things to escape out of his land. Thus, it is a nuisance to obstruct an easement or private rights of way; or to allow a weak structure to hang precariously above the plaintiff's land, thereby creating a potential source of danger to the plaintiff; or to allow smoke, noise, gas, fumes e.t.c. to escape onto the plaintiff's land thereby inconveniencing him e.t.c.

Hollywood Silver Foxes v. Emmett, (1936)
The plaintiff was a breeder of silver foxes, which were very sensitive to any disturbance during breeding seasons. The defendant was developing the neighbouring land as a housing estate and thought that the plaintiff's business might discourage his customers. He instructed his son to fire a gun near the fox cages. The son did so and after four days the plaintiff sued.
Held: The act of the defendant through his son amounted to a nuisance.

Public Nuisance:

Public nuisance is also known as common nuisance. It affects the comfort and convenience of a class of persons but not necessarily every member of the public. Thus the obstruction of a highway is a public nuisance, and also a music festival accompanied by large scale noise. It is also a public nuisance to do any act which is a source of danger to the public e.g. releasing a large quantity of petrol onto the highway. In all these cases, it is not the private rights of an individual of the community around or the public at large.

From what is stated above, it is clear that it would not be reasonable to allow an individual to bring an action to stop the nuisance. Indeed, a public nuisance is generally a criminal offence and only the Attorney General may bring an action against the wrongdoer. However, in exceptional the person creating such an act of nuisance, if he can prove that he has suffered some special damage over and above that suffered by the general public.

Soltan v. De Held, (18510
The plaintiff resided next to a Roman Catholic Chapel. the defendant, a priest, took it upon himself to ring the chapel bell throughout the day and night. The plaintiff brought an action to stop it.

Held: The ringing of the bell was a public nuisance but since the plaintiff's house was next to the chapel he suffered more than the rest of the community and was therefore entitled to bring an action to stop it.

Continuing Wrong:

Generally, nuisance is actionable only when it is a continuing wrong. A disturbance or inconvenience on an isolated occasion will not ordinarily be treated as a nuisance:

Bolton v. stone, (1951).
The plaintiff, while standing on the highway just outside her home, was injured by a cricket ball struck from the defendant's ground which adjoined the highway. The ground had been used for cricket for over 80 years and it was very rare for balls to be hit over the fence, which was 10 feet high above the highway and 17 above the pitch. The ball had traveled over 100 yards before hitting the plaintiff.
Held: An isolated act of hitting the cricket ball onto the highway in circumstances like those of this case could not amount to a nuisance.

It is only in very exceptional circumstances that an isolated act may entail liability in nuisance. an example of this is afforded by *Rylands V. Fletcher* where, as we saw above, water escaped only on one occasion causing damage to the plaintiff's mine.

The Plaintiff in Nuisance

Since private nuisance generally covers only damage to property to its enjoyment, the plaintiff in an action brought to remedy a nuisance must show thathe has title to, or at least some interest in the property which is alleged to have been damaged or whose enjoyment is alleged to have been affected by the nuisance, Otherwise, the action will not succeed.

Malone V. Laskey, (1907)
A bracket supporting a water tank in a house feel down by reason of vibrations caused by the defendant's engine in adjoining premises, and the plaintiff was injured. The plaintiff had no interest in the premises; she merely resided with her husband, who was manager of the company that had leased the premises.
Held: The working of the engine was a nuisance, but the plaintiff could not recover anything as she had no interest in the premises.

The law of nuisance protects only ordinary or normal persons. A plaintiff who is abnormally sensitive, e.g. because of old age or heart as no special protection and cannot recover in nuisance for which a normal person would not have suffered. Similarly, a person who has put his premises to a use or trade which is delicate or sensitive cannot recover in nuisance where it is proved that the suffered would not have arisen if the premises had been put in ordinary use or trade:

Robinson sources and grounds whereof are stated herein.. Kilvert, (1988).
The plaintiff carried on an exceptionally delicate trade in which he used an equally delicate stock of paper. This stock of paper was damaged by heat from the defendant's premises below. The heat was required for the defendant's business of paper or manufacture.

Held: The plaintiff could not recover in nuisance as the damage would not have occurred if he were carrying on an ordinary trade: and in any case the defendant's use of his property was reasonable.

The Defendant in Nuisance:

The person liable in nuisance is primarily the occupier of the premises which are the source of the nuisance, including a tenant; liability does not necessarily fall on the owner of the premises, although he too may be successfully sued:

Mint V. Good (1951)
A boy of 10 years was walking along a public footpath when collapsed on him and injured him.
The defendant, the owner of the premises from which the wall collapsed, had let the premises in question to tenants; but the plaintiff sued the defendant himself.
Held: The defendant was liable.

Adopted Nuisance:

Where a nuisance is caused by one person but is adopted by another, the person so adopting it is liable and cannot plead that the nuisance was not created by him:

Sedleigh-Denfield V O'Callaghan, (1940)
A trespasser placed pipe in a ditch which was on the defendant's land, without the knowledge or consent of the defendant. The pipe was meant to carry off rain and all is downwash. When the defendants became aware of the pipe they used it to drain their own field. Subsequently the pipe became blocked and the water overflowed onto the plaintiff's land.
Held: The defendants were liable in nuisance, because they had adopted the trespasser's act as their own.

Defences:

i. De Minimis Non Curat Lex (or Triviality);

A person aggrieved by a nuisance can only maintain an action where the damage suffered is so trivial, minor or negligible that no reasonable person would have cause to complain , no such action may be maintained; and if sued the defendant may plead '*de minimis no curat lex'*

ii. Reasonable Use of Property:

If the defendant can prove that the nuisance complained of resulted from a reasonable use of his property, as in Robinson V. Kilvert discussed above, this will to some extent afford him a defence.

But this defence is not available where, as in Hollywood Silver Foxes V. Emmett (see above) the defendant's act is proved to have been motivated by malice.

Note: whether the use towhich the property was reasonable in the circumstances is determined from the standpoint of the victim of the nuisance,because the essence of this tort is that no person ought to be wrongfully disturbed in the use and enjoyment of his land.

iii. Prescription:

A prescription right to continue a nuisance is acquired after twenty years. Thus, where a nuisance has been committed on the plaintiff's land form a continuous period of twenty years, the plaintiff cannot thereafter maintain an action in respect of the nuisance; and if he does, the defendant may plead prescription in defence.

iv. Public Benefit:

Public benefit, as a defence to an action brought to remedy a nuisance, has only a limited application. Private rights must generally be respected. The only exception is where there is statutory authority to derogate from such rights. But even then there is need to act reasonably and within the statutory limit' otherwise the person acting will be liable in nuisance, notwithstanding that his act was intended to benefit the public. Thus, where an authority had general powers to provide hospitals and it set up a fever hospital in a heavily populated area, it was held liable to people in the neighbourhood (the hospital could have conveniently been set up elsewhere): Metropolitan Asylum District V. Hill (1891).

v. General Defence:

Remedies:

i. Abatement:

This remedy is by way of self-help. A person aggrieved by a nuisance is at liberty to abate (or stop) it. But the act of abatement must be peaceful and, where feasible, after notice to the tortfeasor, otherwise, by a dramatic turn of events, the aggrieved party might, in attempt to abate nuisance, render himself liable in nuisance instead!

Chrisstle V. Aveyl (1893)

The plaintiff used to conduct music lessons in his rooms, which was adjacent to the defendant's.

The defendant, who was annoyed by the disturbance, continuously banged the partitioning wall so as to disrupt the plaintiff's music lessons. Held: The plaintiff was entitled to an injunction to restrain the defendant from interrupting the music lessons.

ii. Injunctions:

This is a remedy which is granted to the plaintiff to restrain the defendant from committing the nuisance. It is awarded where the nuisance already exists or is impending.

iii. Damages:

By this remedy, the plaintiff is entitled to full compensation in monetary terms, so as to make good the damages caused by the defendant's nuisance; as far as money can do it. But the plaintiff can only recover what was reasonably foreseeable as likely to result from the defendant's act. In this connection, regard must be had to the gravity of the nuisance and the extent to which the defendant's act can be said to have been unreasonable, or wrongful.

Davey V. Hurrow Corporation, (1958)

The plaintiff's house was damaged by the penetration of roots which came from trees on the adjoining land of the defendants. The plaintiff brought an action for damages nuisance.
Held:

TRESPASS

Trespass can be understood in the following three contexts or types;

i. Trespass to land
ii. Trespass to person
iii. Trespass to goods

Trespass isn't simply the unauthorised entry into someone's property without permission, such definition limits the term to land and chattel. Trespass, specifically, is a negligent or intentional act made by individual that causes injury to another person or his/her property without lawful justification, no matter how slight. The use of the term "injury" here means a violation of one's right and not necessarily actual physical harm or loss.

Generally speaking, trespass possesses four elements. These are the following:

- The fault must be an intentional or negligent act.
- The harm must be of direct interference with the person or property.
- The injury is inflicted on the plaintiff or his or her property.
- There is no lawful justification

TRESPASS TO LAND

This occurs whenever a person's (plaintiff) possession in land is wrongfully interfered with. The key thing here is possession and not necessarily ownership and as such the plaintiff can be the owner or the tenant. It occurs in three ways;

i. Trespass by wrongful entering on the plaintiff's land. E.g, encroaching, walking through the land or putting your hand through their window without their permission
ii. Trespass by remaining on the land, that is, a person who, having been initially authorized to enter upon land, is later asked to leave it and he fails to do so in reasonable time he is said to trespass by remaining on the land.
iii. Trespass by placing things on the land. It's worth noting that this trespass is different from nuisance in that;
    a) The thing place on the land directly affects the plaintiffs procession unlike nuisance which affects how they enjoy the property
    b) Nuisance unlike trespass is concerned with enjoyment and not possession

c) Trespass to land is actionable per se, that is actionable without proof of injury unlike nuisance

Note- each time one repeats a trespass (continuing trespass) the court allows for fresh lawsuit.

Defenses

The main defences to an action for trespass to land are as under:-

i. Prescription

Land acquired by possession is also said to been acquired by prescription .The new owner may plead title by prescription as a defence to an action brought by previous owner to recover the land. A defendant may also plead prescription, as by proving aright of common grazing or right of way over the Plaintiff's land.

ii. Act of Necessity

The necessity may be pleaded as a defence to an action of trespass to land e.g. entry to put out fire for public safety

iii. Statutory Authority

Where the authority is conferred by law, whether by statute or by court order, this is also an available defence e.g. the authority of a court broker

iv. Entry by licence

An entry authorized or licensed by the plaintiff is not actionable in trespass unless the authority or license given is abused.

Remedies

The remedies in respect of trespass to land include:

i. Damages

The plaintiff may recover monetary compensation from the defendant,
The extent of which depends on the effect of the dependant's act on the value of the land in question.

ii. Ejection

We saw earlier on that a person is entitled to use reasonable force to defend his property. Thus, where a person wrongfully enters or remains on another's land, he may be ejected using reasonable force may entail liability for assaults an ejectment may also be based on a court order (an eviction order)

iii. Action for recovery of land

The plaintiff may bring an action to recover his land from the defendant Where there has been a wrongful dispossession, it is commonfor such action to be coupled with the above two remedies.

iv. Injunction

In addition to the above remedies, an injunction may be obtained to ward off a threatened trespass or to prevent the continuance of an existing one

v. Distress Damage Feasant

In the case of trespass by placing things on land (or in the case of chattle trespass) the plaintiff
has a right To detain the defendant‘s chattel or animal which is the cause of the trespass in question.

TRESPASS TO THE PERSON

This trespass just like trespass to goods also occurs in three ways;

ASSAULT

This occurs when a person intentionally threatens to use force against another person without lawful justification hence putting the person in fear. E.g pointing a gun towards him

Rules of the Tort

1. There must be some apprehension of contact
2. There must be a means of carrying out the threat by the defendant
3. The tort is actionable per se.
4. The tort is generally associated with battery
5. Mere words without body movement do not constitute assault.

Assault is constituted by:-

i. A display or show of force
ii. Pointing of a loaded gun
iii. Cursing in a threatening manner

BATTERY

This is the actual use of force towards another person without lawful justification e.g. hitting a person. It is only actionable if it is voluntary or intentional.

Intention

Assault is committed where the plaintiff apprehends the commission of a battery on his person.

If the defendant does not intent to commit a battery but induced a belief in the plaintiff‟s mind that he is about to do so, he is nevertheless liable for assault.

Pointing a loaded gun at a person is of course an assault but if the gun is unloaded it is still assault unless the person at whom it is pointed knows this.

Apprehension

Suppose the plaintiff is an unusually fearful person in whom the defendant can induce the fear of an imminent battery though a reasonable man would not have fear in those circumstances, does the defendant commit assault?

The better view is that the test is based upon the subjective intention of both parties thus there is battery if the defendant intends to create fear of commission of a battery whether or not he knows the plaintiff to be a fearful person and the plaintiff actually has this fear.

In *Smith vs. Superintendent of Working Police Station (1983),* the defendant was convicted of criminal assault when he entered the grounds of a private house and stood at the window seriously frightening its occupant who was getting ready for bed.

The plaintiff must however apprehend a battery thus it is not assault to stand still at the door of a room barring the plaintiff's entry. It would also not be assault to falsely cry „fire‟ in a crowded place.

Must damages be proved?

Both torts of assault and battery are actionable per se. Where the defendant's act has caused no damage the courts may award only nominal damage but the court may also award aggravated damages because of the injury to the feelings of the plaintiff arising from the circumstances of the commission of the tort.

Rules of battery

1. Absence of the plaintiff's consent
2. The act is based on an act of the defendant mere obstruction is not battery
3. A contact caused by an accident over which the defendant has no control is not battery
4. There must be contact with the person of the plaintiff it has been observed the least touching of another person in anger is battery
5. Battery must be direct and the conduct must follow from the defendant's act
6. The tort is actionable per se. The essence of battery is to protect a person from unpermitted contacts with his body. The principal remedy is monetary award in damages.

FALSE IMPRISONMENT

This occurs when a person is deprived of their freedom without legal explanation, e.g locking someone in a room.

Main ingredients of the tort

(a) Knowledge of the plaintiff

Knowledge of the restraint is not necessary but may affect the quantum of damages.

In *Meeting v. Graham White Aviation Co* the plaintiff was being questioned at the defendants company in connection with certain thefts from the defendants company. He did not know of the presence of two works police outside the room who would have prevented his leaving if necessary.

Held; the defendant was liable for false imprisonment. Arcing L J said "it appears to me that a person can be imprisoned without his knowing. I think a person can be imprisoned while he is asleep or in a state of drunkenness, while unconscious or while he is a lunatic. Of course the damages might be diminished and would be affected by the question whether he was conscious or not"

(b) Intention and directness

The tort is defined to exclude negligent imprisonment of another person. The tort must be intentional and should be committed directly. Where for reason of lack of intention or directness the plaintiff cannot establish false imprisonment an action in negligence may still be available.

In *Sayers v. Badour U.D.C* the plaintiff became imprisoned inside the defendant's toilet because of negligent maintenance of the door lock by the defendant's servants. In trying to climb out of the toilet she fell and was injured. She recovered damages from the defendant because it was a reasonable act on her part to escape from a situation in which the defendant by his negligence had placed her.

An action for false imprisonment would not have been available because there was no direct act of imprisonment.

(c) The restraint must be complete

There must be a total restraint placed upon the plaintiff's freedom of action

In Bird v Jones the defendant closed off the public footpath over one side of a bridge. The plaintiff wishing to use the footpath was prevented by the defendant. In the plaintiffs action one of the questions that was necessary to decide was whether the defendant's act amounted to false imprisonment.

Held: It did not since the defendant has not placed a total restraint on the plaintiff. The blocking of a part of a public highway might be a public nuisance for which the plaintiff

could bring an action in tort if he could show special damage arising from. Provided the area of restraint is total it does not seem to matter that it is very large.

There has been a difference of opinion between the court of appeal and the lower court the circumstances in which a person already the lawfully imprisoned in a prison may be regarded as falsely imprisoned.

In *R v. Deputy Governor of Prison*, there was an agreement that imprisonment under intolerable conditions would amount to false imprisonment. The Court Of Appeal however required knowledge of those conditions by the defendant but the lower courts thought that a defense would exist here under the provisions of the prisons Act.

There is of course false imprisonment where a prisoner is detained beyond the legal date of his release. (Cowell v. Corrective Services Commissioner)

Rules of the tort

1. The tort must be intentional
2. It is immaterial that the defendant acted maliciously
3. The restraint or confinement must be total. However, it need not take place in an enclosed environment
4. It has been observed every confinement of a person is an imprisonment whether it be in a common prison, private house or in the stocks or even forcibly detaining one in the public
5. The boundary of the area of confinement is fixed by the defendant. The barriers need not be physical. A restraint affected by the assertion of authority is sufficient.
6. 6. The imprisonment must be direct and the plaintiff need not have been aware of the restraint
7. The tort is actionable per se.
8. The principal remedy is a monetary award in damages.

Defences

i. A parental Authority

A parent has a right to reasonably chastise or discipline his Children. This means that where a parent beats his child or locks Him up in roomfor sometime by way of reasonable chastisement, he cannot be sued for battery or false imprisonment .Similarly, if a parent gets a knife and
threatens that he will cut off his child's mouth unless the child stops abusing grown-ups, no action can be brought against him for assault When a child is at school all his parent's right of ordinary control over him Are delegated to the school authority (or teachers) and are

exercised by the Latter in 'loco parents '.Reasonable chastisement by the school authority. e.g Reasonable punishment by teachers ,is not actionable in tort
Note: According to *R.v (1891) a husband* has no right to chastise

ii. Judicial authority:

An act done under order of court is not actionable as trespass. We show at the beginning of this chapter that acts done in a judicial Capacity are not actionable in tort. It follows that where a judge orders a corporal punishment of a number of strokes, no action for battery can be brought against him or a person administering the strokes .Also, statutory authority may be pleaded as a defence

Remedies

i. Damages:

An award of damages iii General Defences the defendant may also rely on the general defences already considered. Self-defence is a particularly viable defence to assault and battery. *Volenti* (or the plaintiffs consent),may also be pleaded Thus, a patient who has consented to a medical operation cannot round and sue the surgeon for trespass (battery).Similarly ,a spectator who suffers injury in the cause of a game whose rules are being followed cannot sue for trespass is the most obvious and usual remedy. The amount of damages awarded depends on the circumstance of each case, having regard (or in the case The amount of damages awarded depends on the circumstances of each case, having regard to matters like the injury suffered, the period of false imprisonment e.t.c.

ii. Habeas Corpus:

The Writ of Habeas Corpus is a remedy to false imprisonment. The writ directs the person in show custody the applicant is detained to produce him before the High Court; the Court may order his release if it appears that there are not sufficient grounds for detaining him.

PROTECTION OF CHATTELS OR GOODS

Owners of goods are entitled to enjoy their possession and control and their use without any interference. To protect goods the common law developed 3 torts namely;

- Detinue
- Trespass to goods
- Conversion

DETINUE

This is the unlawful detention of goods. It is the oldest tort relating to the protection of the chattels and protects possession of goods by the owner. The plaintiff must prove:-

i. Right to immediate possession

ii. That the defendant detained the goods after the plaintiff demanded their return. The plaintiff is entitled to damages for the detention.

TRESPASS TO GOODS

This is the intentional or negligent interference of goods in possession of the plaintiff. This tort protects a party interest in goods with regard to retention their physical condition and invariability.

Types/forms of trespass

1. Taking a chattel out of the possession of another
2. Moving a chattel
3. Contact with a chattel
4. Directing a missile to a chattel

Rules/requirements of the tort

1. The trespass must be direct
2. The plaintiff must be in possession of the chattel at the time of interference
3. The tort is actionable per se
4. The principal remedy is a monetary award in damages

The defenses available to this tort include:-

1. Plaintiff's consent
2. Necessity
3. Mistake

CONVERSION

This is the intentional dealing with goods which is seriously inconsistent to possession or right to possession of another person. This tort protects a person's interest in dominion or control of goods.

The plaintiff must have possession or the right to immediate possession. However, a bailee of goods can sue 3rd parties in conversion so cans a licensee or a holder of a lien or a finder. Any good or chattel can be the subject matter of conversion. There must be physical contact resulting in interference with the goods.

Acts of conversion

i. Taking goods or disposing; it has been observed that to take a chattel out by another's possession is to convert it or seize goods under a legal process without justification is conversion.
ii. Destroy or altering
iii. Using a person's goods without consent is to convert them

iv. Receiving: the voluntary receipt of another's goods without consent is conversion.

VICARIOUS LIABILITY

Generally each person is liable for his or her own torts. There are circumstances however, that another person may be held liable for torts committed by another. This is referred to as vicarious liability. This mostly tend to occur in employment scenarios

The following must exist to establish liability;

1) There must be a master/servant relationship between the parties concerned
2) The servant must have been acting in the course of employment at the material

Who exactly is a servant?

Masters/Employers will only be liable for the torts of their employees/servants. They will not usually be liable for the torts of their independent contractors. It is therefore necessary to establish the status of the tortfeasor.

The control test

In this case a servant is defined as someone over whom the master has control over, i.e. someone employed over a contract of service. While an independent contractor is someone who is under a contract for service in which case such a person work using their own judgement.

In Collins *v Hertfordshire, Hilbery J* said: "The distinction between a contract for services and a contract of service can be summarized in this way: In one case the master can order or require what is to be done, while in the other case he can not only order or require what is to be done, but how it shall be done."

The nature of the employment test

One accepted view is that people who have a 'contract of service' (an employment contract) are employees, but people who have a 'contract for services' (a service contract) are independent contractors.

What is "**course of employment?"**

An acts done under the course of employment where it is proved to have been authorized by the master.

An employer will usually be liable for

a) Wrongful acts which are actually authorised by him.

b) Acts which are wrongful ways of doing something authorised by the employer, even if the acts themselves were expressly forbidden by the employer

Limpus v. London General Omnibus Co. 1862
A bus driver racing to a stop to collect passengers deliberately obstructed the driver of a bus of a rival company, overturning the latter's vehicle.
The bus driver had been given instructions against obstructing other buses.
Held; The defendants were liable. The driver was acting within the course of his employment at the time; it was immaterial whether his act was forbidden.

The master is only liable if the tort was committed in the course of employment. See the following case;

Storey v. Ashton (1869)
A driver took a different route to make a frolic of his own. On this way he caused an accident because of his negligence. Held; No liability of the company, though this was just a little detour, the driver was carrying out his own business.
Note; Not every detour taken by the drive will usually take him out of the course of employment because some may be necessary. The circumstances surrounding the case should be considered too.

THE INDEMNITY PRINCIPLE

There is a term implied at common law into contracts of employment that an employee will exercise all reasonable care and skill during the course of employment. An employee who is negligent is in breach of such a term and the employer who has been held vicariously liable for the tort may seek an indemnity from the employee to make good the loss.

LIABILITY IN RESPECT OF AN INDEPENDENT CONTRACTOR

The employer is generally not liable for torts committed by an independent contractor. The employer is however liable if he is deemed to have committed the tort.
This may occur in the following instances:

1. Whether the employer has authorized the commission of the tort
In many circumstances, the law will attribute to a man the conduct of another being, whether human or animal, if he has instigated that conduct.
He who instigates or procures another to commit a tort is deemed to have committed the tort himself.
In *Ellis v. Sheffield gas Consumers Co* the defendant who had no authority to up the street employed a contractor to open trenches and lay gas pipes along a street.

The contractor carelessly left a heap of stones on the footpath; the plaintiff fell over them and was injured.
Held: the defendants were liable since the contract was to do an illegal act, a public nuisance.
The decision would have been different had it been lawful for the defendant to dig up the streets.

2. Torts of Strict Liability
The employer is liable in those circumstances e.g. in *Rylands-v-Fletcher* the employer was held liable for the acts of his independent contractors as this was a case of strict liability. These in torts of strict liability, the employer will be liable even where the tort e.g. the escape is caused by the negligence of an independent contractor.

In *Terry v. Aston*, the defendant employed an independent contractor to repair a lamp attached to his house and overhanging the footway. As it was not security fastened, the lamp fell on the plaintiff, a passer-by and the defendant was held liable, because: it was the defendant‟s duty to make the lamp reasonably safe, the contractor had failed to do that. Therefore, the defendant has not done his duty and is liable to the plaintiff for the consequences.
Here liability was strict.

3. Negligence
When there is an element of personal negligence on the part of the employer as to make him liable for the acts of an independent contractor. E.g. Where the employer is negligent or careless in employing an independent contractor for instance, where the contractor is incompetent.
Failure to provide precaution in a contract where there is risk of harm unless precaution is taken can make the employer liable for the tort of the contractor.

In *Robinson v. Beaconsfield Rural Council*, the defendant employed an independent contractor, one hook, to clean out cesspools in their district.

No arrangements were made for the disposal of the deposits of sewage upon being taken from the cesspools by hook. Hook men deposited the sewerage on the plaintiff land.
Held: The defendants had a duty to dispose the sewerage and, on construction of the contract, they had not contract with hook for discharge of this duty (disposing of the sewage) hence they were liable for the acts of the hook's men in disposing it on to the plaintiff land.

4. Where the Duty of Care Is Wide
An example is where the independent contractor is dealing with hazardous circumstances, or works which from their very nature, pose danger to other persons.

In *Holiday v. National Telephone Co*, the defendant, a Telephone Company, was lawfully engaged in laying telephone wires along a street. They passed the wires through tubes, which they laid a trench under the level of the pavement.
The defendants contracted with a plumber to connect these tubes at the joints with lead and solder to the satisfaction of the defendant foreman.

In order to make the connections between the tubes, it was necessary to obtain a flare from a benzoline lamb of applying heat to the lamb. The lamb was provided with a safety valve. The plumber dipped the lamp into a caldron of melted solder, which was placed over a fire on his footway. The safety valve not being in working order caused the lamb to explore. The plaintiff, who was passing on the highway was splashed by the molten solder and injured

Held: The defendant were liable because having authorized the performance of work which from its nature was likely to involve danger to persons using the highway were bound to take care that those who executed the work for them did not negligently cause injury to such persons.

GENERAL GUIDELINE IN DETERMINING WHETHER AN ACT WAS COMMITTED DURING THE COURSE OF EMPLOYMENT

1. Look at the mode of doing the work the servant is employed to do
In *Century Insurance C v. Northern Ireland Road Transport Board*, one of the respondent's employees was delivering petrol to garage. While the petrol was flowing from the lorry to the tank, he lit a cigarette and negligence threw away the lighted match which caused an explosion damages the appellant's property. The action of the employee was treated as being within the course of employment. On appeal it was held that the respondents were liable for the damage caused for such an action, whilst for the comfort and convenience of the employee could not be treated as isolated act as it was a negligent method of conducting his work.

In *Bayley v. Manchester Sheffield and Lincolnshire Railway* the plaintiff was in a train traveling to Macclesfield and he explained this to the mistakenly believed that the plaintiff was the wrong train (that train was not traveling to Macclesfield) and violently ejected the plaintiff who suffered injuries.
Held: The defendants were liable because the porter was acting within the cause of employment.

2. Whether the act was authorized within the limits of time and space e.g. if one is employed to work between 8.00 a.m. and 5.00 p.m., the master is only liable for torts committed within that time frame.

Ruddiman & Company v. Smith, the plaintiff was using the lower room of the defendant's House while the defendant used the upper room for carrying on business. In the upper room there was a lavatory. The clerk, after duty, went to the lavatory to wash his hands but on turning on the tap and finding no water, went away without turning the tap off. When water turned on the morning, it overflew into the lower room and damaged the plaintiff goods.
Held: The employer was liable for whether or not the use of the lavatory. Within the scope of
The clerk's employment, it was an event incidental to his employment.

In *Storey v. Aston*, the defendant, a wine merchant, sent his car man and clerk to deliver wine and pick up empty bottles. On their way back, they diverted to visit the clerks house in the course of which they negligently knocked down the plaintiff and injure him.
Held: The defendant was not liable for the injury caused by the negligent driving of the car Man for he was, that time, engaged in a new and completely unauthorized journey.

3. Whether the act was the initiative of the servant or the master had a certain control.

In *Warren v. Henlys Ltd*, erroneously believing that the plaintiff had to drive away from the garage without paying or surrendering coupons for petrol which had been put in the tank of his car, a petrol pump attendant used violent language to him.
The plaintiff paid his bill and gave the necessary coupons and after calling the police, told the attendant that he would report him to his employers.
The pump attendant then assaulted and injured him. In an action for personal injuries against his employers.

It was held that the defendants were not liable for the wrongful act of their employee. Since the act was one of the personal vengeances and was not done in the course of employment; it not is an act of a class which the employee was authorized to do or a mode of doing an act within that class.

In *Poland v. John Parr and Sons*, Arthur Hall, a carter was employed by John Parr. Parr and his son were conveying a wagon with bags of sugar. Arthur, on his way home for dinner was walking else to the wagon. The plaintiff, a schoolboy, was walking home in the same direction with his hand upon one of the bags of sugar.

Honestly and reasonably thinking that the boy was stealing, Arthur gave him a blow on the back of his neck as a result whereof he fell and the wheel of the wagon injured his foot which was amputated.
Held: In the circumstances, the carter had implied authority to make reasonable efforts to Protect and preserve the defendants' property; that the violence exerted was not so excessive as to take his act outside the scope of authority and that the defendant were liable.

4. Where there is an express prohibition

An express prohibition does not negate liability i.e. a master does not escape liability simply because he had an express prohibition. For liability to be determined, two factors are considered:

i. Whether the prohibition limits the sphere of employment. If it does, the master is not liable for an act done outside the sphere. (Sphere).
ii. Where the prohibition deals with the contract within the sphere of employment. If it does, the employer will be liable. (Mode)

In Canadian Pacific Railway Co v. Lockhart a servant of the appellant Company in disregard of written notices prohibiting employers from using private cars for the purpose of the company's business unless adequately insured, used his uninsured motorcar as a means of execution of work which he was ordinarily employed to do in the course of which he injured the respondent.
Held: The means of transport was incidental to the execution of work, which the servant Was employed to do and that the prohibitions of the use of an uninsured motorcar merely limited the mode of executing the work, breach of the prohibition did not exclude the liability of the company to the respondent.

In *Rand v. Craig*, Carters were employed by a contractor to take rubbish from certain works to his dump and were strictly forbidden not to hip it anywhere else. Some of the carters, without knowledge of the contractors, and in contravention of their orders took the rubbish to a piece of unfenced land belonging to the plaintiff as it was nearer the works that the dump of contractor.
Held: The illegal acts complained of where not within the sphere of the carter's employment
And consequently the contractor was not liable for them.

5. Whether the act was a deliberate criminal act

In *Lloyd-v-Grace Smith & Co.*, the plaintiff had sought advice from the defendants, a firm of solicitors, whose managing clerk conducted conveyance work without supervision. He advised the plaintiff to sell some property, fraudulently persuading her to sign certain documents that transferred the property to him. He disposed of it and kept the proceeds.
Held: Even though the fraud had not been committed for the benefit of the employers, Nevertheless they were liable, for the clerk had been placed in position to carry over such work and had acted throughout in the course of his employment.

This principle is subject to the following exceptions

1) Cases where the employer is under some statutory duty which he cannot delegate
2) Where the employer retains his control on the contractor
3) Where the contract becomes a tort such as nuisance
4) Where the rule in Ryland v Fletcher (1866) applies

STRICT LIABILITY

Generally emphasis has been placed by courts on fault based liability. Strict liability is an exception to this principle. This is liability without fault. Where torts are of strict liability there is no need for the plaintiff if to prove fault on the defendant's part.

It is important to distinguish strict liability from absolute liability. In absolute liability, a particular wrong is actionable without proof of fault and in addition there is no defense availed to the wrongdoer. In strict liability however, the wrongdoer has a number of defense availed to him/her, hence the difference between the two.

Strict liability is clearly brought out in the following case;

Rylands v. Fletcher (1866)

The defendant owned a mill and constructed a reservoir on their land. The reservoir was placed over a disused mine whose passages communicated with the adjoining mine of the plaintiff. The defendant was not aware of this fact and therefore took no precaution against it. Water from the reservoir filtered through to the disused mine shafts and then spread to a working mine owned by the claimant causing extensive damage. Held: The defendants were strictly liable for the damage caused by a non- natural use of land. It was immaterial that there was no fault on their part.

The following statement made by Lord Cranworth, explains the rule behind this case;

"If a person brings, or accumulates, on his land anything which, if it should escape, may cause damage to his neighbour, he does so at his peril. If it does escape, and cause damage, he is responsible, however careful he may have been, and whatever precautions he may have taken to prevent the damage."

Liability under *Rylands v Fletcher* is now regarded as a particular type of nuisance. It is a form of strict liability, in that the defendant may be liable in the absence of any negligent conduct on their part. Imposing liability without proof of negligence is controversial and therefore a restrictive approach has been taken with regards to liability under Rylands v Fletcher, It is worth noting that the rule refers to anything likely do mischief, this poses its own challenges.

THE RULE IN RYLANDS v. FLETCHER

Anyone who in the course of non – natural use of his land, accumulates thereon for his own purposes anything likely to do mischief if it escapes is answerable for all direct damage thereby caused.

This is the rule in *Rylands v. Fletcher* where the defendant employed independent contractors to construct a water reservoir on the land, which was separated from the plaintiffs land by adjoining land. In the course the works the contractors came upon some

old shafts and passages filled with earth. The contractors did not block them up. Unknown to them, the shafts connected their land with the plaintiff's mines. When the water filled the reservoir, it seeped through the old shafts and into the plaintiff's mines thence flooding them. It was found as a fact that the defendant was not negligent, although the contractors had been. However, although the defendant was neither negligent nor vicariously liable in the tort of his independent contractors, he was held liable by the Court of Exchequer chamber and the House of Lords.

The judgment of the Court of Exchequer chamber was delivered by Blackburn J. at P. 279 - 280 and it has become a classical exposition of doctrine.

"We think that the true rule of law is, that the person who for his own purpose brings on his land and collects and keeps there anything likely to do mischief if it escapes, must keep it in at his peril, and, if he does not do so, is prima facie answerable for all the damage which is the natural consequences of its escape."

This may be regarded as the „rule in *Rylands v. Fletcher'*
But what follows is equally important. The court further said:

"He can excuse himself by showing that the escape was owing to the plaintiff's default; or the act of God: it is unnecessary to inquire what excuse would be sufficient".

The general rule, as above stated, seems to be just in principle.

"The person whose grass or corn is eaten down by the escaping cattle of his neighbour, or whose mine is flooded by the water from the neighbor's reservoir, whose cellar is invaded by filth of his neighbours or whose habitation is made unhealthy by the fumes and noise and vapours of his neighbours alkali works, is damnified without any fault of his own; and it seems reasonable and just that the neighbour, who has brought something on his own property which was naturally there harmless to others so long as it is confirmed to his own property, but which he knows to be mischievous if it gets on his neighbours should be obliged to make good the damage which ensues if he does not succeed in confining it to his property. But for his act in bringing it there no mischief could have accrued, and it seems but just that he should at his peril keep it there so that no mischief may accrue, or answer for the natural and anticipated consequences and upon authority, this we think is established to be the law whether the things so brought be beasts, or water, or filth, or stenches."

Lord Cairns in the House of Lords upheld this judgment but restricted the scope of the rule to where the defendant made a "non-natural use" of the Land.

This decision makes it clear that liability was strict in the sense that the defendant's liability was neither personal nor based on a mere vicarious liability for the negligence of his independent contractors.

REQUIREMENTS OF THE RULE IN RYLANDS v. FLETCHER

1. THE THING

The rule does not require that the thing should both likely to escape and likely to do mischief on escaping. If this were the case, there would be little difference between the rule in *Rylands*
v.*Fletcher* and negligence. Furthermore, in *Rylands v. Fletcher*,the thing need not be dangerous
in itself. The most harmless objects may cause damage on escape from a person land.

The rule has been applied to a large number of objects including water, gas, electricity, explosives, oil, vibrations, poisonous leaves of trees, a flag post, a revolving chair at a fair ground, acid smuts from a factory, a car, fire and even at one time gypsies.

2. ACCUMULATION

The thing must be brought into the land for the defendant's purposes. The defendant need not own the land into which the thing is brought.

A temporary occupier of land such as a lessee or a person physically present on the land but not in legal occupation of it such as a licensee is equally within the scope of the rule and is liable for damage caused upon escape or a thing he has brought onto the land.

The requirement that the thing should be on the land for the purpose of the defendant does not mean that it must benefit the defendant.

Where the thing is naturally present on the defendant cannot be liable for its escape under *Rylands-v-Fletcher*. The escape of weeds, rocks and floodwater is thus outside the scope of the rule but recent decisions have established possibility of an action in nuisance for such escape.

The accumulation must thus be voluntary.

3. NON-NATURAL USER OF LAND

This is the most flexible and elusive ingredient of liability. Blackburn J. understood „natural" to mean things naturally on the land and not artificially created. However uncertainty crept as a result of Lord Cairns qualification that must be „a non-natural user" of the land.

Through a series of cases, courts have come to look upon „natural" as signifying something which is ordinary and usual even though it might be artificially instead of non-artificial. Non-natural use of land was explained by the Privy Council in Richard v. Lothian as per Lord Moulton.

„It must be some special use bringing with it increased danger to others and must not merely be the ordinary use of the land or such a use as is proper for the general benefit of the community.“
What is natural is now viewed differently in different cases.

Non-natural use of land is generally constituted by certain activities as the storage on the land in bulk of water, electricity, gas and the collection of sewage by local authorities.

4. ESCAPE
There is no liability under the rule unless there is an escape of the substance from the land where it is kept. In *Read-v-Lynns & co Ltd*. the defendants operated on ammunition factory as agents of the Ministry of Supply. The plaintiff was an appointed inspector for the ministry. In the course of carrying out her duties in the factory, an explosion occurred causing her injuries. She based her claim against the defendants on *Rylands-v-Fletcher* making no assertion that the defendants had been negligent. It was held that *Rylands-v-Fletcher* was inapplicable because there had been no escape of the thing that inflicted the injury. The House of Lords defined escape as:

“Escape from a place where the defendant had occupation and control over land to a place which is outside his occupation or control.”

It was stated further in this case that *Rylands-v-Fletcher* is conditioned by 2 elements;

a) The condition of escape from the land of something likely to do mischief if it escaped.
b) The condition of non-natural user of the land.

The House of Lords emphasized that the absence of an escape was the basis of their decision in this case.

5. DAMAGE
Rylands –v-Fletcher is not actionable per se and therefore there must be proof of actual damage. This appears to mean actual damage to person or property and it excludes a mere interference with the plaintiff’s enjoyment of this land, such as would be a ground in an action in nuisance.

Damage recoverable under the rule is limited to damage to person or property.
In Hale-v-Jennings Bros, the court held that an occupier of land was entitled to damages for personal injury under the Rule in *Rylands-v-Fletcher*.

In *Cattle-v-Stocker Waterworks co,* it was held that purely economic loss was not recoverable.

Requirement for strict liability to be applicable;

1. Accumulation on the defendant's land

The defendant must bring the hazardous material on to his land and keep it there. If the thing is already on the land or is there naturally, no liability will arise under. The thing must be accumulated for the defendant's own purposes and the thing that escapes need not be the thing accumulated.

Miles v Forest Rock Granite (1918)

The defendant was blasting rocks using explosives which they had brought onto their land. Some of the rocks flew onto the highway and injured the claimant. The claimant brought an action based on the principal established in *rylands v. Fletcher.*

Held: The defendant was liable despite the fact that the rocks were not brought on to the land nor purposively collected and kept there. The explosives were accumulated and caused the rocks to escape.

2. A thing likely to do mischief

The thing need not be essentially hazardous, it should only be a thing likely to cause damage if it escapes

3. No for Escape

There must be an escape from the defendant's land into the plaintiff. An injury inflicted by the accumulation of a hazardous substance on the land itself will not invoke liability under *Rylands v Fletcher.*

Ponting v Noakes (1849)

The claimant‟s horse died after it had reached over the defendant‟s fence and ate some leaves from a Yew tree. The defendant was not liable under Rylands v. Fletcher as the Yew tree was entirely in the confines of the defendant‟s land and there had therefore been no escape.

Charles, J:

"I do not see that they can be made responsible for the eating of these Yew leaves by an animal which, in order to reach them, had come upon his land. The hurt which the animal received was due to his wrongful intrusion. He had no right to be there and the owner therefore has no right to complain."

4. Non-natural use

The defendant must be using his land in a way that is not ordinary

5. Remoteness of damage

Liability in *Rylands v Fletcher* is subject to the rules on remoteness of damage.

Remoteness of damage relates to the requirement that the damage must be of a foreseeable type. Remoteness of damage is often viewed as an additional mechanism of controlling tortious liability. Not every loss will be recoverable in tort law. Originally a defendant was liable for all losses which were a direct consequence of the defendant's breach of duty.

This was largely considered unfair as a defendant could be liable for damage which was not foreseeable and therefore could not take steps to prevent it.

Cambridge Water v Eastern Counties Leather plc (1994)
The defendant owned a leather tanning business. Spillages of small quantities of solvents occurred over a long period of time which seeped through the floor of the building into the soil below. These solvents made their way to the borehole owned by the Claimant water company. The borehole was used for supplying water to local residents. The water was contaminated at a level beyond that which was considered safe and Cambridge Water had to cease using the borehole. Cambridge Water brought actions based on negligence, nuisance and the rule in *Rylands v Fletcher*
Held: Eastern Counties Leather was not liable as the damage was too remote. It was not reasonably foreseeable that the spillages would result in the closing of the borehole. The foreseeability of the type of damage is a pre-requisite of liability in actions of nuisance and claims based on the rule in *Rylands v Fletcher* in the same way as it applies to claims based in negligence.

The Egg shell skull rule

A final aspect of remoteness of damage is the egg shell (or thin) skull rule. This means a defendant must take their victim as they find them, i.e. if the victim is particularly vulnerable or has a pre-existing condition resulting in them suffering greater injury than would be expected in an ordinary person, the defendant remains responsible for the full extent of the injury.

Defenses in Ryland v Fletcher

1. ***Plaintiffs fault***. Where the escape in question resulted from some fault on the part of the plaintiff this may be used as a defense.
2. ***Act of stranger*** **-** If the escape was caused by the act of a stranger over which the defendant has no control, the defendant will escape liability.

Box v Jubb (1879)
The defendant had a reservoir on their land. There was another reservoir situated at a higher level than the defendant’s. The owner of this other reservoir emptied it through a drain connected to the defendant’s reservoir causing the defendant’s reservoir to overflow and damage the claimant’s land.
The claimant brought an action under *Rylands v. Fletcher* contending that there was a non natural user of the land and that there had been an escape of water that caused damage.

Held: The defendant was not liable for the damage as it was caused by the act of a third party over which the defendant had no control.

If however, the act which caused the escape was committed by a person over whom the defendant may exercise some control the defendant may still be liable:

3. ***Statutory authority***

4. ***Act of God*** **-** An act of God is an event which 'no human foresight can provide against, and of which human prudence is not bound to recognise the possibility'

5. ***Consent/benefit-*** If the claimant receives a benefit from the thing accumulated, they may be deemed to have consented to the accumulation:

Peters v Prince of Wales Theatre (1943)
The claimant leased a shop adjacent to a theatre from the defendant, the owner of the theatre. The claimant's shop sustained flood damage when pipes from the theatre;'s sprinkler system burst due to icy weather conditions. The claimant brought an action based on liability under *Rylands v. Fletcher*
Held: The defendant was not liable. The sprinkler system was equally for the benefit of the claimant and the claimant was deemed to have consented to the use of the sprinkler system since it had been installed prior to him obtaining the lease.

DEFAMATION

This constitutes publication of false statement about a person which ends up lowering the person's reputation in the estimation of right-thinking members of society, without justification.

Elements of defamation

1. The defendant must have made a false statement
2. The statement must be defamatory, that is, arouse some form of ridicule or contempt from the right thinking members of the society
3. The statement must refer to the plaintiff
4. The statement must be made public

Types of defamation
The tort of defamation is of 2 kinds:
a) Libel
b) Slander

A. Slander

This is a non-permanent form of defamation, usually by word of mouth. This kind of defamation is actionable upon proof of damage. Though there are some exceptions such as;

1. Where the statement imputes a criminal offence punished by imprisonment
2. Where the statement imputes a contagious disease on the plaintiff
3. Where the statement imputes unchastity on a woman
4. Where the statement imputes incompetence on the plaintiff in his trade, occupation or profession

B. Libel

This is a permanent form of defamation in the sense that the statement is printed or documented. It is actionable per se, that is, without proof of damage.

Note; defamation made in relation to a group isn't always actionable e.g all lawyers are liars. This is different if you say students in school x are liars coz then they can sue

There are however clear differences between Libel and Slander;

1. Libel is defamation in permanent form whereas Slander is defamation in transient form.
2. Libel is not merely actionable as a tort but is also a criminal offence whereas Slander is a civil wrong only.
3. All cases of Libel are actionable per se but Slander is only actionable on proof of actual damage with 4 exceptions under the Defamation Act, which are actionable per se.

CASES OF SLANDER THAT ARE ACTIONABLE PER SE:

1. Imputation of a Criminal Offence

Where the defendant makes a statement, which imputes a criminal offence punishable with imprisonment under the Penal Code, then such Slander will be actionable per se. There must be a direct imputation of the offence and not merely a suspicion of it and the offence must be punishable by imprisonment in the first instance.

If the Slander goes into details of the offence, it is not actionable per se if the details are inconsistent with another.

2. Imputation of a contagious or infectious disease
This is actionable per se as it is likely to make other people to shun associating with the plaintiff.
This exception always includes sexually transmitted diseases and in olden times the diseases of plague and leprosy.

3. Imputation of unfitness, dishonesty or incompetence in any office, profession, calling, trade or business held or carried on by the plaintiff at the time when the Slander was published

This is the most important exception under the Defamation Act, 1952 (English) Section2 provides

"in an action of Slander in respect to words calculated to disparage the plaintiff in any office, profession, calling, trade or business held or carried on by him at the time of publication, it shall not be necessary to allege or prove special damage whether or not the words are spoken of the plaintiff in the way of his office, calling, trade or business."

It follows that any words spoken of a man which are reasonably likely to injure him in his office, profession, calling, trade or business will be actionable per se. It matters not how humble the office may be, so long as it is lawful.

4. Imputation of unchastity or adultery of any woman or girl
Words spoken and published which impute unchastity or adultery to any woman or girl shall not require proof of special damage to render them in actionable.

In *Kerr v. Kennedy,* the court was of the opinion that the term "unchastity" includes lesbianism.

Defenses

1. Justification or pleading that it's the truth
2. Fair comment made as a matter of public interest
3. Absolute privileges- certain statements such as those made by judges in courts are not actionable since they are said to be absolute privilege
4. Qualified privilege – when a person who makes the communication has a moral duty to make it to another person who is interested in hearing it, this is qualified privilege e.g a preacher call the congregation sinners during a service
5. Offer of amends or apology

Remedies

1. Damages
2. Apology
3. Injunction to stop it

OCCUPIERS' LIABILITY

Occupiers' liability generally refers to the duty owed by land/premise owners to those who come onto their land.

However, the duty imposed on land/premise owners can extend beyond simple land ownership and in some instances, the landowners may transfer the duty to others, hence the term occupier rather than owner.

The law relating to occupiers' liability has distinct English origin;

1. Occupiers‟ liability act 1957- which imposes an obligation on occupiers with regard to 'lawful visitors'
2. Occupies‟ liability act 1984- which imposes liability on occupiers with regard to persons other than 'his visitors'

In Kenya the law relating to this is contained in The Occupiers‟ Liability Act (cap.34)

What is expected of the occupier?

1. The occupier owes common duty of care to all of his visitors, i.e. "The common duty of care is to take such care as in all the circumstances of the case is reasonable to see that the visitor will be reasonably safe in using the premises for the purposes for which he is invited or permitted by the occupier to be there."

2. Visitors are persons who have express or implied permission to enter or use the premise of a person. Lawful visitors to whom occupiers owe the common duty of care for the purposes of the Occupiers Liability

    a. Invitees - those who have been invited to come onto the land and therefore have express permission to be there
    b. Licensees - those who have express or implied permission to be there
    c. Those who enter pursuant to a contract - For example paying guests at a hotel or paying visitors to a theatre performance or to see a film at a cinema.

d. Those entering in exercising a right conferred by law - For example a person entering to read the electricity meters.

3. The standard of care varies according to the circumstances. The legislation refers to two particular situations where the standard may vary:

    a. An occupier must be prepared for children to be less careful than adults
    b. An occupier may expect that a person in the exercise of his calling will appreciate and guard against any special risks ordinarily incident to it

4. The occupier is not liable for the negligence of an independent contractor ones he is satisfied that the contractor was competent.

5. The common duty of care does not impose on an occupier any obligation to a visitor who has willingly accepted a risk.

Can the occupier be liable to persons other than his visitors?

At common law, The Occupiers Liability Act 1984 imposes a duty on occupiers in relation to persons "other than his visitors". This includes trespassers and those who exceed their permission, though a low level of protection is offered.

The circumstances giving rise to a duty of care

If all three of these are present the occupier owes a duty of care to the non-lawful visitor.

1. He is aware of a the danger or has reasonable grounds to believe that it exists
2. He knows or has reasonable grounds to believe the other is in the vicinity of the danger or may come into the vicinity of the danger
3. The risk is one in which in all the circumstances of the case, he may reasonably be expected to offer the other some protection

White v Blackmore (1972)
Mr White was killed at a Jalopy car race due negligence in the way the safety ropes were set up. A car crashed into the ropes about 1/3 of a mile from the place where Mr White was standing. Consequently he was catapulted 20 foot in the air and died from the injuries received. Mr White was a driver in the race but at the time of the incident he was between races and standing close to his family. He had signed a competitors list which contained an exclusion clause. There was also a warning sign at the entrance to the grounds which stated that Jalopy racing is dangerous and the organisers accept no liability for any injury including death howsoever caused. The programme also contained a similar clause. His widow brought an action against the organiser of the event who defended on the grounds of volenti and that they had effectively excluded liability.

Held: The defence of volenti was unsuccessful. Whilst it he may have been volens in relation to the risks inherent in Jalopy racing, he had not accepted the risk of the negligent construction of the ropes. However the defendant had successfully excluded liability (Lord Denning MR dissenting)

Lord Denning MR:
"The Act preserves the doctrine of volenti non fit injuria. It says in Section 2(5) that: "the common duty of care does not impose on an occupier any obligation to a visitor in respect of risks willingly accepted as his by the visitor".No doubt the visitor takes on himself the risks inherent in motor racing, but he does not take on himself the risk of injury due to the defaults of the organisers."

Defenses

1. Volenti non fit injuria- the common duty of care does not impose an obligation on occupiers in respect of risks willingly accepted by the visitor.
2. Contributory negligence-Damages may be reduced where the visitor fails to take reasonable care for their own safety.
3. Exclusion of liability-allows an occupier to extend, restrict, exclude or modify his duty to visitors in so far as he is free to do so.
4. The occupier employed a competent independent contractor

LIMITATION OF ACTIONS

Actions of Contract and Tort and Certain Other Actions

Actions of contract and tort and certain other actions

i. The following actions may not be brought after the end of 6 years from the date on which the cause of action accrued—
   a) actions founded on contract;
   b) actions to enforce a recognizance;
   c) actions to enforce an award;
   d) actions to recover a sum recoverable by virtue of a written law, other than a penalty or forfeiture or sum by way of penalty or forfeiture;
   e) actions including actions claiming equitable relief, for which no other period of limitation is provided by this limitations Act or by any other written law.

ii. An action founded on tort may not be brought after the end of 3 years from the date on which the cause of action accrued:

iii. Provided that an action for ***libel*** or ***slander*** may not be brought after the end of 12 months from such date

iv. An action for an account may not be brought in respect of any matter which arose more than 6 years before the commencement of the action.

v. An action may not be brought upon a judgment after the end of 12 years from the date on which the judgment was delivered, or (where the judgment or a subsequent order directs any payment of money or the delivery of any property to be made at a certain date or at recurring periods) the date of the default in making the payment or delivery in question, and no arrears of interest in respect of a judgment debt may be recovered after the expiration of 6 years from the date on which the interest became due.

vi. An action to recover any penalty or forfeiture or sum by way of penalty or forfeiture recoverable by virtue of a written law may not be brought after the end of two years from the date on which the cause of action accrued.

vii. This section does not apply to a cause of action within the Admiralty jurisdiction of the court which is enforceable *in rem*, except that (i) above applies to an action to recover seamen's wages.

Action for contribution from tortfeasor

Where under section 3 of the Law Reform Act (Cap. 26), a tortfeasor (in this section referred to as the first tortfeasor) becomes entitled after the commencement of this Act to a right to recover contribution in respect of any damage from another tortfeasor, an action to recover contribution by virtue of that right shall not be brought after the end of 2 years from the date on which that right accrued to the first tortfeasor.

For the purposes of these rules, the date on which a right to recover contribution in respect of any damage accrues to a tortfeasor shall be ascertained as follows—

a) if the tortfeasor is held liable in respect of that damage by a judgment given in civil proceedings or by an award, the relevant date is the date on which the judgment is given, or the date of the award, as the case may be;
b) if, in a case not falling within the above rule, the tortfeasor admits liability in favour of one or more persons in respect of that damage, the relevant date is the earliest date on which the amount to be paid by him in discharge of that liability is agreed by or on behalf of the tortfeasor and that person, or each of those persons, as the case may be, and for the purposes of this subsection no account shall be taken of any judgment or award given or made on appeal in so far as it varies the amount of damages awarded against the tortfeasor.
c) extension of limitation period in case of disability does not apply to an action by virtue of this section unless the plaintiff proves that the person under the disability

was not, at the time when the right to recover contribution accrued to him, in the custody of a parent, and where the section does so apply it shall have effect as if the words “six years” there were replaced by the words “two years”.

Successive conversions, and extinction of title to converted goods

Where any cause of action in respect of the conversion or wrongful detention of movable property has accrued to any person and, before he recovers possession of the property, a further conversion or wrongful detention takes place, no action may be brought in respect of the further conversion or detention after the end of three years from the accrual of the cause of action in respect of the original conversion or detention.

Where any such cause of action has accrued to any person and the period of limitation prescribed for an action thereon and for an action in respect of such a further conversion or wrongful detention as aforesaid has expired and he has not during that period recovered possession of the movable property, the title of that person to the property is extinguished

TOPIC 4

LAW OF CONTRACT

DEFINITION OF CONTARCT

A contract is an agreement of promises which is legally binding or enforceable by law.

According to Salmond a contract is an "agreement creating and defining obligations between the parties."

According to Sir William Anson, "A contract is an agreement enforceable at law made between two or more persons, by which rights are acquired by one or more to acts or forbearances on the part of the other or others.

Sir William Anson further observes as follows: "As the law relating to property had its origin in the attempt to ensure that what a man has lawfully acquired he shall retain, so the law of contract is intended to ensure that what a man has been led to expect shall come to pass; and that what has been promised to him shall be performed."

Based on the above definition a contract exist when there is

1. an agreement
2. the agreement is enforceable by the law

The law of contract imposes an obligation to the parties involved to see that they have performed their promise, failure to do so attracts legal implications. This usually involves compensating the aggrieved party once the party responsible has been found liable for the act or omission.

CLASSIFICATION OF CONTRACTS

Contracts may be of various types. These may be classified as under:-

1. Express and Implied Contract

An express contract is one in which the parties specifically agree about the nature and terms of their relationship. There is then said to be an express agreement. For example, if A agrees to sell his goods to B for KSH. 10,000/= and B agrees to buy the goods at that price, there is said to be an express contract for the sale of goods at an agreed price.

On the other hand, there is no specific agreement in an implied contract. The conduct of the parties, as well as all the surrounding circumstances, must be taken into account in order to ascertain whether or not a contract exists. Thus where A hires a taxi and boards it there is an implied contract that the taxi man shall convex A up to his destination and that A shall pay such fare is usually paid for that trip.

2. **Unilateral and Bilateral contracts**

A Unilateral Contract is one in which only one party is bound. It is a rare type of contract which arises, for instance, where there is an offer of a reward. Thus, if 'A' offers a reward to anyone who will recover his lost property, no one is bound to recover the lost property but 'A' himself is bound to give the promised reward to anyone who might recover the property.

Most contracts are bilateral. A bilateral contract is one in which both parties are bound. Thus, if
A agrees to sell his goods to B and B agrees to buy them at a stated price, both parties are bound.
A is bound to deliver the goods to B and B is bound to accept them to pay the price.

3. **Valid, Void and Voidable Contracts.**

A ***valid contract*** is an agreement enforceable by law. An agreement becomes enforceable by law when all the essentials of a valid contract discussed above are present. A void contract is an agreement which is not binding or enforceable by law. This is because it has no legal effect at all and is, therefore, not binding on any of parties. A contract is rendered void in certain cases where both parties were mistaken, where it is prohibited by law of where it is entered without consideration e.t.c.

A ***voidable contract*** is one which is enforceable by law of the option of one of the parties. Usually a contract becomes voidable when this consent of one of the parties to the contract is obtained by undue influence, or misrepresentation. Such a contract is voidable at the option of the aggrieved party of the party whose consent was s caused.

Where there is a ***voidable contract***, the party entitled to avoid it must do so within a reasonable time. This may be done by A notifying the other party, B, that he (A) does not intend to be bound by the contract. Where it is no feasible to give notice, e.g. where B is a rogue whose whereabouts are not known A can still effectively terminate the contract by doing everything possible to show that ho does not intend to be bound by the contract. It is sufficient, for instance, to make a report to the police.

Car and Universal Finance Co. V. Caldwell (1965)

X bought a car from the defendant and paid by cheque. X took the car with him. The cheque bounced the next day, but X had disappeared. The defendant reported the matter to the police and the Automobile Association, requesting them to recover the car. Subsequently, X sold the car to Y, who knew X's title to be defective. Y in turn resold the car to the plaintiffs, who bought in good faith.
***Held*:** By setting the police and Auto mobile Association in motion, the defendant had clearly shown that he intended to resend the contract; this meant that the ownership of the car reverted to him and therefore Y had no title to pass to the plaintiffs. The defendant was therefore entitled to recover the car from the plaintiffs.

The right to avoid the contract is lost if the innocent party, upon discovering the true facts, subsequently affirms it. It is also lost where an innocent third party had acquired an interest in
the subject matter of the contract, which is likely to be affected by the avoidance of the contract.

Newtons of Wembley, Ltd. V. Williams (1965)
X bought a car from the plaintiff and paid by cheque. He took the car with him. The cheque was dishonoured, but in the meantime X had disappeared. X subsequently resold the car to the defendant, who bought in good faith. The plaintiff sought to recover the car from the defendant.
Held: Title to the car had passed to the defendant; it could not therefore be recovered by the plaintiff.

Notes: The facts in the above two cases are similar. In *Caldwell's* Case the car was recovered because the innocent purchaser acquired it from a seller who had no title since the contract had already been rescinded; the seller had bought from X in bad faith. On the other hand, in Williams's Case the car could not be recovered because the innocent purchaser has acquired it, in good faith, from a person who had right to sell it.

There are many other instances of voidable contracts, e.g. contracts entered, into under a unilateral mistake, duress or undue influence as well as minors' contracts.

4. Specialty Contracts and simple Contracts.
A specialty contract is also known as a ***contract under seal***. It is an instrument in writing signed and sealed by the party to be bound by it and delivered by him to the person for whose benefit it was made. Thus, writing,, signature, sealing and delivery are the four essential characteristics of this type of contract, of which a Deed is the best example (e.g. a Deed of Conveyance under which property is transferred by one person to another).
"Delivery" is used here not in the sense of physical delivery; what is required is an intention to be bound; *Vincent V. Premo Enterprises Ltd. (1969)*. If A executes a deed conveying his property to B, with an expressed intention that he is to be thereby bound, A will be bound even if the deed was never physical delivered to B. A central feature of this type of contract

is that its validity is independent of consideration i.e. B need not have furnished anything of value as pre-condition for enforcing A's promise.

A **simple contract** is an agreement, express or implied, which gives rise to legal obligations. A simple agreement may be in writing or agreed orally, or even be implied from the conduct of parties. A simple contract may be made also made partly orally and partly in writing.

In England, conveyances of land or leases of land for periods of more than three years, transfers of British ships and gratuitous promises must be under seal.

Section 2 (1) of the Law of Contract Act states that no contract in writing shall be void or unenforceable merely on the ground that it is not under deed. But such contracts, if not made under deed must be supported by consideration.

The following contracts must be in writing:-

a) Bills of Exchange and Promissory Notes.
b) Representations regarding credit worthiness or character.
c) Acknowledgement of Statute Barred Debts.

The following contracts must be evidenced by writing:

a) Contracts of Guarantee
b) Contracts for the Sale of Land
c) Contracts for the Sale of Goods over Two Hundred shillings
d) Employment Contracts over one month
e) Hire Purchase Contracts
f) Money Lending Contracts

6) Contracts Uberrimae Fidei

A contract *uberrimae fidelis* one in which only one of the parties has full knowledge of all materials facts, which he is under a duty to disclose. The best example is an insurance contract.

The insured is possessed of all facts which are material to the contract; but the insurer has no possession of these facts and the insured is under a duty to disclose them to him.

Contracts

Uberrimae Fidei are said to be contracts of Utmost good faith, particularly on the part of the party under a duty to disclose material fact. Any failure to exhibit good faith, or any show of outright bad faith, amounts to a breach of the contract entitling the other party to be relieved from his own obligation under the contract. Other examples of contracts *Uberrimae Fidei* includes:-

(i) Family settlements (where full disclosure is required);
(ii) Contracts for the sale of land (where the seller must disclose defects relating to title);
(iii) Contracts of partnership (where every partner must exhibit utmost good faith in his dealings with the other partner (s).

7. Contracts of Record

A contract of record consists of the judgment of court. Such contracts are formed by an entry on the court records. The rights and obligations of the parties are put on court record and the resultant relationships between them are said to constitute a contract of record. These contracts includes:

i. Judgment of a Court

The previous rights under a contract are merged in the judgment of a court. This judgment constitutes a contract of records between the parties of the contract. We assume 'R' owes 'T' Kshs. 2,000/= on a contract. 'T' sues 'R' and court issues a judgment that 'T' must be paid by 'R' KSH. 1,500/= In this case, the previous rights become merged in the judgment of the court.

ii. Recognizances

In the criminal cases, the court may bind the accused to be of good behaviour and keep peace. The person so bound acknowledges that a specified sum will be paid by him to the state if he fails to observe the terms of recognizance. In the contracts of record, the element of consent of both parties is absent. For this reason, these contracts are not true contracts.

8. Executed contract

A contract is said to be executed when both the parties to a contract have completely performed their share of obligation and nothing remains to be done by either the party under the contract.

For example, when a bookseller sells a book on cash payment it is an executed contract because both the parties have done what they were to do under the contract.

9. Executory contract

It is one in which both the obligations are understanding, one on either party to the contract, either wholly or in part, at the time of the formation of the contract. In other words, a contract is said to be executory when either both the parties to a contract have still to perform their share of obligation or there remains something to be done under the contract on both sides.

For example, T agrees to coach R, a C.P.A student, from first day of the next month and R in consideration promises to pay to T Kshs. 1,000 per month, the contract is executory because it is yet to be carried out.

10. Quasi-Contracts

This type of contracts has little or no affinity with contract. Such a contract does not arise by virtue of any agreement, express or implied between the parties circumstances. For example, obligation of finder of lost goods to return them to the true owner or liability of person to whom money is paid under mistake to replay it back cannot be said to arise out of a contract even in its remotest sense, as there is neither offer and acceptance nor consent, but these are very much covered under quasi contracts. These are known as quasi contracts because these have certain relations resembling those created by contract. A quasi contract is based upon the equitable principle that person shall not be allowed to retain unjust benefit at the expense of another.

ESSENTIAL OF A VALID CONTRACT

The essential elements of valid contract as follows:

1. **Offer and acceptance-** There must be a 'lawful offer' and a 'lawful acceptance' of the offer, thus resulting in an agreement. The adjective 'lawful' implies that the offer and = acceptance must satisfy the requirements of the Contract Act in relation thereto.

2. **Intention to create legal relation-**There must be an intention among the parties that the agreement should be attached by legal consequences and create legal obligations. Agreements of social or domestic nature do not contemplate legal relations, and as they do not give rise to a contract e.g. an agreement to dine at a friend's house or a promise to buy a gift for wife are not contracts because these do not create legal relationship.
   In commercial agreements an intention to create legal relations is presumed. Thus, an agreement to buy and sell goods intends to create legal relationship is a contract provided other requisites of valid contract are present.
3. **Lawful Consideration-**Consideration has been defined as the price paid by one party for the promise of the other. An agreement is legally enforceable only when each of the parties to it gives something and gets something. The something given or obtained is the price for the promise and called consideration.

4. **Capacity of parties-**The parties to an agreement must be competent to contract, otherwise it cannot be enforced by a court of law. In order to competent to contract, the parties must be of the age of majority and of sound mind and must not be disqualified from contracting by any law to which they are subject.

5. **Free Consent-** Free consent of all parties to an agreement is another essential element of a valid contract. 'Consent' means that the parties must have agreed upon the same thing in the same sense. There is absence of 'free consent'; if the agreement is induced by

(i) coercion,
(ii) undue influence,
(iii) fraud,
(iv) Mis-representation, or
(v) Mistake.

6. **Lawful object-** For the formation of a valid contract, it is also necessary that the parties to an agreement must agree for a lawful object. The object for which the agreement has been entered into must not be fraudulent or illegal or immoral or opposed to public policy or must not imply injury to the person or property of another.

7. **Possibility of Performance -** Another essential feature of a valid contract is that it must be capable of performance. If the act is impossible in itself, physically or legally, the agreement cannot be enforced at law.

All the above elements must be present. If one or more elements are absent then the contract may be void, voidable or unenforceable.

FORMATION OF A CONTRACT

A contract is formed by an offer by one person and the acceptance of this offer by another person. The intention of both parties must be to create a legal relationship and they must have the legal capacity to make such a contract. There must be also some consideration against the contract between the two parties. The formation of contract involves the following factors:-

a) The offer
b) The Acceptance
c) Consideration
d) Contractual capacity
e) Intention To Create A Legal Relationship

The Offer

An offer is defined as an expression of willingness to enter into a contract on definite terms, as soon as these terms are accepted. It is made by a person known as the offeror and addressed to the offeree. Thus, if A writes to B stating his desire to sell his property to B at a specified price,
A is said to have made an offer to B. A is the offeror and B the offeree. An offer may be express (where the offeror specifically makes his intentions known to the offeree, whether

in writing or by word of month), or it may be implied from the conduct of the parties, particularly the offeror.
An offer is valid only if its terms are definite, but not where they are vague.

Offer and "Invitation to Treat"
An offer, as defined above, must be distinguished from an invitation to treat, The latter is merely an invitation to make an offer and no contract can result from it alone. The best example is afforded by the display of goods in a shop or supermarket. According to decided cases this amounts to an invitation to treat, not an offer; it is the customer or prospective buyer who makes an offer to the shopkeeper or attendant, or cashier, by picking up the goods and expressing the desire to buy them.

Pharmaceutical Society of Great Bruam V. Boots (1953)
The defendant had a self-service store in which certain listed drugs were displayed on the shelves. It was an offence to sell such drugs unless the sale was done under the supervision of a registered pharmacist. A customer selected some of the drugs from the shelves. The defendants had placed a registered pharmacist on duty at the cash desk near the exit, but not near the shelves. The defendants were charged with the offence of selling listed drugs without the supervision of a registered pharmacist. If the sale took place when the customer picked up the drugs from the shelves, the defendants would be liable; but if the sale took place at the cash desk where the registered pharmacist was stationed, then the defendants were not liable. The court therefore had to determine where the sale took place.
Held: The defendants were not liable because the display of goods on the shelves was merely an invitation to treat, not an offer; it was customer who made an offer by selecting the article and taking it to the cashier.

Fisher V. Bell (1960)
A shopkeeper displayed a flick-knife in his shop window with a price tag behind it. He was charged with the offence of offering a flick-knife for sale. The court had to determine whether the shopkeeper's act amounted to offering the flick-knife for sale.
Held (Lord Parker, CJ): "It is clear that, according to the ordinally law of contract, the display of an article with a price on it a shop window is merely an invitation to treat. It is in no sense an offer for sale the acceptance of which constitutes a contract". Since there was no offer for sale, the shopkeeper was not liable.
Another example of an act that amounts to an invitation to treat rather than an offer is to be found in advertisements inviting tenders. The advertiser merely invites tenders for a particular purpose. It is the tenderer who, by his tender, makes an offer to the advertiser and the latter is thereby converted into an offeree; and it is upon the offeree to accept or reject a particular tender. (A tender is an offer for the supply of goods or services).

The Acceptance

An acceptance is an assent to the terms of an offer. It must correspond with the terms of an offer, and it is for this reason that a counter offer, cross-offer or conditional assent is not an acceptance in the legal sense of the word. An acceptance may be made in anyway that is expedient, but sometimes the offer itself may dictate the mode of acceptance. For example, the offeree may be required to notify his acceptance in writing or to lodge it at a named place or to a named person, or to communicate it within a specified period of time, e.t.c. Generally, the prescribed mode of acceptance must be adhered to; it is only in exceptional circumstances that an equally reflective mode of acceptance may be upheld. An acceptance may be express (where the offeree directly assents to the terms of the offer), or it may be by conduct.

Consideration

The offer and acceptance are not enough to bring about a valid and binding contract. In the case of simple contracts, these are required to be supported by consideration, otherwise the contract is void. Specialty contracts are an exception.

Why does the law insist on consideration before a valid contract can be made? The rationale behind this requirement is that the law of contract generally enforces only bargains and not bare promises for which no value is given. This follows from the fact that, the law of contract is generally intended to promote commercial relations. These are relations which necessarily impose an element of bargain, an element without which there would be no commerce at all.
Indeed, it is on this element that the whole doctrine of consideration is centered.

When we talk of bargain, what we have in mind is an exchange of relationship within the context of a money economy. This is clear from the fact that a party seeking to enforce a contract must prove that consideration has moved from him and that it consists of money or money's worth.

Types of Consideration

a) Executory of Consideration

The word executory is used to denote that the promised act is yet to be done. Thus A promises to sell and deliver to B sacks to charcoal in return for a price to be paid by B. Before delivery of the charcoal, A's promise to B is in the nature of executory consideration for B's promise to pay the price. Similarly, before payment of the price, B's promise to A is in the nature of executor consideration for A's promise.

b) Executed Consideration

The word executed is used here to denote that the promised act has already been done. To take the example given above, after A has delivered the charcoal to B, A is said to have furnished executed consideration for B's promise to pay the price. Similarly, after B has

paid the price he is said to have furnished executed consideration for A's promise to sell and deliver to him three sacks of charcoal.

Under a given contract, it is possible for the consideration furnished by one of the party to be
executory, while that furnished by the other party is executed. Thus, in the above example if it is agreed that A is to deliver the charcoal in a week's time but that B is to pay the price immediately, at that stage consideration furnished by A is executor while that furnished by B is executed.

The distinction between executor and executed consideration is particularly important while considering performance of the contract by the parties and the remedies available to the innocent party in the event of a breach of the contract by the other party. Thus where B has furnished executed consideration by paying the price but A has failed to deliver the charcoal B is said to have performed his part of the contract and he is entitled to recover the price from A ad also to damages from A for breach of contract; whereas if B's consideration was merely executory but he was willing to pay the price, E would be said t be willing top perform the contract ad he would in this case be entitled to damages alone.

c) Past Consideration.

Once negotiations are over and the parties have struck a bargain, any subsequent or fresh promise made by either party in relation to that bargain is known as past consideration. The law is that for d promise to constitute valid consideration is must have been made during the negotiations. As such, past consideration is not valid consideration for the bargain in respect of which it is given ; it is in fact no consideration at all and the promises(promised party) cannot rely on it.

After selling a horse to the plaintiff, the defendant promised the plaintiff in the following terms
:" in consideration that the plaintiff at the request of the defendant, had bought of the defendant a certain horse, at and for a certain price, the defendant promised the plaintiff that the said horse was sound and free from vice. But the horse proved not to be "sound and free from vice" ands the plaintiff sued on the above Held: The defendant's promise was given after the d sale and without any fresh consideration; it therefore amounted to past consideration, which the plaintiff could not rely on.

d) Sufficiency of Consideration

Consideration need not be adequate. Freedom of contract demands that the parties must be free to make their own bargain .No court of law will concern itself with the question whether the price agreed upon is worth the goods supplied. In short, the consideration furnished by one party need not be equal or proportionate to that furnished by the other party. Thus, a creditor's forbearance to sue (i.e. a promise not to sue) may be sufficient consideration for a promise given by the debtor relation to a particular debt.

Alliance Bank, Ltd. v Broom (1864)
The defendant owed plaintiff bankers # 22,000 by way of overdraft. The plaintiffs pressed the defendant for payment, as result of which the defendant promised to give security for the overdraft. The defendant failed to provide the security and on being sued pleaded that the plaintiffs had furnished no consideration for his promise. Held: There was an implicit promise of forbearance for the defendant's promise.

But since by definition consideration indicates value, it must bereal and not illusory. Thus, where a person is already legally bound (whether by contract or as a matter of public duty) to do a particular thing, a promise such as subsequently made by him to do that same thing is not consideration which, could support any agreement at all. Thus, a policeman discharging his ordinary duties furnishes no consideration for a promise made by X to pay him for protection.
Similarly, a person contractually bound to sail a ship home furnishes no consideration for extra pay if all that is done by him is to discharge his contractual obligation:

Intention to Create a Legal Relationship
A contract apparently supported by consideration will not result in a binding contract unless it was the intention of the parties to enter into, or create legal relationship. It, for example, X, promises to take out Y for lunch and Y accepts ad patiently waits for X, there is no legally binding agreement and Y cannot sue X failure to honour his promise.

It is not always easy to determine whether there was an intention to create legal relations. Where the circumstances expressly or impliedly to create such intention, obviously there will be no binding contract. Thus, where it is provided that a particular transaction is not to give rise to any legal relationship but that is to be "binding in honour only" there is no legally binding agreement an none of the parties to the transaction may bring an action on it: Jones *V. Vernons Pools, Ltd. (1938).* In *Rose and Frank Co.V. J. R. Cromption Brothers, Ltd. (1924)* a document signed be the plaintiffs and defendants provided (inter lia): "This arrangement is not entered into, nor is this memorandum written, as a formal or legal agreement, and shall nor be subject to legal jurisdiction in the law court… but it is only a define expression and record of the purpose an intention of he three parties concerned, to which they each honourably pledge themselves with the fullest confidence- based on past business with each other- that it will be carried through by each of he three parties with mutual loyalty and friendly co-operation". It was held that the parties intention was that the document should not be legally enforceable, and the plaintiff's action could not therefore be maintained

Complications arise where there is nothing on the face of the transaction to negative an intention to create legal relations. Generally there is a presumption that there was such intention, in the case of commercial agreements. This presumption is rebutted by a provision to the case of social or domestic agreements. Here, there is no presumption of an

intention to create legal relations; such intention must be specifically proved, otherwise the person seeking to enforce the agreement will fail in his action:

Balfour V. Balfour (1919)
The plaintiff and defendant were husband and wife. The husband, a civil servant in Ceylon, was on leave and he had gone with his wife to England.Towards the end of the leave the wife was in bad health and had to remain in England, while the husband returned to Ceylon. The husband promised her # 30 per month for maintenance during this time. Later, when the husband defaulted, the wife sued him on his promise. Held: The husband's promise did not give rise to legal relations and so the wife's action could not be maintained.

Merritt V. Merritt (1970)
The plaintiff and defendant were husband and wife. Their matrimonial home was in their joint names, and was subject to a mortgage. The husband left the matrimonial home and went to live with another woman. Later it was agreed that the husband would pay the wife # 40 per month out of which she was to pay the outstanding mortgage payments. The husband signed a document stating that "In consideration of the fact that you will pay charges in connection with (the matrimonial home), until such time as the mortgage repayment has been completed, when the mortgage has been completed I will agree to transfer the property to your sole ownership". The wife paid off the entire amount outstanding on the mortgage, but the husband refused to transfer the house into her sole name. Held: The parties had intended to create legal relations; there was therefore a binding contract which the husband had breached.

Note: Domestic agreements are not restricted to those between spouses. They extend to agreements between parent and child (see, e.g. Jones V. Padavation, (1969) and also those between persons who may not in fact be relatives. "Domestic" is used here are to simply to distinguish those agreements from those which are of a commercial nature.

Contractual Capacity
An essential ingredient of a valid contract is that the contracting parties must be 'competent to contract'. Every person is competent to contract who is of the age of majority and who is of sound mind, and is not qualified from contracting by any law. Only a person who has contractual capacity be a party to a contract. This includes artificial as well as natural persons.

The general rule is that any person may enter into any kind of contract. But special rules supply to the following persons:-

a) Minors
b) Persons of Unsound Mind and Drunken Persons
c) Married Women
d) Aliens or Non Citizens

e) Corporations
f) Co-operative Societies
g) Trade Unions

These special rules are explained below;

Minors
Minor's contracts are governed by common law rules as modifiedby the Infants Relief Act 1874.
Under the Contract Act (Cap. 23), contracts in Kenya are governed by the common law of England relating to contracts as modified (interalia) by "the general statutes in force in England on 12 th August 1897. It may therefore, be said that the "Infant Relief Act 1874 applies in Kenya.

A contract made by minors may be binding, voidable of void.

These are discussed as under:-

a) Binding Contracts
There are two types of contracts which are binding on minors.

i) Contract for the Supply of Necessaries
Certain things are regarded as "necessaries". These are things without which the minor could hardly live; are therefore things which are essential to his maintenance. Under the Sale of Goods
Acts "necessaries" are defined as "goods suitable to the condition in life of a particular infant or minor, and to his actual requirements at the time of the sale and delivery". Included here are things like food, clothing, and medicine. But whether a particular commodity falls within the category of necessaries depends on the circumstances of a particular case; and in particular items of luxury are excluded. Thus, while a suit may be an item of necessaries in the case of a minor who hails from a well to do family it might be an item of luxury to a peasant's son, particularly where there are cheaper alternatives within a peasant's means. Once a particular item has been placed within the category of necessaries the next question is: To what extent can the other contracting party enforce the contract on sale against the minor? Under the above Act, a minor is liable to pay a "reasonable price" for goods which are necessaries. He is not therefore necessarily liable for the actual or contract price, and anyone dealing with a minor should bear this in mind as he is likely to lose in case the minor defaults to payment, particularly where the goods were supplied to minor on credit.

It is clear from the definition above that in reckoning whether or no t particular goods are "necessaries" account must be taken of minor's actual requirements at the time of sale and delivery. It must therefore be proved that the minor was not sufficiently provided with

goods in question at the time when they were sold and delivered to him; otherwise the goods are not necessaries and the contract cannot be enforced against the minor.

Nash v. Inman (1908)
A tailor supplied an infant with 11 fancy waistcoats, but the infant failed to pay. The infant was a university undergraduate. His father gave evidence that the infantwas adequately supplied with proper clothes according to his station in life.
Held: The clothes were not necessaries and the infant was not liable to pay from them. The fact that a minor has a sufficient allowance does no prevent him from contracting for necessaries on credit: *Burghart v. Hall (1839).* The lender is still entitled to a reasonable price for the necessaries supplied by him.

Where a minor gets a loan o buy necessaries, the lender may recover his loan under the doctrine of subrogation, i.e. he does not recover in his own right as lender but instead he stands in the place of the person who supplied the necessaries and it is only in this latter capacity that he may recover the money. However, he will only be able to recover the money to the extent that it has been used to buy necessaries and only to the extent of a reasonable price for the necessaries.
Besides goods, certain services and expenses are also considered to be necessaries. Examples includes lodging, legal advice, and funeral expenses for the infant.

ii) Beneficial Contracts of Service
Besides contracts for the supply of necessaries, minor is bound by a contract of service whose nature is such that, considered as a whole, it is intended for his benefit:

Clements v. London and N.W. Railway Co. (18940
X, a minor, was employed by a railway company as a porter. He joined the company's insurance scheme and agreed to relinquish his statutory right of suing for personal injury under the Employers Liability Act 1880. Though the Scheme fixed a lower scale of compensation, its terms were generally more favourable than those embodied in the Act; the Scheme covered more accidents in respect of which compensation was payable.
Held: The agreement was generally for the benefit of X and it was therefore binding on him.

De Francesco V. Barnum (1890)
X, a minor of 14 years, joined the plaintiff as an apprentice in order that she might be taught stage dancing. The apprenticeship was to an agreed sum per night, that she would not marry and that she would not accept any other professional engagement without the plaintiff's permission.
The plaintiff was not bound to engage X or to maintain her while unemployed; the amount payable for X's services was a trifling sum and moreover, the plaintiff was at liberty to terminate the contract in the event of X being found unfit for stage dancing.

Held: The agreement as a whole was unreasonable and completely put X at the mercy of the plaintiff; it was not beneficial to X and was therefore not binding on her. Thus, whether a particular contract is beneficial to a minor and hence binding on him depends on the circumstances of the case. It is binding only when, considered as a whole, it appears to be advantageous or beneficial to the minor. But where the other party to the contract has more to gain from the minor, the contract and his own interests under the contract outweigh those of the minor, the contract will not be considered as being beneficial to the minor and consequently the minor will be bound by it. Certain contracts can never be enforced against a minor, however beneficial they may be to him.

This is particularly so in the case of trading contract. A minor is never by such contracts:

Cowern V. Nield (1912)
X, a minor, set himself up in business as a hay and straw dealer, Y paid for consignment of hay, which X failed to deliver. Y sued X for the price.
Held: Being a minor, X was not bound by the contract entered into with Y, since it was a trading; accordingly X was not liable to repay the price to Y

According to the above case, beneficial contact entered into with a minor is binding on him only if it is either a contract of service or of apprentices, or something close to this. Thus, in Doyle's Case given above, the contract in question was held to be very closely connected with a contract since it was designed to develop the minor's skill as a boxer.

b) Voidable Contracts

Voidable contracts, as far as minors are concerned, are those contracts which a minor is entitled to repudiate either during minority or within a reasonable time after attaining majority age. Apart from the minor's option to repudiate, a voidable contract is similar to a binding one in that in either case the contract must be beneficial to the minor. But in the case of voidable contracts, the subject matter is generally of a permanent nature and the obligations created by the contract are of a continuous nature. The most outstanding examples are: leases agreements (by which the minor acquires an interest in land); contracts for the purchase of shares (by which the minor in a limited company); and contracts of partnership 9by which the minor becomes a partner in a firm).

Like any other voidable contract, a minor's voidable contract remains binding on him until it is duly terminated by him. He must take timely action to avoid the contract, otherwise he will be bound by its terms:-

Davies V. Beynon- Harris (1931)
X, an infant, leased a flat from the plaintiff two weeks before attaining majority age. Three years later, his rent was in arrears and the plaintiff sued him. Held: X had failed to avoid the lease within a reasonable time after attaining majority age and it was now too late to do so; consequently, he was liable to pay the arrears of rent

c) Void Contracts

Under section 1 of the Infants Relief Act 1874, the following contracts entered into with minors are declared to be absolutely void:-

(i) Contracts for the repayment of money lent or to be lent (i.e. loan contracts).
(ii) Contracts for goods supplied or to be supplied other than necessaries;
(iii) All accounts stated (or "settled accounts").

None of these three types of contract can be enforced against a minor.

Smith V. King (1892)
X, a minor was indebted to Y, who were stock brokers. After X had attained majority age, Y sued him for the debt. Y then accepted two bills of # 50 each in full settlement of the debt. Y later brought an action against X based on the bills. The acceptance by Y of the two bills amounted to a ratification of a debt contracted by him during minority; such ratification was void under the Infant Relief Act 1874 and X was no therefore liable on the bills.

Valentini V. Canali (1889)
X, a minor leased the defendant's house and agreed to pay #102 for the furniture which was in the house by way of purchase. He effected a down- payment of #68 on the furniture. He then occupied the house and used the furniture for some months, after which he repudiated the lease.
He then sought to recover the # 68 from the defendant. Held: X was not liable to pay the balance on the #102; but since he had used the furniture for some months there was no total failure of consideration and accordingly he could not recover the #68.

R. Leslie, Ltd. V. Sheill (1914)
X, a minor, fraudulently told the plaintiff that he (X) was of majority age, thereby inducing the plaintiff to lead him @ 400. X for fraudulent misrepresentation or, alternatively, for money.
Held: The contract was absolutely void under the Infants Relief Act 1874; X was not liable to repay the money as the alternative claim against him was an indirect way of enforcing the void contract.
Note: Since a loan contract involving a minor is void, a guarantee of such contract is equally void: *Coutts & Co. V. Browne- Lecky (1947).*

Persons of Unsound Mind and Drunken Persons

A contract made with a person of unsound mind (PUM) is binding on him only if it was during a lucid interval, i.e. an interval during which he is sane. For this purpose, it is immaterial that the other party may have been aware of the PUM's mental capacity. Apart form this, a contract that is entered into a PUM with a person who knows him to be

mentally incapacitated, is voidable at the instance of PUM. However, where the PUM has obtained necessaries under the contract, he is, like a minor, liable to pay a reasonable price for the Sale of Goods Act.

As for a drunken person, his contractual capacity is generally the same as that of a PUM. If the drunkenness is, to the knowledge of the other party, such as to render him incapable of appreciating his acts, a contract entered into in these circumstances is voidable at the instance of the drunken person upon sobering up. But like a minor and PUM, he is liable to pay reasonable price for necessaries: Sale of Goods Act.

Married Women

At common law a married woman could not enter into a contract. But under the Law Reform
(Married Women and Tortfeasors) Act, 1935, the married women can sue and be sued in contract in the same way as single women.

Aliens or Non-Citizens

Alien, i.e. a person who is not citizen of Kenya, can sue and be sued. Any enemy alien, i.e. a person resident in a country which is at war with Kenya, cannot sue, but if sued can defend an action.

Corporations

In the case of corporation, its contractual capacity is limited by the provisions of is Memorandum of Association. It can only enter into those contracts authorized by the Memorandum; any other contract is *ultra vires* and cannot be entered into by the corporation. In case of a statutory corporation, it can only do those things which are expressly or impliedly authorized by statute.
Any contracts entered into those which are not authorized by statute are “ultra vires” and therefore, void.

Co-operative Societies

A co-operative society registered under the Co-operative Societies Act (Cap 490) can enter into
Contracts, and be sued in accordance with the provisions of the Act.

Trade Unions

Section 25 (1) of the Trade Unions Act (Cap. 233) provides:
“Every trade union shall be liable on any contract entered into by it or by an agent acting on its behalf: provided that a trade union shall not be liable on any contract which is void or unenforceable at law”.
A registered trade union may sue and be sued and be prosecuted under its registered name.

TERMS OF CONTRACT

In the course of negotiations, a number of statements may be made by each of parties. Some of these eventually form part of the contract, while others are left out. Statements which form part of the contract are known as terms of the contract. Those which are made in the course of negotiations but are ultimately left out of the contract are called representations. A representation is a statement that is not within the contract. If it turns out to be a false representation, either fraudulently or innocently made, it is called a misrepresentation. If the statement is within the contract then there is a further problem of deciding whether it is a classified as express and implied terms.

The terms of a contract are as follows;
The rights and obligations of the parties to a contract depend on the terms of the contract, not on mere presentations. It is therefore always important to determine whether a particular statement is a term or a presentation:

> *Oscar Chess, Ltd. V. Williams (1957)*
> The defendant offered the plaintiffs a second-hand Morris as part of the consideration for a hire purchase contract. The registration book of the Morris stated that the car was a 1948 model, and this was confirmed by the defendant in good faith. But it turned out later that the car was in fact a 1939 model, which should have been valued at lower figure. The plaintiffs who were car dealers sued the defendant for the difference in value. The court had to determine whether his statement as to the age of the car was a term of the contract or a mere representation.
> ***Held:*** The statement as to the age of the car was not a term of the contract but a mere representation. The plaintiffs were not therefore entitled to recover the difference in value.

> *Dick Bentley Productions, Ltd. V. Harold Smith Motors Ltd. (1965)*
> The defendants sold a Bentley car to the plaintiffs, stating that the car had done only 20,000 miles from the time it was fitted with a replacement engine and gearbox. This statement turned out to be false, the car proved unsatisfactory and the plaintiffs sued. The court had to determine whether the defendant's statement as to mileage was to term of the contract or a mere representation.
> ***Held:*** The statement as to mileage was a term of the contract; and the plaintiffs were entitles to damages for breach of contract.

Looking at the above decisions together, it is clear that it is not always easy to determine whether a particular statement is a term or a mere representation. Generally a statement made by a person possessed of special knowledge or skill is treated seriously, to the extent of being considered a term of the contract; while a statement made by a person not position and will usually be regard as a mere representation. Thus, in Oscar *Chess,Ltd. V. Williams* the purchasers of the car (the plaintiffs) were themselves car dealers and as such were in a

position to ascertain the age of the car independently of any statement made by the defendant.

As car dealers they were possessed of some special knowledge or skill; the defendant's statement would not therefore mean much to them and it was rightly held to be mere representation. On the other hand, in Dick Bentley Case, the defendants had been in possession of the car and were on a better position, compared to the plaintiffs, to tell the mileage which had been done by the car; their statement therefore had to be a term of the contract.

Besides the state of knowledge or skill of the respective parties, the question whether a particular statement is a term or a mere representation may be determined in another way. Where the parties make an oral agreement, which is subsequently reduced to writing, only those statements which are incorporated in the written agreement will be regarded as terms of the contract, while the oral statements left out of he noted, however, that much depends on the peculiar circumstances each case and no hard and fast rule can be laid down.

Express and Implied Terms

Parties to a contract are free to make their own bargain under the banner of "freedom of contract" They may therefore agree on any terms, as long as these are covered by law. But standard form contracts are in exception. In this type of contract, one of the parties virtually dictates all the terms of the contract, which are contained in a special document presented to the other party for signature- e.g. insurance contracts.

Express terms are those which are specifically (or expressly) agreed upon by the parties, whether orally, in writing, or partly orally and partly in writing.

In the absence of specific (or express) agreement on my matter in a particular contract, certain terms may be treated by law as governing the matter in question. These are known as implied terms. Terms may be implied in a contract by statute (e.g. the Sale of Goods Act implied certain terms in every contract of sales of goods); by custom (e.g. trade customs); or by court (e.g. in contracts of employment in master/servant relationship). Sometimes, an implied term is excluded in the express terms of the contract.

Conditions and Warranties

Not all terms of a contract carry the same weight. Some are important than the others. Those which are regarded as major terms of the contract are known as conditions, while those which are minor or of less consequence are called warranties. The distinction between conditions and warranties is best illustrated by the effect which a breach of each one of them has on the contract.

In a contract of sale of goods, for example, a breach of condition by one party entitles the other (innocent) party to treat himself as discharged from his obligations under the contract, while a breach of warranty by one party only entitles the other (injured) party to damages, but not to as right to regard himself discharge from his obligations under the contract.

Both conditions and warranties may be express or implied. But conditions are further subdivided into condition precedent and condition subsequent.
A condition precedent is one which must be satisfied before a contract can become effective or operational: until such condition is satisfied the existence or operation of the contract is suspended and none of the parties has any enforceable right in the meantime:

Pym V. Campbell (1856)
The plaintiff and defendant entered into a written agreement under which the defendant agreed to buy a share in the plaintiff's invention. But it was understood that the agreement was subject to an approval of the invention by X, an engineer. X later disapproved the invention and the defendant refused to proceed with the agreement. The plaintiff sued.
Held: In the absence of X's approval there was no effective agreement and the plaintiff's action could not therefore be maintained.

Again, if A enters into a contract with B is to construct a number of residential houses for A, and
A is required to obtain permission from the City Council before the construction work can commence, out the obligation imposed on B by the contract.
A condition subsequent, on the other hand, is a condition whose occurrence may affect he rights of the parties under a contract which is already in operation. For instance, where there is a provision that a contract is to remain valid until a stated event occurs, the occurrence of the event is a condition subsequent which terminates the contract.

Is an illiterate person protected by law?
The answer is yes, and the relevant protection is to be found in the illiterates Protection Act. The
Act defines an illiterate as "a person who is unable to read and understand the script or language in which the document is written or printed as the case may be". The document must be read over and explained to the illiterate in a language he understands; after this the illiterate, if he is satisfied, appends his mark to it in the presence of a witness whose true and full name and address must be stated; and after the illiterate has appended his mark his name must be written on the document by the witness. Similarly, any person who writes such document must give his true and full name and address. In either case, there is a presumption that the instructions of the illiterates have been complied with and that the document was read over and explained to him. The burden is on the illiterate to rebut this presumption. He should, for instance, insist on the document being read over to him, otherwise he will be bound by it.

VITIATING ELEMENTS OR FACTORS

A contract supported by consideration, in which there is an intention to enter into legal effect where if is affected by a vitiating factor. A vitiating factor (or element)is one which tends to affect the validity of the contract. The vitiating elements consist of:-

a. Mistake
b. Misrepresentation
c. Duress (or Coercion)
d. Undue Influence
e. Illegality

These are explained below

Mistake
Mistake may be defined as an erroneous belief concerning something. It may be of two kinds:

(i) Mistake of law
(ii) Mistake of fact

Mistake of law
Mistake of law may be further classified as;

i. Mistake of general law of the country,
ii. Mistake of foreign law
iii. Mistake of private rights of a party relating to property and goods.

A mistake of law can never be pleaded as a defence. But mistake of foreign law and mistake of private rights may be treated as mistake of fact.

Mistake of fact
A mistake of fact is also known as an operative mistake. Under common law an operative mistake renders a contract void ab initio, ie. where an operative mistake is proved the legal position is that the parties are in the same position as if the contract was never entered into; the contract was void, right from the beginning
The traditional approach is to divide mistakes into three distinct categories: common mistake, mutual, and unilateral mistake.

These are explained below:-

i) Common Mistake

A common mistake is made where both parties assume a particular state of affairs, whereas the reality is the other way round. Both parties therefore make exactly the same mistake. A contract entered into as a result of common mistake is a nullity (or null and void) at common law:

Conturier V. Hastie (1853)

A contract was entered into for the sale of goods which at the time of the contract were supposed to be in transit aboard a certain ship. None of the parties knew that the goods had deteriorated and that by the time of the contract they had in fact been disposed of already by the master of the ship.

Held: Both parties had contemplated that the goods were in existence at the time of the contract; ad since the goods were not actually in existence at that time, the contract was void and the buyer was not liable to pay the price.

ii) Mutual Mistake

Mutual to a particular matter, one party may assume a totally different thing, so that the other party assumes a totally different thing, so that they both misunderstand one another. They are then said to have made a mutual mistake. The mistake is different for each party, exactly the same mistake. A contract made under mutual mistake may not be a nullity, depending on the circumstance of the case (compare common mistake where the contract is automatically nullity):

Scott V. Littledole (1858)

In a contract of sale of goods by sample, the plaintiff bought from the defendants 100 chests of tea, which were then lying in a specified place. The plaintiff thought he was buying the tea contained in the 100 chests, but the defendants thought they were selling to the plaintiff only tea of the same quality as the samples. The tea in the chests turned out to be of a higher quality than the samples submitted to the defendants and the defendant refused to deliver it to the plaintiff.

Held: There was a valid contract between the plaintiff and defendant, and the defendant was liable to deliver the 100 chests.

Note: The above case is sometimes cited as authority for saying that mistake as to quality is not an operative mistake.

iii) Unilateral Mistake

If one of the parties to a contract, and the other parties aware of this fact, there is said to e a unilateral mistake (compare mutual mistake where one party's mistake is not known to the party). Instances of unilateral mistake is not common in fraud cases where one party misrepresents his identity to the other, thereby inducing the other party into contracting with him in the false belief that he is contracting the person whose identity has been given.

Misrepresentation

At representation means a statement of fact made by one party to the other, either before or at the time of contract, relating to some matter essential to the formation of the contract, with an intention to induce the other party to enter into contract, with an intention to induce the other party to enter into the contract. It may be expressed by spoken or written or implied from the acts
or conducts of the parties) e.g. non-disclosure of a fact).

A representation when wrongly made, either innocently or intentionally, is termed as a misrepresentation. To put in differently, misrepresentation may be either innocent or intentional or deliberate with intent to deceive the other party. In law, for the former kind, the term
'Misrepresentation' and for the latter the term "fraud" is used.

Types of Misrepresentation

There are three types of misrepresentation. These are:-

i) Fraudulent Misrepresentation

A fraudulent misrepresentation is a statement made without honest belief in its truth or recklessly without caring whether it is true or not. This type of misrepresentation therefore requires proof of fraud or dishonest; and once proved it is actionable at common law.

ii) Negligent Misrepresentation

An innocent is one made honestly or without fault on the part of the representor. This type if misrepresentation is not actionable at common law, and the representee has no remedy at all.

Remedies for Misrepresentation

Misrepresentation renders a contract voidable at the instance of the representee (the innocent party). Consequently, the remedy of rescission is available to him. Besides, he is also entitled to damages for loss that may have been suffered by him as result of the misrepresentation.

Duress

Duress refers to actual violence or threats violence calculated to produce fear in the mind of the person threatened. The requirement of agreement in the establishment of a contractual relationship presupposes that each of the parties is free contracting agent. But the freedom of the party subjected to duress (or coercion) is obviously restricted. Duress as such, is a vitiating factor which is actionable at common law (and is sometimes referred to as legal duress).

For a threat to amount to duress, it must be a threat to the person, not to goods. It must also relate to an unlawful thing; a threat to do a lawful thing is immaterial, subject only to the requirements of public policy. Also, the threat must have induced the threatened party to enter into the contract.
The dominant view is that contract entered into under duress (or coercion) is voidable at the instance of the party coerced.

Undue Influence
"A contract is said to be induced be undue influence where, (i) the relations subsisting between the parties are such that one of the parties is in a position dominate the will of the other, and ii) he uses the position to obtain an unfair advantage over the other".
Undue influence is another factor which tends to restrict the freedom of a party in entering into a particular contract. It is based on the equitable principle that no person may take an unfair advantage of the inequalities between him and another party so as to force an agreement on the other party.
A person who seeks to rely on undue influence as a defence must prove that the other party has in fact influence over him and that he would not otherwise have entered into the contract. But where a confidential (or fiduciary) relationship exists between the parties, undue influence is presumed, and the burden is shifted on to the other party to prove that there has been no undue influence on his part.
The following are relations in which undue influence is presumed:-

1. Parent and Child
2. Doctor and Patient
3. Trustee and Beneficiary
4. Advocate and Client
5. Guardian and Ward
6. Religious Adviser and Disciple

It should be noted that Husband/Wife relationships do not raise the presumption of undue influence; undue influence must in this case be specifically proved by the party seeking to rely on it.

Where undue influence is sufficiently proved to have existed at the time of the contract, the contract is voidable at the instance of the party unduly influenced and may on this ground be set aside.

Williams V. Bayley (1866)
Like any other voidable contract, a contract entered into under undue influence cannot be set aside where its subject-matter has come into hands of a *bona fide* purchaser, where it has been subsequently affirmed, if there has been undue delay on the party entitled to avoid the contract.

Illegality

An illegality contract is one which is prohibited by law e.g. making a contract to break into a house to steel goods is an illegal contract.

Besides statute, there are certain contracts which are prohibited by, and therefore illegal at common law. These are contracts which offend against public policy, i.e. those which are prejudicial to public morality and public well-being.

They are as follows:-

1. Contracts to commit a crime, tort or fraud;
2. Contracts that are prejudicial to the administration of justice;
3. Contracts liable to corrupt public life;
4. Contracts that are prejudicial to public safety;
5. Contracts to defraud the revenue;
6. Contracts that are sexually immoral;
7. Contracts that are prejudicial to the country's foreign relations.

ILLEGAL CONTRACTS

An ***illegal contract*** is one which is prohibited by law or which contravenes a provision of law or one which ids contrary to public policy. Where both parties are guilty of the illegality they are said to be in *pari delicto* and none of them can enforce the contract. But where only one of the parties is guilty of the illegality, the contract may in certain circumstances be enforced by the innocent party. Thus an agreement to commit murder or assault or robbery would be illegal.

Void and illegal contracts, both cannot be enforced by law but the two differ in some respects.
All illegal agreements are void but all void agreements are not necessarily illegal. For example, an agreement with a minor is void as against him but not illegal. Similarly, when an agreement is illegal, other agreements which are incidental or collateral to it are also considered illegal, provided the third parties have the knowledge of the illegal or immoral design of the main transaction. For example, 'A' engages 'B' to murder 'C' and borrows KSH. 5000 from 'D' to pay 'B'. We assume 'D' is aware of the purpose of the loan. Here the agreement between A and
B is illegal and the agreement between A and D is collateral to an illegal agreement. As such the loan transaction is illegal and void and D cannot recover the money. But the position will change if D is not aware of the purpose of the loan. In that case, the loan transaction is not collateral to the illegal agreement and is valid contract.

An ***unenforceable contract*** is one which though valid, cannot be enforced because none of the parties can sue or be sued to it. For instance, section 6 (1) of the Sale of Goods Act (Cap 31) provides.

"A contract for the sale of any goods of the value of two hundred shillings or upwards shall not be enforceable by action unless the buyer shall accept part of the goods sold, and actually receive the same, or give something in earnest to bind the contract, or in part payment, or unless some note or memorandum in writing of the contract be made and signed by the party to be charged or his agent in that behalf" Unless the conditions laid down in the above provision are complied with, the contract cannot be enforced. The contract itself is valid but its enforceability depends on whether the above provision has been complied with.

DISCHARGE OF CONTRACT

A contract is said to be discharged (or terminated) when the parties to it are freed from their mutual obligations. In other words, when the rights and obligations arising out of a contract are distinguished, the contract is said to be discharged or terminated. A contract may discharge in any of the following ways:-

1. Discharge by performance
2. Discharge by Agreement
3. Discharge by Frustration
4. Discharge by Breach
5. Discharge by Operation of Law

Discharge by Performance

When a contract is duly performed by both the parties, the contract comes to happy ending and nothing more remains. The contract, such a case, is discharged or terminated by due performance. But if one party performs his promise, he alone is discharged. Such a party gets a right of action against the other party who is guilty of breach.

Performance of a contract is the principal and most usual mode of discharge of a contract. Performance may be:

(1) Actual performance; or

(2) Attempted performance or Tender.

1. Actual performance

When each party to a contract fulfils his obligation arising under the contract within the time and in the manner prescribed an amounts to actual performance of the contract and the contract comes to an end or stands discharged

2. Attempted performance or tender

When the promisor offers to perform his obligation under the contract, but is unable to do so because the promise does not accept the performance, it is called "attempted

performance or tender". Thus "tender" is not actual performance but is only at "offer to perform" the obligation under the contract. A valid tender of performance is equivalent to performance.

For performance to discharge a contract, the general rule is that it must be precise and exact. Circumstances do exist, however, n which a partial performance by one party may not entitle the other party to consider himself as discharged, e.g. in cases of substantial performance or of divisible contracts like those in which delivery of goods is to be done in installments: in these cases the performing party is entitled to payment for what has been done by him under the contract.

The effect of refusal to accept a properly made 'offer of performance' is that the contract is deemed to have been performed by the promisor i.e. tenderer and the promise can be sued for breach contract. A valid tender, thus, discharges contract. However, tender of money does not discharge the contract. The money will have to be paid even after refusal of tender.

Discharge by Agreement

Where a contract is still executory, i.e. where each of the parties is yet to perform his contractual obligation, the parties may mutually agree to release each other from their contractual obligation: each party's promise to release the other is consideration for the other party's promise to release him.

Where one party has fully performed his part of the contract, he may agree to release the other party from his contractual obligation. In this case, however, the discharge is effective only if made under seal or where the party being discharged has furnished consideration for it; otherwise the party giving the discharge will not be bound and the other party remains liable .A unilateral discharge, supported by valuable consideration, is known as an Accord and Satisfaction. "The accord is the agreement by which the obligation is discharged. The satisfaction is the consideration which makes the agreement operative'

Discharge by Frustration

A contract is said to be frustrated if an event occurs which brings its further fulfillment to an abrupt end; and upon the occurrence of the frustrating event the contract is immediately terminated and the parties discharged. But the doctrine of frustration only relates to the future.
This means that the parties are discharged from their future obligation under the contract but remain liable for whatever rights that may have accrued before the frustration. Thus, goods supplied or services rendered before the frustration must be paid for, although the parties are both excused from further performance of the contract.

Parties to a contract are under a duty to fulfill their respective obligations created by the contract.
The fact that an event or events may subsequently occur, introducing hardships or difficulties in the performance of the contract is not in itself sufficient to discharge the contract:

It is difficult to determine the frustrating events. Some examples of frustrating events are given below:-

i) Destruction of subject Matter
"In contracts in which the performance depends on the continued existence of a given person or thing, a condition is implied that the impossibility of performance arising from the perishing of the person or thing excuse the performance". This statement of law was made by Blackburn J. in the case given below:-
Taylor V. Caldwell (1862)

A let a music-hall to B in order that B might use it for holding concerts on specified days. Before the concerts could be held the music- hall was accidentally destroyed by fire. B sued A for breach of contract.
Held: The destruction of the music-hall had frustrated the contract and B's action could not be maintained.

ii) Death or Incapacity
Just as the destruction of the subject-matter of the contract terminates it, the death or serious indisposition of a party whose personal services were contemplated by the contract will similarly terminate it. Thus, if A, a doctor, contracts to care for all my medical needs, his death is a frustrating event which automatically terminates the contract. Again, if A contracts to stage a series of shows during the months of June-September but is in May sentenced to imprisonment for one year, or becomes insane permanently or for a substantial part of the period in question, the contract will similarly be discharged by frustration- the frustrating event being constituted by the imprisonment or insanity.

ii) Frustration of Common Venture
Where both parties contemplate a particular object as forming the basis of their contract, such object constitutes their common venture. The law is that if the common venture subsequently becomes incapable of fulfillment the contract is frustrated:

Krall V. Henry (1903)
The plaintiff agreed to let a room to the defendant for the day when Edward VII was to be crowned. Though not spelt out in the agreement itself, both parties understood that the purpose of the letting was to enable the defendant view the coronation process. The King subsequently became ill and the coronation was cancelled.

Held: The cancellation of the coronation discharged both parties from their contractual obligation, because the process was the foundation of the contract and its cancellation meant that the substantial purpose of the contract could no longer be achieved.

Discharge by Breach

Breach of contract by a party thereto is also a method of discharge of a contract, because "Breach" also brings to an end the obligations created by a contract on the part of each of the parties. Of course the aggrieved party i.e. the party not at fault can sue for damages for breach of contract as per law; but the contract as such stands terminated.

A breach of contract may take place when a party:

(i) Repudiates his liability before performance is due.
(ii) Disables himself from performing his promise.
(iii) Fails to perform his obligations.

Discharge by Operation Of Law

A contract may be discharged by operation of law in certain cases. Some important instances are as under:-

i) Lapse of Time

If a contract is made for a specific period then after the expiry of that period the contract is discharged e.g. partnership deed, employment contract e.t.c.

ii) Death

The death of either party to a contract discharges the contract where personal services are involved.

iii) Substitution

If a contract is substituted with another contract then the first contract is discharged.

iv) Bankruptcy

When a person becomes bankrupt, all his rights and obligations pass to his trustee in bankruptcy.
But a trustee is not liable on contracts of personal services to be rendered by the bankrupt.

REMEDIES FOR BREACH OF CONTRACT

Whenever there is a breach of contract, the injured party becomes entitled for some remedies.
These remedies are:-

a) Damages
b) Quantums Meruit
c) Specific Performance
d) Injunction
e) Rescission

These are explained below

Damages

Damages are a monetary compensation allowed to the injured party of the loss or injury suffered by him as a result of the breach of contract. The fundamental principle underlying damages is not punishment but compensation. By awarding damages the court aims to put the injured party into the position in which he would have been, had there been performance and not breach, and not to punish the defaulter party. As a general rule, "Compensation must be commensurate with the injury or loss sustained, arising naturally from the breach". "If actual loss is not proved, no damages will be awarded".

The damages recoverable for breach of contract are governed by the rule in *Hadley V. Baxendale (1894)* which is as follows:-

"Where two parties have made a contract which one of them has broken, the damages which the other party ought to receive in respect of such breach of contractshould be, either such as may fairly and reasonably be consideredarising naturally, i.e. according to the usual course of things, from such breach of contract itself, or such as may reasonably be supposed to have been in the contemplation of both parties at the time they made the contract, as the possible result of the reach of it".

This is the general rule. The plaintiff can only recover for loss arising naturally from the defendant's breach or for such loss as was in the contemplation of both parties at the time when the contract was made. In this way, it is sought to do justice to both parties. In fact the above case goes on to explain that where a contract is made under special circumstances it is the duty of the party seeking to rely on those special circumstances to communicate them to the other party; and in the absence of such communication any loss arising from the special circumstances is not recoverable:

Hadley V. Baxendale (1854)
A miller sent a broken crankshaft by a carrier to deliver to an engineer for copying and to make a new one. The miller informed the carrier that the matter was urgent and that there should be no delay. The carrier accepted the consignment on those terms. The

miller did not inform the carrier that the mill would be idle and unable to work. The carrier had no reason to believe that the delayed delivery of the crankshaft was an essential mechanism of the mill. The carrier delayed delivery of the crankshaft to the engineer; and as a consequence, the mill was idle for longer than it need have been. ***Held:*** that the carrier was not liable for the loss of profits during the period of the delay.

The Heron II (1969)
The defendant's ship, the Heron II, was chartered by the plaintiff to carry sugar from Constanza to Basrah, and the ship was to take an agreed route. But the defendant deviated and took a longer route and as a result delivery of the sugar was delayed by 9 days. In the meantime the market price of sugar had fallen and the plaintiff losta profit of # 4,000.
Held: The loss of profits was recoverable by the plaintiff, because fluctuations in market prices are in the normal course of things and the loss suffered by the plaintiff must have been in the contemplation of both parties as a probable result of a breach of the contract.

Quantum Meruit
The third remedy for a breach of contract available to an injured party against the guilty party is to file a suit upon *quantum meruit*. The phrase *quantum meruit* literally means "as much as is
earned"or "in proportion to the work done". This remedy may be availed of either without claiming damages (i.e. claiming reasonable compensation only for the work done) or in addition to claiming damages for breach (i.e. claiming reasonable compensation for part performance and damages for the remaining unperformed part).

The aggrieved party may file a suit upon quantum meruit and may claim payment in proportion to work done or goods supplied.

The court must then determine a reasonable sum tobe paid for those goods or services; and the plaintiffs is said to have broughthis suit on a quantum meruit. In the case of contracts for the sale of goods, this remedy has been codified by the Sale of Goods Act. It provides; "where the price is not determined, the buyer must pay a reasonable price. What is a reasonable price is a question of fact dependent on the circumstances of each particular case".The plaintiff may also sue on a quantum meruit where the original contract has been replaced by a new one and work has been done by him under the new one. As Lord Atkin has said: "If I order from a wine merchant twelve bottles of whisky and two of brandy, and i accept them i must pay a reasonable price for the brandy": *Steven V. Bromley & Son (1919).*

A claim under quantum meruit sum does not apply, however, where the contract requires complete performance as a condition of payment e.g. a contract to do one piece of work in its entirety in consideration for lump-sum payment.

Sumpter V. Hedges (1898)
S agreed to build a house for a certain sum on H's land. When the house was half finished S ran out of money and could not complete. H refused payment, and S brought an action on a quantum meruit for the value of materials used and the labour he had expended.
Held: that the claim must fail. The contract was to do certain work for a lump sum which was not payable until completion. H had no choice but to accept the work.

Specific Performance
This is an equitable remedy. Specific performance means the actual carrying out of the contract as agreed. Under certain circumstances an aggrieved party may file a suit for specific performance, i.e. for a decree by the court directing the defendant to actually perform the promise that he has made.

A decree for specific performance is not granted for contracts of all types. Itis only where it is just and equitable so to do i.e. where the legal remedy is inadequate or defective, that the courts issue a decree for specific performance.

Specific performance is not granted as a rule, in the following cases:-

(i) Where monetary compensation is an adequate relief. Thus the courts refuse specific performance of a contract to lend or to borrow money or where the contract is for the sale of goods easily procurable elsewhere.
(ii) Where the court cannot supervise the actual execution of the contract, e.g. a building construction contract. Moreover, in most cases damages afford an adequate remedy.
(iii) Where the contract is for personal services, e.g. a contract to marry orto paint a picture. In such contracts "injunction" (i.e. an order which forbids the defendant to perform a like personal service for other persons) is granted in place of specific performance.
(iv) Where one of the parties to the agreement does not possess competency to contract and hence cannot be sued for breach of contract. Thus a minor cannot succeed in an action for specific performance.

Injunction
"Injunction" is an order of a court restraining a person from doing a particular act. It is a mode of securing the specific performance of the negative terms of the contract. To put it differently, where a party is in breach of negative term of the contract (i.e. where he is doing something which he promised not to do), the court may, by issuing an injunction, restrains him from doing, what he promised not to do. Thus "injunction" is a preventive relief. It is particularly appropriate in cases of "anticipatory breach of contract" where damages would not be an adequate relief. Illustration: A agreed to sing at B's theatre for

three months from 1 st April and to sing for no one else during that period. Subsequently, she contracted to sing at C's theatre and refused to sing at B's theatre. On a suit by B, the court refused to order specific performance of her positive engagement to sing at the plaintiff's theatre, but granted an injunction restraining A from singing elsewhere and awarded damages to B to compensate him for the loss caused by A's refusal (Lumley vs. Wagner).

Rescission

When there is a breach of contract by one party, the other party may rescind the contract and need not perform his part of obligations under the contract and may sit quietly at home if he decides not to take any legal action against the guilty party. But in case the aggrieved party intends to sue the guilty party for damages for breach of contract, he has to file a suit for decision of the contract. When the court grants rescission, the aggrieved party is freed from all his obligations under the contract; and becomes entitled to compensation for any damage which he has sustained through the non-fulfillment of the contract.

Illustration: A contracts to supply 100 kg of tea leaves for sh. 1,500 to B on 15 th April. If A does not supply the tea leaves on the appointed day, B need not pay the price. B may treat the contract as rescinded and may sit quietly at home. B may also file a "suit for rescission" and claim damages.

Thus, applying to the court for "rescission of the contract" is necessary for claiming damages for breach or for availing any other remedy. In practice a "suit for rescission" is accompanied by a "suit for damages".

TOPIC 5

SALE OF GOODS

Introduction

Businesses and consumers are usually free to contract on whatever terms they see fit. However, contracts involving sales of goods can be subject to a range of statutory provisions. It is important to distinguish between sale of goods and other forms of conveying, such as barter trade, bailment, hire purchase, pledges, supply of services and gifts. The distinction is important as it sheds light on the resolution of disputes if they go to court.

NATURE OF THE CONTRACT

A contract of sale of Goods can be defined as contract in which the seller transfers or agrees to transfer the property in goods to the buyer for a money consideration called a price. Property means the general property in goods, and not merely a special property.

These contracts can be separated into two:

A. **Sale contract** – goods passes to the buyer once the contract is concluded
B. **Agreement to sell-** goods or property passes on the fulfillment of a particular or upon the expiration of a specified condition

Sale of good should be distinguished from the following transaction

1. Contract of Barter or Exchange.
2. Contract of Gifts
3. Contract of Bailment
4. Contract of Hire Purchase
5. Contract of Loan on Security of goods
6. Contract of Agency
7. Contract of Licenses of intellectual property such „sales‟ of computer software and patents.
8. Contract of Supply of services

The difference will in most cases be in money consideration called ***price*** and the condition in which property comes to pass

The following should be clearly understood when it come to understanding the nature of sale of goods contracts

1. **Seller-** This is the person who sells or agrees to sell goods.

2. **Property –**This is the general property in goods or ownership. It signifies the bundle of rights that a person has in relation to a subject matter .Eg. Right to use, misuse and to dispose
3. **Goods-** this is includes
    1. All chattels personal other than things in action and money
    2. And all implements
    3. Industrial growing crops
    4. Things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale

    Types of Goods
    1. Ascertained/Specific goods and Unascertained
    2. Existing and Future Goods

    Specific or Ascertained Goods
    These are goods that have specifically been indentified and agreed upon by the parties at the time when the contract of sale is made. Other goods which haven‟t been identified are unascertained goods

    Existing Goods
    These are goods owned or possessed by the seller at the time when the contract of sale is made.

    Future Goods
    These are goods to be manufactured or acquired by the seller after the contract of sale is made.

4. **Buyer-** This is the person who buys or agrees to buy goods
5. **Price-** This is the consideration that passes from the buyer to the seller to support the contract of sale of goods. The consideration must be monetary.

Note
In a contract of sale of Goods, price is determined or fixed:-

a) By the contract itself
b) In the manner thereby agreed
c) By the course of dealing

If the price is not so fixed, the buyer pays a reasonable price.

FORMALITIES OF THE CONTRACT

A contract of sale may be:-

a) Oral
b) Written with or without seal
c) Partly oral and partly written
d) Implied from the conduct the parties

The Capacity for one to enter into a contract of sale of Goods is governed by the General Law of contract. However, if an infant, drunken person or a person of unsound mind is supplied with necessaries, he is liable to pay a reasonable price.

Void contracts of sale of goods

Certain contracts of sale of goods are void:

i. Where there is a contract for the sale for the specific goods which without the seller‟s knowledge have perished at the time the contract is made, the contract is void.
ii. Where there is an agreement to sell specific goods which subsequently perish without the fault of either party before risk passes the buyer, the agreement is avoided.
iii. Where in an agreement to sell specific goods, price is to be fixed by the valuation of a 3rd party who fails to do so, the agreement is avoided.

TERMS OF SUCH CONTRACTS (IMPLIED TERMS)

The terms in these contracts can be classified as conditions and warranties. Since express terms are dependent upon the contracting parties we shall look at implied terms.

Implied terms are terms which though not expressly agreed to by the parties, are an integral part of the contract.

These terms may be implied by **statutes** or by a **court of law.**

TERMS IMPLIED BY STATUTES

CONDITIONS

1. Seller has the right to sell the goods when property in the goods is to pass.
2. In case of sale by description the goods shall correspond to the description. This condition applies where the sale is solely by description. If the buyer sees the actual goods before the sale then it cannot be relied upon:

Harlington & Leinster v Christopher Hull Fine Art (1991)
The claimant purchased a painting from the defendant for £6,000. The painting was described in an auction catalogue as being by German impressionist artist Gabrielle Munter. Both the buyers and the sellers were London art dealers. The sellers were not experts on German paintings whilst the buyers specialised in German paintings. The purchasers sent their experts to inspect the painting before agreeing to purchase. After the sale the buyers discovered that the painting was a fake and worth less than £100. They brought an action based on s.13 Sale of Goods Act in that the painting was not as described.
Held: By sending their experts to inspect the painting this meant the sale was no longer by description. S.13 only applies to goods sold by description and therefore the buyers had no protection.
Note: this is simply concerned with description and not quality as was made clear in:

Re Moore & Landauer (1921)
A contract for the sale of 3,100 tins of peaches described the tins as being packed in cases of 30. When they arrived the tins were packed in cases of 24 although the agreed overall number of tins was supplied.
Held: The purchaser was entitled to reject the goods as they were not as described.

3. Where the buyer expressly or by implication makes known to the seller the particular purpose for which the goods are required so as to rely on the seller's skill and judgment, there is an implied condition that the goods shall be reasonably fit for that purpose.
4. Where goods are bought by description from a person who deals in such goods in the ordinary course of business whether a seller or manufacturer, there is an implied condition that the goods will be of merchantable quality.
5. in a contract for sale by sample there is an implied term-
    - That the bulk will correspond with the sample in quality
    - That the goods will be free from any defect, making their quality unsatisfactory, which would not be apparent on reasonable examination of the sample.

WARRANTIES

1. The goods are free from any undisclosed charge or encumbrance.

2. The purchaser will enjoy quiet possession of the goods. This acts as an ongoing assurance that no one will interfere with the buyer‟s right to possess or use the goods.

Microbeads v Vinhurst Road Markings (1975)
The claimant purchased some road marking machines from the defendant. After the purchase a third party was granted a patent right in the machines. This meant the claimant could not use the machines unless they were granted a license to do so. There was no breach of condition as at the time of the sale the seller had the right to sell the goods. However, there was a breach of warranty in that the buyer could not enjoy quiet possession of the goods.

TERMS IMPLIED BY COURTS OF LAW

Courts of law is usually reluctant to imply terms in contracts as it is the duty of the parties to agree as to what the contractual terms shall be.

There are circumstances however, that courts are called upon to imply terms in contract reasons being:

1. To give effect to the intentions of the parties.
2. To facilitate commercial transactions or give business efficiency.

Courts of law imply terms in contracts on the basis of:

a) The reasonable by standard test.
b) Trade usages and customs.

TRANSFER OF PROPERTY

The question "When does property in goods pass from the seller to the buyer?" is very important to contracts of sales of goods.

As we have already established property means the general property in goods or ownership. It signifies the rights a person has in relation to a subject matter. It is important to be clear on when property in goods passes from the seller to the buyer for the following reasons:

1) It is the purpose of the contract of sale of Goods that property passes to the buyer.

2) It determines when risk passes to the buyer and hence the party liable in the extent of loss or destruction.

3) It determines what remedies are available to the seller e.g. the seller cannot sue for the price before property in the goods passes to the buyer.

Property in goods passes to the buyer at different times in different contracts hence the passage of property is governed by various rules or principles.

RULES RELATING TO TRANSFER OF PROPERTY

1) Sale of Unascertained Goods- property passes to the buyer when the goods are ascertained.
   These good include;
   a) Goods to be manufactured by the seller.
   b) Crops to be grown by the seller.
   c) Purely generic goods.
   d) An unidentified portion of a special bulk or whole.

2) Sale by Auction- property passes when the Auctioneer announces its completion by the fall of the hammer or in any other customary manner.

   Rules Governing Sale by Auction
   a. If goods are offered in lots, each lot is deemed to be the subject matter of a separate contract.
   b. If the right of the seller to bid is not expressly reserved, he cannot bid or do so through another person.
   c. A sale by auction may be the subject to an agreed price
   d. The right of the seller to bid may be reserved, in which case he may do so at the auction

3) Unconditional Sale of Specific Goods in a deliverable state- Property passes when the contract is concluded.

4) Sale of Specific goods not in a deliverable State- Where specific goods are to be put in a deliverable state, property passes when they are in this state and the buyer is notified.

5) Sale of specific goods to be weighed, measured, tested etc- if specific goods are to be weighed, measured, and tested or that other thing is to be done for the purpose of determining the price, property passes when the thing is done and the buyer is notified.

6) Sale by approval or On Sale or Return- where goods are delivered to the buyer by approval or on sale or return or on such other term, property in them passes to the buyer: -
   a. When he signifies his acceptance or approved to the seller.
   b. When he does any act adopting the transaction e.g. selling goods.
   c. When he retains the goods even after expiration of the stipulated or reasonable time without signifying his rejection.

PERFORMANCE OF THE CONTRACT

Unless otherwise expressed, it's the duty of the seller to deliver the goods and the buyer to accept and pay for them, in accordance to the contract of sale. Generally payment and delivery are concurrent conditions, that is, they both take place at the same time.

Forms of Delivery

This is the voluntary transfer of possession from one person to another. It may take any of the following forms;

1) Physical transfer of the goods.
2) Delivery of the means of control e.g. keys.
3) Delivery of the documents of title.
4) Delivery to a common carrier.
5) Delivery by atonement: This is a situation where a seller of goods retains them as bailor for the buyer.

Rules of delivery

1. Whether it is for the seller to transmit the goods to the buyer or for the buyer to take delivery at the seller's premises depends on the agreement between the two.
2. Unless otherwise agreed, the cost of and incidental to putting the goods into a deliverable state is borne by the seller.
3. Unless otherwise agreed the place of delivery is the seller's place of business if not then his residence.
4. Where specific goods are in some other place known to both parties, that other place is the place of delivery
5. If the goods are in the hands of a 3rd party, delivery is complete when the 3rd party notifies the buyer that he holds the goods on his behalf.
6. If the seller is bound to transmit, the goods to the buyer, he must do so within the stipulated time if any or within a reasonable time.
7. If the seller delivers less goods, the buyer may reject them or accept and pay at he contract rate
8. If the quantity delivered is more, the buyer may reject the goods, or accept those included in the contract or accept all and pay at the contract rate.
9. If the goods delivered are mixed with those of a different description, the buyer may, Reject the goods or Accept those included in the contract
10. Unless otherwise agreed, the buyer is not compelled to accept delivery by installment
11. Where delivery is by installment to be paid for separately and the seller makes one or more defective deliveries or the buyer refuses to take delivery or pay for one or more

installment whether such breach entitles the innocent party to treat the contract as repudiated or is severable depends on the terms of the contract and the circumstances of the case.

12. If the buyer rejects the goods as of right, he is not bound to return the same to the seller but must notify him the fact of rejection.

ACCEPTANCE

The term acceptance can be used in two senses

1. The buyer's acceptance of the goods which will deprive him the right to reject them for breach of condition
2. The buyer has contractual duty to accept delivery of goods in accordance to the contract.

The buyer will be considered to have accepted the goods if;

i. He intimates to the seller his acceptance
ii. He does any act in relation other goods which is inconsistent with the seller's ownership
iii. He retains the goods after the expiration of the stipulated or reasonable time without intimating his rejection.

TRANSFER OF TITLE BY A NON-OWNER (NEMO DAT QUOD NON HABET)

The *nemo dat* rule is that the transferor of goods cannot pass a better title than he himself possesses. In simpler terms one cannot give what he/she does not have.

The principle of *Nemo dat* was developed by the Common Law to protect the true owners of goods. However, its strict application interferes with commercial transaction in that the *bona fide* purchaser cannot acquire a good title if the seller had none.

In the words of Lord Denning in *Bishop Gate Motor Finance Corporation v. Transport Brakes Ltd,*

"In the development of our law, two principles have striven for mastery. The first is for the protection of property: no one can give a better title than he himself possesses. The second is the protection of commercial transactions: the person who takes in good faith and for value without notice should get a good title. The first principle has held sway for a long time, but it has been modified by the common law itself and by statute so as to meet the needs of our own times."

Subject to this Act, where goods are sold by a person who is not their owner, and who does not sell them under the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller had, unless the owner of the goods is by his conduct precluded from denying the seller's authority to sell.

The rule can be demonstrated by the case of

> ***Greenwood v Bennett***
> In this case the original owner of a Jaguar car (Bennett) entrusted it to a man named Searle for repairs to be carried out. Searle then used the car for his own purposes, crashed it and caused extensive damage. Searle then sold the car to Harper, who owned a garage, for £75. Harper did not realise that Searle was not the owner of the car. Harper then spent £226 repairing the car and sold it on to a finance company. It was held by the court that the car belonged to Bennett as Searle did not have title and could therefore not transfer that title to Harper. For the same reason, Harper could not transfer title to the finance company. Bennett was therefore able to recover the car but had to compensate Harper for the work done to it.

However, although the *nemo dat* rule in its essential form may be clear, it is not always fair, as it is an innocent party buyer who will suffer, and nor is it necessarily in keeping with the needs of modern commerce and trade.

Exceptions:-

1. Estoppel

A non-owner can pass a good title if the true owner is by his conduct precluded from denying the seller's authority to sell. This is the equitable doctrine of estoppel. If the true owner of goods makes it appear that some other person is the owner, the true owner is estopped from denying the apparent ownership of the other.

2. Sale by Mercantile Agent or Factor

A factor is a mercantile agent who is entrusted with possession of goods and who sells in his own name. A factor passes a good title, even if he has no authority to sell provided he sells the goods: -

i. In his capacity as mercantile agent
ii. In the ordinary course of business
iii. To a bona fide purchase for value without notice
iv. Of which he has possession of with the owner's consent.

3. Resale by Seller in Possession

If the seller who has already sold goods but retains their possession or documents of title, sells them to a 3rd party who takes in good faith for value without notice of the previous sale, the seller passes a good title.

4. Sale by buyer in Possession

Where seller who has bought or agreed to buy goods, obtains their possession or documents of title with the seller's consent before title passes to him and as a consequence he transfers them to a bona fide purchaser who takes them in good faith and with notice of the original seller's lien on the goods, he passes a good title.

5. Sale Under Statutory Power

A sale made in exercise of a power conferred by an Act of parliament passes a good title

CAVEAT EMPTOR

It literally means "buyer beware"

This is a Common Law principle to the effect that in the absence of fraud or misinterpretation, the seller is not liable if the goods sold do not have the qualities the buyer expected them to have. A buyer buys goods as they are.

The principle was developed by the Common Law to protect manufacturers by ensuring that their goods were sold irrespective of their quality. Sellers of goods at Common Law would not guarantee anything about the goods unless a buyer demanded a warranty. However, these principles turned out to be very harsh to the consumers and exception had to be developed.

Exceptions to *Caveat Emptor* include the **Conditions** and **Warranties** Implied by the Sale of Good Act such as;

1. In a sale by description, the goods must correspond to the description
2. Implied Condition of Fitness for purpose
3. Under Sec. 16 (b) it implied that good should be of merchantable quality.
4. In a sale by sample it is implied that:-
    a. The bulk shall correspond with the sample in quality
    b. The buyer shall be afforded a reasonable opportunity to compare the bulk and sample.
    c. The goods shall be free from my defect rendering them unmerchantable

However, the effectiveness of these exceptions in protecting consumer is questionable in that:-

a. Parties are free to contract outside the implied terms.
b. The stronger party may use exemption clauses in the contract.
c. The condition of fitness for purpose is not implied if the goods are sold under a patent or other trade name.
d. The condition as to merchantable quality is not implied if the buyer has examined the goods but failed to detect defects which such examination ought to reveal.

DUTIES OF THE PARTIES

The contract of Sale of goods imposes upon the parties certain obligations:

Duties of the seller

i. Put the goods into a deliverable state-The seller is bound to ensure that the goods are in a condition in which the buyer is bound to take delivery when the contract is made and unless otherwise agreed, the cost of doing so is borne by the seller.
ii. Pass a good title- It is the duty of the seller to pass a clean title to the buyer failing which he is liable in damages.
iii. Deliver the goods
iv. Supply goods of the right quality- The seller is bound to ensure that the quality of the goods supplied is consistent with the terms of the contract.
v. Supply goods of the right quantity –The seller must deliver goods of the quantity agreed to by the parties.

Duties of the buyer

1) Take delivery- it is the duty of the buyer to take delivery of goods, the subject matter of the contract, failure to which he is liable in damages
2) Pay the price-it is the duty of the buyer to pay the price of the goods failure to which the seller may maintain an action against him for the price

REMEDIES FOR BREACH OF CONTRACT

Remedies available to the seller

In this type of contracts the remedies available to the injured party can be classified into two, i.e.

1) Real remedies
2) Personal remedies

REAL REMEDIES

These are remedies against the goods and are enforceable without any court action.

1. Lien

This is the right of unpaid seller in possession of the buyer's goods to retain them as a security for the price.

Lien is exercisable in the following circumstances:

a. Where goods have not been sold on credit
b. Where goods have been sold on credit but the term of credit has expired.
c. If the buyer becomes insolvent

Loss of Lien

The unpaid seller losses the right to retain the buyer's goods in the following ways: -

i. by waiver thereof
ii. If the buyer or his agents obtain lawful possession of the goods.
iii. If the seller delivers the goods to a common carrier for transmission to the buyer without reserving the right of disposal.
iv. Payment for goods.

2. Stoppage in transit

This is the right of unpaid seller who has already parted with possession of the goods to resume the same as long as the goods are still in the course of transit to the buyer. The exercise of this right enables the seller to resume possession of the goods. The rights are exercisable by the seller only if the buyer becomes insolvent.

Loss of the Right of Stoppage

The seller right of stoppage in transit will be defeated or is lost when transit ends. Transit ends if:-

a. The buyer or his agent intercepts the goods before arrival at the agreed destination
b. Upon arrival the carrier notifies the buyer or his agents that he holds the goods on his behalf.
c. The carrier wrongfully neglects or refuses to deliver the goods to the buyer or his agents.

3. Rights of Resale

Unpaid seller in possession of the buyer's goods is entitled to re-sell them to recover the price. A re-sale of the goods by the seller passes a good title to the buyer in the following circumstances:

a. Where the goods are of a perishable nature.
b. Where the right to resale is expressly reserved by the contract
c. When the seller notifies the buyer his intention to resale the goods but the buyer does not pay or tender the price within a reasonable time.

PERSONAL REMEDIES

These are remedies against the buyer and are enforceable by court action namely: -

a. Action for Price
b. Damages for non-acceptance

Remedies Available To the Buyer

1. Damages for Non-Delivery
2. Specific Performance- if the seller refuses to deliver specific goods, the buyer may maintain an action for the decree of specific performance which the court may grant if circumstances justify.
3. Damages for the Breach of warranties
4. Recovery of price paid
5. Rejection of Goods

The buyer is entitled to reject the goods delivered by the seller in certain circumstances without incurring any liability. For instance;

a. If the quantity delivered is greater than that contracted for
b. If the quantity delivered is less than that contracted for
c. Where the goods delivered are mixed with goods of another description.

INTERNATIONAL CONTRACTS OF SALE:

FAS, FOB, CIF, FCA, CPT, CIP, DAT, DAP, DDP, CFR, DAF, DES, DDU, EX-WORKS AND EX-SHIP

Incoterms

What are Incoterms

Incoterms - a.k.a. Trade Terms are key elements of international contracts of sale. They tell the parties what to do with respect to carriage of the goods from buyer to seller, and export & import clearance. They also explain the division of costs and risks between the parties.

The difference between the 2000 and the 2010 version is the number of Incoterms has been reduced from 13 to 11. Four Incoterms (DAF, DES, DEQ, DDU) have been replaced by

two new Incoterms (DAT , DAP). The replaced Incoterms DAF, DES and DEQ were not used much in day to day trading.

EXW - ExWorks (2000 and 2010)

This term represents the seller's minimum obligation, since he only has to place the goods at the disposal of the buyer. The buyer must carry out all tasks of export & import clearance. Carriage & insurance is to be arranged by the buyer.

FCA - Free Carrier (2000 and 2010)

This term means that the seller delivers the goods, cleared for export, to the carrier nominated by the buyer at the named place. Seller pays for carriage to the named place.

FAS - Free Alongside Ship (2000 and 2010)

This term means that the seller delivers when the goods are placed alongside the vessel at the named port of shipment. The seller is required to clear the goods for export. The buyer has to bear all costs & risks of loss or damage to the goods from that moment. This term can be used for sea transport only.

FOB - Free On Board (2000 and 2010)

This term means that the seller delivers when the goods pass the ship's rail at the named port of shipment. This means the buyer has to bear all costs & risks to the goods from that point. The seller must clear the goods for export. This term can only be used for sea transport. If the parties do not intend to deliver the goods across the ship's rail, the FCA term should be used.

CFR - Cost and Freight (2000 and 2010)

This term means the seller delivers when the goods pass the ship's rail in the port of shipment. Seller must pay the costs & freight necessary to bring the goods to the named port of destination, BUT the risk of loss or damage, as well as any additional costs due to events occurring after the time of delivery are transferred from seller to buyer. Seller must clear goods for export. This term can only be used for sea transport.

CIF - Cost, Insurance, Freight (2000 and 2010)

The seller delivers when the goods pass the ship's rail in the port of shipment. Seller must pay the cost & freight necessary to bring goods to named port of destination. Risk of loss & damage same as CFR. Seller also has to procure marine insurance against buyer's risk of loss/damage during the carriage. Seller must clear the goods for export. This term can only be used for sea transport.

CIP - Carriage and Insurance Paid (2000 and 2010)

This term is the same as CPT with the exception that the seller also has to procure insurance against the buyer's risk of loss or damage to the goods during the carriage. This term may be used for any mode of transportation.

CPT - Carriage Paid To (2000 and 2010)

This term means that the seller delivers the goods to the carrier nominated by him but the seller must in addition pay the cost of carriage necessary to bring the goods to the named destination. The buyer bears all costs occurring after the goods have been so delivered. The seller must clear the goods for export. This term may be used irrespective of the mode of transport (including multimodal).

DAF - Delivered At Frontier (2000)

This term means that the seller delivers when the goods are placed at the disposal of the buyer on the arriving means of transport not unloaded, cleared for export but not cleared for import, at the named point & place at the frontier - but before the customs border of the adjoining country. To be used when delivering to a land frontier.

DES - Delivered Ex Ship (2000)

Seller delivers when goods are placed at the disposal of the buyer on board the ship, not cleared for import at the named port of destination. The seller bears all costs & risks in bringing the goods to the named port before discharging. This term can only be used when the goods are to be delivered by sea.

DEQ - Delivered Ex Quay (2000)

This terms is the same as DES with the exception that the seller is responsible to place the goods at the disposal of the buyer, not cleared for import, on the quay (wharf) at the named port of destination. Seller bears all costs & risks as in DES plus discharging the goods on the quay. This term can only be used in sea transport.

DDU - Delivered Duty Unpaid (2000)

This term means the seller delivers the goods to the buyer, not cleared for import, and not unloaded from arriving means of transport at the named place of destination. The seller bears all costs & risks involved in bringing the goods to the named place other than "duty" (which includes the responsibility for customs formalities & payment of those formalities, duties & taxes) for import into the country of destination. Buyer is responsible for payment of all customs & duties & taxes.

DDP - Delivered Duty Paid (2000 and 2010)

This term represents maximum obligation to the seller. This term should not be used if the seller is unable to directly or indirectly to obtain the import license. The terms means the same as the DDU term with the exception that the seller also will bear all costs & risks of carrying out customs formalities including the payment of duties, taxes & customs fees.

DAT – Delivered at Terminal (named terminal at port or place of destination) (2010)

Seller pays for carriage to the terminal, except for costs related to import clearance, and assumes all risks up to the point that the goods are unloaded at the terminal.

DAP - Delivered At Place (named place of destination) (2010)

Seller pays for carriage to the named place, except for costs related to import clearance, and assumes all risks prior to the point that the goods are ready for unloading by the buyer.

TOPIC 6

HIRE PURCHASE CONTRACTS

NATURE OF HIRE PURCHASE CONTRACT

Definition of hire purchase

This is a contract by which goods are delivered to a person who agrees to make periodical payments by way of hire, with an option of buying the goods after the started hire installments have been paid.

The goods may be returned to the owner at any instance before the option is exercised, on payment of sum stated in the contract. Until the option is exercised there is no guarantee to buy the goods.

These contracts thus contain three parts;

1. Contract of bailment- under which the hirer obtains possession of the goods yet the goods remain in the ownership of the owner
2. Option which entitle the hirer to purchase the goods or hire them
3. Contract of sale which makes the hirer the owner of goods already in his/her possession

DIFFEENCES BETWEEN HIRE PURCHASE AND CONDITIONAL SALE/CREDIT SALE

Hire purchase differs from credit sale agreement and conditional sale in the following ways;

It is important to distinguish hire purchase from credit sale agreement and conditional sale. While all three involve payment via installments, they however differ from higher purchase in the following sense;

Credit sale agreement - This makes it the customer's legal obligation to buy in that;

1. It is a contract of sale
2. The property in goods passes to the buyer as soon as the 1st installment is made

Conditional sale- This contract makes it the buyer's obligation to buy but property in goods passes to the buyer only if the conditions that form the subject matter of the sales have been fulfilled.

Hire purchase and other instalment sales

The hire-purchase transaction is intended to protect the owners title to the goods should the hirer (the buyer) decide to sell them to a third party who buys in good faith before full installments is paid.

It is worth noting that this is differs from sale of goods act in which if the buyer is in possession of the goods, with the consent of the seller, sells them to a third party who buys in good faith them property passes to the third party.

Hire purchase therefore gives two options, i.e.

i. purchase the goods or
ii. return them.

Helby v. Matthews (1895)
The owner of a piano agreed to let it on hire, the hirer to pay rent on monthly installments, on the terms that the hirer might terminate the hiring by returning the piano to the owner but remain liable for all arrears of hire. Also that the piano should remain property of the owner but if the hirer had paid punctual monthly installments, the piano should become his property. The hirer after having paid a few installments pledged the piano to a pawn broker.
Held; the hirer was under no legal obligation to buy but had an option to either return the piano or become its owner by payment in full. Therefore, he had not "bought it" and the owner could therefore recover it from the pawn broker.

PROVISIONS RELATING TO HIGHER PURCHASE

1. Before the Hire Purchase Agreement is entered into the owner is bound to notify the prospective Hirer the cash price of the goods.
   However, the owner is not bound to do so if:
   a. The Hirer has selected the goods or similar goods by reference to a catalogue stating the Cash Price
   b. The Hirer selected the goods or similar goods from a selection which stated the cash price.

2. The Hire Purchase agreement must be written.

CONTENTS OF THE AGREEMENT

1. A description of the parties.
2. A description of the goods.
3. The cash and Hire Purchase price.
4. Number of Installments.
5. Amount and when payable.
6. It must be signed by the Hirer and by or on behalf of the owner.
7. Rights of the Hirer.

REGISTRATION OF HIRE PURCHASE AGREEMENT

Sec.4 (1) of the Hire Purchase Act in Kenya establishes the Registry of Hire Purchase. This is a public office which may be held by the Registrar, Assistant or Deputy Registrar.

As per the Act every Hire Purchase agreement must be delivered to the Registrar for registration within 30 days of its execution. However the Registrar is empowered to at times extend the duration.

The Registrar may refuse to register a Hire Purchase Agreement if

1. It is not in the English Language
2. It is presented after 30 days of its execution
3. Stamp duty or Registrar fee payable has not been paid

Registration of Hire purchase, serves two purposes:

1. It protects 3rd party who may purport to buy the goods from the Hirer.
2. It is a revenue generation mechanism for the state.

EFFECTS OF NON-REGISTRATION

In the event that the agreement is not registered the following will occur;

1. The agreement cannot be enforced by any person against the Hirer.
2. Any contract of guarantee made in relation to the Hire Purchase Agreement is also unenforceable.
3. The owner cannot enforce the right to repossess the goods from the Hirer.

4. Any security given by the Hirer under the Hire Purchase Agreement or by the guarantor under the contract of guarantee is unenforceable.

PROTECTION OF THE HIRER

The hire purchase act attempts to protect the hirer for exploitation through the following ways;

1. Making some Contents of the agreement to be void if used
2. Implied terms of the agreement
3. Repossession of goods

Contents deemed void if inserted in the hire purchase agreement

1. A provision which allows the owner or his agent to enter upon any premises to repossess the goods let under a higher purchase agreement.
2. A provision whose effect is to relieve the owner from liability for such entry (stated in 1 above)
3. A provision which excludes or limits the Hirer's right to terminate the Agreement.
4. A provision which deems persons acting on behalf of the owner in the formation or conclusion of the Hire Purchase Agreement as agents of the hirer.
5. A provision whose effect is to relieve the owner from liability for acts of person acting on his behalf in relation to the formation or conclusion of the Hire Purchase Agreement

IMPLIED TERMS (CONDITIONS & WARRANTIES)

The Hire Purchase Act implies both conditions and warranties in all Hire Purchase Agreements.

Conditions

1. **Right to sell -** an implied condition that the owner will have the right to sell the goods when the property is to pass
2. **Merchantable Quality -** Unless the goods are second hand and the agreement so provides, there is an implied condition that they would be of merchantable quality.
3. **Fitness for Purpose -** Where the hirer expressly or by implication makes known to the owner the particular purpose for which the goods are, there is an implied condition that the goods would be reasonably fit for the purpose.
4. A condition may be implied by any other law.

Warranties

1. Quiet Possession – There is an implied warranty that the hirer will have and enjoy quite possession of the goods.
2. Free from charge or encumbrance - Under sec8(1)(c) of the Act, there is an implied warranty that the goods shall be free from any charge or encumbrance in favour of a third party when property is to pass.
3. A warranty may be implied by any other law.

REPOSSESSION OF GOODS

Under sec 15 (1) of the Act, if at any time 2/3 of the hire purchase price has been paid by the hirer or any other person on his behalf, the owner cannot repossess the goods otherwise than by court action.

This provision was intended to protect the hirer from Common Law practice of "snatch back" under which the owner will reposes the goods at any time.

If the owners posses the good in contradiction to the act then;

a) The agreement terminates
b) The hirer is discharged from all liability under the agreement
c) The hirer is entitled to recover all sums paid under the agreement or the contract of guarantee.
d) The guarantor is entitled to recover any sum paid under the contract of guarantee or under the security given.

The section does not adequately protect the hirer in that:

1. The hirer must pay too much to be protected by the section.
2. Property in the goods does not pass to the hirer even after paying 2/3 of the hire purchase price
3. The court may still order the repossession of the goods

DUTIES AND OBLIGATIONS UNDER HIGHER PURCHASES AGREEMENT

Duties of the Owner

1. Duty to notify the hirer of the cash price
2. The owner must send a copy of the Hire Purchase Agreement, to the Hirer within 21 days of execution
3. Duty to put the Hirer in possession of the goods let under a Hire Purchase.
4. Duty to compensate the hirer in the event of defective goods
5. The owner is bound to disclose to the hirer any defects in the goods or in his title

Duties of the Hirer

1. ***Reasonable care***- It is the duty of the hirer to exercise reasonable care in relation to the goods let under a hire purchase agreement. However the hirer is not liable for ordinary wear and tear.
2. ***Take Delivery***-The hirer is bound to take delivery of the goods under hire purchase agreement.
3. ***Pay Installments***
4. ***Continue Hiring***-It is the duty of the hirer to continue hiring the goods for the agreed duration. This obligation does not deny the hirer the right to terminate the agreement.
5. ***Notice of change of location of goods***-It's the duty of the hirer to inform the owner any change in the location of the goods.

Rights of the hirer

1. He is entitled to be notified of the cash price of the goods.
2. He is entitled to a copy of the Hire Purchase Agreement within 21 days of the execution of the agreement.
3. He is entitled to Indemnity for any loss or liability arising by reason of any defect in the goods or of title.
4. He is entitled to quiet possession of the goods let under the Hire Purchase Agreement
5. He is entitled to damages for any breach of contract by the owner
6. He has the right to terminate the Hire Purchase Agreement at any time before the final instalment falls due.

TERMINATION OF HIRE PURCHASE

The hirer before the final installment may terminate the agreement by;

1. Giving a written notice of termination
2. Returning the goods

Once this is done the depreciation clause or the minimum payment comes into play in which case the hirer has to pay;

1. All installments due up to the termination day

2. The amount by which one half of the hire purchase price exceeds the total amount paid or such lesser amounts as the agreement may provide.

Note;

If the hirer has not taken reasonable care of the goods, he is reliable in damages, the hirer must at his own expense return the goods to the premises from which delivery was taken.

However if the goods are returned elsewhere by reason of the owners change of location, any additional expenses are recoverable from the owner.

TOPIC 7

AGENY

Meaning

"An agent is a person employed to do any act for another or to represent another in dealings with third persons. The person for whom such is done, or who is represented, is called the principal". The contract which creates the relationship of 'principal' and 'agency' is called an 'agency' thus where A appoints B to buy ten bugs of sugar on his behalf, A is the 'principal and B is the 'agency' and the contract between the two is the 'agency if, pursuance of the contract of agency, the 'agent' purchase the bags of sugar from C, a wholesale dealer are brought into direct contractual relations.

Under a contract of agency the agent is authorized to establish privity of contract between the principal (his employer) and a third party. As such as the function of a third parties. In a way,

Therefore an agent is merely a connecting link. After entering into a contract on behalf of the principal with third party, the agent drops out and ceases to be a party to the contract and the contract bind the principal and the third party as if they have made it themselves

Characteristics of agency

1. The agent performs a service for the principal
2. The agent represents the principal
3. Acts of the agent affects the legal position of the principal the agency relationship differs from trusts and bailment.

TYPES OF AGENTS

1. **General Agent:** He is an agent engaged to perform a particular task or transaction on behalf of the principal in the ordinary course of his business, trade or profession as an agent.
2. **Special Agent:** This is an agent whose authority is restricted to the performance of a particular act not being in the ordinary course of his business, trade or profession. Both types derive their authority from the terms of appointment.

Specific Agents:

a) **Broker:** This is a mercantile agent who has neither possession of goods nor documents of title but who is engaged to make bargains or contracts. He is described as a mere negotiator.
b) **Factor:** This is a mercantile agent who is entrusted with possession and sells the goods in his own name.
c) **Auctioneer:** This is a mercantile agent who is licensed by the state to sell goods and other property by public auction. He may or may not be entrusted with possession but is an agent of both parties.
d) **Del Credere agent:** This is a mercantile agent who in return for an extra commission known as *commission del credere,* guarantees solvency of a 3rd party with whom the principal contracts. He undertakes to indemnify the principal if the 3rd Party fails to pay the amount due on the contract. A *del credere* agency is a contract of indemnity. The agent may or may not be entitled with possession or documents of title.
e) **Ship Captain or Master:** This is a mercantile agent with powers over a ship and its cargo and in case of necessity becomes an agent of necessity.

DISTINGUISHING AGENCY FROM TRUST AND BAILMENT

TRUST

This is an equitable relationship whereby a party known as trustee expressly, impliedly or constructively holds property on behalf of another as beneficiary.

It is similar to agency in that:

1. Some of the duties of the trustee are similar to those of the agent e.g must act in good faith and avoid conflict of interest.
2. Some of the remedies available to the beneficiary against the trustee are available to the principal against the agent e.g account

However, they differ in that:

1. Whereas most agencies are contractual, trusts are not
2. Whereas the principal's action against the agent for fraud is limited by the Statute of Limitation, an action by the beneficiary against the trustee has no time limitation.

BAILMENT

This is a contract whereby a party known as bailor delivers goods to another known as bailee with specific instructions that the goods be dealt with in a particular manner or be returned as soon as the purpose for which they were bailed is accomplished.
Bailment includes:

1. Deposit or storage for safe storage
2. Contract of hiring
3. Pledge
4. Contract for work or repair
5. Carriage of goods

It differs from agency in that:

1. The bailee does not represent the bailor
2. Acts of the bailee do not affect the legal position of the bailor

CREATION OF AGENCY

Once an agency relationship is created, an agent comes into existence .An agency relationship may come into existence in the following ways;

1. By agreement, contract or appointment
2. By ratification
3. By estoppel
4. By necessity
5. By presumption or from cohabitation

1. AGENCY BY AGREEMENT

This agency arises when parties mutually agree to create it. Their minds must be at ad idem and both parties must have the requisite capacity .The purpose of the relationship must be legal.
As a general rule, no formalities must be complied with however, an agent appointed for the purpose of signing documents in the principal's absence must be appointed by a deed known as the Power Of Attorney

The contract of agency may be express or implied from the conduct of the parties.

2. AGENCY BY RATIFICATION

Ratification - This is the adoption or confirmation by a party of a contract previously entered Into by another purporting to do so on his behalf.

Agency by ratification arises after the "agent" has acted. It comes into existence when the person on whose behalf the agent purported to act and without whose authority he acted adopts the transaction as if there had been prior authorization .By ratifying the transaction the agents authority is backdated to the date of the transaction.

Ratification by the principal;

1. Creates the agency relationship
2. Validates the transaction entered into by the agent
3. Relieves the agent from any personal liability.

The principal of ratification of agency was applied in the case of Bolton Partners v. Lambert.
However, for agency by ratification to arise, the following conditions are necessary:

1. The agent must have purported to act for a principal.
2. The agent must have had a competent principal i.e. there was a natural or juristic person who could have become the principal
3. The principal must have had capacity to enter into the transaction when the agent did as well as when he ratified it
4. The transaction entered into by the agent must be capable of ratification i.e. it must not have been illegal or void
5. The principal must ratify the transaction within a reasonable time.
6. The principal must have been aware of the material facts affecting the transaction
7. The principal must ratify the contract in it's entirely.

3. AGENCY BY ESTOPPEL

This agency is created by the equitable doctrine of estoppel. It arises where a party by word or conduct represents other 3rd parties as his agent and the 3rd parties deal with the agent .The other party is estoppel from denying the apparent agency.
Agency by estoppel arises in circumstances: -

1. Where the parties have no relationship but one of them represents the other as agent and 3rd parties rely upon the representation.
2. Where an agency relationship exists between the parties but the principal represents the agent as having more authority.

Requirements for Agency by Estoppel

The conditions necessary were laid down in Ramas Case must exist: -

1. A representation by word or conduct intended to be acted upon
2. Reliance upon the representation by the representee
3. Change in legal position as a result of the reliance
4. It would be unfair not to estop the representor

In *Freeman and Lockyer v. Backhurst Park Ltd* the Articles of Association of the defendant company created the position of Managing Director but at the material time, none had been appointed. However one director with knowledge of the others purported to act as Managing Director, he engaged in the plaintiff firm to work for the company. However, the

company refused to pay for the services rendered and the firm sued. The company argued that it was not liable as the director was not its Managing Director and hence had no authority to contract on its behalf. It was held that the company was liable as it had represented this director as its Managing Director and 3rd parties replied upon the representation. It was estopped from denying his apparent authority.

4. AGENCY OF NECESSITY

This is a category of agency created by law in circumstances of necessity where one party is deemed to have acted as an agent of another.

Agency of necessity arises in 2 circumstances namely:

a) Commercial.
b) Domestic.

1. Commercial Agency of Necessity

According to *Lord Simon in China Pacific case,* commercial agency arises where a party is in possession of another's goods whether perishable or not and an emergency arises requiring immediate action in relation to the goods and it is impossible for the party in possession to seek instruction from the other.

This was also the case in *Couturier v Hastie.*

The party must therefore act in good faith as owner. For the agency to arise, these conditions are necessary:

1. There must be a genuine emergency necessitating action in relation to the goods.
2. It is impossible for the party in possession to seek instructions from the owner.
3. The party in possession must act in good faith for the benefit of the other party.
4. Domestic Agency of Necessity

At Common Law a deserted wife is regarded as an agent of necessity with authority to pledge her husband's credit for necessaries.

For the agency to arise, the following conditions are necessary:

1. The wife must have been deserted by the husband.
2. She must be free from blame.
3. Her authority is restricted to pledging her husband's credit for necessaries.

What are "necessaries" is a question of fact and varies from case to case. In *Nanyuki General Stores v. Patterson,* the appellant had sold goods to Mrs Patterson valued at Kshs. 3552. She had pledged Mr. Patterson's credit who at the time was in prison. The appellant sued
Mrs. Patterson for the sum alleging that she had not contracted with her as an agent since:

a. Her husband was in prison.
b. Some of the goods (groceries and liqour) were not necessaries.

However the Court of Appeal held that she had contracted as an agent as she was married and the goods were necessaries.

5. AGENCY BY PRESUMPTION OR COHABITATION

This is another category of agency presumed by law. It is presumed where a man and woman are living together in circumstances which portray them as husband and wife, the woman is presumed to be an agent and can pledge the man's credit for necessaries. Marriage is not essential for the agency to arise.

However, the following conditions are necessary:

1. ***Cohabitation:*** The two persons must be living together as husband and wife. It was so held in *Jolly v. Rees.*
2. ***Domestic establishment:*** The persons living together in a domestic establishment in the presumption of agency to arise. In *Debenham v. Mennon* where the parties were cohabiting in a hotel, it was held that the presumption of agency could not arise and the woman was liable.
3. ***Necessaries:*** The woman's authority is restricted to pledging a man's credit for necessaries.

The agency does not arise if:

1. The woman contracts personally.
2. The man has expressly/implicitly instructed the woman not to pledge his credit
3. The goods pledged are not necessaries
4. The parties have stopped cohabiting by divorce.
5. The parties have separated by mutual agreement and the woman is provided for.
6. The trades' people extend credit to her personally.
7. She's prohibited from pledging credit.

RIGHTS AND DUTIES OF THE PARTIES

Duties of the agent

1. **Performance:** The agent must perform his obligation if the agency is contractual. He is not bound to perform if the agency is not created by agreement or where the undertaking is illegal or void.
2. **Obedience:** The agent is bound to obey the principal's instructions. This means that he must act within the scope of his authority.
3. **Care and skill:** The agent must exhibit a degree of care and skill appropriate to the circumstances. In ordinary transactions, the degree of care and skill is that of a reasonable man, if engaged as a professional the degree is that of a reasonably competent professional.
4. **Respect for principal's title or estoppel:** The agent must respect the principal's title to any property he holds on the principal's behalf. He cannot deny that the principal has title thereto. However if a 3rd party has a better title and the agent issued, he is entitled to plead *jus tertii* (the other person has a better title).
5. **Account**: The agent is bound to explain to the principal the application of money or goods that come into his hands during the relationship. The account must be complete and honest.
6. **Personal Performance or non-delegation:** The agent must perform the undertaking personally as this is consistent with the maxim *delagatus non potest delegare* "Delegates must not delegate". If an agent delegates in violation of this principle, the principal is liable for any loss or liability arising. However, this maxim is subject to various exceptions where the delegates can delegate:
    i. Where it is authorized by the contract between the parties.
    ii. Where it is authorized by law.
    iii. Where it is authorized by trade usage or customs.
    iv. Where it is effected with the principal"s knowledge.
    v. Where it is reasonably necessary for performance.
    vi. Where special skill is required.
    vii. In case of an emergency.
7. **Bonafide:** As a fiduciary, an agent is bound to act in good faith for the benefit of the principal. His actions must be guided by the principle of utmost fairness.
8. **Keep the principal informed**: The agent must ensure that the principal is well aware of the transactions entered into.
9. **Secrecy/ Confidentiality**: The agent must not disclose his dealings with the principalto 3rd parties without the principal's consent.
10. **Separate Accounts**: The agent must maintain separate accounts of his money or assets and those of his principal. This is necessary for accountancy purposes.
11. **Disclosure:** The agent is bound to disclose any personal interest in contracts made on behalf of the principal. He must disclose any secret profit made, failing which he is bound to account the same to the principal. The phrase "secret profit" refers to any financial advantage enjoyed by a fiduciary1 over and above his entitlement by way

of remuneration e.g. bribe, secret commission or a benefit accruing from the use of information obtained in the course of employment. An agent may retain a secret profit if he discloses the same to the principal. If an agent makes a secret profit without disclosure, the principal is entitled to:

i. Refuse to remunerate the agent for services rendered.
ii. Sue for the secret profit under an action for money had and received.

Duties of the principal

1. **Remuneration:** It is the duty of the principal to remunerate the agent for the services rendered. This duty may be express or implied. The agent must earn his remuneration by performing the undertaking. However, it is immaterial that the principal has not benefited from the performance. However the principal is not bound to remunerate the agent if:
   a. He has acted negligently.
   b. He has acted in breach of the terms of the contract.
   c. He has made a secret profit without disclosure.

2. **Indemnity:** It is the duty of the principal to compensate the agent for loss or liability arising. However, the principal is only liable for loss or liability arising while the agent was acting within the scope of his authority.

AUTHORITY OF AN AGENT

The principal is only liable if the agent was acting within the scope of his authority. Authority implies permission to do or engage in a particular act. It differs from power which is a legal concept. Whereas authority creates power, power may exist without authority. Though the two concepts are at times used interchangeably, they are not the same.

In certain circumstances, the agent has power but no authority e.g. an agent of necessity. Authority is the ability of the agent to effect the principal's legal position in relation to 3 rd parties.

There are 3 types of authority an agent may have namely:

1. Real or Actual.
2. Ostensible or Apparent.
3. Presumed.

1. Real / Actual Authority

This is the authority which the agent has been given by the principal under the contract between them. The authority may be express, implied, customary or usual.

i. Express Authority: It is the authority given to the agent by the principal in writing or by word of mouth. If in writing, it is interpreted restrictively.
ii. Implied Authority: It is the agent's authority implied from the nature of the business or transaction which the agent is engaged to transact. It is the authority reasonably necessary to accomplish express authority.
iii. Customary or Usual Authority: It is the agent's authority implied from the customs, usage and practices of the transaction or business. It is the authority which every agent in a particular business or profession is deemed to have and 3rd parties dealing with such agents expect such authority. It is a category of implied authority. Agents created by agreement or ratification exercise real or actual authority.

2. Apparent/Ostensible Authority

It is the authority which the agent has not been given by the principal but which he appears to have by reason of the principal's conduct. It is therefore apparent. Its scope is determined by the conduct of the principal. It is the authority exercised by agency created by estoppel.

3. Presumed Authority

It is a category of authority created by law and which an agent is deemed to have in certain circumstances. It is not given to the agent nor is it based on the principal's conduct. It is given by operation of the law. It is agency created by necessity or cohabitation

Liability for breach of contract

If an agent with no authority to act warrants the same to a 3rd party who relied on the representation and suffers loss or damage, the 3rd party may have an action in damages against the agent for breach of authority.

Authority coupled with interest

It is a situation whereby the principal who is indebted to the agent gives the agent authority as a security for a debt. The agent has a personal interest in the relationship. In such a case the agent's authority lies irrevocable by the principal.

RIGHTS AND REMEDIES OF THE PARTIES

Rights of the principal

If an agent is errant the principal has the following remedies:

1. **Dismissal:** The principal is entitled to dismiss the agent for misconduct. If the agent has acted fraudulently, the principal has a complete defence against remuneration or indemnity of the agent for any loss or liability arising.
2. **Right to sue or court action:** The principal may institute certain actions against the agent where appropriate:

a. If an agent has acted in breach of contract, the principal has an action in damages.
b. If an agent has acted negligently, the principal has an action in damages for negligence.
c. If an agent fails to hand over money or assets to the principal the principal has an action in damages for conversion for money had and received.
d. To ascertain what the agent has in possession the principal has an action for an account
e. If the agent is declared bankrupt or his assets are mixed with those of the principal, the principal has an action in tracing to facilitate recovery of the same.

Rights of the agent

1. **Right to sue:** If the principal fails to remunerate or indemnify the agent, the agent has an action in damages for breach of contract.
2. **Right of lien:** An agent in possession of the principal's goods is entitled to retain the mas security for any obligation owed by the principal. However for the agent to exercise a lien, the following conditions are necessary:
    a. He must have lawful possession of the goods.
    b. He must have obtained possession in his capacity as agent.
    c. The goods must have been delivered to the agent for a purpose connected with the lien i.e. the agent can only retain the goods in respect of which the principal's obligation arose.
3. **Right of stoppage in transitu:** An agent who has parted with possession of goods is entitled to resume the same if the goods are still in the course of transit to the principal, thereby enabling him to exercise a lien on them.
4. **Withhold the passing of property:** Where property in the goods has not passed to the principal, the agent is entitled to withhold the passage to compel the principal to honour any obligation owing.

Liability of the principal

As a general rule, the principal is liable for breaches of contract and torts committed by the agent within the scope of his authority. The principal may also be held liable for crimes committed by the agent in certain circumstances e.g.

- Crimes of strict liability.
- Where the principal uses the agent to commit crimes.

In agency relationships, the principal may be named, disclosed or undisclosed.

- A principal is named if his identity is disclosed to the 3rd party.

- He is disclosed if his existence is made known to the 3rd party
- He is undisclosed if his existence is not made known to the 3rd party.

As a general rule, the principal is generally liable whether disclosed or undisclosed and may sue or be sued by the 3rd party. However if an agent signs a contract without disclosing the agency, the principal cannot sue or be sued on it. It was so held in *Schuk v. Anthony*.

Personal liability of the agent
Though the principal is generally liable for the acts of the agent, in certain circumstances the agent is personally liable;

These are exceptions to the general rule:

1. Where the agent expressly or impliedly consents to personal liability.
2. Where the agent negligently or recklessly fails to indicate the agency.
3. Where the agent executes a deed in its own name.
4. Where the agent represents himself as the principal.
5. Where the agent exceeds his authority.
6. Where the principal does not exist nor has no capacity as was the case in *Kelner v.Baxter*.
7. Where an agent executes a deed in the principal's absence in circumstances in which his appointment was not by deed.

Payment to the agent
Question has arisen as to whether payment to the agent discharges the 3rd party„s obligation to the principal. As a general rule paying the agent does not discharge the 3rd party as the contracting parties are the 3rd party the principal. Hence the 3rd party must discharge all obligations owned to the principal. However, in certain circumstances payment the agent for the goods or services discharges the 3rd party e.g.

1. If the agent has the principal authority to accept payment
2. If the agent no authority to accept payment but pays it over the principal
3. If the agent represents himself as the principal
4. If a 3rd partly pays the agent for the principal's goods sold by the agent to enforce his rights.

Settlement with the agent
If a 3rd party conducts itself so as to create on impression to the principal that the agent has fulfilled all the principal's obligations to the 3 rd party and as a consequence the principal settles with the agent, the 3rd party cannot thereafter be heard to say that there was an unfulfilled obligation.

However whether or not the principal is liable to such 3rd party depends on the party's conduct.

TERMINATION OF AGENCY

An agency relationship may terminate in any of the following ways: -

1. **Agreement**
   Where the relationship is consensual, the parties therefore may enter into a new agreement to discharge the agency. Their mind must be ad idem
2. **Withdrawal of Consent**
   This is termination of agency at the option of other party. The agent may renounce the relationship while the principal may revoke the same. However, agency is irrevocable if: -
   i. The agent has exercised his authority in full.
   ii. The agent has incurred personal liability
   iii. The agent authority is coupled with interest
2. **Death of Either Party**
   The death of principal or agent ends the agency relationship. This is because the obligations of agency are confidential and not transferable.

3. **Performance**
   Execution of the agent's authority in full terminates the relationship as the obligation has been discharged. The contract if any is discharged by performance.
4. **Lapse of Time**
   An agency relationship terminates on expiration of the duration stipulated or implied by trade usage or custom.

5. **Insanity**
   The unsoundness of mind of either party terminates the agency relationship since the party loses its contractual capacity.
6. **Bankruptcy of the Principal**
   The declaration of bankruptcy of the principal by a court of competent jurisdiction terminates the agency relationship
7. **Frustration of Contract**
   Agency related by agreement or contract comes to an end when the contract is frustrated.
8. **Destruction of Subject Matter**
   If the foundation of agency whether contractual or not is destroyed, the relationship terminates.
9. **Cessation of Emergency**
   Agency of necessity comes to an end when the circumstances creating the emergency cease and the party in possession is in a position to seek instructions from the owner.
10. **Cessation of Cohabitation**
    Agency by presumption from cohabitation comes to an end when the parties cease to cohabit, whether voluntarily, judicial separation or by a decree of divorce.

TOPIC 8

PARTNERSHIPS

Introduction

Partnership is the relation which subsists between persons carrying on a business in common with a view of profit.

Characteristics of partnership

1. Membership-The logical minimum number in partnership is 2 with a maximum of 20.
2. It is not an incorporated association
3. Each partner is an agent of the other in the firm
4. It can sue or it can be sued its registered name
5. It exists with an aim of making profit
6. A partner's liability to debts and obligations of the firm is generally unlimited
7. Death, insanity or bankrupt of partners may lead to dissolution

In a partnership, partners may be classified as:-

1. Real and Quasi
2. Minor and Major
3. Active and dormant / sleeping
4. Limited and General

Advantages of partnership

Some of the advantages of partnership as a form of business include;

1. There are easy to form since they don't require many legal formalities
2. Business resources are easy to acquire through contribution from the partners
3. In case of professional firms there is specialization of labour
4. Losses are shared among the partners
5. Management duties are shared among the partners

Disadvantages

1. Liabilities of partners for debts and obligations of the firm is unlimited i.e. partners are liable to use personal assets if the firm is insolvent.
2. Sharing of profits reduces the amount available to individual partners.
3. A single partner's mistake affects all partners.
4. Disagreements between partners often delay decision-making.
5. Tends to rely on a single partners effort to manage.
6. Death, bankruptcy, or insanity of a partner may lead to dissolution.

FORMATION OF LIFE

The formation of a partnership is not subject to any legal formalities, the agreement between the parties may take any of the following forms;

1. Oral or by word of mouth.
2. Written with or without seal
3. Implied from conduct of the parties.

However, the partners may on their own accord reduce the basis of their relationship into a formal document detailing the terms and the condition of the association. The document is the Partnership Deed or Agreement or Articles of Partnership. It is not however, a legal requirement for them to do so.

Contents of a partnership deed

If the partners decide to register the partnership they will be required to have a partnership deed. Such document will contain the following;

1. Nature of business
2. Contribution of the partners. (capital)
3. Profit sharing ratio
4. Rules for determining interest on capital
5. Method of calculating goodwill
6. Power of partners
7. Accounts and audit
8. Expulsion of Partners
9. Procedure for settlement of disputes

Consequences of Non Registration of a Partnership Form of Business Organization

If the firm is not registered then it will suffer the following limitations

1. It cannot enforce its claims against a third party in a court of law
2. It cannot file legal suits against any of its partners
3. Partners of an unregistered firm cannot file any suit to enforce a right against the firm
4. A partner of an unregistered firm cannot file a suit against other partners.

Non registration however does not affect the following rights of a firm;

a. The right of a partner to sue for the dissolution of the firm or for the accounts of a dissolved firm or to enforce any right or power to realize the property of a dissolved firm
b. The power of an official assignee or receiver to realise the property of an insolvent partner
c. The rights of the firm, or its partners, having no place of business

d. The right of a third party to sue the unregistered firm or its partners

Rules applicable in the absence of partnership deed

The rules applicable are contained in Section 28 and 29 of the Partnership Act.

1. Profit and loss are shared equally
2. If a partner incurs liability while discharging the firm's obligations he is entitled to indemnity.
3. If a partner lends money to the firm, he is entitled to interest on the principal at the rate of 6% per annum
4. A partnership can only change its business with consent of all partners
5. A person can only be admitted as partner with consent of all existing partners.
6. A partner is not entitled to interest on capital before the ascertainment of profit.
7. Every partner is entitled to take part in the management of the firm's business.
8. A partner is not entitled to remuneration for taking part in the management of the firm's business.
9. The books of account of the firm must be accessible to all parties
10. Under section 29 of the Act, a partner can only be expelled from the firm if the power to do so is expressly vested another partners.

RELATIONS OF PARTNERS TO PERSONS DEALING WITH THEM

- Every partner is an agent of the firm and his other partners for the purpose of the business of the partnership; and the acts of every partner who does any act for carrying on in the usual way business of the kind carried on by the firm of which he is a member bind the firm and his partners, unless the partner so acting has in fact no authority to act for the firm in the particular matter, and the person with whom he is dealing either knows that he has no authority or does not know or believe him to be a partner.

- An act or instrument relating to the business of the firm, and done or executed in the firm-name, or in any other manner showing an intention to bind the firm, by any person thereto authorized, whether a partner or not, is binding on the firm and all the partners

- Provided that this section shall not affect any general rule of law relating to the execution of deeds or negotiable instruments

- Where one partner pledges the credit of the firm for a purpose apparently not connected with the firm's ordinary course of business, the firm is not bound, unless

that partner is in fact specially authorized by the other partners; but this section does not affect any personal liability incurred by an individual partner

- If it has been agreed between the partners that any restriction shall be placed on the power of any one or more of them to bind the firm, no act done in contravention of the agreement is binding on the firm with respect to persons having notice of the agreement.

RELATIONS OF PARTNERS TO ONE ANOTHER

Variation by consent of terms of partnership

- The mutual rights and duties of partners, whether ascertained by agreement or defined by this Act, may be varied by the consent of all the partners, and that consent may be either expressed or inferred from a course of dealing.

Partnership property

- All property and rights and interests in property originally brought into the partnership stock or acquired, whether by purchase or otherwise, on account of the firm, or for the purposes and in the course of the partnership business, are called in this Act partnership property, and must be held and applied by the partners exclusively for the purposes of the partnership and in accordance with the partnership agreement:
  Provided that the legal estate or interest in any land which belongs to the partnership shall devolve according to the nature and tenure thereof and the general rules of law applicable thereto, but in trust, so far as necessary, for the persons beneficially interested in the land under this section.

- Where co-owners of an estate or interest in any land, not being itself partnership property, are partners as to profits made by the use of that land or estate, and purchase other land or estate out of the profits to be used in the same manner, the land or estate so purchased belongs to them, in the absence of an agreement to the contrary, not as partners but as co-owners for the same respective estates and interests as are held by them in the land or estate first mentioned at the date of the purchase.

Property bought with partnership money

Unless the contrary intention appears, property bought with money belonging to the firm is deemed to have been bought on account of the firm

Conversion into personal estate of land held as partnership property

Where land or any interest therein has become partnership property, it shall, unless the contrary intention appears, be treated as between the partners (including the representatives of a deceased partner) and also as between the heirs of a deceased partner and his executors or administrators as personal and not real estate.

Execution against partnership property

- Execution of a decree shall not issue against any partnership property except on a judgment against the firm

- The court may, on the application by summons of any judgment creditor of a partner, make an order charging that partner's interest in the partnership property and profits with payment of the amount of the judgment debt and interest thereon, and may by the same or a subsequent order appoint a receiver of that partner's share of profits (whether already declared or accruing), and of any other money which may be coming to him in respect of the partnership, and direct all accounts and inquiries, and give all other orders and directions which might have been directed or given if the charge had been made in favour of the judgment creditor by the partner, or which the circumstances of the case may require.

- The other partner or partners shall be at liberty at any time to redeem the interest charged, or, in case of a sale being directed, to purchase the same.

Rules as to interests and duties of partners

The interests of partners in the partnership property and their rights and duties in relation to the partnership shall be determined, subject to any agreement express or implied between the partners, by the following rules

(a) all the partners are entitled to share equally in the capital and profits of the business and must contribute equally towards the losses whether of capital or otherwise sustained by the firm;
(b) the firm must indemnify every partner in respect of payments made and personal liabilities incurred by him
    i. in the ordinary and proper conduct of the business of the firm; or
    ii. in or about anything necessarily done for the preservation of the business or property of the firm;
(c) a partner making, for the purpose of the partnership, any actual payment or advance beyond the amount of capital which he has agreed to subscribe is entitled to interest at the rate of six per centum per annum from the date of the payment or advance;
(d) a partner is not entitled, before the ascertainment of profits, to interest on the capital subscribed by him;
(e) every partner may take part in the management of the partnership business;
(f) no partner shall be entitled to remuneration for acting in the partnership business;

(g) no person may be introduced as a partner without the consent of all existing partners;
(h) any difference arising as to ordinary matters connected with the partnership business may be decided by a majority of the partners, but no change may be made in the nature of the partnership business without the consent of all existing partners;
(i) the partnership books are to be kept at the place of business the partnership (or the principal place, if there is more than one) and every partner may, at all reasonable times, have access to and inspect and copy any of them

Expulsion of partner
No majority of the partners can expel any partner unless a power to do so has been conferred by express agreement between the partners

Retirement from partnership at will
Where no fixed term has been agreed upon for the duration of the partnership, any partner may determine the partnership at any time on giving reasonable notice of his intention so to do to all the other partners.
Where the partnership has originally been constituted by deed, a notice in writing, signed by the partner giving it, shall be sufficient for this purpose

Where partnership for a term is continued over, continuance on old terms presumed
Where a partnership entered into for a fixed term is continued after the term has expired, and without any express new agreement, the rights and duties of the partners remain the same as they were at the expiration of the term, so far as is consistent with the incidents of a partnership at will.
A continuance of the business by the partners or such of them as habitually acted therein during the term without any settlement or liquidation of the partnership affairs is presumed to be a continuance of the partnership

Duty of partners to render accounts, etc
Partners are bound to render true accounts and full information of all things affecting the partnership to any partner or his legal representatives.

Accountability of partners for private profits
Every partner must account to the firm for any benefit derived by him without the consent of the other partners from any transaction concerning the partnership, or from any use by him of the partnership property, name or business connexion

This section applies also to transactions undertaken after a partnership has been dissolved by the death of a partner and before the affairs thereof have been completely wound up, either by any surviving partner or by the representatives of the deceased partner

Duty of partner not to compete with firm

If a partner without the consent of the other partners carries on any business of the same nature as and competing with that of the firm, he must account for and pay over to the firm all profits made by him in that business

Rights of assignee of share in partnership

An assignment by any partner of his share in the partnership, either absolute or by way of mortgage or redeemable charge, does not, as against the other partners, entitle the assignee, during the continuance of the partnership, to interfere in the management or administration of the partnership business or affairs, or to require any accounts of the partnership transactions, or to inspect the partnership books, but entitles the assignee only to receive the share of profits to which the assigning partner would otherwise be entitled, and the assignee must accept the account of profits agreed to by the partners.

In the case of a dissolution of the partnership, whether as respects all the partners or as respects the assigning partner, the assignee is entitled to receive the share of the partnership assets to which the assigning partner is entitled as between himself and the other partners, and, for the purpose of ascertaining that share, to an account as from the date of the dissolution.

LIABILITY OF PARTNERS

Just like in the law of agency a partner exercises both real and ostensible authority, and the firm is generally liable for debts arising in the conduct of a partner.

However, for the firm or other partners to be held liable for the acts of a partner, it must be evident that:

1. The partner was acting in the business of the firm.
2. He was acting in the usual way.
3. He was acting in his capacity as a partner.

In other circumstances a partner would be held personally liable: E.g.

1. If he is prohibited from acting on behalf of the firm.
2. He signs a document without express authority

Liability of a Retiring Partner

Unless otherwise agreed, a retiring partner is only liable for debts and other liabilities upon the date of retirement.

Liability of an Incoming Partner

Unless otherwise agreed, such a party is only liable for debts and other liabilities arising from the date he became a partner.

Liability of a Minor Partner

Under Section 12 of the Partnership Act, a minor partner is not personally liable for debts and other liabilities of the firm. However, his share in the property is liable. Under sec. 13 if a minor partner does not repudiate the partnership during infancy or within a reasonable time after attaining the age of majority, he is personally liable for debts and other liabilities from the date he became a partner.

Liability by Estoppel

A person, who is not a partner, may be held liable as a partner by the equitable doctrine of estoppel. Under Section 18 of the Act, if a person who is not a partner knowingly permits himself to be held out a partner or represents himself as a partner with the firms knowledge and third parties rely upon the representation, he is estopped from denying the apparent partnership and he is liable.

DISSOLUTION OF PARTNERSHIPS

A partnership can be dissolved through courts intervention or not depending on the circumstances

Dissolution through the court

Under sec. 39 of the Partnership Act, a partnership may be wound up by the court on application if it satisfied that:

1. A partner has become a lunatic or is permanently of unsound mind
2. A partner has become permanently incapable of discharging his functions as a partner.
3. A party is continuously guilt of willful breach of the partnership agreement.
4. A partner has conducted himself on manner unfairly prejudicial to the firm and his continued association is likely to bring the firm's name into disrepute.
5. The firms businesses can only be carried on at a loss.
6. Circumstances are such that it is just and equitable that the firm be wound up e.g. Disagreement.

Dissolution without the courts intervention

1. **Performance:** A partnership dissolves on the accomplishment of the purpose for which it was formed.
2. **Lapse of time:** A partnership comes to an end on operational of the duration prescribed by the parties.
3. **Mutual agreement:** This is a situation where the parties agree to dissolve the firm. All partners must be party to the agreement
4. **Death:** Unless the partnership deed otherwise provides, the death of a partner leads to dissolution.
5. **Bankruptcy:** Unless the partnership deed otherwise provides a partnership dissolves if a partner is declared bankruptcy by a court of competent jurisdiction.
6. **Termination at will or at notice:** Where the duration of the partnership is not specified, it may be dissolved by notice i.e. a partners notice to the others of his intention to have the firm dissolved
7. **Illegality:** If the business of the partnership becomes illegal by reason of change of law or otherwise, the firm is dissolved.
8. **Charging a partner's interest:** If a partner's interest in the firm is charged by a court order for a private debt, the firm is dissolved

TOPIC 9

INDEMNITY AND GUARANTEE

NATURE OF THE CONTRACTS

INDEMNITY CONTRACT

In the contract of Indemnity, a person agrees to rescue another person who is a party of some other contract and come across any loss out of the same. The loss can be incurred from the act of any party or by any means in that contract.

Indemnity contract includes two parties namely; ***Indemnifier*** and ***Indemnity holder***. The person who is promising to pay compensation is called Indemnifier and the person who`s loss is compensated is called Indemnity holder.

- ***Example:*** There is a contract between X and Y according to which X has to Sell a tape recorder (which is selected) to Y after three months. On the next day of their contract Z has come to X and has insisted on selling the same tape recorder to him (Z). Here Z is promising to compensate X for any loss faced by X, due to selling the tape recorder to Z. X has agreed. Now the contract which has got formed between X and Z is called indemnity contract, where Z is indemnifier and X is indemnity holder.
- ***Example:*** A and B are in the contract of Indemnity. B is in a contract with C regarding a sum of Ksh 10000/-. According to the contract of indemnity between A and B, A agrees to rescue B from any consequence that occurs from the contract of B's of Ksh 10000/- with C.

Types of Indemnity

The indemnities are of two types;

1. The Express Contract of Indemnity
2. The Implied Contract of Indemnity

Express Contract of Indemnity: When the contract of indemnity is written or orally consented, then such indemnity contracts are said to be Express Contract of Indemnity.

Example: A and B are into the contract of Indemnity. A agrees to reimburse the loss incurred by B from a contract with C of some so-called amount.

Implied Contract of Indemnity: When the contract of indemnity is applied by a statute or by a common law that is in existence, then such indemnity contracts are said to be Implied Contract of Indemnity.
Example: A and B are agent and principal. A has to supply goods to B for his business. A supplied goods but B did not want them and denied taking the same. A can sell the goods and if he incurs any loss while selling them, then B has to make good the loss of A and the statue or the common law will ensure the same.

GUARANTEE CONTRACT

When one person signifies to perform the contract or discharge the liability incurred to the third party, on behalf of the second party, in case he fails, then there is a contract of guarantee. In this type of contract, there are three parties, i.e. The person to whom the guarantee is given is Creditor, Principal Debtor is the person on whose default the guarantee is given and the person who gives guarantee is **Surety**(**Guarantor**).

Three contracts will be there, first between the principal debtor and creditor, second between principal debtor and surety, third between surety and the creditor. The contract can be oral or written. There is an implied promise in the contract, that the principal debtor will indemnify the surety for the sums paid by him as an obligation of the contract provided they are rightfully paid. The surety is not entitled to recover the amount paid by him wrongfully.

- ***Example:*** Y is in need of ksh.. 10000/-. Upon guarantee by Z, Y has got the amount from X. Here X, Y and Z are creditor, principal debtor and surety respectively.
- ***Example:*** Here we have another example of the contract of guarantee, Mr. kamau takes a loan from the bank for which Mr. Njoroge has given guarantee that if Kamau default in the payment of the said amount he will discharge the liability. Here Njoroge plays the role of ***surety***, Kamau is ***principal debtor*** and Bank is the ***creditor.***

Types of guarantee

1. **Sole Guarantee:** This is a contract of guarantee whereby the guarantor's liability is restricted to a single transaction.
2. **Continuing Guarantee:** It is a contract of guarantee under which the guarantors to a series of transactions. This type of guarantee terminates on the death of the guarantor provided the notice is made know to creditor as was the case in *Bradbury V. Morgan*. The guarantor is also free to revoke the guarantee at any time.
3. **Fidelity Guarantee:** It is a contract of guarantee whereby a person guarantees the honesty good behaviour of another purpose of employment

Characteristics of contract of gurantee

1. It consists of 3 parties namely the guarantor, creditor and the principal debtor.
2. The guarantor's liability is secondary or collateral
3. The guarantor has no interest in the transaction between the parties.
4. The contact must be evidenced by some note or memorandum.

Discharge of the guarantor

The guarantor may be discharged in any of the following ways:-

1. Payment of the amount due by the debtor or fulfilment of the obligation arising.
2. If the creditors action against the debtor becomes statute barred.
3. If the transaction between the credit and the principal debtor becomes illegal by reason of change of law or otherwise.
4. Revocation of the guarantee by the guarantor
5. Death of guarantor
6. Variation of the terms of the contract without the guarantor's consent
7. If it is established that the guarantee was obtained by fraud, misrepresentation or concealment of material facts.
8. Failure by the creditor to take steps that was necessary to protect his own interest.
9. Discharge of a co-guarantor discharges all.

Difference between indemnity contract and guarantee contract

	Indemnity contract	**guarantee contract**
Number of Parties:	two parties namely, indemnifier and indemnity	Three parties namely creditor, Principal debtor and surety.
Number of Contracts:	Two parties involved so possibility for existence of one contract only	Includes three sub-contracts.
Nature:	simple in nature as it includes only includes two parties	Includes three parties and three sub-contracts and complex in nature
Liability:	There are two types of liabilities namely; primary and secondary liabilities which are with principal debtor and surety respectively liability arises when the contingency occurs	There is no classification and sharing of liability where the absolute liability rests with indemnifier. Liability already exists.
Recovery:	Indemnifier, after compensating indemnity holder`s loss, cannot recover that amount from any person	If surety makes payment to creditor, he (surety) can recover that amount from principal debtor.
Interest of parties:	Gets formed upon indemnifier`s interest	Gets formed upon principal debtor`s interest.
Purpose:	To save the other party from suffering loss	Aim is to assure the creditor that either the contract will be performed or liability will be discharged.

RIGHTS AND DUTIES OF THE PARTIES

Right of the indemnity holder/ indemnified

An indemnity holder (i.e. indemnified) acting within the scope of his authority is entitled to the following rights –

1. ***Right to recover damages*** – he is entitled to recover all damages which he might have been compelled to pay in any suit in respect of any matter covered by the contract.
2. ***Right to recover costs*** – He is entitled to recover all costs incidental to the institution and defending of the suit.
3. ***Right to recover sums paid under compromise*** – he is entitled to recover all amounts which he had paid under the terms of the compromise of such suit. However, the compensation must not be against the directions of the indemnifier. It must be prudent and authorized by the indemnifier
4. ***Right to sue for specific performance*** – he is entitled to sue for specific performance if he has incurred absolute liability and the contract covers such liability. The promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor-

    i. all damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies
    ii. all costs which he may be compelled to pay in any such suit if, in bringing or defending it, he did not contravene the orders of the promisor, and acted as it would have been prudent for him to act in the absence of any contract of indemnity, or if the promisor authorized him to bring or defend the suit ;
    iii. all sums which he may have paid under the terms of any compromise of any such suit, if the compromise was not

It is important to note here that the right to indemnity cannot be claimed of dishonesty, lack of good faith and contravention of the promisor's request. However, the right cannot be negatived in case of oversight.

Right of Indemnifier –

Indemnifier's right aresimilar to those of surety (discussed below)

Where one person has agreed to indemnify the other, he will, on making good the indemnity, be entitled to succeed to all the ways and means by which the person indemnified might have protected himself against or reimbursed himself for the loss. [*Simpson v Thomson*]

Rights of Surety/Guarantor

Rights of Surety can be classified into three groups, as follows;

1. Rights against Principal debtor.
2. Rights against Creditor.
3. Rights against Co-Sureties.

Rights against Principal Debtor

- **Right to give Notice:** When ever creditor comes to surety, for the purpose of seeking payment, surety can give a notice to principal debtor to settle the debt.
- **Rights of Sub-rogation:** Sub rogation is a process where rights will get shifted from one person to the other. If surety makes payment to creditor, surety gets all rights of creditor by sub-rogation and from then onwards surety can behave like a creditor.
- **Right of Indemnity:** Principal of indemnity operates between principal debtor and surety where principal debtor becomes implied indemnifier and surety becomes implied indemnity holder. Therefore, surety can make principal debtor answerable for all sufferings.
- **Right to get Securities:** In case where surety makes payment to creditor, surety has right to get the securities given by principal debtor to creditor.
- **Right to ask for Relief:** From the date of guarantee, besides creditor, surety also can bring pressure on principal debtor in connection with settlement of debt.

Rights against Creditor

- **Right to get Securities:** If Surety makes payment to creditor, surety can get all securities into his possession from creditor.
- **Right to ask for Set-off:** Surety can give advice to creditor to sell away the security and to utilize the amount thus realized for set off.
- **Rights of Sub-rogation:** When ever surety makes payment to creditor, creditor foregoes or looses all of his rights in his capacity as creditor and those rights will be attained by surety.
- **Right to advice to Sue Principal Debtor:** Surety has right to give advice to creditor to proceed legally against principal debtor for the purpose of recovering the amount.
- **Right to insist on Termination of Services:** In case where guarantee is with regard to conduct of an employee, surety can insist on termination of services of employee. Here employees status is equal to that of creditor and employee's status is equal to that of principal debtor.

Rights against Co-Sureties

- **Right to ask for Contribution:** Surety can ask his co-sureties to contribute the amount when principal debtor comes across default. If they have given guarantee for equal amounts, they have to contribute equally. In case where guarantee is given for in equal amounts, the mode of contribution differs from England law to Indian law. As per England law contribution is to be made in the ratio of guarantee amounts. But as per Indian law the deficit amount is to be distributed to all sureties equally and every surety will contribute share of deficit or guarantee amount which ever is less.
- **Right to claim Share in Securities:** When co-Sureties make payment to creditor, they get securities from creditors procession. Then every surety can claim his share in those securities.

ADVANTAGES AND DISADVANTAGES OF GUARANTEE AS SECURITY

Advantages

Following are the important advantages of the guarantee :

1. It is very easier security as compared to mortgage of property.
2. It gives maximum protection to the lender.
3. The sign can be easily obtain from the guarantor on the form by the bank and there is no need of preparing deed.
4. The banker may call guarantor and tell him about the default of debtor.
5. By a simple court action a guarantee can be enforced.
6. In case of default a banker and guarantor both pressurize the borrower to repay the debt.

Disadvantages

1. If the guarantors property is destroyed or sold during the period of contract and borrower also fails to pay the debt. In this case it is very difficult to recover the amount from both the parties.
2. Sometimes if the bank changes the constitution then guarantee is terminated.
3. Sometimes the loan is not returned and bank claims in the court against the guarantor but it is rejected on technical ground.
4. In case of amalgamation with other banks the guarantee is terminated.

Sureties Secondary Liability

Situations where sureties secondary liability comes to an End

In a contract guarantee surety comes across secondary liability. The following are situations where sureties secondary liability comes to an end.

- Discharge by revocation of guarantee.
- Discharge by activities of creditor.
- Discharge by invalidation of guarantee contract.

Discharge by revocation of guarantee: The following are Situations where revocation of guarantee takes place by terminating secondary liability of Surety.

1. By Notice
2. By Death
3. By Renewal.

- ***By Notice:*** Surety can revoke his guarantee by giving a notice to creditor. Guarantees are of two types. Namely; Specific guarantee and Continuing guarantee. If guarantee is given to a particular debt, it is called specific guarantee. Specific guarantee cannot be revoked by notice on the other hand if guarantee extends to a group of debts, it is called continuing guarantee. Continuing guarantee can be revoked by giving notice. But here surety will be held liable to debts borrowed by principal debtor before such notice.
- ***By Death:*** Whenever surety comes across death, then his secondary liability comes to an end. But sureties legal representative will be held liable. In case where surety has given specific guarantee legal representative has to take up the secondary liability absolutely. In case where surety has given continuing guarantee, legal representative is liable to the debts granted by creditor to principal debtor till data of filing death notice by legal representative.
- ***By Renewal:*** Whenever renewal of guarantee contract takes place, old guarantee comes to an end. For example: There is a contract of guarantee among X, Y and Z who are creditor, principal debtor and surety respectively. There after Y has arranged Mr. A as surety in place of Z. As a consequence Z`s guarantee gets revoked and Z`s secondary liability goes off.

Discharge by activities of creditor: Whenever creditor renders any of the following activities, surety gets discharges from his secondary liability.

1. Alterations.
2. Realizing principal debtor.
3. Improper dealings with principal debtor.
4. Loosing securities.

- ***Alterations:*** In case where creditor makes material alterations in guarantee contract deed, without consent of surety discharge of Surety takes place. A case on this point is Witcher Vs Hall. In this case, creditor fraudulently alters the deed and surety gets decree from the court saying that he has no secondary liability.
- ***Releasing principal debtor:*** If creditor releases principal debtor from principal liability automatically sureties secondary liability also comes to an end. A case on this point is Hewson Vs Ricketts. In this case the creditor releases principal debtor and after coming to know about it, surety gets decree from court that he (surety) is also discharged.
- ***Improper dealings with principal debtor:*** If creditor collides with principal debtor and tries to defraud Surety, then also discharge of surety takes place. A case on this point is *Midlon motor show rooms Vs Newman*. In this case creditor joins hands with principal debtor and thus makes effort to cheat surety. Here court decides that surety has no secondary liability.
- ***Loosing securities:*** At times the principal debts may give additional securities also in support of the death besides personnel validity. Whenever creditor looses such securities, both primary and secondary liabilities will go out of existence.

Discharge by invalidation of guarantee contract: When guarantee contract becomes invalid and surety will have no secondary liability. The following are situations where guarantee Contract becomes invalid.

1. Mis-Representation
2. Concealment
3. No flow of consideration
4. Absence of other essentials of valid contract.
5. Co-surety not joining.

- **Mis-Representation:** When surety is made involved in guarantee contract by means of fake representation, guarantee contract becomes invalid and Surety gets discharged.
- **Concealment:** When Surety is made involved in guarantee contract by concealing material facts, then also discharge of surety takes place.
- **No flow of consideration:** When creditor does not grant the loan as per the terms, there is no question of primary as well as secondary liabilities.
- **Absence of other essentials:** Besides consideration, the contract should have certain other features also, to attain validity. When guarantee contract is deficient in any one of those features, guarantee contract becomes invalid.
- **Co-surety not joining:** At times the surety may insist on presence of another surety. Then the guarantee contract becomes contingent contract. In case where such condition is not full filed i.e. co-surety does not join, it becomes invalid.

TOPIC 10

INSURANCE

NATURE OF THE CONTRACT

Insurance is an important part of modern life. Individuals and businesses take out insurance to protect themselves from loss that may occur due to damage to property or loss of life.

What is insurance?

This is a contract whereby a party known as the insurer undertakes, in consideration for a sum of money known as premium paid by the insured, to pay a sum of money or its equivalent on the happening of a specified future event.

The insurance contract is a contract like any other, but with particular peculiar principles. The insurable interest should be beyond the control of either party and there must be an element of negligence or that there is uncertainty. Contracts dealing with uncertain future events are either alieatory, contingent or speculative. In insurance risk exists in priori, whether or not we insure.
However in a wager/stake/ gamble there is no insurable interest.

Parties to the contract

Insurer: This is the person who undertakes to pay the sum assured or indemnity when the insured event occurs. To carry on insurance business in Kenya, a person must be a body corporate (company) licensed by the Commissioner of insurance to do business.

Insured: This is the person who takes out insurance cover, he is the person who pays the premium and may be a natural or artificial person. The insured must have an insurable interest in the subject matter of insurance.

ESSENTIALS OF AN INSURANCE CONTRACT

1. Agreement

For a contract of insurance to exist, there must be an agreement under which the insurer is legally bound to compensate the other party or pay the sum assured [premium]. This is the consideration that passes between the parties to support the transaction. It is asserted that

premium is the considerations which the insurers receive from the insured in exchange for their undertaking to pay the sum assured in the occurrence of the event insured against. Any consideration sufficient to support a simple contract may constitute a premium in a contract of insurance.

2. Uncertainty

The insurance contract is aleatory, contingent or speculative as it deals with uncertain future events. For an event to be Insurable it must be characterized by some uncertainty.

3. Insurable Interest

The insurable event must be of an adverse nature .i.e. the insured must have an Insurable interest in the property, life or liability which is the subject of the insurance. Insurable interest is said to be the pecuniary or financial interest which is at stake or in danger if the subject matter is not insured. It is a basic requirement for the contract of insurance.

4. Control

The insurable event must be beyond the control of the party assuring the risk as it was held in
Re Sentinel Securities P.L.L

5. Accidental or Negligent Loss

Insurance can only be effected where loss is accidental in nature or is a consequence of a negligent act or omission. Loss occasioned by intentional acts does not qualify for indemnity or for payment of the sum assured. It was so held in *Toxleth v Hampton*.

6. Risk

Risk has been defined as the chance of loss, the probability of loss or the probability of any outcome different from the one expected. It is a condition in which there is a possibility of an adverse deviation from a desired outcome that is expected or hoped for. For individual proposes, risk is measured by the probability of loss as the individual hopes that it would not occur.

FORMALITIES OF THE CONTRACT

A contract of insurance comes into existence when an offer by the proposer is accepted by the insurer. The proposer makes the offer by completing and submitting to the insurer the proposal form.

This form seeks information in relation to: -

1. Particulars of the proposer
2. Particulars of the subject matter
3. Circumstances affecting the risk and
4. The history of attachment of the risk

The proposer signs a declaration at the bottom of the form to the effect that the answers given constitute the bases of the contract between him and the insurer. The declaration is referred to as "Basis of Contract Clause". Submission of the proposal form to the insurer constitutes the formal offer by the proposer. The insurer is not bound to accept the offer. However, he may as he assesses the risk, extend temporal cover to the proposer.

Acceptance of the proposal form

The insurer is not bound to accept the proposers offer, however, if the accepted, it signifies a contractual relationship between the two. The insurer may signify acceptance of the proposal form;

1. By formal communication
2. By conduct
3. Issue of the policy
4. Acceptance and retention of premium raises a presumption of acceptance of the proposal form.

Classification of insurance contracts

Insurance contracts may be classified on the basis of:-

1. **The event insured:** The category of insurance derives its name from the event e.g. fire, burglary, marine, fidelity, motor etc.

2. **The Interest Insured:** The classification places contracts in 3 categories namely: -
   a. Personal Insurance e.g. Life Insurance
   b. Property Insurance
   c. Liability Insuring e.g. NSSF, NHIF, 3rd Party Motor Insurance

3. **Nature of the Contract: -**
   a. Indemnity
   b. Non-Indemnity

Indemnity is a contract whereby the insured takes out a policy on the understanding that when loss occurs he will be compensated for the loss. This is property insurance e.g. Fire, burglary, marine.

Non-Indemnity contract is a contract whereby a party known as the insured takes out a policy to secure the payment of a sum of certain in money when risk attaches e.g. life insurance.

4. **Whether private or Social:** private insurance is optional while voluntary, social or compulsory insurance is a statutory requirement e.g. 3rd party Motor Insurance.

5. **Basis of the Programme:**
   a. Insurance
   b. Reinsurance: This is a contract in which an insurer insures himself with re-insurer against the risks he has insured against. It may be voluntary or compulsory.

PRINCIPLES OF INSURANCE

1. INSURABLE INTEREST

This is the financial or monetary interest at stake or in danger if the subject matter is not insured. It is the interest a person has in the subject matter which he stands to lose in the event of its loss or destruction.
To ascertain whether a person has insurable interest in subject matter, courts employ the following rules: -

1. There must be a direct relationship between the insured and the subject matter.
2. The insured bears any loss or liability arising
3. The insured must have a legal or equitable interest /right in the subject matter
4. The insured's interest/right must be capable of financial/pecuniary estimation or qualification.

2. NON-DISCLOSURE / UTMOST GOOD FAITH

The duty to disclose exists throughout the negotiation period. It generally comes to an end when the proposal form is accepted.

Effect of Non-Disclosure

The non-disclosure of a material fact by either partly renders the contract voidable at the option of the innocent party. In *London Assurance Company V. Mansel (1879)* when responding to a question in the proposal form, the proposer stated that no other insurer had declined to take his risk; in fact 2 companies had previously declined to insure him. Subsequently, the insurer sought to avoid the contract on the ground of non-disclosure of a

material fact. It was held that the contract was voidable at the option of the insurer for the concealment of material fact. A similar holding was made in *Horne v.Poland (1922)*

Although the contract of insurance is one of the utmost good faith certain matters need not be disclosed e.g.:

a) Provisions and propositions of law
b) Unknown facts as was the case in *Joel v. Law Union* and *crown Insurance Company*
c) Facts known by other party
d) Matters of public notoriety as was the case in *Bates V.Hemitt.*

3. INDEMNITY

This principle means that when loss occurs, it is the duty of the insurer to restore the insured to the position he was before the loss. The insurer must so far as money can do; put the insured to the position he was before the loss. *Idemnity* means that there should be no more or no less than *restitutio in integrum.*
Indemnity is a basic principle in property insurance; it has its justifications in equity in that in its absence the insured is likely to benefit from the contract.

The principle of indemnity is given effect by the subordinate principles e.g: Subrogation, Salvage, re-instatement, contribution and appointment etc.

4. SUBROGATION

This means that after the insurer has indemnified the insured, he steps into the shoes of the insured in relation to the subject matter.

It means that after indemnity the insurer becomes entitled to all the legal and equitable rights respect the subject matter previously exercisable by the insured.
Subrogation facilitates indemnity by ensuring that the insured does not benefit from the contract.

5. SALVAGE

This is the recovery by the insurer of the remains of the subject matter after indemnity. It is part of subrogation and facilities indemnity. It is justified on the premise that the amount paid by the insurer as indemnity includes the value of the remains.

6. RE-INSTATEMENT

This is the repair or replacement of the subject matter in circumstances in which it may be reinstated.

Most indemnity policies confer upon the insurer an option to pay full indemnity or reinstate the subject matter. The insurer must exercise his option within a reasonable time of notification of loss and is bound by his option. If the insurer opts to re-instate, the subject matter must be re-instated to the satisfaction of the insured.

7. DOUBLE INSURANCE

This is a situation whereby a party takes out more than one policy on the same subject matter and risk with different insurers but where the total sum insured exceeds the value of the subject matter.

8. CONTRIBUTION AND APPORTIONMENT

If an insured has taken out more than one policy on the same subject matter and risk with different insurers and loss occurs, the twin principles of contribution and appointment apply: -

a) If the insured claims from all the companies at the same time, they apportion the loss between themselves on the basis of the sums insured. Each insurer bears part of the loss. This is the **"Principle of Apportionment**"

b) If one of the insurers makes good the total liability to the insured, such insurer is entitled to recover the excess payment from the other insurers. This is the "**Principle of Contribution".** This principle is to the effect that an insurer who has paid more that his lawful share of the loss is entitled to receive the excess from the other insurer.

The principle of contribution is equitable. An insurer is only entitled to contribution if the following conditions exist;

1. There must have been more than one policy on the same subject matter and risk.
2. The policies must have been taken out by or on behalf of the same person
3. The policies must have been issued by different insurers
4. The policies must have all been in force when loss occurs
5. All the policies must have been legally binding agreements
6. None of the policies must have exempted itself from contribution.

The twin principles of contribution and apportionment facilitate indemnity.

9. ABANDONMENT

This is the surrender by the insured of the remains of the subject matter for full indemnity. It entails the giving up the res (residue) to the insurer for indemnity. This principle has its widest application in Marine Insurance but generally applies in case of: -

1. Partial Loss
2. Constructive total loss.

The insured must notify the insurer of his intention to abandon the subject matter. However, it is for the insurer to determine whether or not abandonment is applicable. If the insurer opts to pay full indemnity, it signifies the sufficiency of the insured's notice and it is an admission of liability.

The insurer becomes entitled to the remains of the subject matter.

10. PROXIMATE CAUSE

An insurer is only liable where loss is proximately caused by an insured risk and not liable where the risk is excepted. The principle of proximate cause protects the insurer from undue liability.

Under this principle, the proximate and not the remote cause is to be looked into. (*Causa proxima non remota spectatur)*

The proximate cause of an event is the cause to which the event is attributable. It is the cause which is more dominant direct, operative and efficient in giving rise to the event.

Courts have not developed any technical test of ascertaining what the proximate cause of an event is. They rely on common place tests of the reasonable man and that among competing causes, one must be more dominant that the rest. The proximate cause need not be the last on the chain but must be the most operative in occasioning the loss.

TERMINATION OF THE CONTRACT

An insurance contract may come to an end or terminate in any of the following ways:-

1. **Payment of Indemnity** or the sum assured in the event of total loss. In the case of partial loss, reinstatement does not terminate the policy.
2. **Mutual agreement:** The parties may at any time agree to terminate the contract at the instance of the insured. In property insurance, the insured becomes entitled to the surrender value of the policy. In life policies, if the insured has been a bona fide insured for 3 years he is entitled to 75% of all premium paid inclusive of any bonuses and interests payable.
3. Breach of condition or warranty: The insurer is entitled to apply for cancellation of the policy if the proposer breached a condition or warranty to procure the policy e.g. Misreprentation or non-disclosure of material facts.
4. **Lapse of time:** Indemnity contract or property Insurance lapse after one year. It is the duty of the insured to renew cover.
5. **Operation of law**: These are circumstances which render the maintenance of the policy impossible e.g Winding up or Liquidation of the insurer. 6. Sale of the subject matter

TOPIC 11

NEGOTIABLE INSTRUMENTS

NATURE AND CHARACTERISTICS

What is a negotiable instrument?
This is a document which represents money and the title in passes to a bona fide transferee free from only defect. It is a chose in action. Negotiable instruments are transferable by reason of law or trade usage or custom.

Characteristics of Negotiable Instruments

1. Consideration is presumed to have been provided i.e. past consideration is good consideration.
2. A bona fide transferee of a negotiable instrument need not be notified before it is negotiated.
3. A holder for value can sue on it in his own name.
4. If payable to the bearer, it is negotiable by delivery.
5. If payable to the order of specified person, it is negotiable by endorsement/ endorsement and delivery.
6. The party liable on a negotiable instrument needs to be notified before it is negotiated.

Examples Include: Cheques, bills of exchange, promissory notes, share warrants, dividend warrants, bearer debentures etc.

TYPES: CHEQUES, PROMISORY NOTES, BILLS OF EXCHANGE

CHEQUES

Under Section 74(1) of the Bill of Exchange Act, a cheque is a bill of exchange drawn on a banker, payable on demand. It is a negotiable instrument negotiable by delivery or by endorsement and delivery. It differs from a bill of exchange in various ways: -

1. It can only be drawn on a banker
2. It is payable on demand
3. It does not require acceptance
4. Non-presentation does not discharge it
5. It is less negotiable
6. It may be crossed generally or specially

7. Notice of dishonour is not necessary

Types / classification of cheques

Cheques may be classified on the mode of payment and to whom payable:

1. **Bearer cheque:** This is a cheque whose proceeds are payable to the holder.
2. **Order Cheque:** This is a cheque whose proceeds are payable to specified person or his order. Whereas a bearer cheque is negotiable by delivery an order cheque is negotiable by endorsement or delivery.
3. **Open Cheque:** This is a cheque whose proceeds are payable across the counter.
4. **Crossed Cheque:** Is a cheque that contains two parallel transverse lines on its face with or without account. A crossing is an instruction to the banker not to pay the proceeds across the counter.

Types of crossing

A cheque may be crossed generally or specially:

1. **General Crossing:** Consist of two parallel transverse lines on the fact of the cheque with or without the words “and Co.” “Account payee” “Not negotiable” etc. A cheque crossed generally may be crossed specially by the drawee,
2. **Special Crossing:** Consists of two parallel transverse lines of the face of the chequewith the name of the banker in told.

Banker-customer relationship

There is a simple contractual relationship between the banker and customers. It is a debtor credit or relationship which imposes upon the parties certain legally binding obligations.

DUTIES OF THE CUSTOMER

1. **Duty of Care:** The customer is bound to the exercise reasonable care when drawingcheques to guard against alterations. The banker is not liable for any loss arising if the customer has failed to exercise reasonable care.

   In *London Joint Stock Bank v. Macmillan & Arthur,* A clerk of M draw a cheque for M‟s is signature and indicating the amount payable as £2 in figures but not in words. M signed the cheque, the clerk added 2 figures to the two to make it £120 and stated the amount in words. The customer subsequently sued the banker for the loss. It was held that the bank was not liable as M had failed to exercise reasonable care.

2. **Notice of irregularities**: The customer is bound to notify the banker of any irregularities affecting the accounts e.g. forgeries or unauthorized which the customer is estopped from relying on the irregularity.

   As was the case *Greenwood v. Martins Bank* where a husband had noticed that his wife had withdrawn monies from his account by forging signature but to avoid publicity, he did not notify the bank. Subsequently his wife shot herself dead. He then notified the bank of the irregularities. The House of Lords hold that the bank was not liable as the customer had failed to notify if of the irregularity. He was estopped from relying on it.

DUTIES OF THE BANKER

Paying Bank: This is the banker on which the cheque is drawn. It is the banker liable for the amount.
Collecting Bank: This is the bank in which the cheque is deposited for payment.

1. Duty of Care: The banker is bound to exercise reasonable care and skill in his dealings with the customer. The standard of care and skill is that of a reasonably competent banker. If the banker fails to exercise such care and skill, the customer has an action in damages for any loss arising for professional negligence.
2. **Professional Advice:** The banker is bound to give the customer professional advice on request. He is bound to give advice on investments as and when requested failing which he is liable in damages.
3. **Duty to Honour Cheques:** The banker is bound to honour all cheques drawn by the customers provided: -
   a. The cheque is complete and regular on the face of it
   b. The customer‟s account has sufficient funds
   c. The cheque is presented at a reasonable hour on a business hour and business day.
   d. The payee identifies himself to he satisfaction of the banker.
   e. If a banker fails to honour a cheque in breach of this duty, the customer has an action in damages.
4. **Duty of Secrecy:** The banker is bound to maintain confidentially in his dealings with customer. He must not discuss to 3rd parties any information which comes to him in the course of his dealings with the customer. The duty of secrecy was laid down in *Tournier v. National Provincial and Union Bank of England* which the English Court of Appeal insisted of the upholding of the duty. However the court was emphatic that the duty may be qualified in certain circumstance where personal information relating to the customer may be discharged to 3rd parties e.g.
   a. Where disclosure is provided for by the law
   b. Where the banker has the customer convent to disclose

c. Where disclosure is necessary in the public interest
d. What it is necessary to protect the banker

5. **Duty not to pay without Authority:** The banker must not pay any monies out of the customer's account without his express or implied authority failing which he is liable in damages for breach of duty. However, banker losses his authority to pay in various ways:-
    a. Countermand of payment: This is an express instruction by the customer to his banker not to honour a particular cheque
    b. If the banker has notice of the customer's death
    c. If the banker has notice of the customers" unsoundness of mind
    d. If the banker has notice of presentation of a bankruptcy petition against the customer in court.
    e. If the cheque is irregular e.g. amounts in words and figures do not tally.
    f. If the customer's account has been frozen by a court order.
    g. If the cheque is presented before time (post dated cheque) or after six months (stale cheque)
    h. If the payee has no title thereto
    i. The customer's account has insufficient funds
    j. The customer has since closed his account.

PROMISSORY NOTES

Under Section 84 (1) of the Bill of Exchange Acts, a promissory note is an unconditional promise in writing made by one person to another, signed by the maker, engaging to pay on demand or at a fixed or determinable future time, a sum certain in money to or to the order of a specified person or bearer.

Characteristic/Elements/Essential of the Definition

1. It is an unconditional written promise made by a person to another
2. It must be signed by the maker
3. It contains a promise to pay a sum certain in money.
4. The sum is payable on demand or at a fixed or determinable future time.
5. The sum is payable to a specified person, his order or the bearer

Under Section 85(1) of the Act, a promissory note remains incomplete until it is delivered to the promisee. If a note is drawn by two or more persons, all are jointly and severally liable on it.

Once a note is delivered to the promisee, it may be negotiated to other persons or it may be discounted.

A promissory note differs from a bill of exchange in that: -

1. It is a promise to pay made by the debtor It does not require presentation for acceptance nor does it require acceptance. However, it is a negotiable instrument capable being negotiated by one person to another in commercial transactions.

BILL OF EXCHANGE

The law relating to Bills of Exchange in Kenya is contained in the Bill of Exchange Act1. This statute is a carbon copy of the English Bills of Exchange Act, (1882). It codifies the law relating to bills of exchange.
Section 3(1) of the Bills of Exchange Act defines a Bill of Exchange as: An unconditional order in writing addressed by one person to another, signed by the person giving it requiring the person to whom it is addressed to pay on demand or at a fixed or determinable future time a sum certain in money to or to the order of a specified person or to the bearer.

Elements or essentials of the definition

1. It is an unconditional written order i.e. Not a request.
2. Addressed by person to another
3. It must be signed by the person giving it
4. It demands payment of a sum certain in money.
5. The sum must be paid on demand or at a fixed or determinable future time.
6. The sum is payable to a specified person, his order or the bearer.

Parties to a bill of exchange

Parties to a bill of exchange are the drawer and the drawee. The drawer is the person who draws the bill demanding payment. The drawee is the person to whom the bill is drawn. This is person to pay the amount due. The person to whom the amount is paid the payee.

Types / classification of bills

Bills of Exchange may be classified on the basis of: -

1. To Whom Payable: A bill may be bearer or order. A bearer bill is a bill payable to the holder or bearer of the instrument. An order bill is a bill payable to the order of a specified person.
2. Where drawn and a payable: An inland bill is a bill as bill drawn and payable within East Africa. Any other bill is foreign.
3. When payable:
   a. Sight bill: - This is bill payable on demand
   b. Usance bill: This is bill payable at a fixed or determinable future time.
4. Whether transferable or not: -
   a. Transferable bill: - This is a bill which is capable of being negotiated by one person to another

b. Non-transferable bill: - This is a bill which contains a stipulation prohibiting transfer.

A bill drawn and signed by the drawer is referred to as draft and must be presented to the drawee for acceptance.

Rules relating to representation of bills for acceptance

1. The bill maybe presented by the drawee or his agent-
2. It must be presented at a reasonable hour on a business day.
3. It must be presented to the drawee and if dead, to his personal representative.
4. If the drawee has been declared bankrupt, the bill must be presented to him or to his trustee in bankruptcy.
5. If trade custom and usage permits, it may be done thought the post.
6. However, presentation of a bill for acceptance will dispensed with if:
    i. The drawee is a fictitious person.
    ii. It cannot be effected even with the exercise of reasonable diligence.

Acceptance of a bill

This is the signification by the drawee of his assent to the bill. Acceptance of a bill may be ***general or qualified.***

1. In ***General acceptance,*** the drawee accepts the bill in its tenor i.e. without any qualification.
2. ***Qualified Acceptance***: This acceptance whereby the drawee modifies or varies the bill in various ways: -
    i. Conditional: Where the drawee specifies a condition subject to which the bill is payable.
    ii. Partial: The drawee accepts to pay part of the sum.
    iii. Local: The drawee accepts to pay the bill at a specified place.
    iv. Time: The drawee changes the time of payment
    v. Acceptance by some but not all drawers.

The drawer is not bound to accept a qualified acceptance. However, if he does, he is bound by its terms.

Once a bill is accepted, it becomes a proper bill, capable of being discounted or negotiated.

Discounting a bill: it is the receipt by the payee of the amount of the bill from a bank or financial institution less the discount for the unexpired duration. The bank becomes the payee.

Negotiation of bills: Under section 31 (1) of the Act, a bill is negotiated when it is transferred from one person to another in such a manner as to constitute the transferee as the holder thereof.

A bill may be negotiable in 2 ways namely:

- Delivery
- Endorsement and Delivery

Bearer Bills are negotiable by delivery. Order bills are negotiable by endorsement and delivery.

Endorsement of bills

This is the signing or executing a bill by a party for purpose of negotiating it to another. The party so doing is the endorser while the party to whom it's endorsed is the endorsee.

Characteristics of an Endorsement

1. It must be written on the face of the bill, on its reverse side or on a copy where acceptable or slip of paper attached to the bill. This paper is referred to as an *allonge*.
2. It must be signed by the endorser
3. It must be an endorsement of the entire bill.
4. If payable to the order of two or more endorsers who are not partners, all must endorse unless either of them has authority to endorse in favour of all.
5. The endorsement may be blank, special, conditional or restrictive

Types of Endorsements

1. ***Blank:*** This endorsement which does not specify the endorsee. It converts an orderbill to a bearer bill.
2. ***Special:*** This is an endorsement which specifies the person to whom or to whose order, the bill is payable.
3. ***Conditional:*** This is an endorsement which either exempts the endorser from liability if the bill is dishonoured or makes payment of the bill subject to a specified condition.
4. ***Restrictive:*** This is an endorsement which prohibits further negation of the bill. It constitutes the endorsee as the payee who cannot negotiate the bill any further.

Parties to a bill of exchange

1. **Holder for Value:** This is a holder of a bill, who has provided valued consideration onit or who is deemed to have so provided the same.
2. **Holder in due course:** Under Section 29(1) of the Act, a person is deemed to be aholder of a bill in due course if he holds a bill which is: -
    a. Complete and regular on the face of it
    b. Before it is overdue

c. In good faith from and for value
d. Without notice of any previous dishonour
e. Without notice that the person who negotiated it to him had a defective title

3. **Accommodating Party:** Under Section 28 (1) of the Act, an accommodation partyis person who has signed a bill of exchange as drawer, endorsee or acceptor without receiving value thereon but for the purpose of lending his name to another party. However, such party is liable to a holder for value.
4. **Referee in Case of Need:** Under Section 15 of the Act, a referee in case of need is aperson whose name is inserted in a bill by the drawer or endorsed to whom the payee may resort to in the event of its dishonour by non-acceptance or non-payment.

RIGHTS OF A HOLDER OF A BILL

1. A *bona fide* holder acquires a defect-free title
2. Right to sue on it in his own names
3. Right to negotiate the bill unless the lost endorsement is restrictive.

DUTIES OF THE HOLDER

a) It is the duty of the drawer to present the bill to the drawee for acceptance
b) It is the duty of the payee to represent the bill to the acceptor for payment.
c) In the event of the dishonour of a bill, it is the duty of the payee: -
   i. To notify the party the fact of dishonour
   ii. To have the bill noted and or protested

Presentation of a bill for payment

On maturity of a bill, it must be presented to the acceptor for payment. Its presentation is governed by the following rules: -

a) If payable on demand, it must be presented within a reasonable time of acceptance or negotiation.
b) If payable in future, it must be presented on the date it falls due or within three days of grace.
c) It may be presented by the payee or his agent.
d) It must be presented to the acceptor at the agreed place i.e. his place of business or residence.
e) It must be presented to the acceptor, however, if dead to his personal representative.
f) If the acceptor has been declared bankrupt it must be presented to him or his trustee in bankruptcy
g) It must be presented at a reasonable hour on a business day
h) If trade custom or usage permits, presentation may be effected by post.

If on presentation, the amount is paid by or on behalf of the acceptor, the bill is discharged. However, presentation for payment maybe dispensed with if it is impossible to secure the same even with exercise of reasonable diligence. If the acceptor cannot be found or payment is refused the bill is said to be dishonoured.

Dishonored bills

A bill is said to be dishonoured if:-

1. Presentation for payment is exercised by law
2. Payment is refused.

It is the duty of the payee to notify the party liable the fact of the dishonour and to have it noted and or protested.

Rules relating to notice of dishonor

1. The notice may be given by or on behalf of the payee
2. It may be given in the agent's or the payee's name
3. The notice may be oral or written
4. If written it need not signed
5. It must be given within a reasonable time of the dishonour
6. Return of the dishonoured bill is sufficient notice.
7. It must be given at a reasonable time on a business day.
8. If effected by post it is effective when the letter is posted.

Noting a bill

Once a bill is dishonoured, the payee must present it to notaries public who re-presents it to the acceptor for payment and if payment is refused, the notaries public indicates the date on the bill and later specifies the dishonour in his register by entering the words used by the acceptor in the refusal. This is referred to as Noting the Bill.

Protesting a bill

This is the formal declaration by notaries public attesting the fact of dishonour of a bill. It is conclusive evidence of the dishonour. A protest note must disclose and contain: -

i. The person for and against whom it is made
ii. Reason for the protest
iii. Date and Place of the protest
iv. Particulars of the notaries public

The dishonoured bill or a copy thereof must be attached.

Discharge of a bill

A bill of exchange is said to be discharged when all rights on it are extinguished. However, a party may still be held liable on it depending on the method of discharge. A bill may be discharged in any of the following ways: -

1. **Payment in due course:** If the bill is paid by or on behalf of the acceptor at or after maturity, it is discharged and parties freed.
1. **Acceptor -** holder Maturity (Merger): If the acceptor of a bill becomes the payee of right, at or after maturity, the bill is discharged.
2. **Renunciation or waiver:** Under Section62 (1) of the Act, if the holder of a bill at or after maturity unconditionally and absolutely renounces his right against the acceptor, the bill is discharged. The renunciation must be written and the bill must be returned to the acceptor.
3. **Cancellation:** Under Section 63 (1) of the Act, if a bill is intentionally cancelled by the payee or his agent, and the cancellation is apparent thereon, the bill is discharged. An unintentional cancellation does not discharge a bill.
4. **Material Alteration:** Under Section 64(1) of the Act, a material alteration on a bill discharges all the parties not privy to the alteration. Under Section 64 (2) a material alteration comprises a change in amount payable, time of payment, date and place of payment.
5. **Non-presentation:** Under Section 45(1) of the Act, the non-presentation of a bill for payment as prescribed by law discharges the drawer and endorsers.

BAILMENT

This is a contract whereby a party referred to as Bailor delivers goods to another known as Bailee with specific instructions that the goods be dealt with in a particular manner to be returned as soon as the purpose for which they were bailed is accomplished.

Bailment involves goods and is for the most part contractual whereas possession changes hands, ownership does not. However, in certain circumstances, physical possession does not change hands since the person who becomes the bailor was in possession of the goods in some capacity. Such a bailment is referred to as a bailment by **attonement.**

Types of Bailment

1. Hiring e.g. Hire Purchase Agreement
2. Storage or Safe Custody of goods
3. Pledger or Pawn: - This is the use of goods as a security for a loan whereby the goods are delivered to the lender as security and retains them until the debt is fully paid. By paying the debt, the borrower reclaims the goods.

4. For repair or work to be done
5. Carriage of goods from place to place

DUTIES OF THE PARTIES

1. BAILOR

1. He is bound to deliver the goods to the bailee for purposes of the transaction
2. He must disclose any defects in the goods or in the title
3. He is bound to indemnify the bailee for loss or liability arising by reason of defects in the goods or of title

2. BAILEE

1. To take delivery of the goods, the subject matter of the bailment.
2. To deal with the goods only for the purpose for which for which they were bailed.
3. Take reasonable care of the goods.
4. Insure the goods in his custody.
5. Return the goods to the bailor as soon as the purpose for which they were bailed is accomplished

A contract of bailment terminates when the purpose for which they were bailed is accomplished or when the bailor deals with the goods in a manner inconsistent with the bailment

LIEN

This is a right conferred upon a party by law or trade usage or custom in certain circumstances and is exercisable as a security for the fulfilment of an obligation owned by another.

Types of Lien

1. Possessory lien
2. Equitable lien
3. Maritime

1. Possessory lien

This is the right of a party in possession of another's goods to retain them as a security for the fulfilment of an obligation. The lien is dependent on possession which must be lawful and continuous and is enforceable without any court action.

Possessory Lien may be general or particular.

a. **General Lien**-This is a possessory lien which entitles the party in possession to retainthe goods for the fulfilment of any obligation owned by the owner .e.g An advocate has a general lien on a clients documents for any unpaid fees.
b. **Particular Lien**-This is a possessory lien which entitles the party in possession to retain the goods for the fulfilment of the particular owning e.g price of the goods held.

An unpaid seller's lien is particular in nature.

2. Equitable lien

This is the right of a party to have certain property in particular manner e.g. in the dissolution of a partnership every partner is entitled to have the firms assets applied in the 1st instance in the payment of its debts and liabilities and is enforceable by court action.

3. Maritime lien

This is the right of a party to have a ship or its cargo sold and the proceeds applied in a particular manner e.g a ship captain and crew members have an equitable lien in relation to unpaid usage. This lien is independent of possession and is enforceable by court action.

Termination of Lien

A lien may come to an end in any of the following ways:

1. Discharge of the obligation owing
2. Mutual agreement between the parties
3. Dealing with the goods in a manner inconsistent with the lien.
4. Waiver by the party entitled to the right.

LETTER OF HYPOTHECATION

This is a document given by the debtor to the creditor as a security when chattels are used as collateral .The document constitutes evidence of the chattels mortgage. The debtor retains possession and ownership of the security but under the terms of the letter, the creditor is entitled to confiscate and sell the security in the event to the default by the debtor. The document must be executed by the parties and attested to by at least one witness if not, if, only binds the parties thereto.

TOPIC 12

THE LAW OF PROPERTY

This is the law concerned with the bundle of rights a person may have on land. Such rights may be exclusive or otherwise.

Property law defines the range of functions a person may exercise in a given situation at a given time. It confers proprietary rights and imposes obligations on owners/holders of land. Land includes physical strata, water all things growing on it, buildings or other things permanently annexed on the land.

Common law conception of land is based on the *maxim cujus est solum* which literally means that land encompasses more than just the soil. It includes all things found in the aerospace above and the geospace below. Land includes all the permanent fixtures. The common law conception of fixture is expressed by the maxim *Quic Quid plantatur solo solo codit* which literally means whatever is attached to land belongs to the land.

At common law, fixtures were deemed to be part of the land and could not be removed. However, this principle was modified and certain categories of fixtures could be removed e.g.

- Trade fixtures to enable a tenant carry out his trade
- Ornamental and domestic features if they did not cause substantial damage to land
- Agricultural fixtures could be removed from 1948

The common law principles of applies in Kenya's property law, however it has been modified by statute law e.g. The Water Act,1 The Mining Act, The Way leaves Act2 and The Agriculture Act.

POSSESSION AND OWNERSHIP

Whereas ownership signifies title or a bundle of rights exercisable with respect to the subject matter, possession is the mere right to hold and may be actual or constructive.

Ownership confers proprietary rights.
However, in certain circumstances, possession may confer the right to use.
Ownership of land may take three forms:

1. Sole ownership
2. Joint ownership
3. Common ownership

SOLE OWNERSHIP

The land in question is owned by one person who exercises all the rights in relation to it

JOINT OWNERSHIP

A situation where property is owned by two or more persons. It enjoys all the characteristics of a single owner. Proprietors have no individual shares in the property. Joint ownership is characterised by four unities namely:

- **Unity of title**

All the persons derive title from the same title

- **Unity of possession**

All the persons are entitled to each and every part of the land. They have the same rights to use any part of the land.

- **Unity of interest**

All the owners own a similar interest in nature, extend and duration

- **Unity of time**

The interest of the owners commences at the same time

COMMON OWNERSHIP

This is the ownership of separate but undivided shares in the land. It does not confer the right of survivorship and a common owner can transfer his share to others with consent of the other owners. Common ownership terminates when the land is sold or partitioned

INTEREST IN LAND

It may take any of the three forms:

1. Estate
2. Servitude
3. Encumberances

ESTATE IN LAND

An estate in land may be freehold or leasehold.

FREEHOLD ESTATE

Confers a bundle of rights exercisable for an indefinite duration. It may be acquired by inheritance or otherwise. The rights it confers can be transmitted to future generations.

Freehold estates include;

- Free simple
- Free tail
- Absolute proprietorship

1. FREE SIMPLE

This is the largest freehold estate a person can have on land at common law. It confers the largest quantum of rights. It confers unrestricted right to use, misuse and to dispose. In the event of death, the rights are transmitted to the person entitled to inherit the estate failing which it escheats to the state. No conditions are attached as to its inheritance. Holder can dispose it by deed or by will, wholly or in part, conditionally or unconditionally.

The holder of a fee simple is entitled to commit waste on the land. Waste may be:

a) Ameliorating waste - Consists of acts which improve the value of land.
b) Permissive waste - Consists of acts not detrimental to land
c) Voluntary waste - Consists of acts detrimental to land
d) Equitable waste - This is wanton destruction of land.

Creation of Fee Simple

This estate may be created by:

i. **Grant:-** if it is transferred by one person to another
ii. **Inheritance:** - if inherited from a deceased
iii. **Enfranchisement;** - applies to agricultural leases where the government on expirationof the term of the lease, converts it to a freehold estate

2. FEE TAIL

A freehold estate which confers a life interest on the holder. Descends only to specified persons.
Confers the right to determine the person or persons entitled to inherit. The estate is generally created by inheritance

3. ABSOLUTE PROPRIETORSHIP

Created by Sections 27 & 28 of The Registered Land Act CAP 300.
Section 27 provides *inter alia* upon registration, the owner acquires all the rights and privileges associated with such ownership. These rights include right to use, misuse or dispose. The rights of the registered holder cannot be defeated unless as provided for by the Act. The person to whom the land is registered becomes the absolute owner to the exclusion of all others. This estate is illustrated by the decision in *Obiero V. Opiyo*. The registration terminates all customary rights previously exercisable on the land.

Creation of Absolute Proprietorship

i. Registration after Adjudication
ii. Conversion from other registers
iii. Transfer
iv. Inheritance
v. Consolidation

Examples of fee simple

• Life Estate
An estate which lasts for the life of the grantee and is created by inheritance. Death of the grantee terminates his interest

• Estate Pur Autre Vie
An estate in the life of another. It lasts for the life of that other person and lapses on his death. May be created by Express Grant or Assignment
It is a freehold estate but reverts to the grantor when the person dies. Person on whose life the state is measured is the *Cesqui que.*

LEASEHOLD ESTATE (Tenancy)
Lease refers to a transaction which creates the relationship of landlord and tenant between the grantor and grantee. The formal document by which this is done is a lease.

Leasehold is the quantum of rights which a lease grants to the lease. It is a secondary Interest in land derived from a primary interest. Confers upon the leasee / tenant exclusive possession of another land

CHARACTERISTICS OF TENANCIES/ LEASES

1. Exclusive possession
A tenancy confers upon the grantee/ tenant the right to hold the interest to the exclusion of all others. Means that no other person has an equal right to it. It was so held in *Helcht V. Morgan.*

2. Defined premises
The premises to which the tenancy or lease refers must be defined or ascertained. It must be identifiable by reference to the agreement. It was held in *Heptulla V. Thakore.*

3. Certain period
A lease must commence at and exist for a certain period or for a period capable of being ascertained. It was so held in *Marshalls V. Berridge*

4. Scope of grant or Quantum of Rights

The bundle of rights conferred by a lease must be definite or capable of being defined. The leasee must know the rights exercisable under the lease.

TYPES OF TENANCIES OR LEASES

• Fixed Tenancy

A tenancy created for a fixed duration. Its commencement and termination must be specified. Such a lease determines when the duration expires

• Periodic tenancy

Tenancy / lease which continues indefinitely from a period to period e.g. 1 year. Such a lease may be express or implied. Its duration is not specified and it may arise if a fixed period tenant remains in possession and continues to pay rent.

• Tenancy at will

Tenancy whereby the tenant occupies premises on the terms that either party may determine the relationship at any time. The tenancy terminates in the event of death of either party or committing an act inconsistent with the tenancy.

• Tenancy at sufferance

Arises whenever a fixed period tenancy holds over or remains occupation without the landlord's consent. This tenancy is created by operation of law. If landlord accepts rent, it becomes a periodic tenancy. However, the tenant may be ejected at any time without notice.

• Service tenancy

Created to enable the tenant perform a particular service. The occupation is necessary for performance of the service; however the tenancy terminates on determination of employment.

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OBLIGATIONS OF THE PARTIES

A tenancy/ lease imposes upon the parties certain legally binding obligations.

DUTIES OF LANDLORD/LESSOR/GRANTOR:

1. Duty not to derogate from the grant
He must not do anything inconsistent with the tenancy or lease. These are acts likely to render the premises unfit for the purpose for which they were rented.

2. Duty to ensure quiet enjoyment
The landlord, his servants and agents must not interfere with the tenant's enjoyment of the premises. Tenant is entitled to peaceful occupation without unlawful interference or interruption.

3. Duty to grant premises fit for purposes
Landlord must ensure that the premises let are fit for the particular purpose for which it is let.

4. Duty to suspend or adjust rent
If the premises or part thereof is destroyed/ damaged without the tenants negligence rendering it wholly or partially unfit for occupation or use, the lessor is bound to suspend or adjust rent depending on the nature of damage until the premises are rendered fit for use or occupation.

5. Duty to repair
As a general rule, it is the duty of the lessor to repair the roof, main walls, main drains, common passages and installations. This duty is statutory if only part of a building is let

6. Duty to put the tenant in possession
The lessor is bound to hand over to the lessee, the mains which enable him enter into occupation

DUTIES OF TENANT/LESSEE/GRANTEE:

1. Duty to Pay the Rent Reserved
It is obligation of lessee to pay the rent as agreed. Such rent is payable irrespective of occupation.

2. Duty to Pay Rates and Taxes
Lessee is bound to pay all rates and taxes except where the landlord is under statutory obligation to pay.

3. Duty Not To Commit Waste
Lessee is duty bound not to commit waste i.e. he must not do anything which reduces the value of the premises. Fixed term tenants are liable for voluntary and permissive waste.

4. Duty not to transfer, sublet or part with possession

As a general rule, the lessee must not transfer, sublease or charge the premises without the lessor's written permission.

5. Duty to Permit Landlord to View the Premises

It is the duty of the lessee to enable the landlord appreciate the condition of the leased premises. The obligation is generally implied where the lessor is bound to repair the premises.

6. Duty to Make Reparation for Any Breach

The lessee is bound to repair and make good any defect or breach of agreement for which he is to blame. Reparation must be made within reasonable time as may be specified by a notice given by the lessor.

7. Duty to Make Material Disclosure

The lessee is bound to inform the lessor of any external interference by third parties or of any action he is about to take which affects the value of the premises

8. Duty Not To Erect Fixtures

The lessee must not, without the lessor's consent erect any permanent structures on the property. However, structures erected for agricultural purposes are permissible

9. Duty to Put the Landlord in Possession

It is the lessee's duty on expiration of the lease to put the lessor in possession of the leased premises.

If a tenant is guilty of breach of terms of the lease e.g. non-payment of rent, landlord has an action in damages or may distress the tenant pursuant to the provisions of the Distress for Rent
Act3.

TERMINATION OF TENANCIES/LEASES

A tenancy agreement may terminate in the following ways:-

• By Notice

Applicable where the tenancy is for a fixed duration or where either party desires to terminate the leases before the duration expires. The notice must sufficiently indicate the parties intention to terminate the lease.

• Lapse of Time/ Expiration of Time

A fixed period tenancy terminates on expiration of the duration

• Forfeiture

This is the right of the lessor to re-enter the premises and there-by prematurely determine the lease in the event of certain breaches. The lessor may do so pursuant to a forfeiture

clause or in accordance with the provisions of the ITPA or Registered Land Act e.g. If the lessee is bankrupt or insolvent or upon the winding up of the company

• Surrender
The giving up by the tenant, to the landlord, of the leased premises. Express surrender must be made in a prescribed form

• Merger
Under the ITPA and Registered Land Act, a lease determines if the lessee or some other person becomes entitled to the property as of right. A merger must be express.

• Enlargement or Conversion
A lease determines if it is converted into some other interest e.g. freehold in accordance with the law.

• Frustration
As a general rule the doctrine of frustration does not apply lease agreements. However, a lease is terminable by frustration if the property or part therefore is rendered unusable.

• Disclaimer
This is the right of the lessee/tenant to disclaim the lease. He can only do so if authorised by statute. On doing so the lease terminates.

A ***Lease differs from a Licence*** in that traditionally, licence is permission given by the occupier of land which without creating an interest in the land allows the licensee to do some act which would otherwise be a trespass.

A licence does not confer the right to exclusive possession of the land. It is a mere permission by a party to another to enter upon the licensor's land. It does not require any writing or registration and is not transferrable

SERVITUDES
These are rights in *alieno solo* i.e. a right conferring a power on another's land for the benefit of the right holder or his estate.
At common law, servitudes include:-

i. Easements
ii. Profit *apprendre*
iii. Restrictive covenants

EASEMENTS

A right attached to a parcel of land which allows the proprietor of the land either

1. To use the land of another in a particular manner
2. To restrict its use to a particular extent

An easement may be positive or negative. It is positive if it authorises the use of another's land in a particular way. It is negative if is restricts that other in the use of his land.

CHARACTERISTICS OF AN EASEMENT

1. **There must be a dominant and a servient tenement**

There can be easement properly so-called only if there be both a servient and a dominant tenement. An easement must be connected with the dominant tenement.

2. **Dominant and servient tenement must be owned/ occupied by different persons**

This is because an owner cannot have an easement over his land. It has been observed that in order to obtain an easement over land, you must not be the possessor of it for you cannot have the land itself and also an easement over it.

3. **Easement must accommodate the dominant Tenement**

What this requires is that the right accommodates and serves the dominant tenement and is reasonably necessary for the better enjoyment of that tenement.

4. **Easement must be capable of forming the subject matter of the grant**

This characteristic means that the easement must be capable of being granted by deed hence there must be:-

- A capable grantor
- Capable grantee
- The right must be sufficiently definite
- Right must be of a nature capable of being granted

An easement differs from a licence in that it is a proprietory interest attached to the land. It differs from a lease in that it does not confer possessory rights over the land.

CREATION OF EASEMENTS

An easement may be acquired in the following ways:

1. Express Grant
A situation where the grantor expressly confers the right to the grantee in prescribed form which must specify the nature of the interest, duration and other conditions or limitations.

2. Statute
An easement may be granted by an Act of Parliament to facilitate the discharge of a statutory obligation.

3. Prescription
Under the Limitation of Actions Act, 20 years of continuous use of another's land grants an easement to the user. The use must have been uninterrupted.

TERMINATION OF EASEMENTS

1. Lapse of Time
Under the Registered Land Act, an easement terminates on expiration of the prescribed duration.

2. Occurrence of an Event
The Registrar of lands is empowered to cancel the registration of an easement on application by the party affected by any breach of its terms

3. **Unity of *Seisin***
Acquisition of full ownership of both the dominant and servient tenements by the grantee or some other person destroys the easement.

4. Merger of Interest
Under the Registered Land Act, an easement terminates if the dominant and servient tenement are vested in the same person provided the tenements are combined under one title and registered as such.

6. Release or Abandonment
A grantee may by executing a deed abandon the easement to the grantor thereby terminating the same.

7. Judicial Discharge
Under Section 98 of the Registered Land Act, the court is empowered on application by an interested party to order termination of an easement if satisfied that there is reasonable cause to do so.

PROFIT APPRENDRE

The right to take something off another's land

It is the right to go on the land of another to take particular substance from that land, whether the soil or products of the soil. A profit enables the grantee to take something capable of ownership from grantor's land.

If a profit is enjoyed by others, it is referred to as **profit in common/common**. If it is enjoyed to the exclusion of others it is a **several profit**. If a profit is attached to the land, it is said to be a **profit apportionment.**

A profit may be created or acquired by:

1. Express grant
2. Prescription by law

May be terminated by:

1. Release/Abandonment
2. Unity of *Seisin*

RESTRICTIVE COVENANT

An agreement by which a proprietor or land owner undertakes to restrict the use of his land in a particular manner for the benefit of some other land. Such an agreement may arise between two landlords or tenants owning or occupying adjoining properties. The covenants are created by agreements which are registerable under the law.

They are terminable by mutual consent.

ENCUMBERANCES

These are rights in *alieno solo* which constitute burdens on the property. They are generally of a temporal character. Encumbrances are either mortgages or charges.

MORTGAGES

In the words of Lindley J in ***Santley V. Wilde (1859)*** a mortgage is a conveyance of land or assignment of chattels as security for payment of a debt or the discharge of some other obligation for which it is given

CHARACTERISTICS OF A MORTGAGE

- Conveyance of the title to the mortgage
- A proviso for reconveyance on payment
- The right of redemption

The law relating to mortgages and charges in Kenya is contained in the Indian Transfer of Property Act, Registered Land Act and Equitable Mortgages Act

Under Registered Land act, A Charge is an interest in land as a security for the payment of money/ monies or the fulfilment of any condition.

TYPES OF MORTGAGES

The ITPA recognises the following types of mortgages:

1. Simple mortgage
A mortgage transaction whereby without delivering possession of the mortgaged property, the borrower binds himself to pay the mortgagee and agrees that in the event of non-repayment, the mortgagee shall have the rights to sell the property and the proceeds applied in the payment of the mortgaged money.

2. Mortgage by conditional sale
A mortgage transaction whereby the borrower ostensibly sells mortgaged property to the mortgagee on condition that the event of default, the sale becomes absolute or in the event of payment the sale becomes void.

3. Usufructuary mortgage
The lender (mortgagee) takes possession of the mortgaged property and uses the proceeds to repay himself

4. English Mortgage
The borrower binds himself to repay the mortgaged money on a specific date and transfers the mortgaged property to the mortgagee subject to a re-transfer upon repayment of the mortgaged money.

5. Anomalous Mortgage
Created by Section 98 of the ITPA. The rights of the parties and other terms and conditions of the transaction are determined by the mortgaged instrument.

6. Equitable Mortgage
Created by the Equitable Mortgages Act CAP 291. The borrower deposits his title deed with the mortgagee but without delivering possession of the mortgaged property.

DUTIES OF MORTGAGORS AND CHARGORS

1. To repay the principal sum and interest
2. To pay all taxes and rates
3. To honour previous obligations if the charge or mortgage is a subsequent transaction
4. To keep the premises in repair
5. To insure the property in the joint names of the parties
6. To farm according to the rules of good husbandry in case of agricultural land.
7. To honour the terms of the lease if the property is a lease.

These obligations terminate upon the discharge of the charge or mortgage or on cancellation of the transaction by the registrar

REMEDIES OF MORTGAGES AND CHARGES

1. Foreclosure
A Court order which denies the borrower the right to redeem his security. The remedy may be availed by the court after the mortgage debt is due but before redemption. It is provided for by section 67 of the ITPA

2. Appointment of Receiver
A mortgagee/ chargee is empowered to appoint a receiver to take over the security given by the borrower to facilitate payment of the debt. Exercisable in circumstances in which the lender has the right foreclose. A charge may appoint a receiver if there is a default which continues for one month or if the borrower does not honour a demand notice in three months. The amount recovered by the receiver must be applied to pay rates and taxes, prior mortgages, any commission payable, insurance premium, interest payable under charge/mortgage

3. Statutory Power of Sale
The power of mortgagee or charge to sell the mortgaged property in the event of default by the borrower. This right is exercisable if:-

a) There is no contrary provision in the mortgaged instrument
b) Borrower's signature has been attested to by an advocate
c) Notice to pay the amount has been served upon the borrower who has not responded in three months time or interest has in arrears for 2months. The monies realised must be applied to pay prior encumberances, expenses of the sale, mortgage or charge, subsequent encumberances if any.

4. Consolidation
The equitable right of a chargee holding several charges to insist that all be redeemed together.

This right is only exercisable if:-

i. The mortgages had been executed by the same borrower
ii. The charges are held by the same chargee
iii. There has been default in respect to all of them
iv. The securities are still in existence
v. The right to consolidate is expressly reserved by the instruments

5. Suit on Personal Covenant

The right of a chargee or mortgagee to sue the borrower in the event of default. It is an action for recovery of the amount lent. The right is exercisable if: -

i. The mortgagee/ borrower has executed a personal covenant to repay
ii. Security provided is destroyed by a wrongful act or default by the borrower
iii. The borrower has refused to deliver possession to a mortgagee who is so entitled.

RIGHT OF REDEMPTION

This is the right of the borrower to recover his security from the mortgagee/chargee. The right is recognised by common law and equity. During the contractual period of the transaction, the borrower has the legal right to redeem by paying the amount due at any time.

If the amount is not paid within the contractual period, the borrower loses the legal right to redeem but has an equitable right to redeem which must be exercised within a reasonable time as it is conferred by equity. The equitable right to redeem is only exercisable after the legal right to redeem is exhausted.

In law the borrower has unrestricted equitable right to redeem his security. Any provision in a mortgage or charge purporting to deny the borrower the equitable right to redeem is void. This right must not be subjected to any conditions by the charge or mortgagee.

However, the equitable right to redeem is lost when the property is sold or a foreclosing order is made by the court. The right of redemption is exercisable by

- Any person having an interest in the property
- An executor or a signee
- A guarantor
- A judgement creditor

The equitable right to redeem must be distinguished from equity of redemption which is the residual interest in property conveyed to the chargee or mortgagee which is retained by the borrower. This interest is extinguished on foreclosure.

The equity of redemption enables the borrower exercise equitable right to redeem.

INTELLECTUAL PROPERTY RIGHTS

These are rights awarded by society to individuals or organizations principally over creative works. They give the creator the right to prevent other from making unauthorized use of their property for a limited period of time.

PATENT

It is the certificate that a person gets from the patent office after one has made an invention. It is the relationship that exists between an inventor on one hand or patentee and the patent office, the estate or society.

It is a juridical relationship between an inventor or patent owner on one hand and on the other hand the patent office or the state or society in general. The inventor is that person who has brought out a new process or a new invention. A patent owner is the person who holds the rights.
It is a government authority or licence to an individual or organisation conferring a right or title for a set period especially for the sole right to make, use or sell some invention
The state here is Kenya and the office is the Kenya Industrial Property Institute (KIPI).

STANDARD/CRITERIA FOR PATENTRY

1. The invention must be novel/ new
2. The invention must constitute an inventive step and must not be obvious
3. The invention must be industrially applicable and useful
4. The invention must not be excluded by statute

In Kenya the inventor must apply to KIPI and the patent may be grante or declined. If a patent is granted, there should be an application to register it whereby the patentee must disclose the patent to the state.

Patents are granted for a limited period of time, mostly 20 years under TRIPS (The Trade Related Intellectual Property convention)
A patent may be obtained/owned by a natural or juristic person.
Under section 17 of the Science and Technology Act4 inventions made by scientists in research institutions established under the Act (e.g KEMRI) are patented in favour of the research institute and not the individual inventor but the inventor must be named as per section 33 of the Industrial Property Act5.

COMPULSORY ACQUISITION

This may be done by the government where:

i. The patentee has refused to work the patent

ii. The patentee has refused to licence other persons to work the patent on equitable terms
iii. The owner of the patent has been promptly and adequately compensated

The inventor's employer may also own a patent regarding the employee's invention but the invention must have occurred in the course and within the scope of the employment.

THE PATENTEE"S RIGHTS

1. To be granted a patent, subject to the substantive and procedural legal requirements
2. Exclusive rights to make, import, sell, offer for sale or use the product which is covered by the patent
3. The rights to exclude all other persons from dealing with the patent
4. The right to exploit the patent through contractual licensing and assignment
5. The right to receive royalties in the event of compulsory licensing

OBLIGATIONS OF THE PATENTEE

1. Disclose the invention to KIPI
2. Give information concerning foreign corresponding applications and grants
3. Duty to pay the prescribed fees
4. Obligation to refrain from unfair, abusive and uncompetitive terms and provisions in contractual terms and licences, assignments or patent applications

PATENT INFRINGEMENT

This is the unauthorized use of or dealing with a patented product or process contrary to the interests of the patentee, with or without his consent, licence or permission

It is conduct which goes against the claims as stated in the patent application and in particular, the final grant.

A case on patent infringement may be brought by the patentee or his personal representative.

Defences to Patent Infringement

1. That the invention had been published and therefore lacked novelty
2. Absence of specificity in the claims i.e. the claims are not specific enough
3. Non-patentability of the subject matter because of exclusions

Remedies

1. Injunctions
2. Damages
3. Account of profits
4. Delivery up – an order that requires the defendant to deliver up all infringing material including all equipment and contraptions

Criminal Sanctions

They are available under the Intellectual Property Act and the Trade Marks Act. They may take the form of fines, imprisonment and forfeiture (delivery-up)

Section 109 of the Industrial Property Act declares infringement of patents to be criminal and one would be liable to a fine of between Kshs. 10,000 and 50,000 or a jail term of between 3 and 5 years or both.

Fundamental Weaknesses in the Enforcement of Criminal Sanctions

- Lack lustre government attitude towards IP and IP rights
- General public ignorance
- Lack of resources
- Limited knowledge by judges and magistrates

COPYRIGHT

These are economic rights given to creators of literary and artistic works including the right to reproduce the work, make copies therefrom, perfom or display the work publicly

Copyright law is intended to protect and to reward original expressions embodied in tangible material or fixed form. In the first category an idea does not infringe copyright but once it is expressed in some form, then it becomes tangible when expressed, you don't only have the idea in your head you have expressed it and its somehow in fixed form. Not everything that is new is copyright protected unless they are original expressions and are in original form.

Subject matter of copyrights

Subject matter of copyright is divided into two broad categories

1. Primary works - Known as works of original authorship. These include literary works (poems, softwares, sermons), artistic work (sculptures, paintings, maps and musical works)

2. Secondary Works – sometimes called neighbouring related or allied works. They include performances, audio-visual works (films, cinemas, broadcasts, sound recordings etc)

Rules of copyright

1. It subsists automatically upon the creation of the work. It need not be granted or registered
2. It governs both primary and secondary works.
3. The subject matter must be original;
    - It originates from the author and no one else
    - It is not a copy
    - The work embodies skill, judgement, labour and effort
4. Ideas in the mind don't count as copyright.

Duration of copyright

The Copyright Act6 in Kenya grants Copyrights to the Copyright owners. It subsists for the life of the owner plus 50 years. In case of sound records, they compute 50 years after the year in which the first recording was made.

The problem with duration is that most computer programs have a very short life span and there is no need of protecting them for 50 years plus.

For anonymous works, Copyright subsists for the duration starting from the year of publication which is strictly 50 years but if the author decides to disclose his identity before he dies, then it will persist for his lifetime and then another 50 years after the author's death. These are called pseudononymous works.

COPYRIGHT INFRINGEMENT

This is the dealing with a work controlled by copyright in a manner contrary to the interests of the owner of the copyright without the owner's consent, authority, licence or permission. The defendants conduct must be seen as to contravene the reserved rights to reproduce, communicate to the public, broadcast and perform the work.

Proof of copyright infringement

1. There must be similarity –the issue is that similarity is a matter of fact and similarity is difficult in music.
2. There must be evidence of access – is there evidence that one person accessed the work of another? Dates are required.
3. The material copied must itself be copyrightable

Defences to copyright infringement

1. Copyright does not subsist in the work i.e. if it is not original and its plain news or plain facts.

2. Fair dealing: this is defined under Section 26(1) of the Copyright Act 2001 as where one uses a work for criticism or review, private use.
3. Consent – be it written or verbal
4. Public Interest – if the copyright is used for the benefit of the public

Remedies to copyright infringement

1. Injunction
2. Damages
3. Account of profit
4. Delivery-up
5. Search and seizure

Compulsory licencing

In certain circumstances, the state may order the copyright owner to licence the work if it is important in the public interest e.g. health/ educational interest

This may be used where the owner has only produced or licenced a few copies, is charging exorbitantly or has refused to licence it on reasonable terms

The copyright owner is entitled to compensation at the going market rates.

TRADE MARKS

This is any word or sign used to indicate the co-relation between goods and services and the owner. It is a distinctive symbol that identifies particular products of a trader to the general public.
The symbol may consist of a device, words, or a combination of these.

A Trademark can be anything i.e. combination of names, combination of colours, designs all these can make a trademark.

Trademarks are IP rights granted in order to distinguish goods and services of one trade mark owner to those of his competitors.

Trademarks are also closely related to trade marks, certification marks, collective marks, domain names and service marks.

Examples of trade marks

1. Signs and signatures
2. Letters or numerals
3. Smell, scents or olfactory marks
4. Coloured marks used in words and letters
5. Available signs or sound marks e.g. songs, musical notes and cellular tunes
6. Three dimensional signs e.g. Toyota logo and Mercedes sign etc
7. Headings and titles e.g on products or papers

Trade marks must be registered for them to be protected. However, notorious marks, famous/ well-known marks may be protected even if unregistered e.g. the McDonald's sign.

The proprietor of a trade mark must use it to continue enjoying protection.
Trade marks can exist infinitely but one has to renew his registration after certain periodic times such as seven-ear intervals.

Registration procedure
Applicants are required to send a written application to the Registrar in the prescribed form.
The application must be accompanied by a power of attorney where applicable
The registrar will then advertise that there is a n application for a trade mark and that he will accept a notice of opposition i.e. an opposition to the registrar of trade marks which must be filed within 60 days from the date of the advertisement.

Use of Trademark

1. To distinguish the goods of one traded from those of another.
2. It refers to a particular quality more so like designer quality, like Gucci, Channel etc, the trademarks are associated with quality.
3. Trademark protects the investment of the inventor, labour capital and goodwill, this attribute has been questioned that it has no legal basis.
4. Identifying the origin of a product i.e when you see Omo you associate it with Unilever. This issue has become redundant in scholarly terms because of the issue of franchising e.g. Nandos in Kenya makes different tasting chicken from the Nandos in South Africa.
5. To promote the marketing and sale of a product when one has a trademark.

Trade Mark Infringement

This is the use of a Trade Mark in the Trade Mark sense without licence or approval of the trade mark owner.

Defences

1. Lack of title to the trade mark
2. Non- registration of the trade mark – this applies where the trade mark doesn't have notoriety i.e. the trade mark is not famous or that the trade mark hasn't developed goodwill.
3. Non – Use of the Trade Mark – this applies where one hasn't used the trade mark of has used it but not in the trade mark sense
4. Confusion – the defendant may argue that plaintiff's trade mark is likely to cause confusion i.e. it is neither distinctive nor capable of distinguishing the products
5. Innocence – it's not an absolute defence because one is deemed to have constructive notice by reason of the mark being registered

Remedies

1. Damages
2. Account of profit
3. Destruction of the infringing material
4. Self help remedies where the proprietor of a trade mark takes out an advertisement and promotional campaigns.